بنك الاتحاد
Bank al Etihad

Annual Report 2024

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Bank al Etihad
profile

Who we are

We are more than just a bank. We are a force that drives you forward. In a rapidly changing world, we believe banking services should go beyond transactions. They should be tools for growth and success. They must be smart, flexible, and capable of opening doors to greater opportunities. That is why we don't just offer banking solutions. We empower you to make informed decisions, seize opportunities, and pursue your ambitions with confidence.

Our vision

We aspire to be the bank that redefines the role of money in your life. Money is not only a tool for spending. It is a means of growth and achievement. Whether you are an individual, an entrepreneur, a woman, or a business owner, we provide the tools and innovations to help you reach your goals.

Our values

- **Continuous Learning:** We never settle for the familiar. We constantly seek new ways to deliver the best.
- **Innovation:** We invest in technology to create solutions that make a tangible difference.
- **Authentic Partnerships:** Our clients' success is our success. We are committed to supporting them at every step.
- **Transparency:** We build relationships on credibility and trust.

Our promise: Shape your future

There is no single path to success, but there are always smarter ways to get there. We are here to help you build a future that matches your ambitions. We do this through services tailored to your lifestyle, financial solutions that drive you forward, and support you can count on. With Bank al Etihad, you don't wait for opportunities. You create them.

Our history

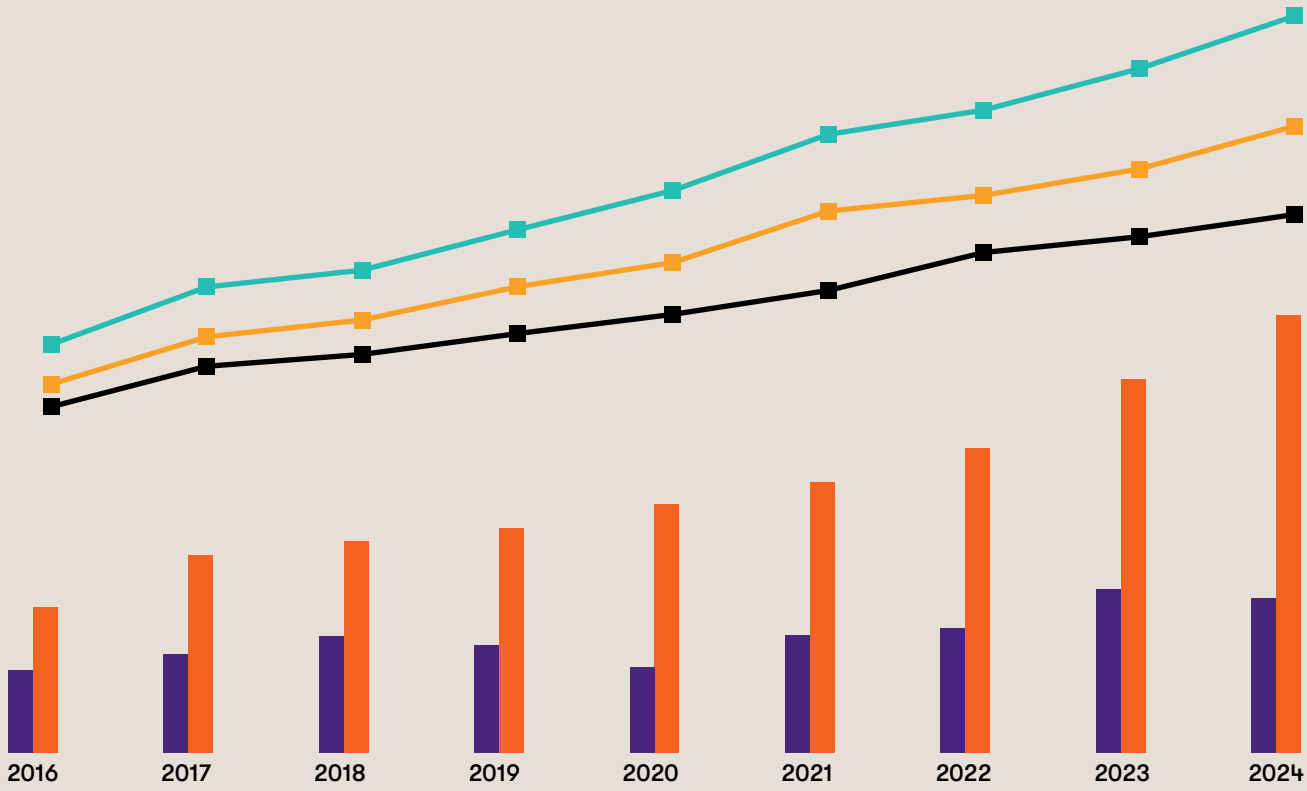
JOD 8.4bn
in total assets in 2024

JOD 6.4bn
in customer deposits in 2024

JOD 4.8bn
in total facilities in 2024

JOD 54.4m
in net income in 2024

JOD 154.5m
in profit (before tax and provisions) in 2024



2015
We launched the Etihad Leasing Company.

2017
We acquired 62.4% of Safwa Islamic Bank, establishing our presence in the Islamic banking sector.

2019
We launched our upgraded mobile banking app and introduced our vision of becoming Jordan's leading digital bank.

We also established the Etihad Financial Technology Company.

2020
We were awarded the Best Digital Bank in Jordan and the Most Innovative Digital Bank in Jordan and the Middle East.

2024
We launched our banking services and solutions in the Iraqi market.

2024 at a glance

JOD 8.4bn
in total assets
(2023: JOD 7.4bn)

JOD 6.4bn
in customer deposits
(2023: JOD 5.7bn)

JOD 4.8bn
in total facilities
(2023: JOD 4.5bn)

"BB-"
Fitch Rating
(with a stable outlook)

"B+"
Capital Intelligence Rating
(with a positive outlook)

Most Innovative Digital Bank in Jordan

We also received Best CSR Bank, Best SME Banking/SME Platform, and Best Information Security and Fraud Management, among others.



70%
of new customers were digitally onboarded

81.8%
of business customers are currently registered on the Etihad for Business Platform
(2023: 64%)

55%
Net Promoter Score
(2023: 54.8%)

64%
Employee Net Promotor Score (eNPS)

Board of Directors



Basem Isam Halim Salfiti
Chairman



Jabra "Raja Yaqoub" Jabra Ghandour
Vice Chairman

Social Security Corporation
Represented by Shaden Ziyad Nabih "Darwish Alhaji"

Libyan Arab Foreign Investment Company
Represented by Moussa Alhassan Atiq Ali (first seat)*
Ali Mahmoud Hassen Mohammed (second seat)*

Tarek Rajai Halim Salfiti
Member

Imad Mohammad Ali Abdel-Khaleq
Member

Nadia Ahmad Abdulmuhsin Al Anani
Member

Mughith Ghiath Munir Sukhtian
Member

Lana Yousef Ibrahim Ghanem
Member

Waddah Isam Hasan Al Barkawi
Member



Nadia Helmi Hafez Al-Saeed
Chief Executive Officer



"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh
Chief Corporate Banking Officer



Tarik "Mohammed Said" Hasan Badawi
Chief Credit Officer



Mohamed Mahmoud Ahmed Burjak
Chief Operations Officer



Zaid Eyad Akram Kamal
Chief Finance Officer



Daniel Fawaz Odeh Al-Sharaiha
Chief Human Resources and Customer Experience Officer



Bashar "Mohammed Khair" Awad Ababneh
Chief Audit Officer



Mahmoud Tayseer Ahmad Badwan
Chief Retail Banking and SMEs Officer, and Acting Chief Digital Tribes Officer



Fadi "Ahmad Kamal" Marei Marei
Chief Treasury and Investment Officer, and Acting Iraq Business Country Manager



Feras Saleh Ahmad Arabiat
Head of Technology



Khaled Abdulmalek Mohamed Abdulmalek
Chief Risk Officer



Natalie Mazen Yousef Al Naber
Chief Corporate Communications and Marketing Officer



Tamer Wasef "Mohamed Moussa" Barakat
Chief Compliance Officer

Dear Shareholders,



I address you today for the first time as Chairman of the Board, carrying with me a deep sense of gratitude. This position is not just a leadership role for me. It is a commitment to our community and future. Through this role, I aim to continue the legacy that has shaped Bank al Etihad into what it is today.

Since the early days of the bank, my father understood that banking was about more than financial transactions. He saw the bank's role as a partner in growth, a driver of ambition, and a pillar of trust. Bank al Etihad has always been committed to creating opportunities that truly make a difference. Now, in this position, I look forward to building on that vision and expanding its horizons.

I grew up watching my father build Bank al Etihad with a vision that extended beyond traditional banking. I learned that every customer has a story, every project holds a vision, and every decision carries an impact that goes beyond profit. These beliefs shaped everything he built and continue to guide our journey today. That is what makes this position all the more meaningful to me.

He laid a solid foundation for the bank. One that is agile and adaptable. His future-focused vision allows me to carry his legacy forward, adopt new ideas, explore new markets, and ensure that Bank al Etihad remains a driving force in the banking sector.

2024 was one of investment and preparation for new paths. We expanded our client base by 16%, and the Bank al Etihad Group, which consists of Bank al Etihad, the Etihad Brokerage Company, the Etihad Leasing Company, a controlling stake in Safwa Islamic Bank, and a stake in the National Bank in Palestine, achieved notable profit growth. Total pre-tax profits and provisions rose by 17%, reaching JOD 154.5 million, compared to JOD 131.9 million in 2023.

But the numbers alone don't tell the full story. The essence of our achievements lies in the trust of our clients, our impact on businesses and the communities we serve, and the new paths we've paved for future growth.

One of our major accomplishments in 2024 was our expansion into Iraq. After completing all the required procedures and securing official licenses, we launched our banking services and solutions in the Iraqi market with our first branch in Baghdad. This step represents a strategic direction to explore promising opportunities and enhance our regional presence. Our goal is to provide financial services to a broader client base and foster an environment that supports growth and expansion.

We also launched Elevate, a program tailored for affluent clients, in recognition of those who have achieved outstanding success through hard work and dedication. Elevate is about celebrating our clients' journeys and supporting their investment goals to ensure sustained growth in their wealth.

In line with our vision to become Jordan's leading digital bank, we achieved the highest digital adoption rate among all banks in 2024, 82%, compared to an average of 56% for other banks. Our mobile banking app received a rating of 4.8 on the Apple App Store and 4.59 on Google Play, making it the highest-rated banking app in Jordan. This success was also reflected in customer satisfaction, with 91% expressing satisfaction with their digital experience.

In addition, 70% of new accounts were opened through our mobile app, compared to 58% the previous year, further reflecting customers' growing trust in our digital offerings.

We believe our clients should be empowered to take control of their financial decisions. That's why we launched a wealth management feature in our app, allowing customers to view their investment portfolios easily and in one place. We also introduced virtual gold and silver purchasing, giving our clients the opportunity to invest in precious metals directly through the app. In addition, we launched a CRIF report feature, which gives clients access to their credit data, enhances transparency, and enables more informed financial decisions. In the area of digital payments, we ranked first in Jordan in the number and value of CliQ transactions, both incoming and outgoing.

As we look to the future, we recognise that ambitious minds and entrepreneurs drive innovation in our sector. That is why we launched the 9th edition of the Bank al Etihad SME Award under the theme "Shape the Future of Fintech," in recognition of outstanding initiatives in this space. This award gives members of our community the opportunity to lead financial transformation with us and strengthen solutions shaping the digital future of our industry.

We continued to strengthen green financing as a key pillar of our transition strategy aligned with the Paris Agreement. Green financing made up 6.28% of our total lending portfolio, exceeding the Central Bank's target. Green loan balances grew by 50.1% compared to 2023, while booked amounts increased by 69.3%.

None of these achievements would have been possible without our exceptional team, who bring our vision to life every day. At Bank al Etihad, our corporate culture is our strength. We achieved a Culture Index score of 63%, placing us among the most attractive workplaces. Our employee Net Promoter Score (eNPS) reached 64%, reflecting our employees' passion and deep engagement with the bank. When people thrive, institutions thrive. And when the work environment encourages innovation, integrity, and collaboration, success becomes inevitable.

Our mission remains clear: To lead with vision, innovate with purpose, and act with integrity. Our role is not only to keep up with trends but to actively shape and define them. The strength of Bank al Etihad lies in its people, culture, and unwavering belief that potential knows no limits, and that the pursuit of excellence is what continues to drive us forward.

To our shareholders, thank you for your trust and belief in our vision. With your support, we continue to achieve our ambitions. To our CEO and Executive Team, your leadership and commitment are the driving force that pushes us toward new horizons. Your vision guides our pursuit of excellence. To our employees, your passion and dedication are the foundation of our success. Through your efforts, we turn challenges into opportunities. And to our clients, you are the heartbeat of Bank al Etihad. Thank you for giving us the honour of being part of your journey. Your trust is our greatest responsibility and our constant motivation to grow and innovate.

Basem Isam Salfiti

Chairman

Our business model and strategy

Our goal: to become the leading digital bank in Jordan

Our mission is clear: to become the leading digital bank in Jordan. We aim to achieve this by focusing on what matters most to our clients and by investing in areas where we can make the greatest impact. Our strategy centres on empowering individuals through digital transformation and making financial services accessible to everyone. We are committed to delivering effective, dynamic services and maintaining our leadership in introducing new products and solutions. Sustainability lies at the core of everything we do, from supporting entrepreneurs and SMEs to fostering diversity and inclusion and advancing sustainable finance.

We have agility and a spirit of innovation

Our passion for growth and innovation drives us forward. That's why we take an agile approach, striking the right balance between performance and continuous innovation. We encourage our teams to think creatively and turn their ideas into real, valuable outcomes. We actively listen to our clients and harness technology to serve them better.

We stand by our clients every day

We strive to be part of our clients' daily lives. This is why we continue to enhance the banking experience across all touchpoints through our people, digital platforms, and e-banking services. We are always available, anytime, anywhere.

Efficiency and productivity are key

To better serve our clients, we stay on top of technological and operational developments. We make strategic use of our resources, reduce costs, and boost operational efficiency without compromising the client experience.

Continuous growth is our priority

We grow strategically by taking calculated risks and leveraging the latest technologies to protect the environment and comply with regulations. We aim to grow and prosper while maintaining cost-efficiency.

Our decisions are data-driven

We analyze data to design products and services that meet our clients' needs, and we constantly adapt to meet market demands. Our goal is to deliver differentiated solutions that earn our clients' trust.

Building a positive corporate culture

We value diversity and are committed to creating a safe, inclusive, and motivating work environment. We're always on the lookout for new talent to join our team and help us innovate. We believe in giving our teams the freedom to pursue their goals and ambitions.

Committed to sustainability

We hold ourselves accountable to the highest sustainability standards. This includes expanding access to finance, supporting SMEs, and considering sustainability in every aspect of our business.

The Board of Directors' expectations for the bank's performance

The Board of Directors has set ambitious strategic expectations for the bank's growth and performance, with a strong emphasis on achieving leadership in digital banking. Building on the progress made in 2023, the Board aims to enhance the digital client experience, introduce innovative financial solutions, and improve operational efficiency. The Board places significant importance on providing the best client experience in the market, an approach that strengthens the bank's ability to navigate rapid digital transformation and reinforces its competitive position.

2024
achievements

2024 achievements

Over the past few years, Bank al Etihad has made significant progress toward becoming the leading provider of digital banking services in Jordan. Despite the rapid evolution of the banking sector, we remain committed to a customer-centric approach.

Our strategy focuses on digital excellence, technological advancement, launching customer-centric initiatives, and strengthening our sustainability efforts. Our work reflects our adaptability and our dedication to enhancing our clients' banking experience. In 2024, we achieved remarkable milestones that underscore our commitment to growth, our ability to keep pace with change, and our pursuit of strategic expansion.

Launch of services in Iraq

After laying the groundwork for regional expansion in Iraq in 2023, we began offering banking services and solutions in the Iraqi market in 2024, following the completion of all licensing procedures for our first branch in Baghdad. The bank obtained official approvals from both the Central Bank of Iraq and the Central Bank of Jordan to commence operations.

This step marks a strategic move to expand our footprint in the Middle East and strengthen our presence in promising markets. Our goal is to deliver high-quality banking services to a broader segment of clients across the region, aligned with our ambition for sustainable and inclusive growth.

Elevate Program

As part of our commitment to providing exceptional banking experience, we launched the Elevate Program in 2024. The program goes beyond exclusive services. It is built on a strategic partnership that supports our clients' investment ambitions and contributes to the sustainable growth of their wealth. Through Elevate, we aim to empower clients to continue their path to success while offering financial solutions tailored to their unique aspirations.

Expanding insurance solutions to enhance financial protection

We expanded our insurance offering by launching life and other insurance plans, affirming our commitment to integrated financial solutions that support individuals across different aspects of life. This expansion enables us to offer comprehensive and flexible options that provide financial protection aligned with our clients' diverse and changing needs.

Developing lending products

In preparation for the 2025 regulatory updates, we aligned our lending products with the Central Bank of Jordan's evolving requirements. This allowed us to offer financing solutions that are more compliant with sustainable banking standards while continuing to support sound practices and enhance the financial stability of our clients.

Banking as a Service

Bank al Etihad has adopted the Banking as a Service (BaaS) model, which allows non-banking entities, such as fintech companies, to leverage our infrastructure to offer financial services by integrating their systems with ours. This approach is part of our broader strategy to expand our business scope, reinforce our role in the financial ecosystem, and enable wider access to high-quality banking services. By fostering partnerships, we empower ourselves and our partners to grow and generate value aligned with our vision of efficient and innovative service delivery in a dynamic market.

Committed to becoming the leading digital bank in Jordan

At Bank al Etihad, innovation and digital banking go hand in hand. In 2024, we introduced a range of new and enhanced features that expanded our services and made banking even easier for our clients.

Thanks to these efforts, 70% of all new accounts were opened through our app in 2024, up from 58% the year before. Currently, 93% of our clients use the app for their everyday banking, compared to 60% in 2023. Our app also topped the Apple App Store with a rating of 4.8 and earned a 4.59 rating on Google Play — the highest for any banking app in Jordan. Client satisfaction reached 91%, reinforcing the quality of the experience we offer. We also ranked first in Jordan for the number and total value of incoming and outgoing CliQ transfers.

To keep improving, we updated our systems and fully embraced digital transformation. We simplified workflows across different stages to deliver a more personalised experience, reduced costs, and offered better support to our clients. As a result, automated operations rose from 68% in 2023 to 82% in 2024.

New features in the Bank al Etihad app

Here are some of the key features we introduced in 2024:

CRIF report

Clients can now issue their CRIF credit report quickly and securely, giving them access to their financial data and credit status, empowering them to make informed financial decisions.

Virtual gold and silver purchases

We expanded investment opportunities by enabling clients to instantly buy and sell virtual gold and silver via the app, without visiting a branch. Clients can also track real-time prices of precious metals.

Wealth management

We launched a wealth management feature to help our clients with full investment planning and execution, and so they can monitor their investment portfolios directly through the app, enabling more accurate investment decisions.

Loan and deposit calculators

We enhanced financial transparency by adding a loan calculator, which allows clients to calculate loan details before applying, including the monthly instalment, interest, and total amount due. We also added a deposit calculator, which allows clients to calculate deposit details, including expected returns and maturity dates, empowering them to make more informed financial decisions with greater confidence.

Personal loan top-up

To provide a seamless financing experience, we launched a pre-approved personal loan top-up feature, allowing qualified clients to request an increase to their current loan directly through the app in simple steps.

Secured credit card

We launched a credit card against financial collateral feature on our app, which offers freelancers and self-employed individuals the ability to obtain a credit card with 110% cash collateral, with a smooth application process and instant card issuance.

Wearable payment tools

We launched the PayBracelet and PayLink, which allow clients to make payments easily without using a physical card, making the payment experience faster and more convenient.

Family Program

As part of our commitment to financially empowering children, we developed the Family Program, which allows clients to open and manage bank accounts for their children directly through the app with no monthly fees or minimum balance, helping to enhance financial awareness among future generations.

Monthly spending report

The monthly spending report feature was launched to provide clients with clear insights into their spending patterns. It displays a detailed report that includes a chart of spending behaviour, main expense categories, and the largest purchase of the month, helping them manage their budgets more efficiently.

Committed to providing our clients with the best experience

Over the past year, we have continued to offer innovative services while maintaining our focus on providing an exceptional banking experience for every client. Our success over the years has been built on our commitment to listening to our clients and developing our services based on their needs.

Our strong commitment to improving the client experience is demonstrated by a Net Promoter Score (NPS) of 55% and a client satisfaction rating of 89%. These figures not only exceed banking sector standards but also surpass benchmarks in other industries, a testament to our continuous pursuit of excellence in banking services. By developing both our digital and direct banking services, we have been able to efficiently meet our clients' needs and solidify our position as a leading bank in providing the best banking experience in the market.

Continuing our support for SMEs and corporations

The year 2024 saw the achievement of several significant milestones that contributed to strengthening the role of small and medium-sized enterprises (SMEs). Our partnerships with financial institutions have played a major role in driving the Jordanian local economy forward.

Etihad for Business Platform

In 2024, we made great strides in enhancing corporate banking services on the Etihad for Business Platform. We implemented key improvements and added new features to ensure more efficient operations. These included:

- Enhanced user experience: We upgraded payment and transfer processes to boost efficiency and clarity. Bill payments are now smoother, and international transfers have seen improvements like higher acceptance rates and support for PDF document uploads. We also added an option to select correspondent banks and enabled collective approvals for easier transfer management.
- Security and compliance: We enhanced security by automatically ending inactive sessions and improving transaction tracking by adding originator details and timestamps, which increases transparency. We also developed the permissions management system to simplify usage and increase accuracy.
- Digital lending and financing: We launched a pre-approved loans feature, accelerating companies' access to financing. It is now also possible to partially or fully finance transfers via revolving loans. In addition, we added the ability to issue electronic letters of guarantee through our platform.
- Innovative business banking solutions: We expanded our digital services by launching bancassurance products, which provide access to marine, health, and property insurance. We also offered specialised tools to improve operational processes and added a dedicated section on the Etihad for Business Platform to securely request and negotiate foreign currency exchange rates.

Activating agreements signed with the European Investment Bank

As part of our continuous efforts to support SMEs, in 2024 we activated the lending agreement signed in 2023 with the European Investment Bank (EIB) valued at 90 million euros. This has enabled us to provide flexible financing solutions that help businesses expand, innovate, and adapt to market changes. Through this financing, we offer preferential interest rates that suit the capabilities of businesses, in addition to supporting renewable energy projects that enhance their long-term sustainability.

We also activated a loan guarantee agreement worth 50 million dollars, focusing on financing SMEs, especially those run by youth, women, and refugees, as well as financing startups and projects in areas with high unemployment rates. This initiative aims to empower these businesses to easily access financing by providing the necessary guarantees that facilitate their access to concessional loans.

Expanding lending to specific sectors in collaboration with the Central Bank of Jordan

In collaboration with the Central Bank of Jordan, we continued to lead initiatives to expand lending in strategic sectors such as tourism, information technology, and renewable energy. This initiative aims to provide preferential rates to support sustainable growth in these areas, which play a fundamental role in Jordan's comprehensive economic development. Additionally, we strengthened our partnerships with local and international institutions to ensure the creation of an attractive investment environment that enables businesses to easily access financing.

Leadership in supporting startups in partnership with the Jordan Loan Guarantee Corporation

Continuing our commitment to supporting innovative projects and startups, we have maintained our collaboration with the Jordan Loan Guarantee Corporation to provide exceptional financing opportunities. We worked to enhance programs like “EJADA” and “Mashrou’i,” which target women-owned SMEs, aiming to stimulate growth in this important sector.

Bank al Etihad SME Award

In 2024, we launched the ninth edition of the Bank al Etihad SME Award under the theme “Shape the Future of Fintech” to highlight outstanding initiatives in financial technology. As fintech continues to evolve, these companies play a significant role in empowering individuals and businesses and driving economic development. Capifly received an award of JOD 50,000 for its excellence in meeting the award’s criteria, given its innovative approach to designing fintech solutions.

Enhancing non-financial services to support businesses

In 2024, we continued to provide non-financial services to support startups and SMEs. We organised 14 training courses that benefitted 365 participants, 53% of whom were women. These courses covered diverse topics in financial management, human resources, digital marketing, artificial intelligence, taxation, and intellectual property. We also launched the Export Readiness Program, in collaboration with the European Bank for Reconstruction and Development (EBRD), to help industrial companies expand into global markets. Additionally, we provided specialised consultations to over 60 companies in the financial, legal, tax, and digital marketing fields.

To support the entrepreneurial ecosystem, we provided specialised consultations to Agritech startups to help them achieve growth and sustainability. We also reinforced our commitment to supporting Jordan’s innovation environment by sponsoring Flat6Labs, a company that focuses on empowering technology startups, which contributes to enhancing technological entrepreneurship in Jordan.

The bank expanded the reach of non-financial services by launching a dedicated page for them on its website. This page serves as a way for companies to register for consultation and training services and benefit from digital business tools with special discounts to support their growth and promote their sustainable success.

As part of our efforts to empower the community, and in collaboration with the Association of Banks in Jordan, the Jordan River Foundation, and the Central Bank of Jordan, we provided intensive training to 300 businesswomen over 400 hours. The training covered financial management, budgeting, finance, and the use of e-wallets, with the goal of supporting micro- and small enterprises and enhancing financial inclusion and economic sustainability.

Our services receive recognition

In 2024, we received several international awards in recognition of our efforts across various fields. We won multiple awards from Global Finance magazine: Best SME Banking/SME Platform, Best Information Security and Fraud Management, and Best in Transformation. We were also honoured with the Non-Financial Services Champion award from the Financial Alliance for Women, in addition to receiving two CSR-related awards: Best CSR Bank Jordan from International Business Magazine and Best Bank for Corporate Responsibility from Euromoney. Finally, we were named Most Innovative Digital Bank Jordan by International Business Magazine.

Building a strong work culture for our employees

Bank al Etihad’s corporate culture is a key driver of success, and we believe in the importance of empowering our team members and recognising their significant role in our success. We achieved a culture index score of 63%, which reflects a work environment on par with the best global companies. Our employee Net Promoter Score (eNPS) also reached 64%, reflecting a high level of belonging and satisfaction within the bank.

Continuing our commitment to enhancing women's economic participation

In 2014, we embarked on a journey with the launch of the Shorouq Program, which aims to empower women through financial and non-financial services. This initiative stems from our belief in the importance of supporting women's economic participation and their vital role in achieving economic growth, while simultaneously expanding our female client base. The number of our female clients has increased 13-fold since the program's launch.

The Shorouq Program provides a comprehensive suite of non-financial services that give women access to knowledge, information, events, and markets. These services include legal consultations, networking events, and workshops, in addition to the Shorouq Career Comeback Program. All these initiatives aim to provide opportunities for inspiration, empowerment, and relationship-building among ambitious women.

In 2024, we organised over 60 events, ranging from workshops to virtual and in-person mentoring and guidance sessions, in collaboration with our partners. More than 4,000 women benefitted from these sessions.

Last year, we also launched the sixth edition of the Shorouq Career Comeback Program to support women who wish to resume their careers after taking a voluntary break. The program focuses on bridging the knowledge gap that often comes from time spent away from the workplace. It equips participants with the right skills, tools, and guidance to help them return to the workforce smoothly and confidently, and contribute meaningfully across different sectors.

There were 37 women selected to participate in the program from over 1,300 applicants. We also formed partnerships with 11 institutions that share our vision for supporting women and promoting their career advancement. These partnerships included prominent institutions and companies such as the Crown Prince Foundation, PwC Middle East, Hikma Pharmaceuticals, Umniah, Talabat, Fine Hygienic Holding, Better Business, Careem, Al Aman Fund for the Future of Orphans, Olayan Group, and Digitales, reflecting a collective commitment to empowering women and enhancing their economic role in Jordan.

Financial literacy to bridge the knowledge gap

Last year, we continued our commitment to promoting financial literacy, recognising its importance in empowering individuals and fostering a more financially aware society. Following the successful launch of Rise Academy in 2023, we continued offering the free two-day training program targeting two main groups: young people aged 18 to 25 and working professionals aged 25 and above. Over the past year, we held 8 training sessions, benefitting 266 participants. This reaffirms the academy's continued impact in helping individuals make informed financial decisions for a more stable financial future.

As part of our financial literacy efforts, we also continued publishing articles on the Bank al Etihad blog, launched in 2020. The blog covers a variety of topics, ranging from the fundamentals of financial management, saving, budgeting, and banking services to future trends and technologies shaping the financial sector. Last year, we published 53 articles in both Arabic and English, which received a total of 175,346 views and a read-through rate of 74%, reflecting strong engagement.

We also continued to attract listeners through our "Mali wa Maluk" podcast, launched in 2022. It is the first Arabic financial literacy podcast that explains banking and financial concepts to listeners and promotes sound practices for managing money, saving, repaying debt, and investing. In 2024, we launched the second season of "Mali wa Maluk," along with a new program for SME owners and entrepreneurs named "Malak Bi Aamalak." The new season included 6 episodes of "Mali wa Maluk" and 5 episodes of "Malak Bi Aamalak," with a combined total of over 700,000 listens, a 95% increase compared to 2023.

Risk management

Amidst economic and political changes and market fluctuations, we remain committed to adopting an integrated approach to risk management, grounded in a strong governance framework and aligned with international standards. We continue to enhance risk awareness across all levels, treating it as a collective responsibility, while focusing on developing effective mitigation strategies. We have also put in place plans for the ongoing improvement of our systems to ensure our operations are executed with the highest levels of security and responsibility, and to solidify the trust of our clients, partners, and investors in our ability to manage risk effectively.

Proactive credit risk management

We've strengthened our credit risk management framework through a risk-based classification approach. This has facilitated the early transfer of non-performing accounts to the debt collection department, thereby increasing debt recovery opportunities and reducing potential losses. We also implemented internal and external awareness programs aimed at preventing accounts from moving to stage two, in addition to applying strict procedures to ensure the quality of our credit portfolio.

Furthermore, we activated robust credit concentration limits in line with the bank and group's risk policies. These limits rely on clients' credit ratings to effectively control credit distribution. Strict monitoring procedures were also implemented to address any potential breaches, ensuring credit discipline across all aspects of lending and investment.

Enhancing early risk detection

In 2024, we developed a sophisticated monitoring unit to closely track high-risk accounts. This ensures immediate intervention and the development of tailored treatment plans. The unit also enhanced coordination between departments to ensure smooth transitions in risk management, which improves proactive risk management and limits risk escalation.

Improving collection efficiency

Collection operations saw a significant improvement thanks to the restructuring of the collection department and the modernisation of operational processes. Human resources were also strengthened, and collaboration with external collection agencies was enhanced to increase debt recovery rates. This directly contributed to strengthening the bank's financial stability and improving debt management efficiency.

Developing lending practices

To enhance lending quality, Bank al Etihad adopted advanced credit rating models that undergo annual reviews by specialised consultants to ensure the accuracy of assessments. Furthermore, risk-based pricing strategies were implemented, which helped direct financing towards lower-risk sectors, enhance financial sustainability, and limit exposure to high risks, in line with the bank's prudent risk management policies.

Commitment to sustainability and climate risk management

As part of our commitment to sustainable finance, Bank al Etihad became the first bank in Jordan to join the Partnership for Carbon Accounting Financials (PCAF) to measure and monitor financed emissions within our portfolio. This reflects our efforts to adopt environmentally responsible banking practices. We also developed a transitional plan aligned with the Paris Agreement to promote long-term environmental sustainability.

One of our most significant achievements in this area is the calculation of financed emissions under Scope 3, which accounts for 80% of our assets. This has enhanced our transparency and compliance with international standards. Additionally, we implemented environmental and social due diligence assessments as a value-added service for our clients to support them in adopting more sustainable practices and reducing environmental and social risks. These initiatives reflect our commitment to integrating sustainability into our financial operations and strengthening our role in building a more sustainable and responsible economy.

Compliance

Last year, the Compliance Department took significant steps toward developing a more advanced compliance system and building a robust regulatory framework across all bank departments. We achieved important milestones that reflect our commitment to meeting the highest regulatory standards.

Combatting financial crimes

We remained committed to upholding the highest levels of regulatory standards by updating our anti-money laundering policies to ensure compliance with regulatory requirements and enhancing our monitoring systems to detect suspicious activities effectively. Employees in the Financial Crimes Unit also obtained specialised certifications to strengthen their readiness in facing evolving financial challenges. Furthermore, we established a unified compliance framework at the Bank al Etihad Group level to ensure regulatory consistency across all operations.

Compliance with international sanctions

We updated the policies and procedures of the Economic Sanctions Unit to ensure compliance with the latest regulatory and legislative requirements. We also expanded our monitoring systems for transfers and trade finance, enhanced collaboration with the Financial Institutions Unit to update correspondent bank data, and launched specialised training programs for our employees to keep pace with regulatory challenges.

Regulatory compliance

We updated our regulatory systems to enhance operational efficiency and accuracy. This included improving the reporting system and assessing quality control to enhance the effectiveness of compliance and internal oversight. We also developed disclosure mechanisms related to granting facilities through an integrated process for disclosing conflicts of interest at all approval levels, which strengthens transparency in decision-making.

Improving client complaints management

We saw a 1.01% decrease in the number of complaints in 2024. This was the result of our continuous efforts to address complaints at their root, ensuring they do not recur. A comprehensive approach based on smart solutions was implemented to speed up complaint processing, improve client satisfaction, and educate clients about our products and procedures to minimise errors.

New client onboarding procedures

We strengthened our client onboarding system by updating account opening policies to ensure they align with regulatory requirements. We also developed monitoring systems and provided training programs to enhance employee efficiency and reduce money laundering risks, which improved account quality and accelerated the acceptance process.

Building a culture of compliance

At Bank al Etihad, we are committed to embedding a culture of compliance across the organization. The Compliance Department sends periodic awareness messages to enhance knowledge of policies and procedures. To evaluate the effectiveness of these efforts, we conducted a comprehensive survey, which showed positive results: more than 98.5% of employees expressed satisfaction with the bank's compliance culture, reflecting strong internal alignment with regulatory standards.

Sustainability

Our commitment to sustainability is evident in our transition plan, which ensures our financial flows align with the goals of the Paris Agreement and support the shift to a low-carbon economy. We integrate sustainability into all our business operations, from financing and risk management to innovation and engagement with our partners. Through strong governance, transparency, and capacity building, we are shaping a financially, socially, and environmentally sustainable future.

Sustainability strategy

We expanded our strategy to include green financing, climate risk management, product innovation, and enhanced collaboration with our internal and external partners. We also applied governance principles and improved our sustainability reporting, in line with the UN Sustainable Development Goals, the principles of the UN Global Compact, Jordan's Nationally Determined Contributions under the Paris Agreement, the Green Growth Plan, the National Adaptation Plan, and the Central Bank's Green Finance Strategy.

Green financing

By the end of 2024, our green loan portfolio reached 6.28% of our total financing portfolio, exceeding the target set by the Central Bank of Jordan. Green loan balances and disbursed amounts saw significant growth, with balances increasing by 50.1% compared to 2023, while disbursed amounts grew by 69.3%. This portfolio was based on EU taxonomy standards to ensure alignment with global sustainability criteria, while we await the development of the Jordanian national taxonomy to enhance local compliance.

In the area of electric mobility, we directed 40.2% of our auto loan portfolio to support electric vehicles. The percentage of loans granted for electric vehicles increased from 46% in 2023 to 55.8% in 2024 of total new loans. We also allocated 30% of the green loan portfolio to women and 45% to youth, reaffirming our commitment to promoting financial inclusion and empowering different segments of society.

Climate-related financial products

At Bank al Etihad, we offer a comprehensive suite of green financial products specifically designed to support sustainable practices and meet the needs of various customer segments. These include:

Loans and financing services for businesses

We have developed the Green Economy Financing Facility (GEFF) loans specifically for SMEs to help them adopt sustainable practices, such as using renewable energy, promoting the circular economy, and developing green buildings. These loans feature competitive interest rates and cashback incentives ranging from 10% to 15%. We have also secured credit lines worth €90 million from the EIB, in addition to a $50 million portfolio guarantee program to support sustainable sectors aligned with the standards of the Paris Agreement.

Directed financing for sectors under the Central Bank's program

This financing focuses on enhancing energy efficiency, supporting renewable energy projects, and developing green buildings by offering loans of up to JOD 4 million with reduced interest rates of a maximum of 4.5% and flexible repayment periods of up to 10 years.

Green revolving ceilings to support supply chains

We developed this financing solution to support projects that promote the circular economy, energy efficiency, and the innovation of green products, in line with the needs of businesses. We understand that sustainability is not limited to a company's internal operations but extends to its entire supply chain network. Therefore, we provide specialised financing for green supply chains through revolving credit lines and incentive programs that help businesses adopt sustainable practices in their operational processes.

Energy efficiency in transportation

We have facilitated the transformation of corporate vehicle fleets toward green alternatives through flexible financing solutions and competitive terms, which has helped accelerate the adoption of sustainable transportation.

Green trade finance

Relying on sustainable production and trade practices has become a competitive necessity for businesses. For this reason, we offer indirect financing solutions to support this transformation. Through letters of credit, we provide financing at competitive rates and flexible repayment terms. This expansion stems from our belief in the role of companies in building a green economy, enabling them to export their products to global markets in line with global trends.

Retail banking products for individuals

Electric vehicle loans

With the growing demand for electric transportation, it has become essential to provide financing solutions that support this shift. We offer electric vehicle loans with flexible financing and competitive terms, which help our customers own electric cars more easily and reduce their carbon footprint.

Renewable energy loans

Because access to clean energy sources should be available to everyone, we offer loans to finance renewable energy systems. This option allows customers to invest in sustainable solutions without additional financial burdens.

Expanding the scope of green products through credit cards

We have made it possible for our customers to purchase green products, such as solar water heaters, energy-efficient air conditioners, double-glazed windows, and renewable energy systems, at 0% interest when paying with our credit cards. This solution allows customers to adopt sustainable options in their homes, reduce energy consumption, and enhance resource efficiency.

Employee products

Electric vehicle loans

To promote sustainability within the workplace, we offer our employees specialised loans for purchasing electric vehicles, with higher financing percentages, reduced interest rates, and extended repayment periods. This program encourages employees to adopt sustainable transportation solutions, reinforcing our commitment to the practices we advocate and supporting our vision for a future where sustainability is a lifestyle, both inside and outside the workplace.

Climate risk management

Climate risk management is a fundamental pillar of our transition plan. We adopt a dual approach to ensure the sustainability of our financial operations and to enhance the resilience of the bank and its clients. At the portfolio level, we address physical risks resulting from climate change and transition risks associated with the market's shift to a low-carbon economy and evolving global legislation. At the borrower level, we assess the environmental and social risks of their activities to ensure that their operations align with sustainability standards, limiting their long-term environmental and economic impact.

Measuring carbon emissions for the financing portfolio

As the first bank in Jordan to join the Partnership for Carbon Accounting Financials (PCAF), we have adopted its methodology to measure and monitor financed emissions within our portfolio. This reaffirms our commitment to transparency and accountability in managing the carbon footprint of our financing and investment activities. It also allows us to assess the alignment of our portfolio with transition pathways toward a low-carbon economy.

Climate stress testing and scenario analysis

As part of our transition plan, we conduct climate stress tests and scenario analyses to evaluate the impact of climate change on our portfolio, considering both physical and transition risks. This enables us to manage risks effectively and protect the bank's financial stability. We follow the guidelines of the Network for Greening the Financial System (NGFS) and the Intergovernmental Panel on Climate Change (IPCC) to ensure compliance with international standards.

Partnerships and capacity building

External engagement

We expanded our sustainability impact through strategic partnerships and initiatives that foster positive change. Our CEO participated in international committees, including COP29, and we played a significant role in the Green Committee of the Association of Banks in Jordan. We deepened our collaboration with the German Jordanian University to explore innovative solutions for reusing electric vehicle batteries, where we represent the bank on the advisory council.

We also formed partnerships with EDAMA to support renewable energy and water management solutions, and with UNICEF to enhance youth participation in the LCOY conference. Additionally, we facilitated access for companies to environmental consultations for feasibility studies and offered sustainable financing options in cooperation with green product vendors, allowing customers to purchase them with 0% interest using our credit cards.

Internal engagement and capacity building

In 2024, we invested in building our employees' capabilities in sustainability and green finance through advanced training programs and specialised workshops. We collaborated with the European Bank for Reconstruction and Development (EBRD) to offer the Green Finance Academy at both intermediate and advanced levels, benefitting over 627 employees who received globally recognised certifications in Environmental, Social, and Governance (ESG) standards.

We also organised specialised workshops covering agricultural sector-related chains and other industries to discover green financing opportunities, programs for corporate employees to integrate sustainable strategies, and a training workshop for retail and branch employees to enhance their awareness and application of green financing practices.

Fundamentals of the green and circular economy

We remain committed to spreading the concepts of the green and circular economy among our employees through targeted awareness and training programs. We organised training sessions that benefited 121 employees, introducing them to the foundations of circular sustainability. This was complemented by comprehensive training on sustainability and climate change via the "Salalem" platform, which achieved a completion rate of 89.2%.

We also trained employees on how to use specialised tools such as the Green Guide and sectoral regulatory frameworks, which enhanced their ability to identify and promote green transactions effectively.

Onboarding new employees

To ensure the integration of sustainability concepts into our work culture, we have added specialised sessions on the bank's approach to sustainability and its portfolio of green products to the new employee onboarding program.

Building the capacity of the Board of Directors and Executive Management

We held specialised workshops for the Board of Directors and the Executive Management team to enhance their understanding of climate risks, governance roles, and sustainability goals. This ensures that sustainability is integrated into the bank's strategy at all levels.

Governance

In 2024, we developed a comprehensive governance framework that integrates Environmental, Social, and Governance (ESG) standards into all our operations to ensure accountability and effective implementation. Within this framework, the Board's Risk Committee is responsible for overseeing sustainability and managing climate risks, in line with the requirements of the Amman Stock Exchange and the Central Bank of Jordan as part of the green finance strategy. In addition, specialised working groups have been established to develop sustainable products and manage investments and climate risks. Temporary task forces were also formed to address data gaps, implement operational changes, and launch green trade finance programs, helping ensure the integration of sustainability across all levels of the institution.

Development of internal policies and frameworks

Sustainable finance framework

At Bank al Etihad, we have continued to strengthen our commitment to sustainability by updating internal policies to align with international and local standards. We adopted a sustainable finance framework that is consistent with the European classification and global principles, including the ICMA Green Bond Principles (2021) and the Social Bond Principles (2023). This framework defines the eligible categories for financing and investment in green and social projects and supports the bank's alignment with the Nationally Determined Contributions (NDCs) under the Paris Agreement, the United Nations Sustainable Development Goals, and Jordan's National Green Growth Plan.

Emissions measurement and management framework

We established integrated methodologies to measure operational Scope 1, 2, and 3 emissions, with clearly defined emission boundaries to ensure the environmental sustainability of our operations. We also adopted the PCAF methodology to measure financed Scope 3 emissions, demonstrating our commitment to global best practices in tracking and disclosing financed emissions.

Key achievements

Reducing carbon footprint

In 2024, we continued our commitment to reducing our carbon footprint and embedding sustainability into our daily operations. The total capacity of our solar energy systems reached 3.2 MW after recent expansions, contributing to the reduction of Scope 2 emissions. As a result, 80% of our electricity needs are now met through renewable energy.

We also expanded our vehicle fleet to include electric and hybrid vehicles, helping to lower Scope 1 emissions. In parallel, we replaced many office materials with greener alternatives, including recycled paper, biodegradable tools, and sustainable substitutes for single-use plastics.

Partnership to develop a digital solution for carbon accounting

To strengthen our role in helping clients monitor their carbon footprint and make responsible purchasing decisions, we partnered with Visa and Ecolytiq to develop a carbon footprint calculator. This feature, set to launch in early 2025, will allow our clients to track and reduce their emissions directly through our banking app.

The bank's investment portfolio

The bank's investment portfolio made significant progress in sustainable investments, which accounted for 13% of the total investment portfolio by the end of 2024. This advancement reflects the bank's commitment to directing its investments toward projects that contribute to sustainability.

Digital transformation

In 2024, we successfully automated 82% of our banking operations, contributing significantly to the reduction of paper consumption. By the end of the year, 93% of individual clients were registered on the banking app, and 70% of new accounts were opened through digital channels. This transformation has also helped to reduce Scope 3 emissions.

For more details, please refer to the 2024 Sustainability Report.

Social responsibility

At Bank al Etihad, our customers and community are like family. We constantly strive to help those around us thrive, whether by supporting the next generation of leaders and entrepreneurs, enriching Jordan's vibrant arts and cultural scene, or investing in skills and education to help individuals reach their full potential.

Our social responsibility strategy is built around five pillars: Financial Inclusion and Economic Empowerment, Social Well-being, Environment, Access to Knowledge, and Arts and Culture. These areas are central to the bank, our community, our customers, and our stakeholders, and we believe we have the ability and responsibility to create meaningful change in them.

Through our social and volunteer initiatives at Bank al Etihad, we are actively working to align with a number of United Nations Sustainable Development Goals (UN SDGs), demonstrating our commitment to community partnership. These include:



- Goal 2: Zero Hunger
- Goal 3: Good Health and Well-being
- Goal 4: Quality Education
- Goal 5: Gender Equality
- Goal 7: Affordable and Clean Energy
- Goal 8: Decent Work and Economic Growth
- Goal 9: Industry, Innovation and Infrastructure
- Goal 10: Reduced Inequalities
- Goal 11: Sustainable Cities and Communities
- Goal 12: Responsible Consumption and Production
- Goal 13: Climate Action
- Goal 17: Partnerships for the Goals

Financial inclusion and economic empowerment



At Bank al Etihad, we believe our role goes beyond banking. We're committed to empowering our customers and the communities we serve by spreading financial knowledge and building economic awareness, which are essential to achieving sustainable growth and economic well-being for all. A financially informed individual, who can wisely manage their resources, is the foundation of a strong economy and a more stable society.

As part of our ongoing efforts to promote financial literacy and inclusion, we launched several initiatives that reflect our commitment to community support:

- Money Talks Tour: As part of our annual participation in Global Money Week, we organised the Money Talks tour, which visited several schools in Amman. The initiative reached 541 high school students and 21 teachers, marking a 50% increase in the number of students benefitting compared to 2023. The goal was to equip students with essential financial knowledge and prepare them for a more secure economic future.
- Wasel Partnership for Education and Awareness: Through our support for the "Shabek wa Ibtakr" program by Wasel for Education and Awareness, 30 students aged 18 to 28 received specialised training in entrepreneurship. The program included field visits to business incubators and accelerators, giving participants the chance to pitch their projects and receive valuable feedback. As a result, 10 innovative ideas were adopted by local incubators, highlighting the program's tangible impact on fostering youth entrepreneurship.
- Handicrafts Program with the Jordan River Foundation: Continuing our strategic partnership with the Jordan River Foundation, we supported and trained 18 women as part of the foundation's handicrafts project with IKEA. The women participated in technical and professional training in knitting, embroidery, and basic life skills, helping them develop their craftsmanship and readiness for the job market.
- Digital Financial Literacy Resources: Our financial blog continued to serve as a key digital tool for financial literacy, reaching over 175,000 readers in 2024. We also launched the second season of our podcast "Mali wa Maluk," alongside a new series titled "Malak bi Aamalak," tailored for SME owners and entrepreneurs. Together, both shows achieved over 700,000 listens, a 95% increase from 2023.
- Rise Academy: Our flagship financial literacy program, Rise Academy, delivered intensive courses and workshops to 266 participants. The program focused on building essential financial skills and empowering individuals to make sound financial decisions in their daily lives.
- Sustainable Tourism and Community Development: As part of our continued support for the rehabilitation of the tourist trail from King Talal Dam to Rmeimin, in partnership with the Jordan Trail Association, we organised two events at the bank to support women from Rmeimin who had previously completed HACCP food safety training. These women sold homemade local products at our events, with strong support from our employees, creating new economic opportunities and boosting their financial stability.
- Financial Literacy Training for Women in the Local Community: In collaboration with the Association of Banks in Jordan, five of our employees volunteered nearly 440 hours to train 1,276 women from various governorates across Jordan. The training covered basic financial skills to help women make informed financial decisions, manage personal and business budgets, avoid financial fraud, and actively participate in entrepreneurship. These efforts played a key role in improving financial resilience and inclusion among women in local communities.

Social well-being and community development initiatives



Our family values are the foundation of our existence, and we are keen to seize every opportunity to contribute to supporting our community. In 2024, we launched several community initiatives aimed at creating a positive impact, which include, but are not limited to:

- The "Happiness Bus" Initiative: During the month of Ramadan, we launched the "Happiness Bus" for the second consecutive year. The initiative brought joy to approximately 3,775 people across four governorates. On each trip, the bus carried bank volunteers and surprise gifts, spreading cheer to different areas and brightening people's days during the holy month.
- Solidarity with the Palestinian People: In collaboration with the King Hussein Cancer Foundation and Center, we launched a fundraising campaign through our banking app to support cancer patients arriving from Gaza. The campaign raised JOD 12,981 through donations from customers and employees, helping to provide treatment for these patients in Jordan. We also launched a second fundraising campaign in collaboration with Waqf Thareed and the Tadamon Foundation to provide hot meals during Ramadan. A total of JOD 5,662 was collected, the equivalent of 3,235 hot meals, to support families in Gaza.
- Donation Campaigns with the Tadamon Foundation: Within our strategic partnership with the Tadamon Foundation, we launched two donation campaigns. The first supported students at Salhoub Secondary School for Girls in Al-Balqa Governorate ahead of the school year, with our employees donating 170 school bags and supplies to help meet students' basic needs. The second campaign collected and distributed winter essentials to underprivileged families. Six mannequins were placed in various locations in Amman, each featuring a QR code that allowed for donations through our banking app or the Tadamon website. The bank matched the total value of donations, enabling the campaign to provide warm winter clothing to 169 families across multiple governorates and helping them stay protected from the harsh cold.
- In addition to our core initiatives, we maintained and renewed several strategic partnerships with leading organisations focused on community development. These include:
- We continued our strategic partnership with the King Hussein Cancer Foundation and Center (KHCC) by supporting several initiatives. This included the "Run for Life" campaign, which raises funds for cancer patients through a student race, as well as the "Go Green" awareness campaign aimed at reducing lifestyle-related cancer risks. We also supported capacity-building programs at the KHCC Training and Education Academy. Collectively, these efforts reached 33,365 beneficiaries.
- We signed a three-year strategic partnership agreement with SOS Children's Villages Jordan to provide integrated care for seven children and youth who lack family support. Our contribution covers their essential needs, including care, housing, education, skills development, protection, and social integration.
- We renewed our partnership with Medical Aid for Palestinians (MAP) to support the procurement of medical supplies for health centres in Palestinian refugee camps.
- We continued our support for Tkiyet Um Ali through a monthly sponsorship of seven families facing food insecurity. In total, we distributed 84 food parcels to these families throughout the year.

Commitment to environmental sustainability



We strive through our environmental initiatives to enhance environmental awareness and encourage sustainable practices that contribute to protecting our natural resources for future generations. We do this by implementing programs that support climate action and promote sustainability within our community.

In 2024, we supported several impactful environmental initiatives, including:

- Youth and Climate Action: For the third consecutive year, we renewed our strategic partnership with UNICEF to support youth-led climate action. This collaboration raised awareness among approximately 100,000 young people about climate change and their role in addressing it. Additionally, 3,000 participants, half of whom were women, benefitted from capacity-building programs that equipped them with the skills to access green jobs and sustainable employment opportunities in Jordan.
- As part of the same partnership, we continued our support for the Local Conference of Youth (LCOY) for the third year. The goal is to empower youth to contribute meaningfully to climate action. The partnership also supported young climate leaders in Jordan to take part in global networks, including participation in COP29 as part of Jordan's official delegation, giving them the opportunity to share the voices and aspirations of Jordanian youth on a global stage.
- Plastiqua Recycling Initiative: We expanded the scope of the Plastiqua initiative, originally created to recycle expired bank cards, to include a new recycling line for flex materials used in our outdoor advertisements. This expansion created economic opportunities for 12 women in the Jabal Al-Natheef area.
- Support for Bedouin Women: We continued our support for four Bedouin women from Wadi Rum through our partnership with the "Lumeyo" initiative. By recycling used jackets and transforming them into yarn ready for weaving, these women were able to generate sustainable income while reducing waste. The initiative also produced green, handcrafted items that celebrate the rich Bedouin heritage, preserving the traditional nature of the craft and opening new economic opportunities for the women involved.
- Arab Group for the Protection of Nature: For the eighth consecutive year, we supported the Green Caravan program. The program aims to expand green spaces, combat desertification, raise awareness about the importance of agriculture, and empower small-scale farmers, who are key to food security in Jordan. Through our support, 1,000 fruit trees were planted across Al-Jizah, Al-Bayader Wadi Al-Seer, and the Central Jordan Valley. In addition, 21 farmers, supporting 126 family members, benefitted from the initiative over an area of 18 dunums. The trees planted included olive, almond, and citrus varieties.
- Marine Environment Protection in Partnership with JREDS: As part of our commitment to environmental sustainability, we entered into a partnership with the Royal Marine Conservation Society of Jordan (JREDS) to help protect marine life, especially in the Aqaba region. As part of this collaboration, a group of employees from our Aqaba branch earned PADI diving certifications, enabling them to participate in monthly underwater cleanup campaigns, contributing to the preservation of Jordan's marine ecosystems.
- Sustainability in Design: We sponsored the 12th edition of the i-Sustain Award for Environmental Design, which saw the participation of over 250 university students from across Jordan. This award continues to spotlight innovative, sustainable solutions developed by students to address the challenges facing Jordan's urban environment. It also fosters a culture of sustainable thinking in the fields of architecture and urban planning.
- Bank al Etihad Forest: As part of our commitment to environmental protection and expanding green spaces in Jordan, we took part in the National Afforestation Project by establishing the Bank al Etihad Forest. Planted on a plot of approximately 13 dunums, the forest is maintained and cared for by the bank to ensure its long-term growth and contribute to improving the local environment.

Empowering the next generation through education



We remain committed to building a brighter future for the next generation, with a special focus on education and making knowledge accessible to all. In 2024, our initiatives aimed at promoting equal educational opportunities led to tangible progress, enabling youth to access a wider range of learning opportunities and supporting them in achieving their academic and professional ambitions.

- Scholarship Programs in Jordan and Palestine: We continued to provide 31 scholarships to outstanding students in Jordan and Palestine, helping them pursue higher education and further their academic and professional journeys.
- Supporting Learning Through Audio Storytelling: We continued our support for the Raneen Foundation and its innovative project that fosters a love of learning through audio stories. This project provides an unconventional educational method that contributes to increasing student engagement with academic content and improves their listening skills.
- Strategic Partnership with the Queen Rania Foundation (QRF): We continued our collaboration with the Queen Rania Foundation, supporting impactful educational initiatives, including:
  - "Madrasati" Initiative: We completed our support for the Masahti program, which aims to enhance the educational environment at Salhoub Secondary School for Girls by empowering students and teachers and promoting their participation in extracurricular activities. The program also strengthened teachers' capacities through the Proud to be a Teacher program and improved their workspaces by rehabilitating teachers' lounges. These efforts positively impacted over 697 female students.
  - Supporting Al-Aman Fund for the Future of Orphans: In 2024, we continued supporting the education of orphaned youth by covering university tuition fees for 8 outstanding students. We also provided additional assistance to cover living expenses and capacity-building training for 3 of them, ensuring holistic support that delivers sustainable outcomes. Moreover, we expanded our support by integrating them into the Shorouq program to ease their transition into the job market. This initiative, which primarily targets women returning to work after a voluntary career break, now also helps these students develop the skills and confidence they need to enter the workforce. In addition, they were enrolled in the bank's Rise Academy financial literacy training, further reflecting our deep commitment to empowering orphaned youth and preparing them for a more stable and promising future.

Supporting arts and culture



In 2024, we strengthened our commitment to arts and culture by supporting various musical and artistic initiatives. Among our most notable initiatives was sponsoring a concert by the Banat Al Quds band, with the proceeds dedicated to supporting the reconstruction of the National Institute of Music in Gaza. We also renewed our sponsorship of the Stardust theatrical arts academy to support its latest musical productions, "The Last Olive Tree" and "The Lion King." This is an important platform that allows emerging artists to develop their skills, gain theatrical experience, and pursue their passion for music, dance, and theatre.

Additionally, we supported the 20th anniversary concert of the Palestine Youth Orchestra, titled "Gaza: Sacrifice and Heroism." We also contributed to the play "Camera" by Jordanian director Majd Al-Qasas, which depicted the ongoing Nakba of the Palestinian people over decades, in support of the steadfastness of our people in Gaza.

We also expanded our cultural impact by supporting the Al Hanouneh Society for Popular Culture, which seeks to revive traditional artistic and folk-dance performances. We also supported the "Palestine Cinema Days" project organised by Filmlab Palestine, which aims to create a place for Palestinian professionals in the global film industry. Furthermore, we supported the 12th edition of the "Amman Image Festival," titled "Presence," which featured 26 exhibitions in 11 locations in Amman, with a unique collection of photographic works from around the world, and included a dedicated space for photographers from Gaza to display their work.

In a strategic partnership with the Young Minds Development Company for Cultural and Entertainment Events, we hosted the "Colours Festival for Children," which provided musical performances, theatre, and visual arts for children affected by the war in Gaza. Between 240 and 300 children participated in the festival, which gave them a creative space amid the difficult circumstances they are living in. This festival was held in partnership with the Edward Said National Conservatory of Music in Gaza.

Volunteering: The essence of our community commitment

To instill a culture of volunteering as a fundamental part of our commitment to making a positive impact on the community, we at Bank al Etihad believe in the importance of building a deep relationship between our employees and our communities. This enhances a sense of social responsibility and supports community initiatives. In 2024, 365 of our team members dedicated 1,344 volunteer hours, which contributed to a direct impact on the lives of 7,397 people through 39 different volunteering activities organised in several governorates across Jordan. This reflects our ongoing commitment to serving our community.

Bank al Etihad foundation for culture and arts

To strengthen our strong commitment to developing arts and culture in Jordan and the region, we established the Bank al Etihad Foundation to support the performing arts locally and regionally, with a special focus on music, drama, and dance. At the heart of this foundation is the Amman Institute of Performing Arts (AIPA), which aims to provide professional education and training in the performing arts and encourage Jordanian and Arab youth to pursue these arts as a profession. The Amman Chamber Orchestra (ACO) also enriches the artistic scene through its regular musical performances, which vary between Western and Eastern classical music.

Last year saw a remarkable expansion in the foundation's programs, as it launched the Sarab Contemporary Dance Troupe, which gave its debut performance in June to an audience of 288, and then participated again in the Amman Contemporary Dance Festival in November. The Amman Chamber Orchestra gave 9 concerts during 2024, with 2,503 attendees.

In addition to the existing music school, AIPA launched a drama school and a dance school in September, after hiring experts and developing special curricula for these fields. The total teaching hours for 2024 were:

- Music School: 2,574 hours
- Drama School: 144 hours
- Dance School: 90 hours

The institute also organised 16 workshops and public lectures, which contributed to the spread of the performing arts and the promotion of cultural awareness among various community segments. To empower the next generation of artists, the institute provided scholarships to 14 music students, 8 of whom perform with the Amman Chamber Orchestra, along with two scholarships in drama.

Donations and grants paid by the bank during 2024

The following is a detailed breakdown of the bank's donations and grants during 2024:

Pillar	Amount (JOD)
Access to Knowledge	196,994
Financial Inclusion and Economic Empowerment	60,589
Social Well-being	592,786
Environment	239,094
Arts and Culture	100,680
Other	784,899
Total (JOD)	1,975,042

Donations valued at JOD 50,000 and above	
Organisation Name	**Amount (JOD)**
Queen Rania Foundation	80,000
King Hussein Cancer Center	150,000
Waqf Thareed	62,000
Birzeit University Board of Trustees	70,000
The Royal Hashemite Court	531,750
Association of Banks in Jordan	62,132
Total (JOD)	955,882

Significant events experienced by the bank

While 2024 did not feature any major events, it was a year of investment and preparation for new ventures. We focused on strengthening our digital infrastructure, improving internal operations, and building strategic partnerships to enhance our market position. The year served as a crucial foundation for the next phase of our journey, enabling us to move forward with greater confidence toward achieving our long-term goals.

Our awards

Best SME Banking/SME Platform

from **Global Finance magazine**

Best Information Security and Fraud Management

from **Global Finance magazine**

Best in Transformation

from **Global Finance magazine**

Non-Financial Services Champion

from **the Financial Alliance for Women**

Best CSR Bank Jordan

from **International Business Magazine**

Best Bank for Corporate Responsibility

from **Euromoney**

Most Innovative Digital Bank Jordan

from **International Business Magazine**



Financial analysis and operating results for 2024

First: Financial position for 2024

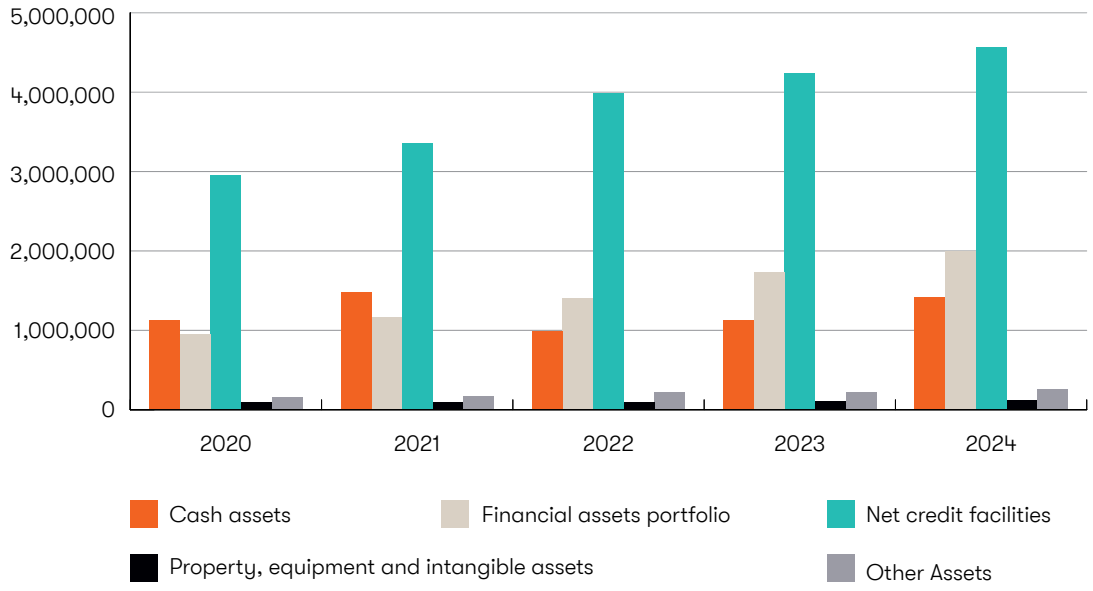
Total assets

The bank maintained positive growth rates in most of its assets, leading to a 12.5% increase in total assets at the end of 2024 compared to the end of 2023. The increase amounted to JOD 931 million, reaching a total of JOD 8,351 billion. Over the past five years, the compound annual growth rate for total assets was 9.6%, with a rate of return of 0.7%.

The table and graph below show the development of the main asset items during the years (2020–2024):

Description	2020	2021	2022	2023	2024	Growth Rate 2024-2023
Cash Assets	1,122,593	1,484,678	983,163	1,122,232	1,418,196	26.4%
Financial Assets Portfolio	950,878	1,161,552	1,405,491	1,726,702	1,994,229	15.5%
Net Credit Facilities	2,951,628	3,351,124	3,991,119	4,244,911	4,562,816	7.5%
Property, Equipment, and Intangible Assets	95,829	93,877	95,410	104,744	116,889	11.6%
Other Assets	152,777	171,290	215,708	221,430	258,877	16.9%
Total Assets	**5,273,705**	**6.262,521**	**6,690,891**	**7,420,019**	**8,351,007**	**12.5%**

(Rounded to JOD 1,000)

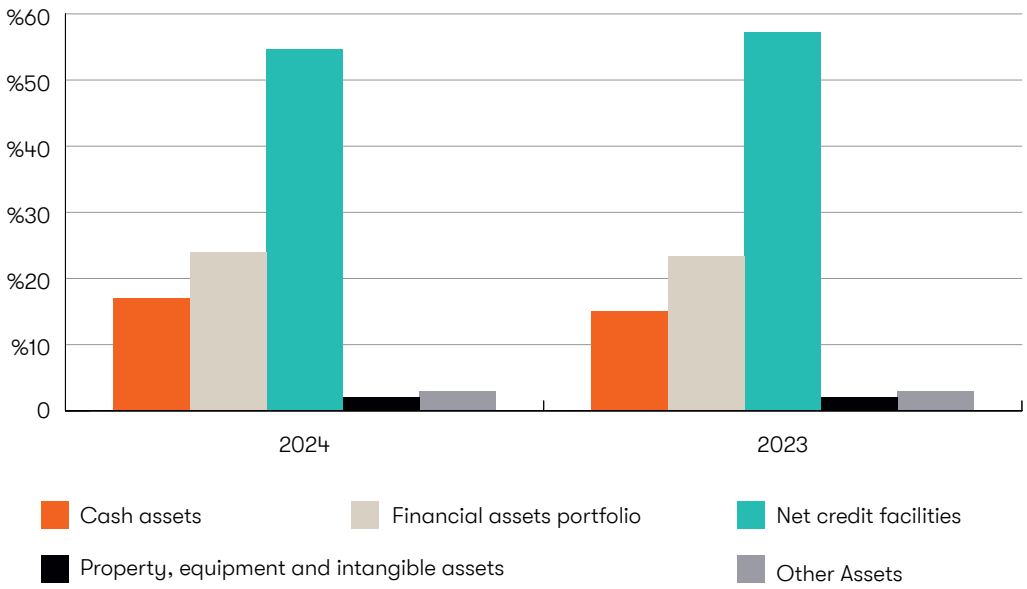


(Rounded to JOD 1,000)

Upon analyzing the role of these items in generating the returns that the bank earns from investing its funds, and considering the policies, procedures, and risks associated with each item, these indicate the bank's ability to optimally manage its assets and utilize its funding sources to maximize income.

Regarding the relative importance of the bank's asset items for 2024, net direct credit facilities continued to hold the leading position, comprising 54.6% of total assets, compared to 57.2% in 2023. This was followed by the financial assets portfolio, which constituted 23.9%, compared to 23.3%, while cash assets constituted 17.0%, compared to 15.1% at the end of the previous year.

The Relative Importance of the Bank's Total Assets

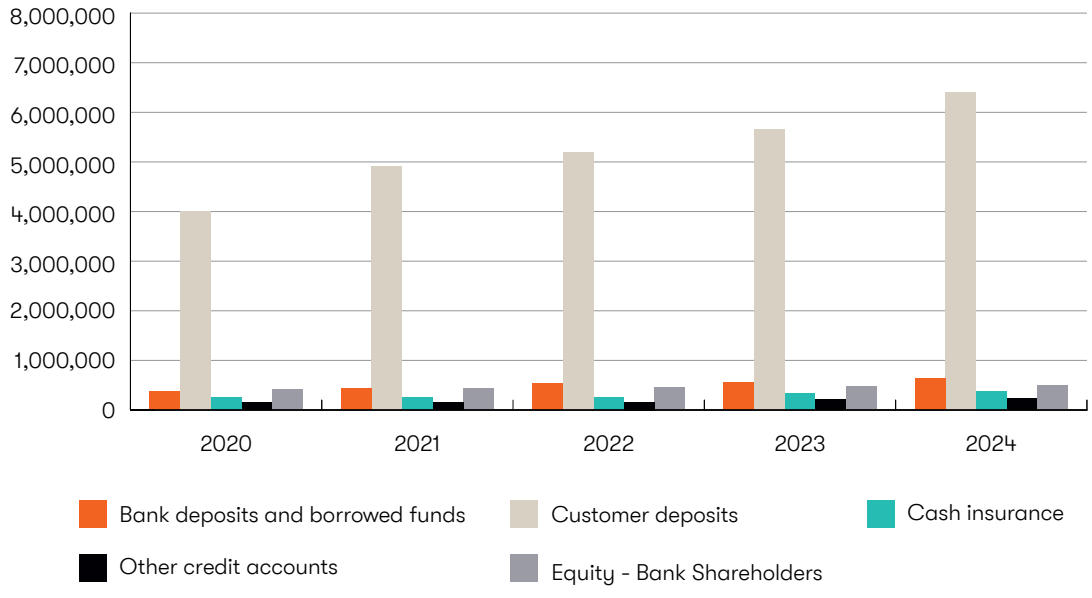


Liabilities and equity

The table and graph below show the growth in the main Liability and Equity items during the years (2020–2024):

Statement	2020	2021	2022	2023	2024	Change Percentage 2024-2023
Bank deposits and borrowed funds	370,840	425,349	525,673	561,952	638,268	13.6%
Customer deposits	4,003,011	4,910,374	5,186,344	5,651,353	6,406,678	13.4%
Cash margins	251,303	244,828	257,368	329,660	374,956	13.7%
Other payable accounts	142,148	152,502	161,469	213,453	238,295	11.6%
Shareholders' Equity	407,956	428,012	453,047	478,812	495,785	3.5%

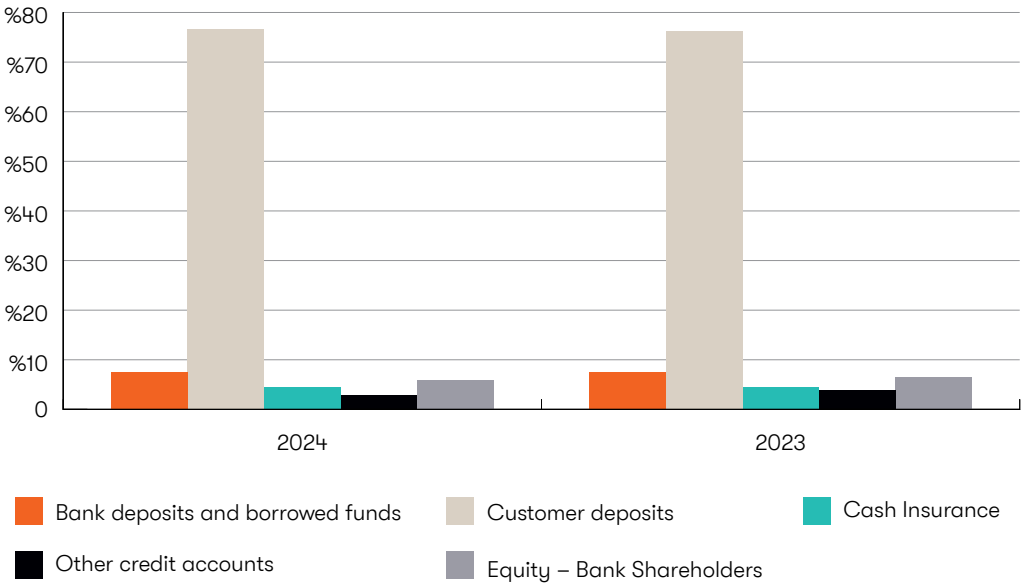
(Rounded to JOD 1,000)



(Rounded to JOD 1,000)

Considering the relative importance of the bank's liabilities and equity, as illustrated in the chart below, customer deposits accounted for 76.7%, compared to 76.2% at the end of 2023. The bank's shareholders' equity represented 5.9%, down from 6.5% in the previous year, followed by deposits from banks and borrowed funds, which constituted 7.6%, remaining unchanged from last year. Meanwhile, cash margins and other credit accounts accounted for 4.5% and 2.9%, respectively, compared to 4.4% and 2.9% in the previous year.

The Relative Importance of Total Liabilities and Equity



Financial assets portfolio:

- **Bonds:** The balance of bonds at the end of 2024 increased by JOD 268 million, or 16.3%, compared to the end of 2023, reaching JOD 1,905 billion. This increase was the result of a JOD 214 million rise in Jordanian Dinar bonds, representing a 19.0% increase, in addition to a JOD 53 million increase in foreign currency bonds, which constituted a growth rate of 10.5%.
- **Domestic and Foreign Equity Portfolio:** During 2024, the bank invested in the shares of domestic and foreign companies that have a strong financial position and acceptable investment risk. As a result, the balance of the domestic and foreign equity portfolio reached JOD 89 million at the end of the year.

Total direct credit facilities

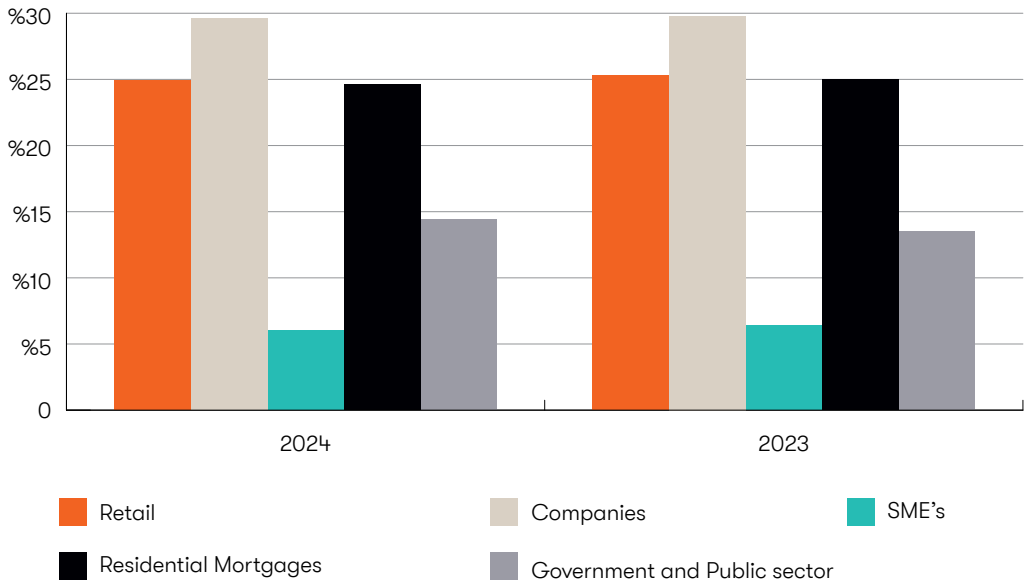
The bank's financial statements for 2024 showed a growth in total direct credit facilities of 8.8% over 2023, reaching JOD 4,848 billion. This indicates the bank's policy of aiming to maximize the return on assets. This increase was the result of a 9.3% growth in Jordanian Dinar facilities and a 4.7% increase in foreign currency facilities.

Looking at the compound annual growth rate for total direct credit facilities over the past five years (2020-2024), the growth recorded was 9.4%.

An analysis of the structure of total direct credit facilities by the borrowing party showed that the relative importance of the individual sector was 24.9% of total direct credit facilities, compared to 25.3% at the end of last year. The small and medium-sized enterprises sector recorded a percentage of 6.0%, compared to 6.4% at the end of 2023. Additionally, the percentage of facilities granted to the corporate sector was 29.6% of total facilities, compared to 29.8% at the end of last year.

Regarding the real estate sector, its share at the end of 2024 was 24.6% of total direct credit facilities, compared to 25.0% at the end of the previous year. Facilities granted to the government and public sector also accounted for 14.4%, compared to 13.5% at the end of 2023.

The Relative Importance of Total Direct Credit Facilities According to the Borrower



Provisions for impairment of facilities

The bank continued its highly conservative provisioning policy by taking provisions for any facilities that might be substandard, with the aim of strengthening the bank's financial position and in line with the instructions of the Central Bank of Jordan and the requirements of the International Accounting Standard IFRS 9. The balance of the provision for the impairment of direct credit facilities reached 261.7 million Jordanian Dinars, compared to 194.1 million Jordanian Dinars at the end of 2023. It is worth noting that the coverage ratio of the provision for the impairment of direct credit facilities for total facilities in Stage 3 reached 69.5%, compared to 69.3% in 2023. Furthermore, the ratio of facilities in Stage 3 (net of suspended interest) to total direct credit facilities (net of suspended interest) was 5.28%, compared to 4.1% in 2023.

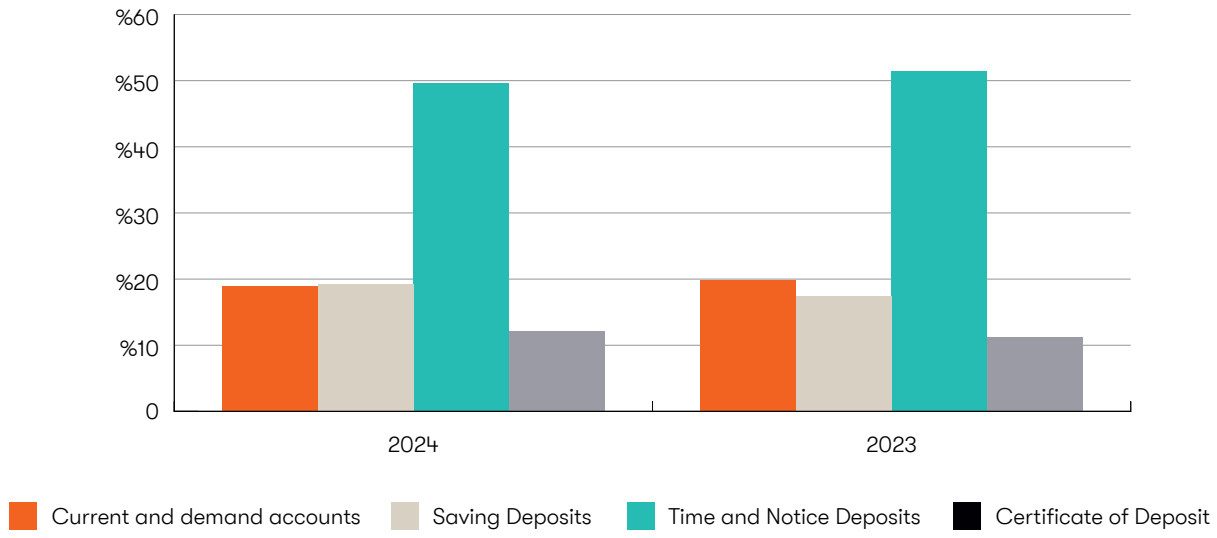
Customer deposits

The compound annual growth rate for total customer deposits over the past five years was 9.9%, despite the prevailing regional conditions during those years. The bank's unique and competitive programs successfully attracted customers from various target segments, achieving positive growth of 13.4% compared to the end of 2023, with an increase of 755 million Jordanian Dinars. This brought the total balance of customer deposits to 6,407 billion Jordanian Dinars. Consequently, the bank's market share of total customer deposits within the kingdom's banking sector reached 13.74%, up from 12.95% at the end of 2023.

An analysis of total customer deposits by the depositing sector shows that deposits from the individual sector increased by 10.7%. Deposits from small and medium-sized enterprises grew by 15.0%, while deposits from the large corporate sector saw an increase of approximately 30.2%. Deposits from the government and public sector recorded a growth rate of 1.5%.

An analysis of the structure of customer deposits by deposit type showed that "time and notice deposits" made up 49.6% of total deposits, compared to 51.4% at the end of 2023. "Current and demand accounts" constituted 18.9%, compared to 19.8% at the end of the previous year. Savings deposits also accounted for 19.3%, compared to 17.5% in 2023. As for certificates of deposit, their share of total deposits was 12.2%, compared to 11.3% in 2023, as illustrated in the chart below:

The Relative Importance of Total Customer Deposits According to Deposit Type



Shareholder's equity

The bank's net shareholders' equity increased by 16,9 million Jordanian Dinars, a growth rate of 3.5%, to reach 496 million Jordanian Dinars at the end of 2024.

The compound annual growth rate for the past five years was 4.0%. It should also be noted that the return on equity (ROE) reached 8.7%, which reflects the outstanding performance achieved in 2024.

Level of financial solvency and capital adequacy

The capital adequacy ratio was 14.62%, compared to 14.99% at the end of 2023. This is higher than the minimum requirement of 8% mandated by Basel III and also exceeds the 12.5% minimum required by the Central Bank. We also note that the core capital to risk-weighted assets ratio reached 12.64%, compared to 13.01% in 2023. This reflects the bank's ability to face potential banking risks, as well as its capacity for expansion and growth within capital adequacy limits.

The bank's competitive position and market share

According to the statistical bulletin issued by the Central Bank of Jordan for 2024, which shows the growth rates achieved by the Jordanian banking sector and compares them with the growth rates achieved by Bank al Etihad, we can see that the growth rate of total direct credit facilities for the banking sector was 4.29%, compared to 1.28% in 2023. At the same time, the growth rate for total customer deposits reached 6.76%, compared to 3.89% at the end of the previous year.

As for Bank al Etihad, its growth rates were a result of its activities in the domestic markets, which include the government and public sector, individual sector, large corporate sector, and small and medium-sized enterprises sector. Accordingly, the bank recorded a growth rate of 9.54% for total direct credit facilities, compared to 6.25% in 2023, and achieved a total customer deposits growth rate of 13.31%, compared to 8.93% at the end of the previous year.

	Growth Rate				Market Share	
	Banking Sector		Bank al Etihad			
	2024	2023	2024	2023	2024	2023
Direct Credit Facilities	4.29%	2.44%	9.54%	6.25%	14.60%	13.74%
Customer Deposits:	6.76%	3.89%	13.31%	8.93%	13.74%	12.95%
Current and Demand	2.24%	(5.83%)	8.32%	3.12%	10.88%	10.27%
Savings	3.31%	(5.93%)	25.23%	(1.04%)	19.29%	15.92%
Term Deposits	9.09%	10.77%	9.24%	8.36%	11.46%	11.44%
Cash Insurance	7.26%	6.36%	14.00%	28.09%	15.17%	14.27%

It is not possible to determine the bank's competitive position in more detail than what is stated above.

Regarding the bank's presence in foreign markets, its branch in the Republic of Iraq began operations at the end of 2024. Therefore, the bank's competitive position and market share in the Iraqi market against its comparable banking sector cannot be determined.

Financial solvency indicators

Statement	2020	2021	2022	2023	2024
Average Return on Total Assets	0.6%	0.7%	0.7%	0.8%	0.7%
Return on Equity Rate	5.9%	7.8%	7.8%	10.1%	8.7%
Capital Adequacy	14.48%	14.49%	13.80%	14.99%	14.62%
Facilities within the Stage III/Total Facilities	3.83%	3.73%	3.66%	4.47%	5.75%
Debt within Coverage Ratio - Coverage of Impairment of Total Facilities Stage III	75.1%	77.4%	76.3%	69.3%	69.5%
Total Statutory Liquidity	122.77%	144.49%	119.88%	127.04%	135.72%

Second: The bank's operating results

Interest and commissions received

The bank's revenues from interest, returns, and received commissions showed an increase over the past five years, rising from JOD 277 million in 2020 to JOD 534 million at the end of 2024, with an average annual growth rate of 14.0%. We also note an increase of 14.7% compared to 2024.

Looking at the breakdown of received interest and returns, interest from direct credit facilities constituted 72.8% of the total interest at the end of 2024. The received interest and returns from individual facilities achieved a growth rate of 9.9% compared to the end of 2023, while the growth rate for small and medium-sized enterprises was 13.0%. The growth rate for real estate loan facilities was 14.6%, in addition to a 10.1% growth rate achieved for government and public sector facilities. As for the received interest and returns from corporate facilities, they saw a slight decrease of 2.6%.

Regarding received commissions, they increased by 22.6% compared to 2023, reaching JOD 43.3 million.

Interest, expenses and commissions paid

This item recorded a 16.2% increase compared to last year, with an average annual growth rate of 19.8% over the past five years. The paid interest, expenses, and commissions rose from JOD 103,8 million in 2020 to JOD 256,2 million at the end of 2024.

The interest paid on customer deposits constituted the largest portion at 84.7% of the total paid interest and commissions. The remaining percentage came from bank deposits, cash collateral, borrowed funds, and deposit guarantee fees.

Operational expenses

Operating expenses (administrative and general expenses, depreciation and amortization) increased at an annual growth rate of 8.9% between 2020 and 2024, from JOD 97 million to JOD 148,4 million. Looking at the details of this item, we find that employee costs rose over the last five years from JOD 44,2 million to JOD 66,9 million. Other administrative and general expenses also increased, reaching JOD 66,3 million at the end of the year, compared to JOD 38,7 million at the end of 2020. Additionally, depreciation and amortization expenses increased during the same period from JOD 14,2 million to JOD 15,2 million.

It is worth noting that the increase in operating expenses resulted from the bank's expansion of its branch network, which is spread across most parts of the Kingdom, reaching 57 branches in 2024, up from 52 branches in 2020. This was in addition to the modern and distinctive updates to the existing branches. The bank also strengthened its staff with competent expertise, trained and developed the skills of its employees, and invested in its distinguished technological systems and in launching multiple advertising campaigns for the new services and products offered by the bank.

Net income

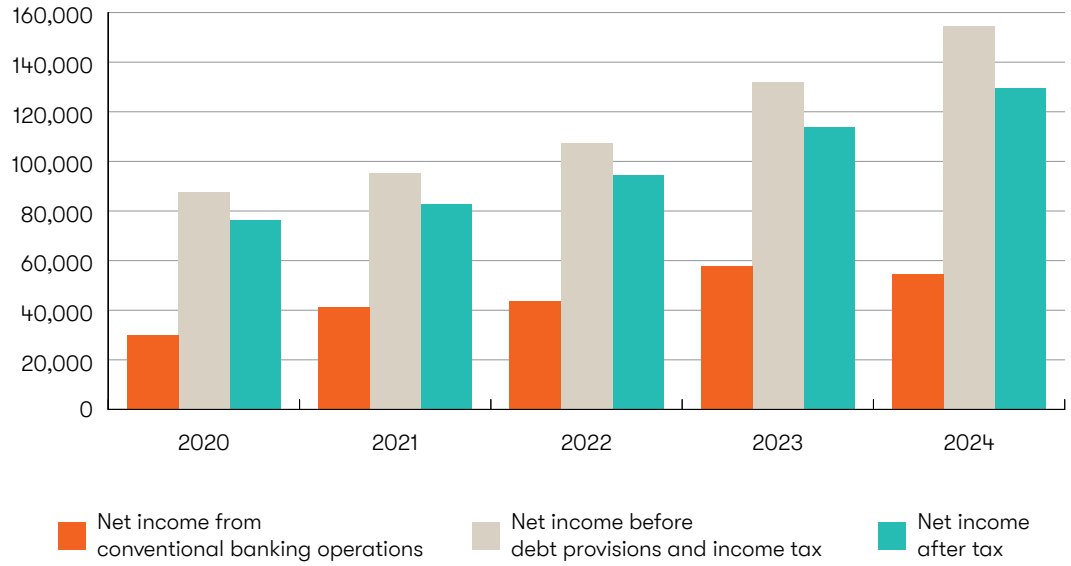
Net income from traditional banking operations achieved a growth of 14.1%, reaching JOD 129,7 million by the end of 2024. The average annual growth rate for this item over the past five years was approximately 11.2%.

Similarly, net income before provisions and income tax increased to JOD 154,5 million by year-end, with a growth rate of 17.1%. Consequently, the realized net income after tax amounted to JOD 54,5 million as of the end of 2024.

The following table shows the development in income and expenses during the last five years (2020-2024).

Statement	2020	2021	2022	2023	2024
Interest and Commission Received	277,050	288,776	351,615	465,706	534,253
Paid Interest and Commission	103,803	105,570	137,197	220,460	256,159
Net Interest and Commissions	**173,247**	**183,206**	**214,418**	**245,247**	**278,094**
Expenses, Depreciation, and Amortisation	96,987	100,297	119,750	131,597	148,396
Net Income from Conventional Banking Operations	**76,260**	**82,909**	**94,668**	**113,650**	**129,699**
Income from foreign currencies and gold trading	6,750	6,840	11,440	13,777	17,648
Income from Investments	3,063	3,370	(840)	3,076	3,380
Other Revenues	1,462	2,160	2,007	1,405	3,730
Net income before provisions and income tax	**87,535**	**95,279**	**107,275**	**131,907**	**154,456**
Provisions	40,628	30,096	35,540	41,510	68,682
Income Tax	16,863	23,758	27,934	32,660	31,300
Net Income after Tax	**30,044**	**41,425**	**43,800**	**57,737**	**54.474**

(Rounded to JOD 1,000)



(Rounded to JOD 1,000)

Governance report for shareholding companies

Stemming from Bank al Etihad's belief in the importance of corporate governance to reinforce the principles of safety and soundness within the banking sector, and to strengthen the confidence of depositors and investors in the bank, and due to the positive impact this has on the bank's well-being and on providing a sound foundation to support our strategic growth plans, the Board of Directors decided to adopt the Corporate Governance Manual. This manual will represent the principles that will be relied upon in managing our institution and in managing relationships among all parties involved with the bank, including shareholders, depositors, the Board of Directors, Executive Management, employees, and the various regulatory authorities.

This report was prepared in alignment with the requirements of the 2017 Instructions for the Governance of Listed Public Shareholding Companies, issued by the Securities Commission, which require the preparation of a governance report to be included in the bank's annual report and for the disclosure of the bank's commitment to implementing the provisions of these instructions.

First: Information and details related to the implementation of the corporate governance regulations for listed shareholding companies

The bank is committed to implementing all provisions outlined in the Corporate Governance Regulations for listed shareholding companies.

Second: Information related to the Board of Directors, and board committees.

Profile of members of the Board of Directors

1. Basem Isam Halim Salfiti

Chairman of the Board since 25/04/2024 (Non-Executive Director – Non-Independent)

Chairperson of the IT Governance Committee, Chairperson of the Credit Facilities Committee, and Member of the Corporate Governance Committee

Year of Birth:	1972
Education:	• Bachelor's Degree in Electrical Engineering, Brown University, USA, 1993. • Master's Degree in Finance and Corporate Strategic Planning, Columbia University, USA, 2000.
Work Experience:	• Partner and Co-Director, Hummingbird Ventures London, UK (2012-2016). • Managing Director, Perella Weinberg Partners, London, UK (2007-2012). • Executive Director of the Technology Investment Banking Unit, Morgan Stanley and Co., London, UK (2000-2006). • CEO of Operations, Best Laboratories Inc., Sunnyvale, California (1994-1998).
Board Memberships:	• Vice-Chairman, Bank al Etihad (2020-2024). • Chairman of the Board of Trustees, of Al-Hussein Technical University (HTU) (2019 to date). • Board Member, Petra National Trust (PNT) (2019 to date). • Board Member, Innovative Startups and SMEs Fund (ISSF) (2020 to date). • Board Member, Delta Insurance Company, (PSC) (2017 to date) • Representative of the Etihad Islamic Investment Company on the Board of Directors of Safwa Islamic Bank, (PSC) (2017 to date). • Board Member, Arab Center for Engineering Studies ACES (2022 to date). • Board Member, Etihad Leasing Company from 2023 to date.

2. Jabra "Raja Yaqoub" Jabra Ghandour
Vice-Chairman of the Board (Non-Executive Director – Independent)

Chairperson of the Risk Committee, Member of the Audit Committee and the Nomination and Remuneration Committee

Year of Birth: 1962

Education:
- Master's degree in Architecture, University of Texas, USA, 1985.
- Bachelor's degree in Civil Engineering, University of Arlington, USA, 1983.

Work Experience:
- Managing Global Wealth and Investments, Boubyan Bank Kuwait, (2022-2024).
- CEO, Boubyan Capital Investment Company, Kuwait, (July 2018-2022).
- CEO and Board Member, Bank of London and the Middle East, (2015-2016).
- CEO and Board Member, Qatar International Bank, (2012-2015).
- General Manager, National Bank of Kuwait (Jordan) (2012-2013).
- Board Member, BLME Capital, Saudi Arabia (2023-2024).
- Board Member, Markazia (2018-2023).

3. Social Security Corporation - a Jordanian government institution
(Non-Executive Director – Non-Independent)

Represented by:

Shaden Ziyad Nabih Darwish Alhaji

Member of the Audit Committee and Risk Committee

Year of Birth: 19/09/1984

Education:
- Bachelor's degree in Financial and Banking Sciences, University of Jordan, 1999-2003.
- CFA certification, CFA Institute Charlottesville, Virginia, USA 2010.

Work Experience:
- Head of Private Equity Portfolio Management Department, Social Security Investment Fund (SSIF) (2019 to date).
- Head of Public Equities Portfolio Management Department, Equities Investment Division, SSIF (2010-2019).
- Senior Financial Analyst in the Equities Investment Division, SSIF (2007-2010).
- Financial Analyst in the Equities Investment Division, SSIF (2003-2007).

Board Memberships:
- Representative Board Member of the Social Security Corporation at Capital Bank (2019-2023)
- Representative Board Member of the Social Security Corporation at Jordan Commercial Bank (2016-2019).

4. Imad Mohammad Ali Abdel-Khaleq (Non-Executive Director – Non-Independent)

Chairperson of the Governance Committee, Member of the Credit Facilities Committee and Risk Committee

Year of Birth: 1963

Education: Bachelor's degree in Mathematics, University of Wisconsin, USA, 1987.

Work Experience:

- CEO, Arab War Risks Insurance Syndicate (AWRIS) (01/06/2022 to date).
- General Manager, Jordan Insurance Company (2005-2022).
- Vice President, Jordanian Insurance Federation, (2009-2010).
- Held several positions at a company in Munich, Germany, most recently as Senior Regional Manager (1990 -2005.

Board Memberships:

- Board Member, Asia Insurance Company, Kurdistan, Iraq (2011-2022).
- Board Member, Al-Watania Insurance Company, Yemen (2005-2022).
- Vice-Chairman of the Executive Committee, AWRIS, Bahrain (2017-01/06/2022).
- Member, Middle East and North Africa's Insurance CEOs Club (2007-2012).
- Board Member, Jordanian Insurance Federation (09/04/2009-21/04/2011).
- Member, Royal Committee for the Economic Modernization Vision for 2022, Healthcare Sector, Royal Hashemite Court, Jordan.

5. Mughith Ghiath Munir Sukhtian (Non-Executive Director – Non-Independent)

Member of the Credit Facilities Committee and IT Governance Committee

Year of Birth: 1973

Education:

- Bachelor's and Master's degrees in Industrial Systems Engineering, Rensselaer Polytechnic Institute – Troy, NY, USA (1994).
- Master's degree in Business Administration, Columbia University, New York (2001).

Work Experience:

- Managing Director, GMS Specialized services (2013 to date).
- Deputy Assistant Director, Mergers and Acquisitions of Financial Institutions Group, JP Morgan, USA (2000-2003).

Board Memberships:

- Board Member, Ghiath Munir Sukhtian Holding Group (GMS Holdings) (2008 to date).
- Board Member, Palestine Telecommunications Company (2022 to date).
- Board Member, Munir Sukhtian International Group (MSI) (2016 to date).
- Board Member, VTEL Holdings and its subsidiaries (2006 to date).
- Member of the Board of Trustees, Columbia University Middle East Research Center (2018 to date).
- Member of the Board of Trustees, Jordan Media Institute (2022 to date).

6. The Libyan Foreign Investment Company (Non-Executive Director – Non-Independent)

Date of establishment: The Libyan Foreign Investment Company was established under Law No. 6 of 1981 as a wholly owned Libyan joint-stock company owned entirely by the Libyan state, with legal personality and independent financial liability, until it was subordinated to the Libyan Investment Corporation by virtue of Decision No. 205 of 2006 and Law No. 13 of 2010.

Company capital: 5 billion Libyan dinars.

Company's nature of activity: The establishment or participation in the establishment and full or partial ownership of companies and investment projects in various economic activities. Lending or borrowing money.

Representatives:

Moussa Alhassan Atiq Ali, first seat (Non-Executive Director – Non-Independent)

Member of the Credit Facilities Committee and Compliance Committee

Year of Birth:	29/11/1986
Education:	• Master's degree in Law, Bournemouth University, UK (2011-2012). • Bachelor's degree in Law, University of Sabha, Libya (2005-2009).
Work Experience:	• General Manager, Libyan Company for Foreign Investments, to date. • General Manager, Libya Africa Investment Portfolio (until 2021). • Legal Advisor, Libyan Investment Authority (until 2019). • Lecturer at the Faculty of Law, Sebha University (2014-2017)
Board Memberships:	• Board Member, International Hotel Investment Company, to date. • Board Member, Sahel and Sahara Bank, to date. • Chairman, Financial Brokerage Company, to date. • Vice Chairman, Arab Petroleum Investments Company, to date.

Ali Mahmoud Hassan Mohamed, Second Seat (Non-Executive Director – Non-Independent)

Member of the Audit Committee and Compliance Committee

Year of Birth:	06/10/1973
Education:	• PhD in Financial Management, Arab Academy for Financial Sciences, Jordan (2009). • Master's degree in Financial Planning, Planning Institute for Graduate Studies, Tripoli (2002). • Bachelor's degree in Business Administration, University of Tripoli, Libya (1998).
Work Experience and Board Memberships:	• General Manager, Libyan Financial Leasing Company (2013-2018). • Chairman and CEO, Libyan Investment Authority (2017 to date). • Board Member, Arab Mining Company (2022 to date). • Chairman, LIA advisory, Malta (2017 to date). • Board Member, Saya Corp, Bahrain (2017 to date). • Board Member, Libyan Post, Telecommunications and Information Technology Holding Company (until 2019). • Board Member, LIA (until 2016). • Former Member of the Libyan Stock Market (until 2018).

7. Nadia Ahmad Abdel Mohsen Al Anani (Non-Executive Director – Independent)

Chairperson of the Compliance Committee, Member of the Audit Committee, Member of the Risk Committee, and Member of the Corporate Governance Committee

Year of Birth: 23/08/1966

Education:

- PhD in Law, Durham University, UK (2009).
- Master's degree in Commercial Law, University of Bristol, UK (1990).
- Bachelor's degree in Law, University of Jordan (1988).

Work Experience:

- Legal Advisor, Central Bank (until 2005).
- Trainer in law, Marwan Al-Hasan and Sons Law Firm (until 2006).
- Founder, Al Anani Law Office (2010).
- Assistant Professor, Princess Nourah bint Abdulrahman University (PNU) and Prince Sultan University (PSU) (until 2012).
- Lawyer, Hani Qurashi / Kilpatrick Townsend (until 2013).
- Lawyer, Al-Anazi / Squire Sanders, Saudi Arabia (2016).
- Legal Advisor, McKinsey and Co. (until 2018).
- Legal Advisor, Public Investment Fund / Projects and SEC (until 2020).
- Founder and Director, Al Anani Law Firm, to date.

8. Lana Yousef Ibrahim Ghanem (Non-Executive Director – Independent)

Chairperson of the Nomination and Remuneration Committee, Member of the Corporate Governance Committee, and Member of the IT Governance Committee

Year of Birth: 19/09/1985

Education:

- Bachelor's degree in Commerce, McGill University, Canada (2006).
- Master's degree in Business Administration, Harvard University, USA (2012).

Work Experience:

- Executive General Manager, Hikma Ventures, to date.
- Vice President, Investments and Digital Partnerships, to date.
- Assistant to the CEO and Director of Corporate Strategy and Development, Hikma Pharmaceuticals (2012-2020).
- Financial Analyst, Mergers and Acquisitions Department, Dresdner Kleinwort Investment Bank, London, UK (2007-2010).

Board Memberships:

- Board Member, Siniora Food Industries Company (2018 to date).
- Board Member, Arab Palestinian Investment Company (2022 to date).
- Member of the Investment Committee, AB Ventures, Arab Bank (2018-2023).

9. Waddah Isam Hasan Al Barkawi (Non-Executive Director – Independent)

Chairman of the Audit Committee, Member of the Corporate Governance Committee, and Member of the Risk Committee

Year of Birth: 1963

Education:
- Bachelor's degree in Business Administration, Texas State University, USA (1986).
- Certified Public Accountant (CPA), USA (1990).
- Harvard Institutional Learning Program - Board Journey (2022).
- Certified Accountant, Jordanian Association of Certified Public Accountants (1994).

Work Experience:
- Managing Partner, Ernst & Young (2002-2023).
- Partner, Arthur Andersen - Jordan (1987-2023).

Board Memberships:
- Chairman, Government Investments Management Company (GIMC) (2023 to date).
- Vice Chairman, Jordan Media Institute (2017 to date).
- Member of the Health Care Accreditation Council (2019 to date).
- Member of the Board of Trustees, Birzeit University (2014 to date).
- Board Member, Royal Society for the Conservation of Nature (2018-2023).
- Board Director, King Abdullah II Fund for Development (2014-2018).
- Member of the Royal Committee for Enhancing the National Integrity System (2014-2016).

10. Tarek Rajai Halim Salfiti since 25/04/2024 (Non-Executive Director – Non-Independent)

Member of the Credit Facilities Committee, Member of the Compliance Committee, Member of the Nomination and Remuneration Committee, and Member of the IT Governance Committee

Year of Birth: 27/07/1976

Education: Bachelor's degree in Business Administration, specializing in Finance and International Business, Georgetown University, Washington, D.C. (1994-1998).

Work Experience:
- Senior Executive Director, Business Development, Bank al Etihad (2013-2024).
- General Manager, Etihad Marketing Group (1998-2012).
- Employee, Bank al Etihad (1998).

Board Memberships:
- Chairman, Al-Tajamouat for Touristic Projects Company (TAJ Mall) (April 2024 to date).
- Chairman, Al-Tarabout Al-A'ileya for Investment Company (2022 to date).
- Chairman, Al-Walaa for Investment Company (2022 to date).
- Chairman, Luck Fir Drink Co (Exempt) Limited Liability (2020 to date).
- Chairman, The Four Seasons for Management Consultations (Private Shareholding Limited) (2023 to date).
- Chairman, Etihad Marketing Group LLC (2020 to date).
- Chairman, Al-Anwaa Al-Alamiah for Marketing LLC (2022 to date).
- Vice Chairman, Sustainable Vitality for Commercial Projects PSC (2023 to date).
- Chairman, Houriat Al-Muheet for Investment Company (2023 to date).

Names of board members who resigned during 2022

1. Isam Halim Jaris Salfiti
Chairman of the board from 1997 to 25/04/2024
(Non-Executive Director – Non-Independent)

Chairman of the Credit Facilities Committee and the Corporate Governance Committee until 25/04/2024

Year of Birth:	1944
Education:	Bachelor's Degree in Economics, American University – Beirut, Lebanon, 1967.
Work Experience:	• General Manager, Bank al Etihad (07/1989-07/2008) • Chairman of the Board of Managers, Etihad Financial Brokerage Company (2006-2022) • Deputy General Manager, Arab Financial Corporation (Jordan) (10/1986-6/1989)
Board Memberships:	• Chairman of Bank al Etihad (6/1997-25/04/2024) • Chairman, Jordanian Hotels and Tourism Co., PSC (1999 to date). • Member of the Board of Zara Investment Co., PSC (1994 to date). • Member of the Board of Trustees of the King Hussein Foundation (1999 to date). • Arab European Insurance Group (2024 to date). • Member of the Board of Trustees of the University of Jordan (2012-2016). • Member of the Board of Trustees of Jubilee School (2005-2010). • Member of the Board of Trustees of Amman Baccalaureate School (1992 - 2023).

Third: Board Committees:

- Audit Committee
- Corporate Governance Committee
- Risk Committee
- Compliance Committee
- Nominations and Rewards Committee
- Governance Committee of Information Management and Associated Technology
- Credit Facilities Committee

Number of Board Meetings and Board Committees during 2024

1. Board of Directors meetings: (7) Meetings

Member	Meeting Attendance Information						
	28/1	10/3	25/4	23/6	22/8	20/10	09/12
Isam Halim Jaris Salfiti until 25/04/2024	Attended	Attended	-	-	-	-	-
Basem Isam Halim Salfiti	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Jabra "Raja Yaqoub" Jabra Ghandour	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Mughith Ghiath Munir Sukhtian	Attended	Attended	Attended	Attended	Attended	Missed	Attended
Social Security Corporation Shaden Ziyad Nabih Darwish Alhaji	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Waddah Isam Hasan Al Barkawi	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Imad Mohammad Ali Abdel-Khaleq	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Libyan Foreign Investments Company Moussa Alhassan Atiq Ali	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Libyan Foreign Investments Company Ali Mahmoud Hassan Mohamed	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Nadia Ahmad Abdulmuhsin Al Anani	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Lana Yousef Ibrahim Ghanem	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Tarek Rajai Halim Salfiti	-	-	Attended	Attended	Attended	Attended	Attended

2. Audit Committee: (8) Meetings

Member	Meeting Attendance Information							
	14/2	22/4	30/6	28/7	29/9	24/10	24/11	15/12
Waddah Isam Hasan Al Barkawi	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Jabra "Raja Yaqoub" Jabra Ghandour	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Ali Mahmoud Hassan Mohamed	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Shaden Ziyad Nabih Darwish Alhaji	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Nadia Ahmad Abdulmuhsin Al Anani	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended

3. Corporate Governance Committee: (3) Meetings

Member	Meeting Attendance Information		
	23/06	05/09	17/12
Basem Salfiti	Attended	Attended	Attended
Lana Ghanem	Attended	Attended	Attended
Imad Abdel-Khaleq	Attended	Attended	Attended
Waddah Al Barkawi	Attended	Attended	Attended
Nadia Al Anani	Attended	Attended	Attended

4. Risk Management Committee: (9) Meetings

Member	Meeting Attendance Information								9/2024
	1/2024	2/2024	3/2024	4/2024	5/2024	6/2024	7/2024	8/2024	
Basem Isam Halim Salfiti until 25/04/2024	Attended	Attended	-	-	-	-	-	-	-
Jabra "Raja Yaqoub" Jabra Ghandour	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Nadia Al Anani	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Waddah Al Barkawi	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Shaden Alhaji from 25/04/2024	-	-	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Imad Mohammad Ali Abdel-Khaleq from 25/04/2024	-	-	Excused absence	Attended	Attended	Attended	Attended	Attended	Attended

5. Compliance Committee: (4) Meetings

Member	Meeting Attendance Information			
	11/02	23/04	22/07	21/10
Nadia Al Anani	Attended	Attended	Attended	Attended
Shaden Alhaji from 25/04/2024	Attended	Attended	-	-
Ali Hassan	Attended	Attended	Attended	Attended
Moussa Atiq from 25/04/2024	-	-	Attended	Attended
Tarek Salfiti from 25/04/2024	-	-	Attended	Attended

6. Nominations and Remuneration Committee: (5) meetings

Member	Meeting Attendance Information				
	23/1	10/3	19/9	29/9	9/12
Lana Yousef Ibrahim Ghanem	Attended	Attended	Attended	Attended	Attended
Jabra "Raja Yaqoub" Jabra Ghandour	Attended	Attended	Attended	Attended	Attended
Imad Mohammad Ali Abdel-Khaleq until 25/04/2024	Attended	Attended	-	-	-
Tarek Rajai Halim Salfiti from 25/04/2024	-	-	Attended	Attended	Attended

7. IT Governance Committee: (3) meetings

Member	Meeting Attendance Information		
	26/3/2024	24/7/2024	6/10/2024
Basem Isam Halim Salfiti	Attended	Attended	Attended
Tarek Rajai Halim Salfiti from 25/04/2024	-	Attended	Attended
Lana Yousef Ibrahim Ghanem	Attended	Attended	Attended
Mughith Ghiath Munir Sukhtian	Attended	Attended	Excused absence
Moussa Alhassan Atiq Ali to 25/04/2024	Attended	-	-

- Mr. Tarek Salfiti joined the IT Governance Committee on 25/04/2024, by virtue of Resolution 2024/23, replacing Mr. Moussa Atiq.
- Mr. Mughith was absent from the third meeting held on 16/10/2024 with a valid excuse.

8. Credit Facilities Committee: (37) meetings

Member		Mr. Isam Salfiti until 25/04/2024	Mr. Basem Salfiti	Mr. Mughith Sukhtian	Mr. Imad Abdel-Khaleq	Mr. Moussa Atiq	Mr. Tarek Salfiti from 25/04/2024
Meeting Attendance Information	04/01/2024	Attended	Attended	Attended	Attended	Attended	-
	18/01/2024	Attended	Missed	Attended	Attended	Attended	-
	25/01/2024	Attended	Attended	Attended	Attended	Attended	-
	08/02/2024	Attended	Attended	Attended	Attended	Missed	-
	22/02/2024	Attended	Attended	Attended	Attended	Attended	-
	29/02/2024	Attended	Attended	Attended	Attended	Attended	-
	07/03/2024	Attended	Attended	Attended	Attended	Attended	-
	14/03/2024	Attended	Attended	Attended	Attended	Attended	-
	21/03/2024	Attended	Attended	Attended	Attended	Attended	-
	28/03/2024	Attended	Attended	Attended	Attended	Attended	-
	18/04/2024	Missed	Attended	Attended	Attended	Attended	-
	01/05/2024	-	Attended	Attended	Attended	Attended	Attended
	09/05/2024	-	Attended	Attended	Attended	Attended	Attended
	23/05/2024	-	Attended	Attended	Attended	Attended	Attended
	30/05/2024	-	Attended	Missed	Attended	Attended	Attended
	06/06/2024	-	Attended	Attended	Attended	Attended	Attended
	13/06/2024	-	Attended	Attended	Attended	Missed	Attended
	27/06/2024	-	Attended	Attended	Attended	Attended	Attended
	11/07/2024	-	Attended	Attended	Attended	Attended	Attended
	18/07/2024	-	Attended	Missed	Attended	Attended	Attended
	01/08/2024	-	Missed	Attended	Attended	Attended	Attended
	18/08/2024	-	Attended	Attended	Attended	Attended	Attended
	01/09/2024	-	Attended	Attended	Attended	Attended	Attended
	04/09/2024	-	Attended	Attended	Attended	Attended	Attended
	05/09/2024	-	Attended	Attended	Attended	Attended	Attended
	15/09/2024	-	Attended	Attended	Attended	Attended	Attended
	26/09/2024	-	Missed	Attended	Attended	Attended	Attended
	03/10/2024	-	Attended	Attended	Attended	Attended	Attended
	17/10/2024	-	Attended	Missed	Attended	Attended	Attended
	24/10/2024	-	Attended	Missed	Attended	Attended	Attended
	31/10/2024	-	Attended	Attended	Attended	Attended	Attended
	07/11/2024	-	Attended	Attended	Attended	Attended	Attended
	14/11/2024	-	Attended	Attended	Attended	Attended	Attended
	28/11/2024	-	Attended	Attended	Attended	Attended	Attended
	05/12/2024	-	Attended	Missed	Attended	Attended	Attended
	12/12/2024	-	Attended	Missed	Attended	Attended	Attended
	22/12/2024	-	Attended	Attended	Attended	Attended	Attended

- The Audit Committee held 4 meetings with the external auditor during 2024.
- The Chief Compliance Officer serves as the bank's corporate governance officer.
- The committees carry out their assigned responsibilities in accordance with the Corporate Governance Manual.

Fourth: Information related to executive positions in the bank and the names of those holding those positions

Executive Position	Name
CEO	Nadia Helmi Hafez Al-Saeed
Chief of Corporate Banking	"Muhammad Ghasseb" Abdullah Abdel-Majeed Hatamleh
Chief of Credit and Credit Management	Tarik "Mohammad Said" Hasan Badawi
Chief of Central and Administrative Operations	Mohamad Mahmoud Ahmed Burjak
Chief of Financial Operations	Zeid Eyad Akram Kamal
Chief of HR and Customer Experience Development	Daniel Fawaz Odeh Al-Sharaiha
Chief of Audit	Bashar "Mohammed Khair" Awad Ababneh
Chief of Retail and SME Banking Services	Mahmoud Tayseer Ahmad Badwan
Digital Team Department	Mahmoud Tayseer Ahmad Badwan
Chief of the Treasury and Investment	Fadi "Ahmed Kamal" Marei Marei
Acting Director of Iraq Operations	Fadi "Ahmed Kamal" Marei Marei
Chief of IT	Feras Saleh Arabiat
Chief of Risk Management	Khaled Abdulmalek Mohamed Abdulmalek
Chief of Corporate Communication and Marketing	Natalie Mazen Yousef Alnaber
Chief of Compliance	Tamer Wasef "Mohamed Moussa" Barakat

Chairman
Basem Salfiti



Disclosures required by the Securities Commission and corporate governance instructions

Principal activities of the company

Providing all banking, credit, and financial services and products, as well as financing operations to individuals, small and medium enterprises, and large companies. In addition to opening incoming and outgoing letters of credit, as well as issuing local and international letters of guarantee to all customers.

The bank also accepts deposits of all kinds (on demand, savings, term, and certificates of deposit).

Bank locations and number of employees at each

In 2024, the bank operated (57) branches across the Kingdom, along with the central ATM unit, Boulevard ATM unit, bonded warehouses, and the following subsidiaries: Etihad Financial Leasing Company, Etihad Financial Brokerage Company, Etihad Islamic Investment Company, and Company, Etihad Financial Brokerage Company, Etihad Islamic Investment Company and Etihad Financial Technology Company (under liquidation as of 11/09/2024).

Detailed addresses of each are at the end of the report within (Network of branches, subsidiaries, and exchange offices operating in the Hashemite Kingdom of Jordan and the Republic of Iraq) on page (237):

Location Name	No. of Employees	Location Name	No. of Employees
Head Offices	714	Shmeisani	24
Jabal Amman	6	Dabouq	12
Gardens	17	Sweifieh	11
Mecca Street	14	Jubaiha	8
City Mall	19	Dahyet Al Yasmeen	7
Marj Al Hamam	9	Downtown	6
Wehdat	7	Marka	11
Taj Mall	14	Abdoun	16
Abdoun North	5	Um Uthaina	12
Jo Park	8	Jabal Al Hussain	6
Rainbow Street	4	Yarmouk University – Irbid	7
Bayader	7	Mecca Mall	16
Karak	8	Khalda	13
Sahab	7	Tabarbour	6
North Hashimi	5	Madaba	8
Zarqa	7	New Zarqa	7
Al Ramtha	6	Irbid	7
Al Hussun	7	Aqaba	7
Fuheis	5	Abdali Mall	12
Mafraq	7	New Amman Center – Irbid	14
Al Muqablain	9	Jerash	6
Daheit Al Rasheed	8	Ruseifeh	4
Abu Alanda	6	Sport City	8
Business Center	4	Salt	6
Shafa Badran	8	Dabouq 2	5
Sweifieh Village	6	Free Zone – Zarqa	8
Bab Al Madina - Zarqa	13	Vegetable Market	5
Ajloun	6	Weibdeh	6
Daheit Al Nakheel	7	Fountain Mall – Aqaba	7
Bonded Warehouses	5	**Direct Sales**	**48**
Central Exchange/Shmeisani	21	**Contact Center**	**110**
Etihad Financial Brokerage Company (subsidiary)	3	Boulevard ATM	2
Etihad Financial Tech Company (under liquidation)	-	Etihad Financial Leasing Company (subsidiary)	10
Etihad Islamic Investment Company (subsidiary)	-	**Total within the Hashemite Kingdom of Jordan**	**1,407**
Iraq	22	**Grand Total within and outside the Hashemite Kingdom of Jordan**	**1,429**

Capital investment

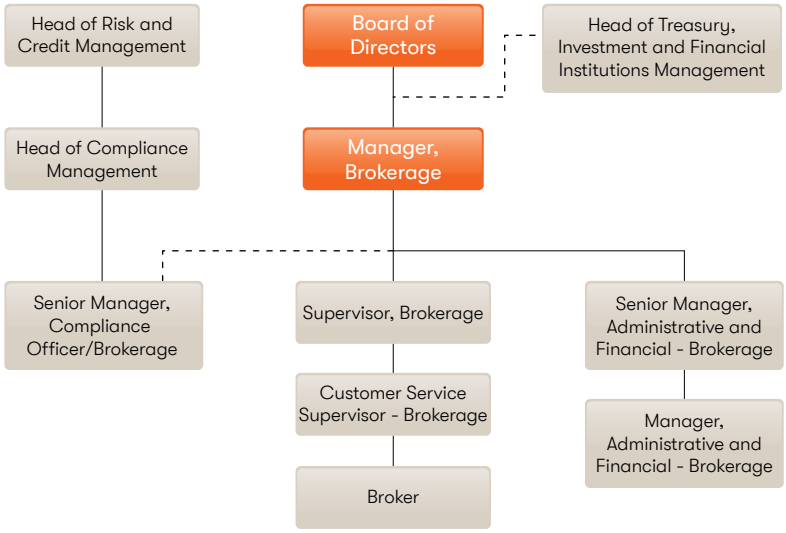
The capital investment as of 31/12/2024 totaled JOD (104,744) million. This represents the book value of 'Property and Equipment,' with a value of JOD 87,259, and the book value of intangible assets, which amounts to JOD 29,629.

Bank subsidiaries:

Etihad Financial Brokerage Company:

Company type:	Limited Liability Company, established in 2006.
Company's principal activity:	Practicing and providing financial brokerage services, acting as broker for its own account, acting as a trustee for investment, and offering financial consultations, investment management, and margin financing.
Company capital:	JOD 5,000,000
Bank's ownership % in the company:	Fully owned by the bank (100%).
Company address and no. of employees:	Shmeisani – Housing Bank Complex. Number of employees (3)
Branch addresses and no. of employees:	Company does not have branches.
Projects owned by the company and their capital:	There are no projects owned by the company.

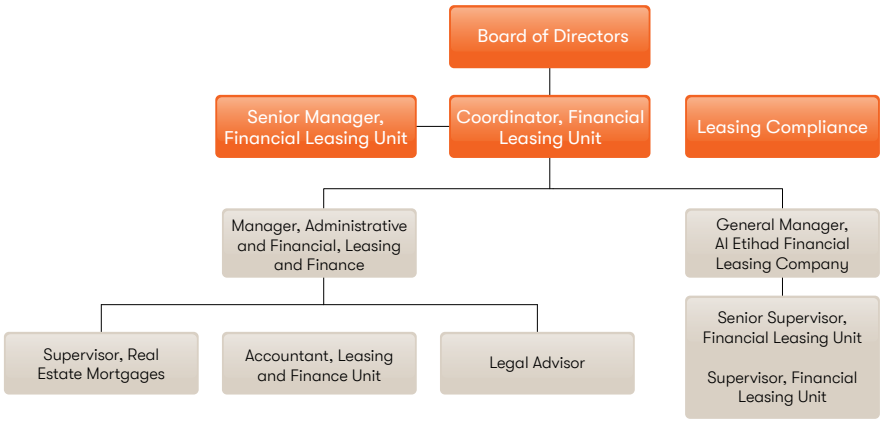
Company's organizational structure:



Etihad Financial Leasing Company:

Company type:	Limited Liability Company, established in 2015.
Company's principal activity:	Financial leasing of vehicles and machinery with the intent of ownership, and leasing and owning the movable and immovable assets required for financial leasing purposes. This also includes borrowing the necessary funds from banks, mortgaging real estate to facilitate financial leasing, and the purchase, sale, trading, import, and export of fixed materials and goods such as machinery, equipment, and devices. These items can be sold for cash, in installments, or through financial leasing. The company can open accounts in banks and financial companies both inside and outside Jordan to carry out financial leasing activities. It can also enter into partnerships with individuals, commercial, industrial, and financial companies, as well as with financial institutions and banks inside and outside the Kingdom.
Company capital:	JOD 12,000,000
Bank's ownership % in the company:	Fully owned by the bank (100%).
Company address and no. of employees:	Mecca Street - Al Ghaith Complex. Number of employees (10).
Branch addresses and no. of employees:	Company does not have branches.
Projects owned by the company and their capital:	There are no projects owned by the company.

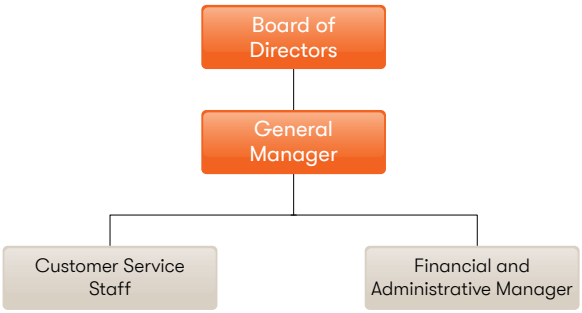
Company's organizational structure:



Etihad Islamic Investment Company:

Company type:	Private Limited Shareholding Company, established in 2016.
Company's principal activity:	Owning shares, bonds, and stakes in companies and borrowing the necessary funds from banks.
Company capital:	JOD 113,039,028
Bank's ownership % in the company:	Bank owns 58% of the capital.
Company address and no. of employees:	Shmeisani - Abdel Raheem Al Waked Street. Company does not have employees.
Branch addresses and no. of employees:	Company does not have branches.
Projects owned by the company and their capital:	There are no projects owned by the company.

Company's organizational structure:

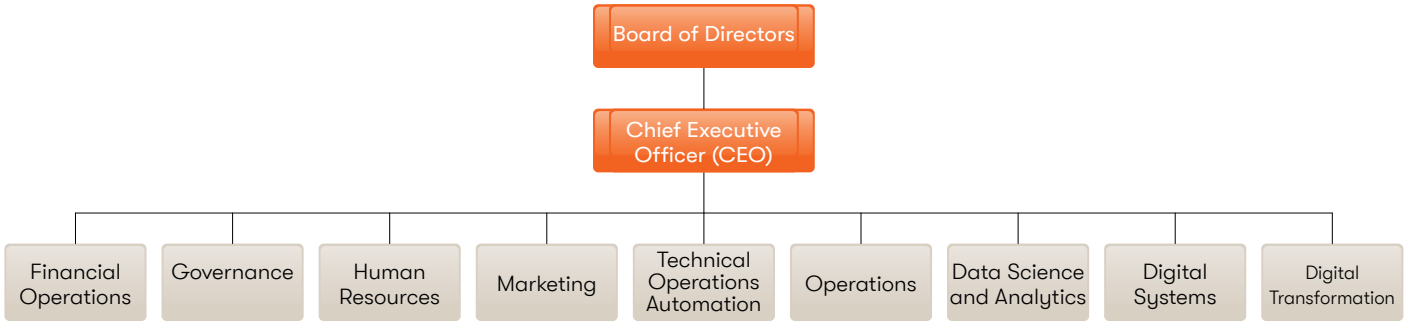


Etihad Financial Technology Company – Under Liquidation:

At its extraordinary general meeting held on 11/09/2024, the General Assembly approved the voluntary liquidation of Etihad Financial Technology Company.

Company type:	Private Limited Shareholding Company, established in 2019.
Company's principal activity:	Investing in financial technology, financial education, and financial inclusion; the manufacturing and sale of electronic and electrical communication devices related to financial technology; and the manufacturing, programming, preparation, development, and supply of financial technology programs, systems, applications, and their accessories.
Company capital:	JOD 100,000
Bank's ownership % in the company:	Fully owned by the bank (100%).
Company address and no. of employees:	Medical City Street – King Hussein Business Park. Company does not have employees.
Branch addresses and no. of employees:	Company does not have branches.
Projects owned by the company and their capital:	There are no projects owned by the company.

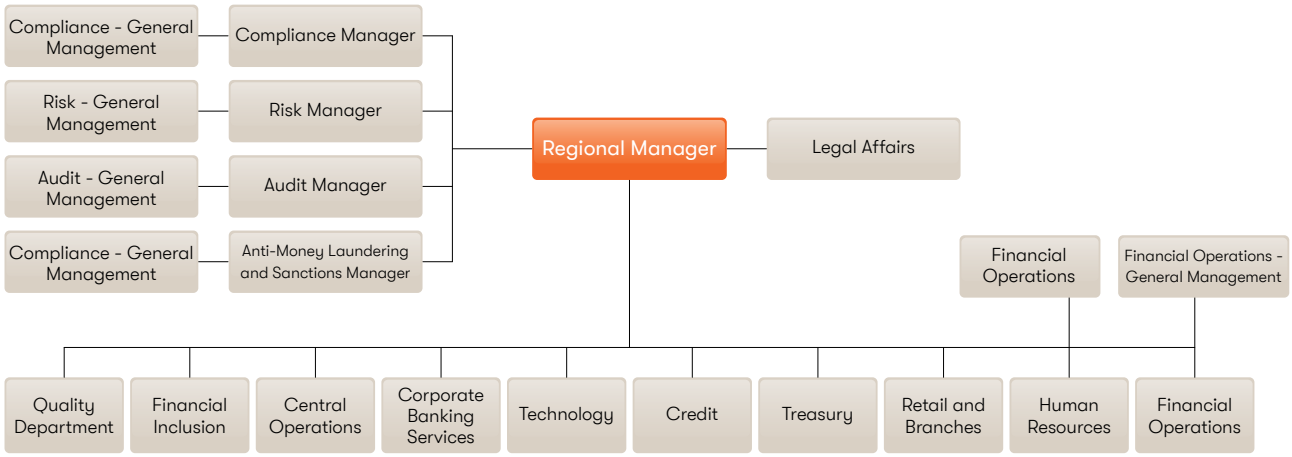
Company's organizational structure:



Bank al Etihad – Iraq Branch

Company type:	Commercial bank in the Republic of Iraq, affiliated with Bank al Etihad, established in 2023 and commenced operations at the end of 2024.
Main Activity of the Company:	Providing all banking services to companies and individuals in Iraq.
Company capital:	USD 50,000,000 (JOD 35,450,000).
Bank's ownership % in the company:	Fully owned by the bank (100%).
Company address and no. of employees:	Republic of Iraq – Mahala 929 – Al Arasat Street – Street 30 – Alley 19, P.O. Box 3217, Postal Code 10068, Al Karrada / Al Alawiya Exchange, Tel: +964 7851110010. Number of employees (22).
Branch addresses and no. of employees:	Company does not have other branches.
Projects owned by the company and their capital:	There are no projects owned by the company.

Company's organizational structure:



Statement of the names of the former and current members of the Board of Directors with a brief profile for each:

That item was detailed in the Corporate Governance Report for listed joint-stock companies on page (41).

Statement of the names and positions of the Senior Executive Management:

HE. Mrs. Nadia Helmi Hafez Al-Saeed

Chief Executive Officer

Year of Birth: 1965

Academic Qualifications: MBA in Finance and Management Information Systems, American University in Cairo, Egypt, 1992.

Work Experience:

- CEO, Bank al Etihad (from 2008 to date).
- Strategic Development Consultant, Bank al Etihad (2007-2008)
- CEO, Dead Sea Foundation for Development (2006-2007).
- Minister of Information and Communications Technology / Digital Economy (2004-2006)
- Secretary General of the Ministry of Information and Communications Technology / Digital Economy (2004-2006).
- Economic Advisor to the Minister of Information and Communications Technology / Digital Economy
- 10 years of experience at Bank al Etihad in several positions, the latest of which was: Director of the Corporate Banking Services Department (1992-2002).

Board Memberships:

- Vice Chairman of the Board, Etihad Financial Leasing Company (22/01/2015 – to date).
- Board Member, Etihad Islamic Investment Company (2016 – to date).
- Board Member, Association of Banks in Jordan (20/03/2021 – to date).
- Chairman, Endeavor Jordan (9/12/2020 – to date).
- Board Member, Jordan Loan Guarantee Company (28/03/2018 – to date).
- Board Member, Jordan Capital and Investment Fund (28/03/2021 – to date).
- Board Member, EDAMA Association for Energy, Water and Environment. (20/4/2022 – to date)
- Board Member, Jordan Strategy Forum (16/5/2023 – to date)
- Board Member, global Financial Alliance for Women (10/6/2021 – to date)

“Mohammed Ghasseb” Abdullah Abdel-Majeed Hatamleh

Chief of Corporate Banking

Year of Birth: 1971

Academic Qualifications:

- MBA Finance, NYIT University, Jordan, 2007.
- Bachelor’s degree, Economics, Damascus University, 1993.

Work Experience:

- Bank al Etihad since 06/1999.
- Cairo Amman Bank (1994-1999).
- Board Member, Commercial Banks Company for Shareholding in companies (15/08/2017 – to date).
- Board Member, Commercial Banks Investment Company (01/07/2018 – to date).
- Board Member, National Company for Investment in Infrastructure Projects (29/02/2020 – to date).

Bashar "Mohammed Khair" Awad Ababneh

Chief of Internal Audit

Year of Birth: 1970

Academic Qualifications:

- MBA Finance, Birmingham City, UK, 1999.
- Bachelor's Degree, Accounting, Jordan University, Jordan, 1994.
- Several accredited professional certifications: (CBA – 2008), (Passed Level I CFA-2003), (ACPA – 1997).

Work Experience:

- Bank al Etihad since 08/2008.
- Director of Internal Auditing, Arab Banking Corporation (2005-2008).
- Assistant Director - Principal Financial Analyst in the Deposit Insurance Corporation (2002-2005).
- Banking Inspector and Financial Analyst, Central Bank of Jordan (1994-2002).
- Vice Chairman of the Board, Chairman of the Executive Committee, Chairman of the Audit Committee, Member of the Governance Committee and Member of the Remuneration and Nominations Committee as a representative of Bank al Etihad on Daman Investment Company's Board of Directors (11/5/2010 - 5/10/2021).
- Chairman of the Audit Committee, Member of the Audit Committee, King Hussein Foundation, (17/03/2016 - 20/04/2022).

Tarik "Mohammed Said" Hasan Badawi

Chief of Credit & Credit Management

Year of Birth: 1966

Academic Qualifications:

- MBA, Accounting, Jordan University, Jordan, 1995.
- Bachelor's Degree, Accounting, Minor in Economics and Statistics, Jordan University, Jordan, 1987.

Work Experience:

- Bank al Etihad since 10/2008.
- Board Member, Al-Daman for Investments Public Shareholding Company, representing Bank al Etihad (05/10/2021 – to date).
- Member of the Executive Board, Etihad Financial Leasing Company (14/02/2023 – to date).
- Director of Credit, Bank AlJazira, Eastern Province, Saudi Arabia (2007-2008).
- Credit Supervisor of the Facilities Department, Arab Bank, Jordan and Palestine Branches (2005-2007).
- Credit Supervisor, Bank Audi, Amman- Jordan (2004-2005).
- Credit Supervisor, Arab Bank, Jordan and Palestine Branch Facilities Department (1991-2004).

Mohamed Mahmoud Ahmed Burjak

Chief Central and Administrative Operations

Year of Birth: 1972

Academic Qualifications:

- Bachelor's degree, Accounting, Al-Ahliyya Amman University, Jordan, 1994.
- Certified Business Process Re-Engineering Practitioner, The Mountain Home Institute for Innovative Management, USA, 2005.

Work Experience:

- Bank al Etihad since 08/2008.
- Expert in International Trade Operations with over 30 years of experience in Trade Finance and Banking Operations.
- Commercial Operations Manager, Jordan Commercial Bank, Jordan (2005-2008).
- Arab Bank, Jordan, Riyad Bank, Saudi Arabia, and Jordan Capital Bank, Jordan (1994-2005).
- Chairman of the National Banking Committee of the International Chamber of Commerce, Jordan (19/11/2011 – to date).
- Member of the ICC Banking Commission - Paris (2001 – to date).
- Member of the ICC Letters of Guarantee Task force – Paris (2003 – to date).
- Member of the ICC Uniform Customs and Documentary Credits Advisory Committee (UCP 600) – Paris (during 2004 – to publication in 2007)
- Adjudicated in many international documentary disputes in the field of international trade Operations (beginning 2005 – still active in this field).

Daniel Fawaz Odeh Al-Sharaiha

Chief of Human Resources and Customer Experience Department

Year of Birth: 1977

Academic Qualifications:

- Bachelor's degree, Electrical Engineering, Al Balqa Applied University, 2000.
- Certificate of Chief Assessor of Quality Management Systems 2005.
- PMP, Microsoft, 2007.
- Conflict Resolution Management, Eastern Mennonite University, USA, 2009.
- Executive Director Certificate in Human Resources Management, Academy of Human Resources Management, Bahrain / Kenya 2010.
- Certificated Trainer and Specialist in Educational Dialogue from Global Learning Partners, Canada, 2012.
- Certified Specialist in Strategic Management of Human Resources, London Business School, London, 2014.
- Certified Business Strategies Professional, INSEAD University, Singapore, 2017.
- Change Management and Human Resources Management, University of London, 2018.
- Advanced Certificate in Business Administration from IE University and AUB, 2/2019-6/2019.

Work Experience:

- Bank al Etihad since 09/2010.
- Certified Consultant and Trainer, Human Resource Management and Customer Experience
- Management for several international and private companies, governmental institutions, and non-governmental organisations (NGO) (2005-2010).
- Executive Director of Customer Experience Management, Human Resources Management/ Development, Training and Talent Management at Zain (2002-2010).
- Electrical Engineer at Setelcom (France Telecom Group) (2000-2002).

Fadi "Ahmad Kamal" Marei Marei

Chief of Treasury Department and Investment Officer

Year of Birth: 1978

Academic Qualifications:

- Master's degree, Business Administration, University of Liverpool, UK, 2016
- Bachelor's degree, Banking and Finance, Yarmouk University, Jordan, 2001.
- Issuance Manager License, Securities Commission, 2013.
- Investment Manager License, Securities Commission, 2015.
- Financial Advisor License, Securities Commission, 2015.

Work Experience:

- Bank al Etihad since 08/2002.
- Chairman of the Executive Board, Etihad Financial Brokerage Company (20/03/2022–to date).
- Board Member, Al Tajamoat Company for Tourism Projects (since 12/2022).
- Member of the Executive Board, Union Company for Metal Forming and Engineering Company LLC (06/08/2022 – to date).
- Board Member, MadfooatCom Electronic Payment Company (22/11/2022 – to date).

Mahmoud Tayseer Ahmed Badwan

Chief of Retail Banking

Chief of SME Banking

Year of Birth: 1982

Academic Qualifications:

- Master's degree, Accounting and Finance, Hashemite University, Jordan, 2008.
- Bachelor's degree, Accounting, Yarmouk University, Jordan, 2004.

Work Experience:

- Bank al Etihad since 07/2013.
- Financial Manager, Al Rashid Hospital (2012-2013).
- Department Head - Small and Medium Enterprises, Jordan Ahli Bank (2007-2012).
- Customer Relationship Manager, Housing Bank for Trade and Finance (2004-2007).

Zaid Eyad Akram Kamal

Chief of Financial Operations

Year of Birth: 1980

Academic Qualifications:

- Chief Financial Officer Program from Columbia Business School Executive Education, 2022.
- (CPA) from the American Accounting Association, 2016.
- Bachelor's degree, Business Administration, minor in Banking and Finance, Yarmouk University, Jordan, 2001

Work Experience:

- Bank al Etihad since 04/2014.
- Financial Director, Military Credit Fund (2011-2014).
- Financial Controller, Standard Chartered Bank - Jordan (2007-2011).
- Chief Accountant, Capital Bank - Jordan (2004-2007).
- Assistant Department Head, Cairo Amman Bank (2001-2004).

Natalie Mazen Yousef Al-Naber

Chief of Corporate Communications and Marketing

Year of Birth: 1985

Academic Qualifications:

- Bachelor's degree, Marketing, Franklin University, Switzerland, 2007.
- Currently completing a Master's degree, Columbia University, NY, USA (2022 to date).
- Certified board member certificate from the Jordanian Governance House, JioD, and the International Finance Corporation (IFC), 2022.

Work Experience:

- Bank al Etihad since 03/2013.
- Director of Corporate Communications, Saraya Aqaba Company (2011-2013).
- Market Research Analyst, Saraya Real Estate Development Company (2010-2011).
- Corporate Communication Officer, Saraya Real Estate Development Company (2007-2010).

Khaled Abdel-Malek Mohamed Abdel-Malek

Chief of Risk Management

Year of Birth: 1982

Academic Qualifications:

- Master's degree, Corporate Risk Management, University of Salford, Britain, 2007.
- Bachelor's degree, Finance, University of Jordan, 2003.

Work Experience:

- Vice Chairman of the Executive Board, Etihad Financial Brokerage Company (2022-to date).
- Senior Executive Director, Credit Risk (2011-2018).
- Director of Risk Models and Management Information Systems, Bank al Etihad (2010-2011).
- Market Risk Officer, Cairo Amman Bank (2007-2010).
- Credit Officer, Cairo Amman Bank (2003-2006).

Tamer Wasef "Mohamed Moussa" Barakat

Chief of Compliance

Year of Birth: 1986

Academic Qualifications:

- MBA, German Jordanian University, 2012.
- Bachelor's degree, Finance, Jordan University, Jordan, 2008.
- Certified Anti-Money Laundering and Terrorism Financing Specialist (CAMS), 2013.
- Certified Financial Crimes Specialist (CFCS), 2019.
- Certified Fraud Examiner (CFE), 2019.
- ICA-Advanced Certificate in Managing Sanctions Risks, 2019.
- Certificate in Information Technology Governance (COBIT 5 Foundation), 2017.
- Certificate in Information Technology Governance (COBIT 5 Implementation), 2018.
- Certificate in the Common Reporting Standards (CCRS), 2022.
- ICA –Professional Post Graduate Diploma in Governance, Risk and Compliance, 2023.

Work Experience:

- Bank al Etihad since 2018.
- Compliance Department Director, Arab Banking Corporation, Jordan, (3/2016-9/2018).
- Assistant Manager, Compliance Department, Arab Bank, Jordan, (8/2012-2/2016).
- Commercial Services Officer (Appropriations), Jordan Ahli Bank, (4/2008-7/2012).
- Board Member, Association of Certified AML/CFT Specialists in MENA (9/2019–to date).

Feras Saleh Ahmad Arabiat

Director of Information Technology Department

Year of Birth: 1982

Academic Qualifications: Bachelor's Degree, Computer Information Systems, University of Jordan, 2005.

Work Experience:

- Bank al Etihad since 08/2022.
- Vice President of Technology and Delivery, Aspire, 2022.
- Technology and Delivery Manager, Aspire (2018–2022).
- Delivery Manager, Aspire (2015–2018).
- Programming Team Lead, Aspire (2011–2015).
- Senior Software Engineer, Aspire (2008–2011).
- Software Engineer, Aspire (2006–2008).
- Software Developer, IdealSoft (2005–2006).

Names of major shareholders with equity exceeding 5%

Shareholder's Name	No. of Shares as on 31/12/2024	%	Pledged Shares	Beneficiary	No. of Shares as on 31/12/2023	%	Pledged Shares	Beneficiary
Libyan Foreign Investment Co.	40,517,203	20.25	-	-	40,517,203	20.25	-	-
RS Finance	30,026,998	15.01	26,640,383	Jordan Kuwait Bank	30,026,998	15.01	26,640,383	Jordan Kuwait Bank
Social Security Corporation	22,056,697	11.02	-	-	22,056,697	11.02	-	-
Canar Sound Investment Company	15,471,304	7.73	**5,197,000** 3,097,000 2,100,000	**Total** Housing Bank Jordan Kuwait Bank	12,471,304	6.23	3,600,000	Jordan Kuwait Bank
Isam Halim Jaris Salfiti	14,000,000	7.00	4,720,313	Capital Bank of Jordan	14,000,000	7.00	6,973,313	Capital Bank of Jordan
Mermaid Ocean Investment	13,943,767	6.97	**7,697,000** 4,097,000 3,600,000	**Total** Housing Bank Jordan Kuwait Bank	11,062,476	5.53	3,600,000	Jordan Kuwait Bank

The bank's competitive position by business segment and market share

This item is included in the Analysis of the Financial Position and Operating Results of 2024 in page (37).

Degree of reliance on specific suppliers or key customers, domestically and internationally:

There is no reliance on specific suppliers or key customers (domestically and internationally) that constitute 10% or more of the total purchases and/or revenues (sales).

Governmental protection or privileges enjoyed by the bank or any of its products or services under laws, regulations, or otherwise:

- There are no governmental protection or privileges enjoyed by the bank or any of its products or services under laws, regulations, or otherwise.
- The bank has not obtained any patents or franchise rights.

Decisions issued by the government, international organizations, or others that have a material impact on the bank's operations, products, or competitive ability:

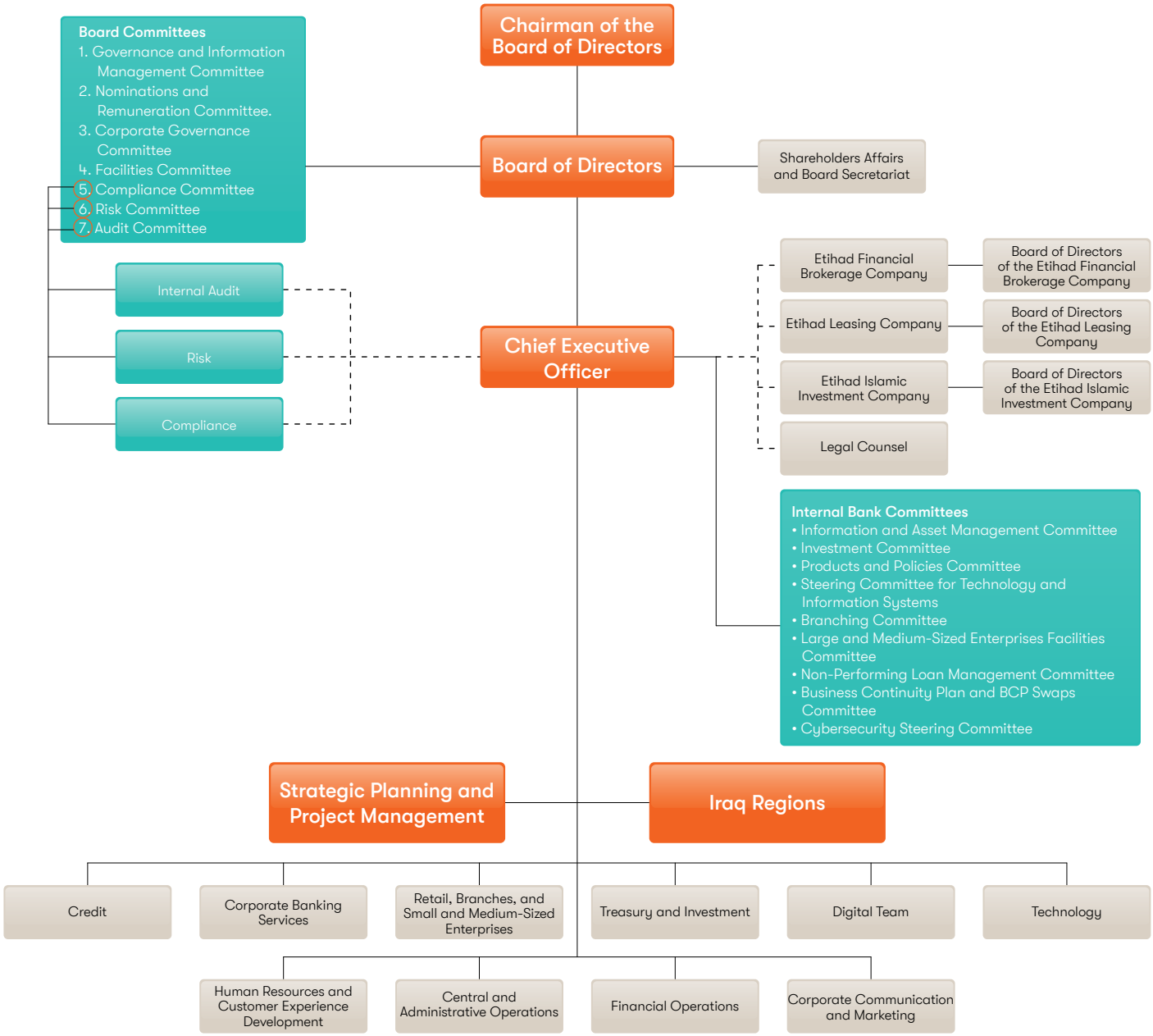
There are no decisions issued by the government, international organizations, or others that have a material impact on the bank's operations, products, or competitive ability.

Application of international quality standards:

The bank has obtained the following certifications:

- PCI DSS Payment Cards Industry Data Security Standard
- ISO/IEC 27001 Information Security Management certification
- ISO/IEC 27017 Cloud Security Controls
- The bank achieved a maturity level of "Fully Achieved (3)" and even exceeded this level in some processes for its Information Technology Governance system, in accordance with the COBIT 2019 Information Technology Governance framework.

The Bank's Organizational Structure



The organizational structures for the subsidiary companies are included in the section titled Subsidiary Companies of the bank on page (54).

Number of employees

At the end of 2024, the number of the bank's employees reached (1,407) within Jordan and (22) in Iraq, for a total of (1,429) employees, as follows:

- (1,394) employees in the Head Office and branches in Jordan.
- (3) employees in Etihad Financial Brokerage Company.
- (10) employees in Etihad Leasing Company.
- No employees in Etihad Financial Technology Company – under liquidation.
- No employees in the Etihad Islamic Investment Company.
- (22) employees in the Iraq branch.

Employees according to their academic qualifications

Academic Qualification	Head Office and Local Branches	Etihad Financial Brokerage Company	Etihad Leasing Company	Etihad Financial Technology Company – under liquidation	Etihad Islamic Investment Company	Iraq Branch
PHD	2	-	-	-	-	-
Master's	105	-	2	-	-	2
Higher Diploma	27	-	-	-	-	-
Bachelor's Degree	1,201	3	7	-	-	18
Diploma	13	-	-	-	-	-
Tawjihi	16	-	1	-	-	-
Below Tawjihi (Messengers, Drivers, Guards)	30	-	-	-	-	2
Total	**1,394**	**3**	**10**	**-**	**-**	**22**

Training and development programs:

Driven by its commitment to developing and refining its employees' skills, Bank al Etihad continued to achieve its planned training goals for 2024. This was accomplished by raising the academic and professional competence of its staff within the banking and financial sector, focusing on the advancement and diversification of academic, scientific, and training programs both domestically and internationally.

The following table provides a detailed breakdown of the number and type of training programs the bank offered in 2024:

Description	No. of Participants		Branches		Head Office	
	Number	%	Number	%	Number	%
Local Training Courses	1,264	12.73%	716	11.21%	548	15.49%
International Training Courses	20	0.20%	6	0.09%	14	0.40%
Bank's Training Centre	1,127	11.35%	882	13.80%	245	6.93%
Virtual Training	7,239	72.91%	4,631	72.48%	2,608	73.73%
Professional Certifications	278	2.80%	156	2.44%	122	3.45%
Total	**9,928**	**100%**	**6,391**	**100%**	**3,537**	**100%**

The aforementioned courses include the following programs, most notably: professional certifications related to Banking Credit, the Specialized Professional Diploma in Compliance and Anti-Money Laundering, Sustainability and Green Finance, Risk Management and Cybersecurity, Compliance, Fundamentals of Banking Operations, and other courses.

In line with the bank's commitment to keeping pace with modern scientific developments in the field of specialized professional programs and certifications, (278) employees from various departments obtained professional certificates.

A total of (275) training opportunities were provided to school and university students and recent graduates. This is an extension of the bank's policy to serve the local community and to leverage this talent pool to fill various vacancies at the bank, should the need arise.

Universities and Institutions	Number of Students Trained
Universities	122
Schools	107
Shorouq Program	36
Trade Bank of Iraq	10
Total	**275**

Risks faced by the bank:

Credit risk

This is the risk resulting from a borrower's (inability/unwillingness) to repay the amounts due from the principal debt and/or the interest and commissions accrued on it.

To mitigate and control the effects of credit risk, Bank al Etihad uses a variety of techniques to ensure its stability and soundness. These include a strategy to diversify the components of the credit portfolio. To achieve this, the Concentrations Risk Management department works by setting credit ceilings for economic sectors, geographical regions, credit ratings, and products.

The bank also uses tools to measure credit risk to ensure it is not exposed to uncalculated risks. These tools are used for the early identification of any deterioration in the portfolio's risk profile.

To identify the size of future risks, the bank regularly conducts stress tests based on a set of stressful scenarios and negative economic and commercial forecasts, with the aim of creating mechanisms to avoid or mitigate the effects of these risks.

Market risk

Risk related to changes in the value of profits and losses, the change in the economic value of equity, or a change in liquidity levels as a result of fluctuations in interest rates, exchange rates, or the prices of financial assets, or due to adverse economic conditions. To manage these risks, the bank follows a conservative policy that is carried out through a centralized desk and an independent Market Risk Management department, in accordance with ceilings and policies established based on international best practices and approved by the Board of Directors of Bank al Etihad. The most significant of these risks are:

1. Interest rate risk

This represents the expected losses resulting from fluctuations in interest rates in financial markets. These changes lead to a corresponding change in the prices and valuation of financial products and assets, which negatively impacts the bank's revenue or the economic value of its equity. Additionally, this risk arises from a mismatch in the re-pricing dates of assets and liabilities, which the Asset-Liability Management Committee manages on an ongoing basis through pricing gap reports and related ceilings.

2. Liquidity risk

This represents the risk that arises from the bank's inability to meet its short-term financial obligations, especially to depositors, in a timely and acceptable manner due to concentrations or long-term investments. To avoid these risks, the bank plans its liquidity by managing its legal and proprietary reserves to ensure compliance with regulatory requirements and internal policies, and subsequently through the strategic management of the bank's funding needs for future periods. In addition, the liquidity management strategy takes into account the diversification of funding sources and the adoption of a liquidity contingency plan that is regularly updated and reviewed.

Operational risk

Operational risk is defined as the risk of loss resulting from the failure or inadequacy of internal processes, people, or systems, or from an external source (event). This definition includes legal risks and risks related to regulatory authorities.

Operational risk management is part of the bank's overall enterprise risk management framework, which aims to enhance and develop internal control systems. Operational risks are identified, measured, monitored, and addressed across all operations and products to ensure they are managed effectively, enabling the bank to achieve its objectives while maintaining an acceptable level of operational risk. Exposure levels are monitored against acceptable limits based on the bank's Risk Appetite Statement.

Risk management has adopted more than one mechanism to manage these risks. The first is the Control Risk Self-Assessment (CRSA), which involves identifying the specific risks of each department and/or unit and evaluating the control measures to verify their effectiveness and efficiency in managing the associated risks.

Operational Risk Management also builds Key Risk Indicators (KRIs), which enhance the risk monitoring mechanism as an early warning tool. This tool enables decision-makers to identify undesirable events and potential losses before they occur.

In addition, a database is built to track monetary losses resulting from operational risks. This helps to evaluate the extent of the bank's exposure to these risks and the effectiveness of implemented control measures. It's important to note that the bank's operational risk management process is not designed to eliminate all potential operational risks. Instead, it aims to understand the potential financial and other impacts of these risks, and to develop control systems and procedures that (if consistently applied) will keep the potential losses (impacts) from these risks within acceptable levels.

Compliance risk

Also known as integrity and reputational risk, this is the risk of legal (fines) or regulatory sanctions, material losses, or reputational damage the bank may face due to non-compliance with laws, regulations, instructions, orders, codes of conduct, and sound banking practices.

Executive Management bears the full responsibility for establishing, applying, and obtaining Board of Directors' approval for the compliance policy, as well as circulating it to all departments and employees within the bank. Management at all levels is also responsible for ensuring that correct procedures and measures are applied if non-compliance violations are discovered. Furthermore, it is their responsibility to provide sufficient and qualified staff and the necessary resources to establish an independent compliance monitoring unit to implement the compliance policies.

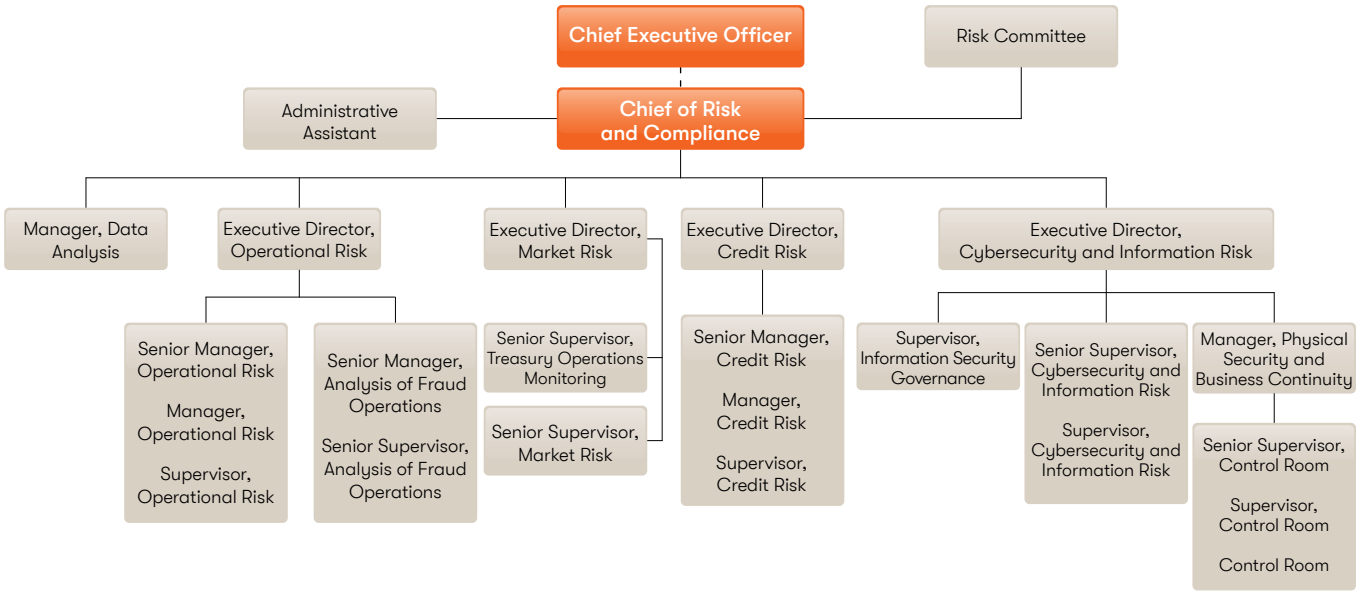
To ensure the highest level of integrity and transparency, the bank also relies on internal policies and procedures within a sound and robust framework of internal controls, which are reviewed periodically.

Information security and cybersecurity risk

The management of information security and cybersecurity risks is based on using all internationally available tools, means, and procedures and following global standards to ensure the protection of the bank's information, networks, and devices from internal and external risks and threats. This prevents unauthorized persons from accessing information and maintains the confidentiality and integrity of information, while also ensuring its availability and the continuity of the systems that support it.

The department develops information security and cybersecurity policies, standards, and procedures in line with international best practices and standards to protect the bank's assets. It also updates and develops optimal plans to ensure business continuity during disasters and crises, guaranteeing the uninterrupted availability of all services provided to its customers. Additionally, it monitors compliance with information security standards using the latest technologies and systems.

Organizational Structure for Risk Management



Bank activities and achievements

The bank's achievements are detailed within (Analysis of financial position and operating results of 2024) as well as (2024 Achievements) on page (14).

The section on Significant events experienced by the bank during 2024 is included on page (30).

The financial impact of operations of a non-recurring transaction as well as operations outside the bank's principal activity

There has been no financial impact from non-recurring operations that occurred during the fiscal year that do not fall within the bank's principal activity. Moreover, the bank has not carried out any operations outside of its principal activity.

Time series of realized profits and losses, dividends, and net shareholders' equity during (2020-2024):

Year	2024	2023	2022	2021	2020
Realised Profits	54,474,100	57,737,275	43,800,423	41,425,295	30,044,044
Distributed Cash Dividends	-	20,000,000	16,000,000	16,000,000	16,000,000
Proposed Dividends	20,000,000	-	-	-	-
Shareholders' Equity	495,784,640	478,812,313	453,046,660	428,011,954	407,955,721

The bank's share price during (2020-2024):

Year	2024	2023	2022	2021	2020
Price	JOD 1,730	JOD 1,830	JOD 1,950	JOD 1,750	JOD 1,560

Analysis of the financial position and operating results of 2024

This item is detailed in the Analysis of financial position and operating results of 2024 on page (32).

Significant future developments of the bank

Future developments and expectations of the Board for the results of the bank's operations are stated in our business model and strategy on page (12).

Auditors' fees for the bank and its subsidiaries

The auditors' fees for the year 2024, including sales tax, were as follows:

Description	Auditors' Fees	Fees for Services Provided for Anti-Money Laundering and Combating the Financing of Terrorism
Bank al Etihad	96,000	-
Etihad Financial Brokerage Company	3,500	3,500
Etihad Financial Leasing Company	3,500	3,500
Etihad Islamic Investment Company	2,000	-
Etihad Financial Technology Company - Under Liquidation	5,000	-
Iraq Branch	28,360	-
Total	**138,360**	**7,000**

Bank shares owned by Board Members and their relatives

Name	Appointment Date	Nationality	As of 2024				As of 2023			
			Board Member	Member Rep	Relatives	Total	Board Member	Member Rep	Relatives	Total
Isam Halim Jaris Salfiti - until 25/04/2024	20/02/2020	Jordanian	14,000,000	-	-		14,000,000	-	-	-
Samia Sulaiman Yousef Sukkar (his wife)- until 25/04/2024	-	Jordanian	-	-	3,755,156	17,755,156	-	-	3,755,156	17,755,156
Basem Isam Halim Salfiti	25/04/2024	Jordanian	1,094,056	-	-	1,094,056	1,094,056	-	-	1,094,056
Libyan Foreign Investment Company -(LAFICO)	25/04/2024	Libyan	40,517,203	-	-	-	40,517,203	-	-	-
Represented by: Moussa Alhassan Atiq Ali in the first seat	-	Libyan	-	-	-	-	-	-	-	-
Mr. Ali Mahmoud Hassen Mohammed in second seat	-	Libyan	-	-	-	40,517,203	-	-	-	40,517,203
General Social Security Corporation Represented by:	25/04/2024	Jordanian	22,056,697	-	-	-	22,056,697	-	-	-
Shaden Ziad Nabih Darwish Al-Haji	-	Jordanian	-	-	-	22,056,697	-		-	22,056,697
Imad Mohammad Ali Abdel-Khaleq	25/04/2024	Germany	5,367	-	-	5,367	5,367	-	-	5,367
Mughith Ghiath Munir Sukhtian	25/04/2024	Jordanian	20,821	-	-	20,821	20,821	-	-	20,821
Waddah Isam Hasan Al Barkawi	25/04/2024	Jordanian	4,000	-	-	4,000	4,000	-	-	4,000
Jabra "Raja Yaqoub" Jabra Ghandour	25/04/2024	Jordanian	178,900	-	-	178,900	63,900	-	-	63,900
Nadia Ahmed Abdul Mohsen Al Anani	25/04/2024	Jordanian	5,000		-	5,000	5,000	-	-	5,000
Lana Yousef Ibrahim Ghanem	25/04/2024	Jordanian	5,000	-	-	5,000	5,000	-	-	5,000
Tarek Rajai Halim Salfiti	25/04/2024	Jordanian	67,614	-	-	67,614	-	-	-	-

- Members of the Board of Directors and their relatives do not own any shares in the bank other than those mentioned in the table above.
- There is no controlling share by any company owned by any Board Members.
- There is no controlling share by any company owned by any relatives of Board Members.

Shares owned by Senior Executive Management and their relatives

Name	Nationality	No. of Shares as of 2024			No. of Shares as of 2023		
		Employee	Relatives	Total	Employee	Relatives	Total
Nadia Helmi Hafez Al-Saeed	Jordanian	1,235,635	-	1,235,635	1,000,632	-	1,000,632
Daniel Fawaz Odeh Al-Sharaiha	Jordanian	205,344	-	205,344	183,085	-	183,085
"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh	Jordanian	100,000	-	100,000	61,489	-	61,489
Bashar "Mohammed Khair" Awad Ababneh	Jordanian	41,830	-	41,830	35,102	-	35,102
Tarik "Mohammed Said" Hasan Badawi	Jordanian	41,802	-	41,802	34,577	-	34,577
Mohamed Mahmoud Ahmed Burjak	Jordanian	25,000	-		35,907	-	-
Yasmine Mohammad Ahmad Al-Safadi (his wife)	Jordanian		2,801	27,801	-	1,763	37,670
Fadi "Ahmad Kamal" Marei Marei	Jordanian	113,059	-	113,059	104,667	-	104,667
Zaid Eyad Akram Kamal	Jordanian	36,035	-	36,035	29,650	-	29,650
Natalie Mazen Yousef Al Naber	Jordanian	27,204	-	27,204	20,973	-	20,973
Mahmoud Tayseer Ahmad Badwan	Jordanian	44,808	-	44,808	37,061	-	37,061
Khaled Abdulmalek Mohamed Abdulmalek	Jordanian	27,000		27,000	20,426	-	20,426
Tamer Wasef "Mohamed Moussa" Barakat	Jordanian	20,554	-	20,554	14,288	-	14,288
Feras Saleh Ahmad Arabiat	Jordanian	16,267	-	16,267	-	-	-

- Members of the Senior Executive Management and their relatives do not own any shares in the bank other than those mentioned in the table above.
- There is no controlling share by any company owned by any members of the Senior Executive Management.
- There is no controlling share by any company owned by any relatives of the Senior Executive Management.

Benefits and remuneration of the Chairman and members of the Board of Directors for 2024

Description	Position	Fixed Contract	Annual Transportation Allowance	Annual Remuneration	Annual Travel Expenses	Total Annual Benefits
Basem Isam Halim Salfiti as of 25/4/2024	Chairman	253,333	87,000	5,000	-	**345,333**
Jabra "Raja Yaqoub" Jabra Ghandour	Vice Chairman	-	51,000	5,000	1,400	**57,400**
Mughith Ghiath Munir Sukhtian	Board Member	-	46,500	5,000	-	**51,500**
Imad Mohammad Ali Abdel-Khaleq	Board Member	-	58,500	5,000	2,800	**66,300**
General Social Security Corporation	Board Member	-	40,500	5,000	-	**45,500**
Moussa Alhassan Atiq Ali	Board Member	-	48,500	5,000	18,700	**72,200**
Ali Mahmoud Hassen Mohammed	Board Member	-	38,000	5,000	19,400	**62,400**
Nadia Ahmed Abdul Mohsen Al Anani	Board Member	-	50,000	5,000	-	**55,000**
Waddah Isam Hasan Al Barkawi	Board Member	-	46,000	-	-	**46,000**
Tarek Rajai Halim Salfiti	Board Member	-	36,000	-	-	**36,000**
Lana Yousef Ibrahim Ghanem	Board Member	-	41,000	5,000	-	**46,000**
Isam Halim Jaris Salfiti until 25/04/2024	Chairman	261,802	12,000	5,355,000	-	**5,628,802**
Rana Jamil Saeed Abbadi until 19/12/2023	Board Member	-	-	5,000	-	**5,000**
Total		**515,135**	**555,000**	**5,405,000**	**42,300**	**6,517,435**

- No financial or non-financial benefits/compensations were received by members of the Board except as indicated above.

Benefits and remuneration of the Senior Executive Management for 2024

Description	Position	Gross Annual Salaries	2023 Financial Bonuses Paid During 2024	2023 Non-Financial Bonuses (Shares) Paid During 2024	Total Annual Benefits
Nadia Helmi Hafez Al-Saeed	CEO	336,000	313,300	75,000	**724,300**
"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh	Chief Corporate Banking Officer	184,000	75,380	15,520	**274,900**
Bashar "Mohammed Khair" Awad Ababneh	Chief Audit Officer	155,200	70,960	14,415	**240,575**
Tarik "Mohammed Said" Hasan Badawi	Chief Credit and Credit Management Officer	160,000	75,220	15,480	**250,700**
Mohamed Mahmoud Ahmed Burjak	Chief Central and Administrative Operations Officer	171,200	82,340	13,935	**267,475**
Fadi "Ahmad Kamal" Marei Marei	Chief Treasury and Investment Department Officer	172,000	85,220	17,980	**275,200**
Daniel Fawaz Odeh Al-Sharaiha	Chief HR and Customer Experience Development Officer	155,200	71,320	14,505	**241,025**
Zaid Eyad Akram Kamal	Chief Financial Operations Officer	144,000	81,320	13,680	**239,000**
Mahmoud Tayseer Ahmad Badwan	Chief Retail and SME Banking Services Officer	184,000	93,000	16,600	**293,600**
Natalie Mazen Yousef Al Naber	Chief Corporate Communication and Marketing Officer	124,000	66,700	13,350	**204,050**
Khaled Abdulmalek Mohamed Abdulmalek	Chief Risk Management Officer	132,000	69,640	14,085	**215,725**
Tamer Wasef "Mohamed Moussa" Barakat	Chief Compliance Officer	120,000	67,000	13,425	**200,425**
*Deema Mufleh Mohamed Akel	Deputy CFO	-	129,232	-	**129,232**
**Amer "Mohammed Khair" Zaki Abu Laila	Chief Technology Officer	32,000	-	-	**32,000**
Total		**2,069,600**	**1,280,632**	**237,975**	**3,588,207**

* The resignation of Ms. Deema Mufleh Mohamed Akel was submitted on 01/01/2024.

**The resignation of Mr. Amer "Mohammed Khair" Zaki Abu Laila was submitted on 01/01/2024.

- Other allowances and benefits were paid to Mr. Daniel Fawaz Odeh Al-Sharaiha in the amount of JOD 55,000.
- The bank made a provision of JOD 3,300,000 as a bonus for all bank employees, including Executive Management, for the year 2024. This amount will be paid in 2025, subject to Board approval and the completion of employee performance evaluations.
- Additionally, the bank provides the following benefits to members of the Executive Management (the full-time Chairman, General Manager and Deputy GMs):
- A car for personal use, including all associated expenses.
- A mobile phone line, including the device.
- No other financial or non-financial bonuses were granted to the Senior Executive Management other than what is mentioned above.

Donations, grants and contribution to community service

This item is included within our Social Responsibility for 2024 on page (30).

Contracts, projects, and commitments entered into by the bank with its subsidiaries, sister or allied companies, or the Chairman, board members, CEO (General Manager), any bank employee, or their relatives

There were no contracts, projects, or commitments entered into by the bank with its subsidiaries, sister or allied companies, the Chairman of the Board, Board members, the Chief Executive Officer (General Manager), any bank employee, or their relatives. This is with the exception of ordinary banking transactions, which have been disclosed in Note No. (43) of the financial statements and were carried out using commercial interest and commission rates.

The bank's contribution to environmental protection and community service

This item is included within our Social Responsibility for 2024 on page (24).

Additional information required by disclosure instructions

Names of major shareholders with equity exceeding 1%

Shareholder's Name	Nationality	No. of Shares as of 31/12/2024	Share Capital %	Ultimate Beneficiary	Number of Pledged Shares	% Pledged Shares of Total Contribution	Pledging Agency
Libyan Foreign Investment Co.	Libyan	40,517,203	20.25	LIA LIBYAN INVESTMENT AUTHORITY & Libyan Government	-	-	-
RS Finance	Caymen Islands	30,026,998	15.01	Rajai Salfiti Holding 100% - TRHS Holding 25% ownership (Tarek Rajai Salfiti) 100% - ZRS Holding 25% ownership (Zaid Rajai Salfiti) 100% - FRS Holding 25% ownership (Faisal Rajai Salfiti) 100% - DRS Holding 12.5% ownership (Dina Rajai Salfiti) 100% - SRHS Holding 12.5% ownership (Samia Farah Issa Freih) 100%	26,640,383	88.72	Jordan Kuwait Bank
Social Security Corporation	Jordanian	22,056,697	11.02	Itself	-	-	-
Isam Halim Jaris Salfiti	Jordanian	14,000,000	7.00	Himself	4,720,313	33.71	Capital Bank of Jordan
Sound of the Canary Investment Company	Jordanian	15,471,304	7.73	1. Isam Halim Salfiti 20% 2. Basem Isam Salfiti 20% 3. Nadim Isam Salfiti 20% 4. Wasim Isam Salfiti 20% 5. Samia Suleiman Sukkar 20%	**5,197,000** 3,097,000 2,100,000	**33.59**	**Total** Housing Bank Jordan Kuwait Bank
Mermaid of the Ocean for Investments	Jordanian	13,943,767	6.97	A Jordanian company with partners, represented by: 1. Tarek Rajai Halim Salfiti (25%) 2. Faisal Rajai Halim Salfiti (25%) 3. Zaid Rajai Halim Salfiti (25%) 4. Dina Rajai Halim Salfiti (12.50%) 5. Samia Farah Issa Freih (12.50%)	**7,697,000** 4,097,000 3,600,000	**32.54**	**Total** Housing Bank Jordan Kuwait Bank
Widad Ayoub Awadallah Al Khouri	Jordanian	5,590,375	2.79	Herself	-	-	-
Provident Fund for Bank al Etihad Employees and Users	Jordanian	5,735,547	2.86	Bank al Etihad employees	-	-	-
Al Markazia for Trade and Vehicles	Jordanian	7,402,458	3.70	A Jordanian company, with key partners represented by: 1. Ibrahim Emile Haddad (20%) 2. Omar Moatasem Ismail Al-Belbeisi (7.5%) 3. Tariq Moatasem Ismail Al-Belbeisi (7.5%) 4. Nabil Emile Haddad (20%) 5. Nihad Emile Haddad (20%) 6. George Emile Haddad (25%)	-	-	-
Samia Suleiman Yousef Sukkar	Jordanian	3,755,156	1.87	Herself	-	-	-
Samia Halim Jaris Salfiti	Jordanian	2,359,703	1.17	Herself	-	-	-
Ramzy Raouf Jaris Salfiti	Jordanian	2,209,508	1.10	Himself	-	-	-

Direct and indirect credit facilities granted to members of the board and related parties

Name of Member/Group	Credit Facilities		Total
	Direct	Indirect	
Basem Issam Salfiti Group:			
Abu Alanda for Property Management Co.	25,500	20,000	**45,500**
Matajer Amman Property Management Co.	36,595	10,000	**46,595**
President Import and Export Co.	-	3,300,359	**3,300,359**
Samia Farah Issa Freih	183,964	-	**183,964**
Isabelle George Nicola Abu Khader	961	-	**961**
Comprehensive Land Dev and INV Com	-	3,760	**3,760**
Nasco Automotive FZE	-	20,000	**20,000**
Jordan Turkey Investment Co. Free Zone under Liquidation	125,354	-	**125,354**
Munich Telecommunication Services	-	85,000	**85,000**
Al-Khaleej Auto Trading Co.	-	351,269	**351,269**
Jordan River Motors	315,638	164,448	**480,086**
Samia Halim Jaris Salfiti	1,200,000	-	**1,200,000**
Motor Vehicle Trading Company	3,992,103	723,182	**4,715,285**
Arab Group for Chemical Products Co. LTD	2,759,025	2,375,150	**5,134,175**
The Leading Vehicles Co.	6,622,534	3,472,276	**10,094,810**
Nicola George Nicola Abu Khader	9,184,284	723,182	**9,907,466**
Social Security Corporation Group:			
National Hotels and Tourism Company	500,000	-	**500,000**
Red Sea Hotels Company	778,500	18,750	**797,250**
Zara South Coast Development Company	800,000	-	**800,000**
Amman Tourism Investment Company	807,600	-	**807,600**
Nabteeh Hotel Company	807,600	-	**807,600**
Imad Abdel-Khaleq Group:			
Eskadenia Software Co.	2,048,748	1,930,600	**3,979,348**
Jabra Raja Yaqoub Ghandour Group:			
Raja Jabra Raja Yaqoub Ghandour	41,861	-	**41,861**
Rula Jabra Raja Ghandour	342	-	**342**
Zeina Jabra Raja Yaqoub Ghandour	968	-	**968**
Tarek Rajai Salfiti Group:			
Farah Ibrahim Farah Karrain	36,940	-	**36,940**
Osama Isam Wasef Jabr	244,803	191,953	**436,756**
Al Kasra for Trading Marketing Co	306,500	73,568	**380,068**
Beria for Marketing	-	553,256	**553,256**
Faisal Rajai Salfiti and Omar Boulus Zumot	1,058,251	903,000	**1,961,251**
Omar Boulus Yousef and Faisal Rajai Hilmi Salfiti and Osama Isam Jabr	-	1,914,300	**1,914,300**

Remuneration policy

The bank's annual increases and bonuses policy outlines the bank's practice in this regard to ensure internal fairness and to retain and reward high-performing employees and Executive Management members, while also attracting top talent and skills available in the banking industry.

Annual bonuses and salary increases apply to employees hired on or before June 30th of the year of evaluation. The annual bonus and salary increase are calculated on a pro-rata basis from the date of hire for those who have not completed a full year at the bank. Employees hired after June 30th are excluded from the increase and bonus.

The percentage of the annual employee increase, if any, is determined by the bank's annual profits, its performance compared to the estimated budget, the inflation rate, employee performance evaluations, and salary surveys. These include the annual survey that compares the percentages of increases granted to employees in the banking sector. The increases are approved by the Nominations and Remuneration Committee.

The annual bonus for each employee is based on their productivity, performance, achievement of goals, and interactions with colleagues and bank customers, in light of the general principles decided by the Nominations and Remuneration Committee for all employees. These principles consider the performance of the bank, the market, and the employees. The annual bonuses are granted as a percentage or multiple of the gross monthly salaries or as a fixed amount.

Annual salary increases and bonuses are granted after the completion of the annual performance appraisal process, which takes place at the end of each year. The increases or adjustments are based on what is approved by senior management.

Furthermore, performance-based remunerations for Executive Management members, including the CEO, are paid as deferred compensation in line with the Corporate Governance instructions related to financial remuneration for executives.

Recruitment policy

- No employee shall be appointed outside the scope of the bank's approved organizational structure, established plans, and estimated budget after their approval by the Board of Directors. The number of employees in each department, including vacancies and the required qualifications to fill them, is determined in accordance with these. In the event of any exceptions, the necessary approvals must be obtained.
- The bank must adhere to the Jordanian Labor Law, the banks Law, and the provisions of the Bank al Etihad Employee Bylaw (and any amendments thereto) for appointment procedures and any related laws.
- Adherence to the Corporate Governance instructions for banks (and any amendments thereto) is required in the areas of appointments, resignation, and succession.
- The Human Resources Department – Recruitment and Talent Acquisition Section – must adhere to the following when appointing any employee to the bank:
  - The candidate must be a Jordanian national.
  - If the candidate is not a Jordanian national, and the bank requires them in a manner consistent with the applicable labor law and Central Bank requirements, they must have the approval of the Ministry of Labor.
  - The candidate must be at least 18 years of age.
  - Ensure the candidate has a good record of conduct and has not been convicted of a felony or misdemeanor involving moral turpitude.
  - Ensure the candidate is medically fit based on a bank-approved medical examination.
  - The candidate must hold a university degree from a university recognized by the Ministry of Higher Education and Scientific Research, with the exception of certain non-classified positions where high school and diploma holders may be appointed.
  - The candidate must pass the various stages of the appointment process, including any required entrance exams and personal interviews, depending on the position and corresponding level.
  - The new employee will be subject to the probationary period stipulated by the provisions of the Jordanian Labor Law. During this period, the employee's performance will be monitored and evaluated by their supervisors according to the established and approved standards in order to make the appropriate decision regarding confirmation of permanent service with the bank.
  - Ensure the implementation of the bank's policy for the appointment of relatives at the bank.
  - Adopt the best modern methods for attracting and recruiting qualified and experienced professionals.

Customer Complaints Unit

Customer complaints offer us an opportunity to enhance our service performance. We are pleased to effectively resolve a customer's complaint, but our task does not stop there. We view these complaints as a valuable source of information that allows us to elevate our service standards. We affirm that achieving an excellent level of customer complaint management is a key objective for Bank al Etihad. This is for the purpose of establishing and developing general concepts for serving the complainant by educating them on banking policies and laws, so they are aware of their rights should they wish to file a complaint and to help them understand the required, easy-to-follow, and responsive procedures for doing so.

In accordance with the "Fairness and Transparency in Dealing with Customers" instructions no. 56/2012, issued by the Central Bank of Jordan on October 31, 2012, a dedicated unit for managing and handling customer complaints has been established and staffed with qualified personnel and automated systems. This unit reports administratively to the Compliance Department.

The responsibility for following up on customer complaints falls to the unit's staff. The employee in charge of receiving a complaint allocates time and listens carefully to the customer, and contributes effectively and accurately to helping them resolve their complaint and explaining the bank's viewpoint to reach a satisfactory and objective conviction for both parties. The main tasks of the Customer Complaints Unit are:

1. Receiving, analyzing, documenting, and following up on customer complaints using the dedicated complaints system/ electronic register.
2. Responding to customer complaints within the specified timeframe.
3. Preparing customer complaint reports that include a consolidated statistic of the number of complaints received, the actions taken regarding them, a qualitative analysis of the nature of the complaints, and an action plan to prevent or reduce their recurrence. These reports are then sent to the relevant authorities.
4. Submitting monthly reports to the bank's senior management and concerned department managers with details of the complaints received.
5. Submitting quarterly reports to the Central Bank of Jordan that include, at a minimum, a consolidated statistic of the number of complaints received, the actions taken regarding them, and a qualitative analysis of the nature of the complaints.
6. Creating, approving, and circulating a mechanism for managing and handling customer complaints to all bank employees.
7. Providing multiple channels for the customer to submit their complaint, such as:
   - Phone: +962 6 560 0444
   - Email: customerscomplaint@bankaletihad.com
   - Fax: +962 6 562 4231
   - Regular mail: Customer Complaints Management Unit – General Administration P.O. Box: 35104, Postal Code: 11180, Amman – Jordan
   - Visiting a branch in person
   - Complaints boxes in the branches

The following data shows the number of customer complaints received through the various channels during the year 2024:

Category	Total Number of Complaints
Contracts and Terms of Work	63
Professional Conduct	239
Work Environment	17
Electronic Services	91
Transfers	5
Payment Cards	28
Commissions and Fees	16
Credit Inquiry	1
Interest/Return Rates	10
Accounts	46
Forgery and Fraud	2
Total	**518**

These complaints were dealt with within the following framework:

- Providing complaints with reference numbers and giving them to customers for tracking.
- Studying and analyzing complaints and responding to them within the specified timeframe, according to the complaints' classification and nature.
- Recommending proposed measures to mitigate the recurrence of these complaints in the future, including:
  - Modifying work procedures if necessary.
  - Taking corrective actions.
  - Adjusting the infrastructure for electronic services.
  - Training employees.
  - Sending circulars to the relevant service departments within the bank.

Endorsement by the Board of Directors

1. The bank's Board of Directors confirms that there are no material issues that could affect the continuity of the bank during the next financial year, 2025.
2. The Board of Directors confirms its responsibility for preparing the financial statements and providing an effective control system within the bank.
3. The Board of Directors assumes responsibility for the accuracy and adequacy of the bank's financial statements and the information contained in the report, as well as for the adequacy of the internal control and supervision systems.
4. The Board of Directors confirms that no member of the Board received any benefits from their work at the bank that were not disclosed, whether these benefits were material or in-kind, and whether they were for them personally or for any related parties, for the past year.

Name	Position	Signature
Basem Isam Halim Salfiti	Chairman	
Jabra "Raja Yaqoub" Jabra Ghandour	Vice Chairman	
General Social Security Corporation Shaden Ziyad Nabih Darwish Alhaji	Board Member	
Nadia Ahmed Abdul Mohsen Al Anani	Board Member	
Lana Yousef Ibrahim Ghanem	Board Member	
Mughith Ghiath Munir Sukhtian	Board Member	
The Libyan Foreign Investment Company Moussa Alhassan Atiq Ali – in the first seat Ali Mahmoud Hassen Mohammed – in the second seat	Board Member	
Imad Mohammad Ali Abdel-Khaleq	Board Member	
Tarek Rajai Halim Salfiti	Board Member	
Waddah Isam Hasan Al Barkawi	Board Member	

5. We, the undersigned, confirm the accuracy and completeness of the information and data contained in the Annual Report.

Name	Position	Signature
Basem Isam Halim Salfiti	Chairman	
Nadia Ahmed Abdul Mohsen Al Anani	CEO	
Zaid Eyad Akram Kamal	CFO	

Corporate governance manual

Section one: Introduction

The Board of Directors has adopted this Corporate Governance Manual based on Bank al Etihad's strong belief in its importance. The manual serves to reinforce the principles of safety and soundness in the banking sector and strengthen the confidence of depositors and investors. This approach has a positive effect on the bank's well-being and provides a sound basis for our strategic growth plans. The manual outlines the principles for managing our institution and the relationships among all parties concerned with the bank: shareholders, depositors, the Board of Directors, Executive Management, employees, and the various regulatory authorities.

This manual was developed in accordance with the Central Bank of Jordan's corporate governance instructions for banks, No. 2/2023, issued on 14/2/2023, and other related laws, and in line with international best practices for corporate governance.

Corporate governance is defined as the system by which the bank is directed and managed. It aims to define and achieve the bank's institutional objectives, manage the bank's operations securely, protect depositors' interests, fulfill the due responsibility towards investment account holders, shareholders, and other stakeholders, and ensure the bank's commitment to effective legislation and its internal policies.

This manual is based on the following four guiding principles:

- The fair treatment of stakeholders (e.g. shareholders, depositors, creditors, employees, regulatory authorities).
- Transparency and disclosure, by disclosing all financial and non-financial information of interest to stakeholders in a timely manner.
- Accountability in the relationships between the bank's Executive Management and the Board of Directors, between the Board of Directors and shareholders, and between the Board of Directors and other relevant stakeholders.
- It expresses the bank's own view on corporate governance in terms of its concept, importance, and basic principles, in a way that is at a minimum, consistent with effective legislation and ensures the achievement of best practices in this field, provided that it is updated annually.

The Board of Directors, through the Corporate Governance Committee, will also ensure the implementation of everything contained in this manual.

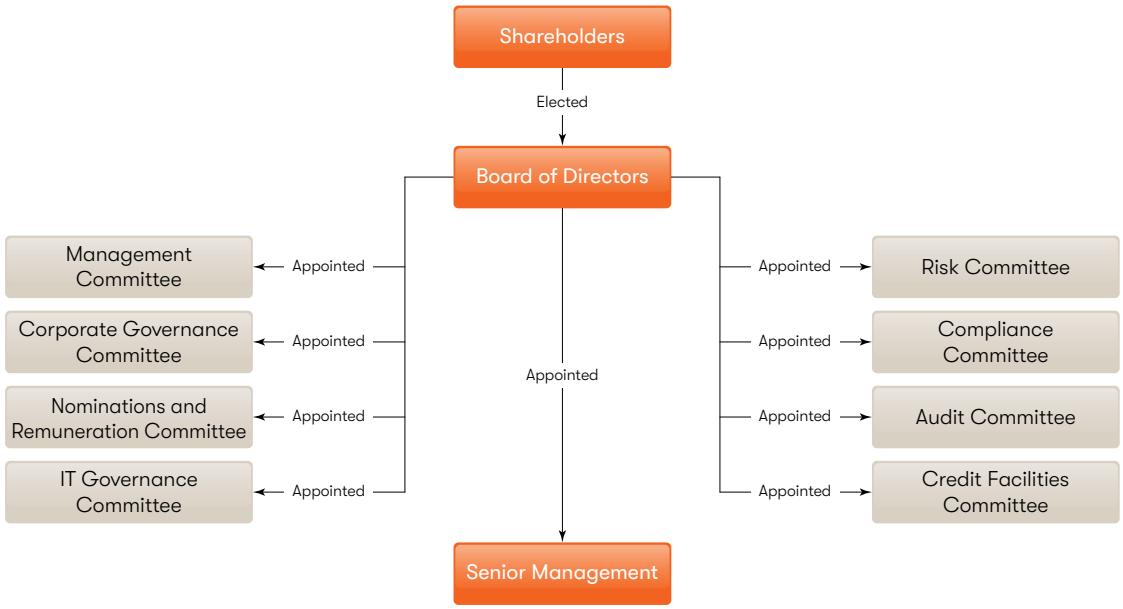
The bank publishes this manual in its annual report and on its website. It also discloses in the annual report the extent of the bank's commitment to implementing all the manual's provisions. Any shareholder will be provided with a copy of this manual upon request.

At Bank al Etihad, we believe that the creative application of corporate governance principles also includes:

- Organizing the relationships among all parties concerned with the bank.
- Ensuring the implementation of an organizational structure that guarantees efficiency, accountability, responsibility, and internal control.
- Building an institutional culture that believes in the institution's goals and reinforces the principles of responsibility, efficiency, and effectiveness.
- Developing sound and efficient principles for the development and activation of the role of internal control, auditing, risk management, and compliance.

Section two: Corporate governance structure

Bank al Etihad is managed under the directives of the Board of Directors, which, in turn, allocates management duties to the bank's staff and executives under the supervision and direction of the Chief Executive Officer. This manual outlines the Board of Directors' composition, responsibilities and relationship with the Executive Management, employees, and minority shareholders.



Section three: Composition of the board of directors

- The Board of Directors consists of 11 members.
- The Board will appoint a Chairman from among its members.
- The Nominations and Remunerations Committee shall name members of the Board, considering the competencies and credentials of the nominees as well as their past performance as Board Members.
- The Board's term of office shall be four years from the date of its election, and each member shall be eligible to run for re-election at the bank's Annual General Assembly Meeting.
- The positions of Chairman of the Board (the Chairman) and Chief Executive Officer shall be separate. The Chairman and the Chief Executive Officer shall not be related to the third degree of kinship. The separation of responsibilities shall be based on written instructions approved by the Board and reviewed as needed.
- The Board members shall have a diversity of skills and experience to ensure a wide range of perspectives and views, consistent with the size of the bank (or banking group), its nature of business, and its strategy.
- The number of independent members on the Board must not be less than four.
- The Chairman or a member of the Board of Directors may not hold an executive position or any position that involves participation in the day-to-day management of the bank or any advisory position in the bank.

An independent member is defined as a natural person who has no relationship with the bank other than their membership on the Board of Directors and is not a principal shareholder. This ensures their judgment is not influenced by any internal or external considerations or matters that may limit their ability to make objective decisions in the bank's best interest. The minimum requirements for an independent member are as follows:

1. Must be a natural person.
2. Must not have been an employee of the bank or any of its subsidiaries, or an advisor to the bank or any of its subsidiaries, within the three years prior to their nomination.
3. Must not be related to any other Board member, any member of the board of directors/managers of the bank's subsidiaries, or a principal shareholder in the bank, up to the second degree of kinship.

4. Must not be related to any member of the Senior Executive Management of the bank (except the CEO) or any member of the Senior Executive Management of any of the bank's subsidiaries, up to the second degree of kinship.
5. Must not be a partner or employee of the bank's external auditor, and must not have been a partner or employee within the three years prior to their nomination.
6. Must not be a principal shareholder in the bank or an ally of a principal shareholder in the bank. Their shareholding, combined with that of an ally, must not constitute a principal shareholding. They must also not be a principal shareholder in any of the bank's subsidiaries or a principal shareholder in the bank's owning group.
7. Must not have served on the Board of Directors of the bank or any of its subsidiaries, or as a member of their board of managers, for more than a combined total of eight years. If a member loses their independence under this clause, they may, after a continuous cooling-off period of at least (4) years, apply to the Central Bank for a non-objection to be considered an independent member, provided they have sufficient justification.
8. Neither the candidate, their spouse, any first-degree relatives, nor any company in which they are a board member, owner, or principal shareholder, or in which they hold a Senior Executive Management position, shall have credit from the bank exceeding (5%) of the bank's regulatory capital. They also may not be a guarantor for credit from the bank exceeding the same percentage. The Central Bank may consider specific cases related to individuals nominated who hold memberships in public joint-stock companies.

Section four: Qualifications and responsibilities of Board members

In addition to the conditions specified under the Companies Law regarding the specifications and qualifications of the Board of Directors, the following conditions must be met by members of the Board of Directors to ensure the Board's efficiency in performing its duties.

First: Personal qualities

1. Independence in judgment and sound decision-making.
2. Integrity and objectivity.
3. Credibility and honesty.
4. Transparency.
5. Avoiding conflicts of interest or exploiting the position and information available to them by virtue of their membership on the Board of Directors.
6. Leadership skills.

Second: Technical qualifications and experience

1. The ability to understand and evaluate the bank's financial performance by reviewing various financial reports and statements.
2. Must possess academic qualifications and/or practical experience in the fields of accounting, finance, or banking.
3. A reasonable understanding and knowledge of banking operations and the risks associated with banking.
4. Familiarity with the laws, legislation, and instructions that the bank must adhere to.
5. Thorough knowledge of the instructions of the Central Bank of Jordan and any relevant supervisory bodies, and continuous awareness of any amendments or additions regarding them.
6. Awareness of and following up on new topics in the financial services sector.
7. Familiarity with the bank's operations and staying informed of any amendments or additions that may affect it, including the requirements for appointment to Senior Executive Management positions at the bank.
8. The ability to handle and manage crises in the short and long term.
9. The ability for strategic planning and a clear future vision.

Third: Duties and responsibilities

1. Members of the Board may attend meetings and committee meetings via video conference, provided that the Chairman and the Secretary of the Board, as well as the committee chairman and secretary, endorse the minutes and legal quorum of the respective meeting.
2. Commitment to membership in the required Board committees and attendance at their meetings.
3. Attendance at General Assembly meetings.
4. Striving to obtain all necessary information to ensure that all decisions made are in the best interest of the bank.
5. Obtaining objective advice from external parties if needed.
6. Prioritizing the bank's interest in all transactions with any other company in which the member has a personal interest, not taking a business opportunity intended for the bank for their own benefit, and avoiding conflicts of interest by disclosing any such conflict to the Board in detail.
7. Regularly and in writing, disclosing any personal interest in any transaction or contract with the bank that involves the member, their spouse, or a relative up to the third degree, or companies in which they have a significant interest. The member must not participate in any meeting where such a transaction or contract is discussed and, therefore, should not vote on any decisions that may involve a conflict of interest. This disclosure must be recorded in the minutes of the Board meeting.
8. Not disclosing the bank's confidential information or using it for their own benefit or the benefit of others.
9. Assessing the impact of other activities of Board members on their independence as Board members of the bank.
10. No Board member shall influence the decisions of the Executive Management except through deliberations that take place in meetings of the Board or its committees.
11. Devoting sufficient time and effort to the bank.
12. Staying continuously informed of developments in the banking sector, both locally and globally.
13. Each member must allocate sufficient time to carry out their duties as a Board member.
14. Sufficient knowledge of the legislation and principles related to banking and the bank's operational environment, and keeping up with the developments that occur within it, as well as external developments that are related to its business.

Section five: Board of Directors' responsibilities

General framework

1. The Board must oversee the Executive Management and adopt a policy to monitor and review its performance to achieve institutional objectives, and ensure the soundness of all the bank's operations.
2. The Board must define the bank's corporate values, establish clear lines of responsibility and accountability for all the bank's activities, and instill a strong culture of high ethical standards, integrity, and professional conduct among the bank's managers.
3. The Board is responsible for implementing the requirements of the Central Bank, as well as the requirements of other supervisory and regulatory bodies related to its work, considering stakeholders, ensuring the bank is managed within the framework of its legislation and internal policies, and that effective supervision is continuously available over the bank's activities, including those outsourced to third parties.
4. The Board must define the bank's strategic objectives, direct the Executive Management to prepare a strategy to achieve these objectives, and approve it, as well as approve action plans that align with it.
5. The Board of Directors must ensure that the bank is managed prudently and within the framework of the effective laws and instructions and the bank's internal policies, and that effective supervision is continuously available over the bank's activities, including those outsourced to third parties. Therefore, the Board bears the responsibility of supervising the bank's Executive Management.
6. The Board must reinforce the principle that every Board member has a commitment to the bank and all its shareholders, not to a specific shareholder.
7. The Board must ensure that no member of the Board of Directors, Executive Management, or bank employees gains any personal benefit at the expense of the bank's interest.
8. The Board must identify the banking operations that require its approval, while ensuring not to expand this to a degree that compromises the Board's supervisory role. It should not grant executive powers, including credit-granting powers, to a single Board member, including the chairman. The Board may form a committee, to be named the "Facilities Committee," to consider exclusively those facilities that exceed the authority of the highest committee in the Executive Management.

9. The Board must verify that the bank's credit policy includes evaluating the quality of corporate governance of its public shareholding company clients, so that client risk is assessed by strengths and weaknesses based on their level of corporate governance.
10. The Board must establish a policy that includes the bank's responsibility towards environmental protection and social responsibility (Environmental and Social Policy), provided that the bank's disclosures in its annual report and/or sustainability report include the initiatives the bank is pursuing in this regard, with a minimum of:
    - Social initiatives in environmental protection, health, and education.
    - Social initiatives to combat poverty and unemployment.
    - Encouraging medium and micro-financing.
    - Participation in initiatives with added economic value for the community.
11. The Board must approve the bank's overall organizational structure.
12. The Board must take measures to ensure a clear separation between the authorities of major shareholders on one hand and the Executive Management on the other. It must also establish appropriate mechanisms to limit the influence of major shareholders, and ensure that the Senior Executive Management derives its authority solely from the Board and operates within the scope of the delegation granted to it.

Regarding risk management and regulatory requirements

1. The Board must approve a risk management strategy and monitor its implementation. This strategy should include the acceptable level of risk and ensure the bank is not exposed to high-risk situations. The Board must be aware of the bank's operational environment and its high risks, and ensure that the bank has the tools and infrastructure to manage risk, capable of identifying, measuring, analyzing, assessing, and monitoring all types of risks the bank is exposed to.
2. The bank must ensure compliance in all its activities with all legislative laws issued by government and regulatory authorities and ensure that all bank employees at all management levels comply with them.
3. Through the various Board committees, the Board must ensure the accuracy of the information provided to the regulatory authorities.
4. The Board must ensure that all of the bank's risks are managed properly. To ensure this, the Board must regularly review the bank's qualitative and quantitative risk reports and statistics.
5. The bank must ensure a regular rotation of the external auditor every seven years at most. The external auditor should not be changed during the contract period except after obtaining the approval of the Central Bank and for substantial reasons. The former firm cannot be re-elected for at least three years from the date of its last election at the bank.
6. The Board must ensure the bank's disclosures are in accordance with International Financial Reporting Standards (IFRS) and International Accounting Standards (IAS), as well as the applicable Central Bank of Jordan instructions issued under the effective Banking Law and related legislation.
7. The Board must ensure full compliance with all amendments to the International Financial Reporting Standards (IFRS).
8. The Board must ensure the bank is aware of changes to international financial reporting practices and the required scope of transparency for financial institutions.
9. The Board must approve a strategy that outlines the bank's approach and procedures for the early identification of credit exposures that are potentially or already classified as non-performing. This strategy should also include mechanisms for monitoring their current and expected levels and defining practical plans to be followed to reduce the volume of these exposures within realistic timeframes.
10. The Board must ensure that the Executive Management establishes the necessary procedures to implement the strategy for dealing with credit exposures that are potentially or already classified as non-performing. This should include, at a minimum, the following:
    - Identifying the various available options for dealing with these exposures, such as restructuring, scheduling, or negotiating and settling with clients, or legal actions, etc.
    - Setting clear standards to ensure a periodic evaluation of the feasibility of these options.
    - Establishing targeted quantitative indicators over acceptable time periods to reduce the volume of these exposures.
11. The Board of Directors must adopt performance indicators to monitor the effectiveness of the above strategy through the bank's risk management department. The performance indicators should include qualitative and quantitative measures that enable the Board to evaluate the quality of the corrective measures taken by the Executive Management and to take corrective actions if the strategy proves ineffective in achieving the targeted indicators.

12. The Board must ensure the provision of necessary resources to implement the above strategy, including the sufficiency of specialized human resources and systems, as well as defining and documenting the roles, responsibilities, reporting lines, and incentives that support the implementation of that strategy.
13. The Board must ensure that the department responsible for implementing the above strategy is independent of the business and lending units to avoid the potential for conflicts of interest.
14. The Board must ensure the existence of an integrated system for control and oversight within the bank (including automatic classification systems) to ensure the bank's compliance with the requirements of these instructions as a minimum.
15 The Board must ensure that the bank's credit policy includes the following:
    - An indication of the bank's commitment to the requirements of these instructions as a minimum.
    - The existence of effective hedging mechanisms to manage credit risks that cover all of the bank's activities, and their periodic review whenever necessary to ensure the treatment of any weaknesses in credit decision-making mechanisms that have led to the bank incurring losses.
    - The definition of classification categories in the bank's internal classification system that correspond to the credit exposure classification categories specified in Article (3) of these instructions.
    - The necessary oversight procedures to ensure that the bank's operating entities outside the Kingdom comply with the requirements of these instructions as a minimum, and to ensure a periodic review to guarantee continuous compliance. The bank's performance of these procedures must be documented periodically, and an annual report containing the results of these procedures must be provided to the Central Bank, attached to the semi-annual financial statements.
16. The necessary oversight procedures to ensure the determination of credit risk volume and the mechanism for hedging it at any of the bank's subsidiaries that are not included in the scope of application specified under Article (2/a) of the Conflicts of Interest Instructions No. (8/2024).
17. The Board of Directors must adopt procedures for the periodic evaluation of credit risk mitigants, such as collateral pledged to the bank against credit exposures, regardless of their classification. This includes procedures for evaluating real estate collateral and the criteria for accrediting external real estate appraisers, while ensuring compliance with the following:
    - The entity responsible for the evaluation must issue reports indicating the bank's ability to liquidate any of the collateral and the expected period for its disposal within the estimated value of the collateral adopted by the entity responsible for the evaluation.
    - Real estate collateral must be evaluated by at least one real estate expert or by the bank's own real estate expert if the value of the property collateralizing the credit exposures does not exceed JOD (100,000).
    - Real estate collateral exceeding JOD (100,000) must be evaluated by at least two external real estate appraisers, and the average of these valuations shall be adopted. In case of a variance in valuations exceeding (20%), the lower real estate valuation shall be adopted.
    - Real estate collateral must be re-appraised within six months from the date the non-performing classification provisions apply to the credit exposures guaranteed by those properties.

Regarding appointments and succession

1. The appointed CEO must not be related to the Chairman of the Board up to the third degree.
2. The Board, based on the recommendation of the relevant committee, must approve the appointment of the CEO, the Head of Internal Audit, the Head of Risk Management, and the Head of Compliance, as well as accept their resignations or terminate their services.
3. The bank must obtain the Board's approval when appointing, transferring, promoting, assigning, or accepting the resignation or terminating the services of any member of the bank's Senior Executive Management.
4. The bank must obtain a letter of no objection from the Central Bank before appointing, transferring, promoting, or assigning any member of the Senior Executive Management. The request for a letter of no objection must be accompanied by the Board's decision, the recommendation of the relevant committee, the approved overall organizational structure, the member's declaration (as per Annex No. 2), its attachment (according to the governance instructions forms 2/2023), the resume, academic certificates, experience certificates, a certificate of non-conviction, and a copy of the civil ID (or passport for non-Jordanians). The Central Bank will not consider any request for a letter of no objection unless it is complete with the above attachments.
5. The bank must obtain a letter of no objection from the Central Bank for the resignation or termination of the services of the CEO, Regional Manager, Head of Internal Audit, Head of Risk Management, and Head of Compliance. The Central Bank may summon any manager at the bank to verify the reasons for the resignation or termination of services.

6. The Board must approve succession plans for the bank's executive managers, which should include the qualifications and requirements that must be met by those holding these positions.
7. The Board must ensure the independence and objectivity of the internal audit function, give its employees an appropriate status in the bank's career ladder, and ensure they are qualified to perform their duties.

Regarding self-assessment and the CEO's performance evaluation

1. The Board—through the Nominations and Remuneration Committee—must evaluate the performance of the Board as a whole at least once annually.
2. The Nominations and Remuneration Committee must review and evaluate the performance of each member of the Board of Directors annually.
3. The Board must evaluate the CEO's performance annually according to a system prepared by the Nominations and Remuneration Committee and approved by the Board. This system should include KPIs and the criteria for evaluating the CEO's performance must, at a minimum, include the bank's financial and administrative performance relative to its risk exposure, and the extent of their achievement of the bank's medium and long-term plans and strategies. A weighted average should be assigned to each evaluation item, and the committee must inform the Central Bank of the evaluation result.
4. The Board must approve a policy to monitor and review the Executive Management's performance by setting KPIs to define, measure, and track performance and progress towards achieving the institutional objectives.

Regarding planning, code of conduct and conflict of interest

1. The Board must ensure that the bank operates with a high degree of integrity. This is achieved through the availability of policies and a code of business ethics that includes a definition of conflicts of interest and transactions undertaken by bank employees for their personal gain based on inside information about the bank obtained as a result of the powers granted to them. These policies and the code of business ethics must be circulated to all bank employees and Board members, and they must be approved by the Board and published to the public.
2. The Board must approve the disclosure policy, which includes all matters that must be disclosed to the public through the bank's annual report, press releases, the bank's website, etc.
3. The Board must take measures to ensure a clear separation between the authorities of shareholders with a significant interest and the Executive Management to promote sound corporate governance. It must also establish appropriate mechanisms to limit the influence of shareholders with a significant interest, through, for example, but not limited to, the following:
   - No shareholder with a significant interest should hold any position in the Senior Executive Management.
   - The Executive Management must derive its authority solely from the Board and operate within the scope of the delegation granted to it.
4. Members of the Board and its committees must have direct access to the Executive Management and the Board Secretary, and their performance of assigned tasks must be facilitated. It must be emphasized that no Board member should influence the decisions of the Senior Executive Management except through deliberations that take place in the meetings of the Board or its committees.
5. The Board must take due diligence measures when deciding on any matters concerning the bank's business and adhere to sound principles to arrive at a decision, ensuring its duties are performed at the highest levels of professionalism.

Control and oversight systems

1. The Board must ensure that the bank has work policies, plans, and procedures that are comprehensive for all its activities and are in line with the relevant legislation. It must also ensure that they have been circulated to all management levels and are reviewed regularly.
2. The Board must ensure the existence of adequate and reliable management information systems (MIS) that cover all of the bank's activities.
3. The Board must take the necessary measures to enhance the effectiveness of internal audit by giving due importance to the internal audit function and reinforcing this within the bank. It must ensure and promote the independence of internal auditors, give them an appropriate place in the bank's career ladder, and ensure they have the necessary knowledge, skills, and competence to perform their duties. It must also guarantee their right to access all records and information and to contact any manager at the bank to enable them to perform their assigned tasks and prepare their reports without any interference.

Section six: Responsibilities of the bank's Chairman of the Board

1. Building a constructive relationship between the Board and the bank's Executive Management.
2. Fostering a culture during Board meetings that encourages constructive criticism on issues where members have differing views and promotes discussion and voting on those issues.
3. Ensuring that sufficient and timely information is provided to both Board members and shareholders.
4. Providing each member with an adequate summary of the bank's business upon their appointment or upon request.
5. Providing each Board member upon their election with relevant laws related to banking, Central Bank instructions concerning the Board's work (including corporate governance instructions for banks), and a booklet outlining the member's rights, responsibilities, duties, and the duties of the Board secretary.
6. Consulting with any new member, with the help of the bank's legal counsel, about the Board's tasks and responsibilities, especially regarding legal and regulatory requirements. This is to clarify duties, authorities, and other membership matters, including the term of membership, meeting schedules, committee tasks, compensation value, and the possibility of obtaining independent expert technical advice when necessary.
7. Meeting the needs of Board members regarding the development of their expertise and continuous learning. A new member should be able to attend an orientation program that considers their banking background and includes, at a minimum, the following topics:
   - The bank's organizational structure, corporate governance, and professional code of conduct.
   - The institutional objectives, the bank's strategic plan, and its approved policies.
   - The bank's financial condition.
   - The bank's risk structure and its risk management framework.
8. Ensuring the existence of a charter that organizes and defines the work of the Board.
9. Discussing strategic and important issues extensively during Board meetings.
10. Ensuring that the bank has high standards of corporate control.
11. Calling for Board meetings and meetings of the Board's committees to ensure compliance with the instructions of this guide and the efficiency of the committees' work.
12. Ensuring that all Board members receive and sign the minutes of previous meetings and receive the agenda for any upcoming meeting with sufficient time in advance. The agenda should include adequate written information about the topics to be discussed, with delivery handled by the secretary.
13. The Chairman of the Board must send an invitation to the Central Bank to attend General Assembly meetings with sufficient notice to allow for the designation of a representative.
14. The Chairman must provide the Central Bank with the minutes of the General Assembly meetings within a period not exceeding five days from the date the Companies General Controller or their representative certifies the meeting minutes.
15. Ensuring that the Central Bank is informed of any material information that could negatively affect the suitability of any member of Senior Executive Management.

Section seven: Organising the Board's work

1. The Board will meet at least six times a year.
2. To ensure that the topics presented at Board meetings are comprehensive, Executive Management should propose topics for the agenda of each meeting.
3. Senior Executive Management must provide Board members with the meeting agenda items and sufficient, accurate information on the topics listed on the agenda at least one week prior to the Board meeting. The Chairman of the Board must verify this.
4. Board members must stay continually informed about developments within the bank and the local and international banking sectors. The bank should provide members with a suitable summary of the bank's business and key developments in the banking sector on a periodic basis and when needed or requested.
5. Board members and their committees have the authority to contact Executive Management and the Board's secretary directly whenever necessary.

6. Board members and their committees have the authority to use external resources to assist them in performing their assigned duties to the fullest extent possible, as needed, in coordination with the Chairman of the Board.
7. Board and committee meetings must be accurately and fully recorded in official minutes that document the actions taken and decisions made by the Board and its committees. These minutes serve as legal proof of the procedures undertaken by the Board or its committees and as a record of the events that occurred during the meetings to prevent any ambiguity. Therefore, it is crucial to ensure accuracy when writing these minutes, including a precise record of any votes taken and any reservations raised by a member. Any supporting documents or references to documents used during the meetings must also be attached. The bank must retain all of these minutes appropriately.

Section eight: Board Secretary

1. The decision to appoint or remove the Board Secretary is made by the Board with unanimous approval.
2. When appointing the Board Secretary, a bank employee known for high levels of precision and commitment to work should be chosen.
3. The Board must officially and in writing define the role and duties of the Board Secretary in a manner that aligns with the level of responsibilities mentioned in this guide.
4. The responsibilities of the Board Secretary include, at a minimum, the following:
   - Providing each newly elected Board member with a letter clarifying their rights, responsibilities, and duties.
   - Attending all Board meetings and accurately documenting all deliberations, suggestions, objections, reservations, and how votes were cast on draft Board resolutions.
   - Ensuring that Board members follow the procedures approved by the Board and that information is effectively transferred between Board members, their committees, and Executive Management.
   - Ensuring that Board members sign the minutes of meetings and resolutions.
   - Following up on the implementation of decisions made by the Board and tracking the discussion of any topics that were postponed from a previous meeting.
   - Scheduling Board meetings in coordination with the Chairman of the Board and writing meeting minutes according to the specifications mentioned above.
   - Preparing the Board meeting agenda and providing members with all relevant information and documents in a timely manner before the meeting.
   - Maintaining the records and documents of Board meetings.
   - Taking the necessary actions to ensure that the draft resolutions intended for issuance by the Board comply with legislation, including those issued by the Central Bank.
   - Preparing for General Assembly meetings.
   - Cooperating with the committees established by the Board.
   - Providing the Central Bank with the suitability declarations signed by Board members.
   - Facilitating Board members' access to all necessary information.
   - Managing the relationship with shareholders and ensuring they can easily access all the information needed to follow and evaluate the bank's work.

Section nine: Relationship with shareholders

1. The bank will take the necessary steps to ensure effective and continuous communication with shareholders through the dedicated department responsible for this task.
2. A department for shareholder affairs will be established to ensure efficient communication and the provision of relevant information to shareholders through the bank's website and other communication channels.
3. All necessary information will be disclosed to shareholders, and their access to this information will be facilitated.
4. The bank will take steps to encourage shareholders, especially small shareholders, to attend the annual General Assembly meeting and to vote either in person or by proxy in case of their absence.
5. Representatives from the external auditors must attend the annual General Assembly meeting to answer any questions that may arise regarding the audit and the auditor's report.
6. Each issue raised during the annual General Assembly meeting should be voted on separately.

7. Board members are elected or re-elected during the annual General Assembly meeting. The external auditor is also elected during the same meeting.
8. After the annual General Assembly meeting concludes, a report will be prepared to inform shareholders about the observations made during it and the outcomes, including voting results and the questions raised by shareholders and the responses from Executive Management.

Section ten: Suitability

Members of the Board of Directors and Senior Executive Management must possess the highest degree of credibility, integrity, competence, necessary experience, and the ability to commit and dedicate time to the bank's work. The Board and the Nominations and Remuneration Committee are responsible for ensuring this.

Suitability of Board members

1. The Board must adopt a policy to ensure the suitability of its members. This policy should include the minimum standards, requirements, and conditions that must be met by a nominated member. This policy should be reviewed as needed, and adequate procedures and systems should be put in place to ensure that all members meet the suitability criteria and continue to possess them.
2. Anyone who holds the chairmanship or membership of the bank's Board of Directors must meet the following conditions:
   - Be at least 25 years old.
   - Not be a member of the Board of Directors of any other bank within the Kingdom, its general manager, regional manager, or an employee, unless the other bank is a subsidiary of that bank.
   - Not be a lawyer, legal advisor, or auditor for the bank, or a consultant for any other bank within the Kingdom.
   - Hold at least a bachelor's degree in Economics, Finance, Accounting, Business Administration, or any similar specialization. The Nominations and Remuneration Committee may consider other specializations (including law and information technology) if they are combined with sufficient experience related to banking activities or related activities in accordance with the corporate governance instructions issued by the Central Bank.
   - Not be an employee of the government or any official public institution unless they are representing it.
   - Have at least five years of experience in banking, finance, economics, or similar fields.
   - Not have any relationship, including a kinship up to the third degree with the bank's CEO, and up to the first degree with any other member of Senior Executive Management.
3. Everyone who holds the chairmanship or a membership of the Board of Directors must sign a suitability declaration to be kept by the bank, and a copy must be sent to the Central Bank along with the member's curriculum vitae.
4. The Chairman of the Board must ensure that the Central Bank is informed of any material information that could negatively affect the suitability of any of its members.

Suitability of members of the Senior Executive Management

1. The Board must adopt a policy to ensure the suitability of the bank's Senior Executive Management members. This policy should include the minimum standards, requirements, and conditions that a Senior Executive Management member must meet. The Board must review this policy from time to time and establish sufficient procedures and systems to ensure that all members of Senior Executive Management meet the suitability criteria and continue to possess them.
2. The Board must appoint a General Manager who possesses integrity, technical competence, and experience.
3. The bank must obtain the Board's approval when appointing, transferring, promoting, assigning, or accepting the resignation or termination of services of any member of the bank's Senior Executive Management.
4. The Board must approve a succession plan for the bank's Senior Executive Management members, and the Board must review this plan at least once a year.
5. The Board must inform the Central Bank of any material information that could negatively affect the suitability of any member of its Senior Executive Management.

6. Anyone appointed to the bank's Senior Executive Management must meet the following conditions:
   - Not be a member of the Board of Directors of any other bank within Jordan, unless the other bank is a subsidiary of that bank.
   - Be dedicated to managing the bank's business.
   - Hold at least a bachelor's degree in Economics, Finance, Accounting, Business Administration, or any similar specialization related to the bank's work.
   - Have at least five years of experience in banking or related fields, with the exception of the CEO or Regional Manager position, who must have at least ten years of experience in the banking sector.
   - Not be a major shareholder and not have any relationship with the Chairman of the Board, any Board members, or any major shareholder in the bank, including kinship up to the third degree in the case of the CEO and the first degree in the case of any other member of Senior Executive Management.
7. The bank must obtain the Central Bank's non-objection before appointing, transferring, promoting, or assigning any Senior Executive Management member. The non-objection request must be accompanied by the Board's resolution, the specialized committee's recommendation, the approved general organizational structure, the member's declaration (as per Annex No. 2), its attachment (according to the Corporate Governance Instructions forms 2/2023), the curriculum vitae, academic certificates, experience certificates, a certificate of no criminal record, and a copy of the civil ID card (or passport for non-Jordanians). The Central Bank will not consider any non-objection request unless it is complete with the aforementioned attachments.
8. The bank must obtain the Central Bank's non-objection to the resignation or termination of services of the CEO/ Regional Manager, the Director of Internal Audit, the Director of Risk Management, and the Director of Compliance. The Central Bank may summon any bank manager to verify the reasons for the resignation or termination of services.

Section eleven: Performance evaluation of executive officers

1. The Board must ensure there's a system for evaluating its work and the work of its members. At a minimum, this system must include:
   - Setting specific, measurable objectives and defining the Board's role in achieving them.
   - Identifying key performance indicators (KPIs) derived from strategic plans and objectives, and using them to measure the performance of the Board and its committees.
   - The communication between the Board of Directors and shareholders, including the frequency of this communication.
   - The frequency of meetings between the Board and Senior Executive Management.
   - The member's attendance at and active participation in Board and committee meetings, as well as a comparison of their performance to that of other members. Feedback must be obtained from the member to improve the evaluation process.
   - The extent to which a member develops their knowledge of banking operations through participation in training programs.
2. The Board must evaluate the CEO's performance annually according to a system prepared by the Nominations and Remuneration Committee and approved by the Board. This includes setting KPIs. The criteria for evaluating the CEO's performance must, at a minimum, include the bank's financial and administrative performance relative to its risk level, and the extent to which they achieve the bank's medium- and long-term plans and strategies. A weighted score must be assigned to each evaluation item, and the committee must inform the Central Bank of the evaluation result.
3. The Board must adopt a system for measuring the performance of the bank's managers, other than Board members and the CEO. This system should take into account performance indicators that differ based on the nature of the departments' work and the extent to which they achieve their objectives. At a minimum, this system must include:
   - Assigning an appropriate weighted score to measure compliance with the framework of the Risk Management Department and the Compliance Department, as well as the implementation of internal controls and regulatory requirements.
   - Ensuring that total income or profit is not the sole factor in measuring performance. Other factors must be considered, such as the risks associated with core operations, the achievement of each department's objectives and annual plans, and, where applicable, customer satisfaction.
4. The performance of internal audit staff is evaluated by the Internal Audit Director in a manner consistent with the performance evaluation policy approved by the Board.

Section twelve: Remuneration of executive officers

1. The Board must establish procedures for determining its members' remuneration, based on the evaluation system it has approved.
2. The Nominations and Remuneration Committee at the bank is responsible for creating a policy for granting financial remuneration to executives that is objective and transparent. This policy must be approved by the Board, and a copy must be sent to the Central Bank within a maximum of seven business days from the date of its approval.
3. The remuneration policy must include at least the following elements:
   - It must be designed to attract, retain, motivate, and enhance the performance of executives with the necessary skills, competencies, and experience.
   - It must be designed to motivate executives to achieve the bank's objectives without leading to high risks that could negatively affect the bank's solvency or reputation, or expose it to legal risks. It must also consider risk, liquidity position, profits, and timing.
   - Remuneration should not be based solely on current year performance but also on medium- to long-term performance (3-5 years).
   - It must reflect the bank's objectives, values, and strategy.
   - It must define the form of remuneration, such as fees, salaries, allowances, bonuses, stock options, or any other benefits, while adhering to the instructions on acquiring a controlling interest.
   - It must include a mechanism for deferring the payment of a reasonable percentage of remuneration (excluding salaries). This percentage and the deferral period should be determined based on the nature of the work and the risks and activities of the relevant executive.
   - Financial remuneration for executives in supervisory departments (Risk Management, Audit, Compliance, etc.) must not be based on the business results of the departments they oversee.
   - It must include controls related to the remuneration of the Chairman, Board members, and committee members for the tasks they undertake as stipulated in these instructions. This remuneration may be variable based on the performance evaluation of the Board/committees/members and the bank's solvency and performance.
   - It must include a mechanism for clawing back deferred remuneration granted to an executive if it is later revealed that there were issues with their performance or if they exposed the bank to high risks due to avoidable decisions that were within their authority.

Section thirteen: Conflict of interest

1. Administrators must avoid conflicts of interest.
2. The Board must adopt a policy that governs conflicts of interest in all their forms, including those arising from the bank's association with companies within the banking group. It must also adopt the necessary procedures and systems to ensure adequate internal controls and oversight to monitor compliance with this policy and prevent violations. This policy must include, at a minimum, the following:
   - Avoiding activities that create a conflict between the bank's interests and any interest belonging to any administrator at the bank or any member of the board in any form.
   - Disclosing any matter that has arisen or will arise from a conflict between the bank's interest and any interest belonging to any administrator at the bank or any member of the board in any form, as soon as it is identified.
   - Prohibiting a Board member from disclosing or using confidential bank information for their own benefit or the benefit of others. A representative of a legal entity must not disclose any confidential information that was shared during Board and committee meetings to any person, including any administrator within that legal entity.
   - A Board member must prioritize the bank's interest in all transactions conducted with any other company in which they have a personal interest. They must not take commercial business opportunities belonging to the bank for their own benefit. They must avoid conflicts of interest and disclose any such conflicts to the Board in detail if they exist, and they must abstain from attending and participating in the decision made at the meeting where this topic is discussed. This disclosure must be recorded in the minutes of any Board or committee meeting.
   - Providing examples of situations that give rise to conflicts of interest, including conflicts between a Board member's interest and the bank's interest, a Board member's interest and the bank's interest, an Executive Management member's interest and the bank's interest, or a conflict between the interest of any company within the banking group, or a subsidiary or affiliate of the bank, and the bank's interest.

- Defining related parties with the bank in accordance with effective legislation and specifying the terms of transactions with those parties. This ensures that a related party does not receive better terms than those the bank applies to another client who is not a related party. This includes all of the bank's transactions with any of the companies within the banking group of which the bank is a part.
- Specifying the nature of transactions with related parties to include all types of transactions and not be limited to credit facilities.
- The procedures followed by the bank when non-compliance with the policy is identified.

3. The Board must adopt a professional code of conduct to ensure the bank conducts its business with high integrity. This code must, at a minimum, include situations that may give rise to conflicts of interest and ensure it has been circulated to all administrative levels within the bank.
4. The Internal Audit Department must conduct a review at least once a year to ensure that all transactions conducted with related parties have been carried out in accordance with effective legislation, the bank's internal policies, and approved procedures. It must submit its reports and recommendations on this matter to the Audit Committee. The Audit Committee must inform the Central Bank immediately upon identifying any violation of effective legislation and internal policies in this area.
5. The Board must ensure that Executive Management conducts its business with high integrity, avoids conflicts of interest, and implements approved policies and procedures objectively.
6. The Board must adopt controls for information flow between different departments to prevent its use for personal gain.

Section fourteen: General Provisions

1. The principle of transparency must be adopted when appointing members to Board committees. The names of the members of these committees and a summary of their tasks and responsibilities must be disclosed in the bank's annual report.
2. Some committees may be merged when necessary, provided that the merger does not affect the committees' responsibilities. However, the work of any committee may not be merged with the work of the Audit Committee.
3. The bank must inform the Central Bank at least 30 days before the date of the General Assembly meeting about its intention to nominate an external auditor for election (or re-election) by the General Assembly.
4. The bank must ensure the representation of women on the Board of Directors and Senior Executive Management.
5. The bank must verify that no major shareholder in the bank is related by kinship up to the third degree to the CEO, or up to the first degree with any other member of Senior Executive Management.
6. The bank must provide the Central Bank with information regarding members of the Board, its committees, Senior Executive Management members, and the members of the Shariah Board in accordance with the forms in Corporate Governance Instructions (2/2023) (4/1, 4/2, 4/3, 4/4) whenever any amendment occurs.
7. The bank must provide the Central Bank with information regarding the members of the boards of directors or boards of managers and Senior Executive Management of its subsidiary companies (including sub-subsidiaries) both inside and outside the Kingdom, in accordance with the forms in Corporate Governance Instructions (2/2023) (5/1, 5/2, 5/3) whenever any amendment occurs.
8. The bank must obtain the Central Bank's non-objection to the nomination of any member for the Board in a timely manner, at least one month before the date of the bank's General Assembly meeting. It must also inform anyone wishing to be nominated about the need to obtain the Central Bank's non-objection.
9. The bank must provide the Central Bank with its general organizational structure whenever an amendment is made, along with an explanation of the amendment.

Section Fifteen: Control Environment and Internal Audit First: Organizational Structure

First: Organisational Structure

1. To prepare the bank's general organizational structure for approval by the Board, as well as to prepare the sub-organizational structures for all units operating in the bank for approval by the CEO or Regional Manager. The sub-organizational structures for the supervisory departments of local banks, however, must be approved by the Board based on a recommendation from the specialized committee/authority. These structures must show the administrative hierarchy and clearly and in detail reflect the lines of responsibility and authority. The general organizational structure must include, at a minimum, the following:
   - The Board and its committees.
   - Executive Management and its committees.
   - Separate departments for Risk Management, Compliance, and Internal Audit, in a manner that allows them to perform their duties with complete independence, including not engaging in executive work. They should be shown as having a solid line of reporting to the specialized committee and a dotted line to the CEO.
   - Units that do not participate in executive work, such as credit review staff and the Middle Office.
   - Subsidiary companies and international branches.
2. The Board must adopt clear limits of responsibility and accountability and enforce them at all administrative levels within the bank.
3. The Board must ensure that Senior Executive Management carries out its responsibilities related to the daily management of the bank's operations, contributes to the implementation of corporate governance, delegates authority to employees, establishes an effective administrative structure that enhances accountability, and executes tasks in various business areas and activities in accordance with the policies and procedures approved by the Board.
4. The Board must adopt appropriate supervisory controls that enable it to hold Senior Executive Management accountable.
5. Notwithstanding the provisions of the Companies Law, the positions of Chairman of the Board and CEO may not be combined. The Chairman of the Board, any Board member, or any major shareholder must not be related to the CEO by kinship closer than the fourth degree.
6. In addition to what is stated in the legislation, the CEO must work on the following:
   - Developing the bank's strategic direction.
   - Implementing the bank's strategies and policies.
   - Implementing the Board's decisions.
   - Providing guidance for the implementation of short-term and long-term action plans.
   - Communicating the bank's vision, mission, and strategy to employees.
   - Informing the Board of all important aspects of the bank's operations.
   - Managing the bank's daily operations.
7. A specific charter will be adopted for each of the bank's departments. This ensures responsibilities are clearly defined to avoid duplication in performing various tasks and to ensure a high level of accountability and responsibility.
8. The bank must provide the Central Bank with its general organizational structure whenever an amendment is made, along with an explanation of the amendment.
9. A job description will be prepared for all positions at the bank to ensure the principles of accountability and responsibility, and to ensure that there are objective bases for measuring performance.

Second: Internal control systems

1. The structure of the internal control and oversight systems must be reviewed by the internal auditor and external auditor at least once a year.
2. The bank will establish procedures that enable employees to report, confidentially and in a timely manner, any concerns about potential violations. These procedures must allow for the independent investigation and follow-up of these concerns, and their implementation will be monitored by the Compliance Committee.

Third: Activating the role of departments concerned with the bank's risk management and internal control

These departments include:

Internal audit department

The Internal Audit Department shall undertake the following tasks as a minimum:

1. Verify the adequacy of the bank's and its subsidiaries' internal control and oversight systems and compliance with them, and review and document any amendments made to the structure of these systems.
2. Develop an Internal Audit Charter and have it approved by the Board based on the recommendation of the Audit Committee. The charter should include the tasks, powers, and work methodology of the Internal Audit Department.
3. Prepare an audit plan that includes the bank's activities, including the activities of other supervisory departments and activities assigned to external parties, according to the risk level of those activities. This plan must be approved by the Audit Committee.
4. Annually review compliance with the Corporate Governance Manual and related policies and charters, and prepare a detailed report to be submitted to the Audit Committee, with a copy to the Corporate Governance Committee.
5. Review the validity and comprehensiveness of the Stress Testing and its consistency with the methodology approved by the Board.
6. Ensure the accuracy of the procedures followed for the Internal Capital Adequacy Assessment Process (ICAAP).
7. Audit financial and administrative matters.
8. Follow up on violations and observations contained in the reports of the supervisory authority and the external auditor, and ensure that they are addressed and that the Executive Management has appropriate controls in place to prevent their recurrence.
9. Ensure that the necessary procedures are available for receiving, processing, and retaining customer complaints, as well as observations related to the accounting system, internal control and oversight, and audit operations, and submit periodic reports thereof.
10. Retain audit reports and working papers for a period consistent with the provisions of the effective legislation in this regard, in an organized and secure manner, and ensure they are available for review by the supervisory authority and the external auditor.

Risk management department

1. The Risk Management Department shall be staffed with qualified personnel, and they shall be provided with the necessary training for continuous performance development.
2. The Board shall ensure the independence of the Risk Management Department and grant it the necessary powers to enable it to obtain information from other bank departments and cooperate with other committees to carry out its tasks.
3. The Board shall verify that any breaches of acceptable risk levels are addressed, including holding the relevant Senior Executive Management accountable for such breaches.
4. The Board shall ensure that the Risk Management Department conducts periodic Stress Testing to measure the bank's ability to withstand shocks and deal with high risks. The Board shall have a key role in approving the assumptions and scenarios used, discussing the test results, and approving the measures to be taken based on these results.
5. The Risk Management Department shall undertake the following tasks as a minimum:
   - Implement the risk management strategy and develop policies and work procedures to manage all types of risks.
   - Prepare a risk management policy/policies covering all the bank's operations and setting a clear measure and limits for each type of risk. It must ensure that all employees, each according to their management level, are fully aware of them and that they are reviewed periodically. The risk management policy/policies must be approved by the Board.
   - Prepare a comprehensive document for all the bank's acceptable risks and have it approved by the Board.
   - Review the bank's risk management framework and have it approved by the Board.
   - Prepare the Internal Capital Adequacy Assessment Process (ICAAP) document, review it periodically, and verify its implementation. The document must be comprehensive and effective, capable of identifying all potential risks the bank may face, and take into account the bank's strategic plan and capital plan. It must be approved by the Board.

6. Develop methodologies for identifying, measuring, analyzing, assessing, and monitoring each type of risk.
7. Verify the integration of risk measurement mechanisms with the management information systems in use.
8. Prepare a Business Continuity Plan and have it approved by the Board, provided that it is regularly tested.
9. Before launching/offering any new product, service, process, or system, ensure that it aligns with the bank's strategy and that all resulting risks—including operational, information security, and cyber risks—have been identified. The new control measures and procedures, or any modifications to them, must be carried out in a way that is consistent with the bank's acceptable risk limits.
10. Provide the necessary information about the bank's risks for disclosure purposes.
11. Submit recommendations to the Risk Management Committee regarding the bank's risk exposures and record instances of exceptions to the risk management policy.
12. Monitor the compliance of the bank's executive departments with the specified acceptable risk levels.
13. Submit reports to the Board through the Risk Management Committee, with a copy to the General Manager. These reports should contain information on the actual risk framework for all bank activities compared to the acceptable risk document and follow up on the treatment of negative deviations. The Executive Management may request special reports from the bank's Risk Management Department as needed.

Compliance department

1. The Board shall ensure the independence of the Compliance Department and not assign it any executive tasks. It shall also ensure that the department is continuously provided with sufficient, trained, and adequately compensated personnel.
2. The Board shall approve the tasks of the Compliance Department, which shall include, at a minimum:
   - Preparing a compliance policy to ensure the bank's adherence to all relevant legislation and making sure that all employees, each according to their management level, are fully aware of it. This policy must be approved by the Board.
   - Preparing an annual compliance plan, which must be approved by the Compliance Committee.
   - Monitoring the adherence of all management levels within the bank to all regulatory requirements, effective legislation, and international standards, including the recommendations of the Financial Action Task Force.
   - Preparing periodic reports that include an assessment of compliance risks, violations, shortcomings, and the corrective actions taken. These reports should be submitted to the Compliance Committee with copies sent to the CEO.

Fourth: Activating the role of the external auditor

1. The bank must ensure regular rotation of the external auditor at a maximum of every seven years. The external auditor cannot be changed during the contract period without obtaining the approval of the Central Bank and based on substantial reasons. The previous firm may not be re-elected until at least three years have passed since its last appointment at the bank.
2. The Audit Committee must verify the qualifications and effectiveness of the external auditor and ensure that the engagement letter clearly outlines the scope of the audit, the fees, the contract period, and any other conditions that are appropriate for the bank's nature, size of operations, and the complexity of its processes and risks.
3. The external auditor shall meet with the Audit Committee at least once a year without the presence of the Executive Management.
4. The bank shall prepare a policy for external auditing and have it approved by the Board. This policy shall be amended whenever necessary and shall include, at a minimum, the following:
   - The mechanism for nominating and appointing the audit firm.
   - The mechanism for determining the audit firm's fees.
   - The periodic rotation of the audit firm and teams.
   - The independence requirements for the external auditor, as stipulated in paragraph (d) of this article at a minimum.
   - The tasks of the audit firm and team.
   - The relationship between the Audit Committee and the audit firm and team.
   - The additional services outside the scope of audit services that the audit firm may be assigned.

- Criteria for selecting the audit firm and the partner in charge, which should consider the following requirements at a minimum:

  A. The Audit Firm:
  - The number of partners in charge of the audit in the firm shall be no less than two.
  - The firm or the international company of which the firm is a member must have appropriate experience of no less than (10) years in auditing bank accounts.

  B. The Partner in Charge:
  - Must have a good character and conduct and enjoy a good professional reputation.
  - Must not have been convicted of a felony or misdemeanor involving moral turpitude or dishonesty.
  - Must hold a valid license to practice the auditing profession and be registered in the register of Jordanian certified public accountants in accordance with the provisions of the Certified Public Accounting Profession Regulation Law.
  - Must not have been prohibited from practicing the profession during the last five years or been issued a final criminal judgment as a result of committing a professional error or a legal violation related to the practice of the profession.
  - Must hold at least a bachelor's degree in accounting or any of the specializations related to banking.
  - Must hold one of the professional certificates in the field of accounting or auditing from an internationally recognized professional association of certified public accountants or auditors, and which is also recognized by the Jordanian Association of Certified Public Accountants.
  - Must have practical experience in the field of auditing for a period of no less than (10) years, including at least (7) years in the field of bank account auditing. The person must also be familiar with banking operations and their risks, and the relevant legislation, including that issued by the Central Bank.

5. The Audit Committee shall verify the independence of the external auditor at the beginning of the contract period and on an ongoing basis to ensure there is no conflict of interest between the bank and the external auditor. The Board must ensure this and verify that the contract terms with the external auditor include the following at a minimum:
   - The external auditor may not be a member of the Board or the board of directors/management body of any of the bank's subsidiaries.
   - The external auditor may not work in a permanent capacity on any technical, administrative, or consulting work for the bank or any of its subsidiaries during the audit engagement.
   - The external auditor may not be a partner with any member of the bank's Board/Body/Senior Executive Management or any member of the Body or any member of the board of directors/management body or any member of the Senior Executive Management of any of the bank's subsidiaries.
   - There may be no kinship up to the second degree between the partner in charge or any member of the audit team and any member of the Board or any member of the Body or any member of the bank's Senior Executive Management or any of its subsidiaries.
   - The external auditor may not own, trade, or speculate in the shares of the bank or the shares of any of the bank's subsidiaries, either directly or indirectly.
   - The external auditor may not combine auditing the bank's accounts with any additional services outside the scope of audit services assigned to the firm.

Fifth: Disclosure

1. The Board shall ensure the publication and provision of meaningful and relevant financial and non-financial information about its activities to the Central Bank, shareholders, depositors, other banks, and the public in general, with a focus on issues of concern to shareholders.
2. The Board of Directors shall approve a Disclosure Policy that clearly defines all matters that require disclosure by the bank, in addition to specifying the frequency and methods of disclosure.
3. The Board shall ensure the bank's compliance with the disclosures specified by International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), and the instructions of the Central Bank and other relevant legislation. It must also ensure that the Executive Management is aware of any changes to the International Financial Reporting Standards.
4. It is the responsibility of the bank's management to ensure full adherence to all amendments to the International Financial Reporting Standards (IFRS).
5. The bank must be aware of changes in international financial reporting practices and the required scope of transparency for financial institutions.

6. The Executive Management shall submit reports on developments in disclosure to the Board and provide recommendations on ways to enhance the bank's disclosure practices beyond the requirements of the Central Bank of Jordan in this regard.
7. Ensure the Corporate Governance Manual is published on the bank's website and by any other appropriate means for public access. The bank must disclose in its annual report the existence of a Corporate Governance Manual and the extent of its commitment to applying its contents.
8. The bank's annual report must contain a statement that the Board is responsible for the accuracy and adequacy of the bank's financial statements and the information contained in that report, as well as the adequacy of the internal control and oversight systems.
9. The Board shall ensure that the bank's annual and quarterly reports include disclosures that allow current or potential shareholders to review the results of operations and the bank's financial position.
10. The Board of Directors shall ensure that the annual report includes, at a minimum, the following:
    - A summary of the bank's organizational structure.
    - A summary of the tasks and responsibilities of the Board's committees and any powers the Board has delegated to these committees.
    - Information of interest to stakeholders as outlined in the bank's Corporate Governance Manual.
    - Information about each Board member, including their qualifications, experience, their contribution to the bank's capital, whether they are independent or not, their membership on Board committees, their date of appointment, and any other board memberships they hold in other companies.
    - Information about the Risk Management Department, including its structure, the nature of its operations, and any developments.
    - The number of times the Board and its committees met, and the attendance of each member at these meetings.
    - The names of any Board members and Senior Executive Management who resigned during the year.
    - A summary of the bank's remuneration policy, with a disclosure of all forms of remuneration for each Board member individually, and all forms of remuneration granted to Senior Executive Management individually, for the past year.
    - The names of shareholders who own 1% or more of the bank's capital, specifying the Ultimate Beneficial Owners of these contributions or any part thereof, and clarifying whether any of these contributions are fully or partially mortgaged.
    - Declarations from all Board members stating that the member has not received any benefits through their work at the bank that have not been disclosed, whether those benefits were material or in-kind, and whether they were for them personally or for any related party, for the past year.

Sixth: Stakeholders' Rights

The principles of corporate governance require that all stakeholders are treated with fairness, transparency, and disclosure. This allows stakeholders to evaluate the bank's position, including its financial performance. It also requires that the relationship between management and stakeholders be governed by accountability rules. Therefore, the following must be adhered to:

1. The Board shall provide a specific mechanism to ensure communication with stakeholders by disclosing and providing meaningful information about the bank's activities to stakeholders through the following:
    - General Assembly meetings.
    - The annual report.
    - Quarterly reports containing financial information, in addition to the Board's report on the trading of the bank's shares and its financial position during the year.
    - The bank's website.
    - Shareholder Relations Department.
2. The Board shall ensure that a section of the bank's website is dedicated to clarifying shareholder rights, encouraging them to attend and vote in General Assembly meetings, and publishing the relevant documents for the meetings, including the full text of the invitation and the meeting minutes.

Section sixteen: Responsibilities of Executive Management

1. To implement and manage the bank's activities in a manner that aligns with the strategies and policies approved by the Board, as well as the systems, risk management, operations, and controls necessary to manage all types of risks the bank is exposed to. This ensures that the accepted risk levels approved by the Board are not exceeded and that all effective legislation and the bank's internal policies are complied with.
2. To ensure the existence of comprehensive work procedures for all the bank's activities that are in line with the effective legislation and the strategies/policies approved by the Board. These procedures must be approved by the CEO or the Regional Manager of the foreign bank branch (with the exception of supervisory departments, which require approval from the specialized committee/authority), and their application must be verified.
3. To prepare the financial statements.
4. To prepare the bank's general organizational structure for approval by the Board, and to prepare the sub-organizational structures for all units operating in the bank for approval by the CEO or the Regional Manager. The sub-organizational structures for the supervisory departments of local banks, however, must be approved by the Board based on a recommendation from the specialized committee/authority. These structures must show the administrative hierarchy and clearly and in detail reflect the lines of responsibility and authority. The general organizational structure must include, at a minimum, the following:
   - The Board and its committees.
   - Executive Management and its committees.
   - Separate departments for risk management, compliance, and internal audit, as well as Shariah internal audit, in a manner that allows them to perform their duties with complete independence, including not engaging in executive work. They should be shown as having a solid line of reporting to the specialized committee and a dotted line to the CEO.
   - Units that do not participate in executive work, such as credit review staff and the Middle Office.
   - Subsidiary companies and foreign branches.
5. To prepare an annual budget for approval by the Board and to submit periodic performance reports to the Board showing any deviation between actual and estimated performance and the reasons for it.
6. To refrain from any practices that would affect the independence and objectivity of the supervisory departments. The cooperation of these departments with the bank's various units and Executive Management is considered essential for them to fulfill their duties. They must inform Senior Executive Management of any important issues that require immediate action for resolution upon their discovery, without prejudice to the right of those departments to inform the specialized committee/authority of these issues.
7. To provide the regulatory authority, external audit, internal audit, and any other competent authorities with the required information and statements necessary for them to perform their duties in the optimal manner, at the time specified by those authorities.
8. To prepare the bank's professional code of conduct for approval by the Board and to circulate it to all managers within the bank.
9. To develop the skills and professional conduct of the bank's employees to align with the latest ethical standards and professional conduct rules.
10. To ensure the existence of appropriate supervisory controls for each activity or process, and to separate the procedures administratively and practically between the tasks of approval and implementation.
11. In addition to what is stated in the effective legislation, the CEO must work on the following:
    - Developing the bank's strategic direction.
    - Implementing the bank's strategies and policies.
    - Implementing the Board's decisions.
    - Providing guidance for the implementation of short-term and long-term action plans.
    - Establishing mechanisms for communicating the bank's vision, mission, and strategy to employees.
    - Informing the Board of all important aspects of the bank's operations.
    - Managing the bank's daily operations.
    - Approving a detailed description of the tasks of each organizational unit (with the exception of supervisory departments, which require approval from the specialized committee/authority), and ensuring that all employees have access to it, each according to their area of expertise.

Section seventeen: Table of amendments to the manual

Name of the Procedure / Policy Subject of Amendment	Amendment Date	Decision Number	Name of the Responsible Department	Name of Department Requesting Amendment
Preparation of the manual for the first time		04/2014	Risk and Compliance Management	Board of Directors' Decision
Amendment of the manual in accordance with Corporate Governance Instructions for Banks No. 58/2014 and its subsequent amendments	23/4/2015	22/2015	Compliance Department	Board of Directors' Decision
Amendment of the manual in accordance with Corporate Governance Instructions for Banks No. 58/2014 and its subsequent amendments	1/12/2015	63/2015	Compliance Department	Board of Directors' Decision
Amendment of the manual in accordance with Corporate Governance Instructions for Banks No. 58/2014 and its subsequent amendments. Including the following amendments: 1. Updating the tasks under the responsibility of the Board of Directors regarding risk management and compliance requirements / regarding appointments and succession / regarding internal control and audit systems. 2. Updating the tasks and responsibilities of the Internal Audit Committee related to financial reporting requirements and disclosure requirements / internal control and audit systems / external auditor/compliance. 3. Updating the Internal Audit Committee charter regarding how to invite to committee meetings. 4. Amending the membership of the compliance committee in terms of the number of members and the legal quorum.	28/2/2016	15/2016	Compliance Department	Board of Directors' Decision
Amendment of the manual in accordance with Corporate Governance Instructions for Banks No. 63/2016 and its subsequent amendments.	9/10/2016	40/2016	Compliance Department	Board of Directors' Decision
Amendment of the manual in accordance with Corporate Governance Instructions for Banks No. 63/2016 and its subsequent amendments.	28/9/2020	30/2020	Compliance Department	Board of Directors' Decision
Amendment of the manual in accordance with Corporate Governance Instructions for Banks No. 2/2023 dated 14/2/2023	14/5/2023		Compliance Department	

Section eighteen: Board committees

The following committees shall emanate from the Board of Directors, or any other committees that the Board deems necessary to be formed, to guide, follow-up and monitor the work of the Bank and submit periodic reports and recommendations to the Board in this regard:

- Audit Committee.
- Management Committee.
- Risk Committee.
- Corporate Governance Committee.
- Nominations and Remuneration Committee.
- Compliance Committee.

The quorum for any committee meeting must not be less than (3) members, including the Committee Chairman. It is also not permissible to appoint a substitute member in place of an absent original member at any committee meeting. Board members may attend meetings of the Board and its committees via video conferencing, provided that the Board Chairman and Secretary certify the minutes and legal quorum of the Board meeting, and the committee chairperson and secretary certify the minutes and legal quorum of the committee meeting.

A Board member is prohibited from chairing more than one of the committees mentioned below, and is also prohibited from chairing more than two of all committees established by the Board. It is also prohibited to delegate any of the powers of any Board-established committee, as stipulated in these instructions, to any other authority. Furthermore, banks are prohibited from forming any committee with executive powers, with the exception of the Credit Facilities Committee. It is emphasized that these committees must submit periodic reports to the Board, and the existence of these committees does not relieve the Board as a whole from its responsibilities.

The following is an explanation of the duties, responsibilities, and memberships of each of these committees:

Audit Committee

Objective

Helping the Board of Directors perform its duties related to the supervision and monitoring of financial reporting, the internal control systems environment, the auditing process and the extent of compliance with the legislation governing the bank's operations, and activating the role of the external auditor. This applies to the bank, its local and foreign branches, and its subsidiaries.

The committee's charter is approved by the Board of Directors and is considered an integral part of the Bank's Corporate Governance Manual. It defines the supervisory powers and responsibilities that it is required to exercise and implement within the bank and its subsidiaries.

Formation

- The committee is formed by a decision of the Board of Directors, and the Board Secretary assumes the role of the committee secretary. The functions of any other committee may not be merged with the functions of this committee.
- The committee must consist of at least three members from the Board of Directors, with the majority of its members, including the chairperson, being independent members. The chairperson of this committee may not be the chairperson of any other committee spun off from the Board, nor may the committee include the chairperson of the Board of Directors.
- The majority of the members must hold academic qualifications in accounting or finance or be holders of professional certificates in these two fields. They must also have appropriate practical experience in accounting, finance, internal or external auditing, or banking.

Authorities

The Board of Directors authorizes the Audit Committee, within its scope of work, to:

- Operate under the supervision of the Board of Directors and submit its reports and recommendations on the results of its work to the Board. The committee's recommendations/decisions are made by a majority of attendees, and in the event of a tie, the chairperson's vote is the deciding factor.
- Request any information directly from the Executive Management or through the Chief of Internal Audit, and invite any bank manager to attend its meetings.
- Review any matter presented to it by the Board of Directors or any matter the committee deems necessary to discuss and provide an opinion on.
- The committee does not have any executive powers.

Meetings

- The committee meets at the invitation of its chairperson at least once every three months, or whenever the need arises, or by a decision of the bank's Board of Directors, or upon a request from its other members. The committee meets at the request of the external auditor or the head of the internal audit department if the committee deems it necessary.
- The Chief of Internal Audit attends the committee's meetings.
- A committee meeting is legally constituted with the attendance of at least three members, including the chairperson. A substitute member may not be named at a committee meeting in the absence of the original member. The meeting may be attended via any visual telephone communication means, provided that the chairperson and the secretary certify the minutes of the meeting and its legal quorum.

Functions and responsibilities

The responsibility of the Audit Committee does not negate the responsibilities of the Board or executive management regarding the supervision of the adequacy of their internal control systems. It also does not affect the Board of Directors' ability to communicate directly with the executive management, internal audit, or external audit.

The following is a presentation of the committee's responsibilities:

Financial reporting and disclosure requirements:

Reviewing the bank's annual, semi-annual, and quarterly financial statements before they are presented to the Board of Directors, and reviewing their compliance with international legislation and standards, and providing recommendations thereon, including verifying the Central Bank's instructions regarding the adequacy of provisions taken to meet doubtful debts, provisions for securities portfolios, and any other provisions, while taking the following into consideration:

1. Obtaining a certificate from the external auditor regarding the adequacy of provisions/expected credit loss for facilities, investments, and contingent liabilities, the need for any additional provisions, the accuracy of calculating suspended interest and profits, and the validity of calculating the impairment in goodwill, if any.
2. Giving an opinion on the bank's non-performing loans or those proposed to be considered written-off, especially regarding the adequacy of the procedures taken and the provisions against them.
3. Discussing lawsuits filed against the bank and the adequacy of their provisions, and obtaining the legal advisor's opinion on them.
4. Accounting issues with a material impact on the financial statements, such as any change in accounting policies, as well as any unusual movements and any matters whose evaluation is highly subject to personal judgment, the accuracy and soundness of accounting and supervisory procedures, the extent of compliance with them, and obtaining the external auditor's opinion on the correctness of the accounting treatments for any amendments to the financial statements.

Ensuring the bank's compliance with the International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), and the disclosures specified by them, as well as the instructions of the Central Bank, the Securities Commission, and other relevant legislation, and ensuring that the executive management is aware of the changes that occur to these standards and that reports are submitted to the Board of Directors.

Internal audit:

- Review the Internal Audit Department Charter and recommend its approval to the Board, ensuring it includes the tasks, powers, and responsibilities of the audit department and its working methodology, while taking into account the senior management's observations if the Board/Audit Committee deems it appropriate.
- Approve risk-based audit plans and ensure they include the following:
  - Verification that all activities are subject to auditing in accordance with the risk-based approach, including those outsourced to third parties.
  - Verification of the adequacy and compliance of internal control systems for the bank's activities and its subsidiaries, and reviewing and documenting any amendments to the structure of these systems.
  - Regulatory requirements, such as verifying the rotation of internal audit staff to audit the bank's activities every three years at most, and reviewing and approving justifications in the event of an inability to achieve this in certain areas, such as IT and cybersecurity auditing.
  - Ensuring there are no limitations that hinder the implementation of these plans.
  - Corporate Risks that must be focused on in the preparation and implementation of internal audit plans in coordination between the Audit Committee chairperson, the CEO, and the head of internal audit.
- Be briefed on a quarterly basis on the progress of approved audit plans, advisory tasks, regulatory requirements, and any deviations or material changes to these plans, if any, and identify the reasons leading to them, such as limited resources and their impact on plan implementation and any external circumstances or reasons, and inform the Board of any observations it deems material.
- Ensure that internal audit develops a strategy based on a clear vision and objectives that support the bank's strategic goals and align with the expectations of the Audit Committee and other stakeholders, and that it is reviewed periodically or when circumstances necessitate it, and follow up on its implementation through performance objectives for the audit activity (KPIs).
- Review the organizational structure of the Internal Audit Department and recommend its approval to the Board of Directors.

- Review the Internal Audit Department's budget with the head of internal audit to ensure the adequacy of human, financial, and technological resources, the existence of a sufficient number of qualified personnel, and their subjection to specialized training programs, including in the field of corporate governance, to implement the work of the Internal Audit Department effectively and efficiently.
- Review the quarterly audit report, which includes audit observations with significant risks, the most important recommendations issued under internal audit memos or investigation results, Emerging Risks, and the progress of internal audit plans and other topics, which, on the other hand, represents a report on the internal control system.
- Ensure the independence and objectivity of the internal audit and that it is not assigned any executive tasks.
- Take the necessary measures to enhance the effectiveness of the internal audit by giving the necessary importance to the audit process and embedding this within the bank, ensuring and promoting the independence of internal auditors, giving them an appropriate position in the bank's career hierarchy, ensuring they possess the necessary knowledge, skills, and competence to perform their duties, and ensuring their right to access all records and information and communicate with any manager in the bank, enabling them to perform the tasks entrusted to them and prepare their reports without any interference.
- Ensure that internal audit follows up on violations and observations contained in the reports of regulatory authorities and the external auditor and ensures that they are addressed and that appropriate controls are in place with executive management to prevent their recurrence.
- Recommend to the Board of Directors the appointment, acceptance of resignation, or termination of the services of the head of the internal audit department, provided that the Central Bank's non-objection to their resignation or termination of services is obtained.
- Evaluate the performance of the head of internal audit and determine their compensation in line with the performance evaluation policy adopted by the Board.
- Senior management provides feedback on the performance objectives for the audit activity (KPIs) to support the Audit Committee in the annual evaluation of the audit activity and the head of internal audit.
- Meet with the head of internal audit without the presence of executive management at least once a year.
- Approve the Internal Audit Department's work procedures when they are prepared or updated, and also ensure their application.
- Obtain the Audit Committee chairperson's prior approval for the CEO to assign assurance or advisory tasks to the Internal Audit Department if the total working days for these tasks exceed the time previously allocated for them within the internal audit plans, provided that they are related to fraud or serious errors and do not affect the independence of the internal audit.
- Ensure that internal audit adheres to the International Standards for the Professional Practice of Internal Auditing issued by the Institute of Internal Auditors, including conducting an independent external assessment of the internal audit activity at least once every five years, and ensuring that a copy of this assessment is provided to the Central Bank.
- Ensure that internal audit reviews compliance with the Corporate Governance Manual and related policies and charters at least annually, prepares a detailed report thereon, and submits it to the Audit Committee and a copy to the Corporate Governance Committee.
- Be briefed on the results of formal investigations in which internal audit participates and review the corrective actions taken by the executive management if needed, and inform the Board of Directors of any observations it deems material.
- Verify that the Internal Audit Department conducts a review at least once a year to ensure that all transactions with related parties have been conducted in accordance with the effective legislation and internal policies and approved procedures, and that the Audit Committee shall immediately inform the Central Bank upon verification of any violation of any of the effective legislation and internal policies in this regard.
- Ensure that the Central Bank is provided, during the first quarter of the year, with an IT audit report issued by internal audit, which includes the executive management's response and the review and recommendations of the Information Technology Governance Committee, as required by the Information and Technology Governance and Management instructions.
- Ensure that internal audit keeps pace with best sound practices in the event of any emergency that necessitates it through emergency publications and others issued by professional or specialized entities in the field of auditing.
- Conduct an annual review of the Committee's charter and submit any amendments to the Board of Directors for approval.
- Ensure annually at least that all responsibilities referred to in the charter are being adhered to.
- The Essential Conditions appendix is considered an integral part of this charter, and it represents the responsibilities of the Audit Committee/Board and senior management towards internal audit, which are essential to enabling internal audit to achieve its objectives.

External auditor:

- Recommend to the Board of Directors regarding the appointment, termination of services, fees, and any conditions related to the contract with the external auditor, including any other work the committee intends to assign to them.
- Verify the independence of the external auditor at the start and throughout the contract period, as per the contract terms stated in the Corporate Governance Instructions for Banks. This includes, most importantly, the clause that the external auditor may not combine auditing the bank's accounts with any additional services outside the scope of audit services assigned to the firm, thus ensuring there is no conflict of interest between the bank and the external auditor, and inform the Board of any observations it deems material.
- Verify the qualifications and effectiveness of the external auditor and ensure that the engagement letter clearly includes the scope of the audit, the fees, the contract period, and any other conditions that are appropriate for the nature of the bank, the size of its business, and the complexity of its operations and risks.
- Meet with the external auditor at least once a year without the presence of any members of senior executive management.

Compliance:

- Meet with the Compliance Officer at least once a year without the presence of the executive management to verify the extent of the bank's compliance with laws, policies, and procedures, and inform the Board of Directors of any observations it deems material.
- Review and monitor the whistleblowing policy and procedures, which enable an employee to report confidentially any error in financial reports or any other matters. The committee must ensure that the necessary arrangements for an independent investigation are in place and verify that the results of the investigation are followed up and handled objectively in coordination with Compliance.

Responsibilities of the Committee Secretary:

- Provide each committee member with the Audit Committee Charter approved by the Board of Directors.
- Coordinate with the chairperson and members of the committee and the head of the Internal Audit Department to set the dates for the committee meetings.
- Convey information between the committee members, the Board's committees, and the management, and facilitate access for its members to all necessary information.
- Prepare the meeting agenda and all documents and information related to the meeting at the request of the committee chairperson and send them along with their contents to the members, the head of the Audit Committee, and the invited executive management representatives in a timely manner before the meeting.
- Record the committee meetings in official minutes in coordination with the chairperson and members of the committee, have these minutes signed by them, and follow up on the recommendations contained therein and on any topics whose discussion was postponed from a previous meeting. Care must be taken to write accurately and record all deliberations, proposals, objections, and reservations, as well as the method of voting on the committee's draft resolutions, and to attach any documents or refer to any documents that were referenced during the meetings, and to properly preserve the records and documents of the committee meetings.

Risk Committee

- The Risk Management Committee Charter is approved by the Board of Directors and is considered an integral part of the bank's Corporate Governance Manual.
- This charter is reviewed annually by the committee in cooperation with the bank's Risk Management Department, and any proposed amendments are submitted to the Board of Directors for approval.
- The names of the committee members and the committee's activities are disclosed in the bank's annual report.

Membership

- The committee must consist of at least three members, with the majority of its members, including the chairperson, being independent members.
- The committee members must have sufficient knowledge and understanding of the principles of risk management in banks.
- They must have full knowledge of the instructions of the Central Bank of Jordan and other regulatory authorities.
- The members must hold academic qualifications and/or have practical experience in the field of financial management and banking.

Chairmanship

The committee's chairperson must be an independent member of the Board of Directors.

Quorum

A meeting of the committee shall be legally constituted with the presence of a majority of its members, provided that the chairman is in attendance. Attendance must be in person. In the event that an in-person attendance is not possible, the chairman or a member may attend the meeting using any visual or audio communication means to discuss the meeting's agenda, subject to the chairman's approval. The attending member shall have the right to vote and sign the minutes of the meeting, provided that this is documented as per the established procedures and that the number of members attending in person is no less than two-thirds of the committee members. Furthermore, a member's in-person attendance shall not be less than (50%) of the committee meetings during the year.

Voting

The committee's decisions are made by unanimous vote, and the Chief Risk Officer is not entitled to vote.

Committee Secretary

The Chief Risk Officer shall assume the role of the committee's secretary.

Meetings

- The committee operates under the supervision of the Board of Directors and submits its reports and recommendations on the outcomes of its duties to the board.
- The Risk Management Committee meets at the invitation of its chairman at least once every three months, or whenever the need arises, or based on a decision by the bank's Board of Directors, or at the request of one of its members.

Functions and responsibilities

1. Review and approve the risk management framework, which includes risk management governance, Risk Appetite, and Risk Profile, in addition to the risk management strategy and the overall reporting framework.
2. Verify the availability of policies and tools for identifying, measuring, analyzing, evaluating, and monitoring risks, with a minimum annual review and amendment as necessary.
3. Approve the annual risk management plan.
4. Approve risk management policies, which include policies for managing credit, operational, market, and liquidity risks, as well as interest rate risk, in addition to the investment policy, cybersecurity policy, cybersecurity program, business continuity plan, and emergency plan. These shall be reviewed annually by the Risk Management Department.
5. Verify the effectiveness of the Risk Management Department's procedures and assess the executive management's commitment to the approved policies and procedures.
6. Verify the existence of tools for identifying, measuring, analyzing, evaluating, and monitoring the various types of risks that the bank may be exposed to, while keeping pace with developments that affect the bank's risk management.
7. Verify the availability of a risk management system that ensures the accuracy and adequacy of the data used and the existence of the necessary tools and means to identify, measure, analyze, evaluate, and monitor risks and the losses that may result from them, and to retain the necessary capital to face them, including but not limited to:
   - Self-assessment of risks and the development of risk indicators.
   - Creating a historical database of losses and identifying and categorizing the sources of those losses according to the type of risk.
   - Providing the necessary equipment and appropriate automated systems and quantitative tools.
8. Review observations contained in the Central Bank's reports and the external auditor's reports regarding risk management at the bank, and follow up on the actions taken regarding them.
9. Study any matter referred to it by the bank's Board of Directors or any matter the committee deems necessary to examine and provide an opinion on.
10. Approve the internal capital adequacy assessment methodology, taking into consideration the bank's strategic plan and capital plan, and periodically review the methodology and ensure that the bank retains sufficient capital to meet all the risks it faces.
11. Approve the stress testing policy, regularly discuss the results of the tests, and approve the actions to be taken based on these results.

12. Evaluate the performance of the Chief Risk Officer and determine their compensation in line with the performance evaluation policy approved by the Board of Directors. The committee may seek the opinion of the Chief Executive Officer in the evaluation process.
13. Verify the availability of sufficient resources and an adequate number of qualified human resources for the Risk Management Department and subject them to specialized training programs.
14. The committee must submit periodic reports to the Board of Directors indicating the extent to which existing risks are consistent with policies and acceptable risk levels, to enable the Board of Directors to make appropriate decisions and follow up on their treatment.
    - The committee shall also submit reports to the Board of Directors immediately upon identifying any material changes that affect the bank's financial position, to take the necessary corrective actions after receiving quarterly reports on the classification of credit exposures and the calculation of impairment provisions from the Risk Department, in line with the Credit Exposures Instructions (8/2024), and provide the Central Bank with a copy of the report within a period not exceeding 10 business days from the date the reports are submitted.
15. Approve the stress testing policy, regularly discuss the results of the tests, and approve the actions to be taken based on these results, including stress tests related to climate risks.
16. Supervise the bank's progress regarding sustainability and ensure the integration of environmental and social risk management strategies with the bank's general business strategies.
17. Supervise the annual reports related to sustainability in general and to environmental and social risks and their financing opportunities in particular, as well as the bank's declared commitments.
18. Ensure the bank's compliance with the Central Bank's Green Finance Strategy and the Amman Stock Exchange's instructions regarding sustainability reports.

Corporate Governance Committee

- The committee is formed by a decision of the bank's Board of Directors and consists of at least three members, with the majority being independent members, and must include the Chairman of the Board.
- The bank's Board of Directors elects the committee members from among its members, and the committee continues its work throughout the duration of the Board of Directors' membership.
- The committee operates under the supervision of the Board of Directors and submits its reports and recommendations on the outcomes of its duties to the board.

Chairmanship

The Chairman of the Board shall be one of the committee members.

Quorum

A meeting of the committee shall be legally constituted with the presence of at least three committee members. A substitute member may not be appointed at any committee meeting in the absence of the principal member. Attendance shall be in person. In the event that a member is unable to attend in person due to a valid reason or excuse, they may express their view via video or phone and shall have the right to vote and sign the minutes of the meeting.

Voting

The committee's decisions are made by majority vote.

Committee Secretary

The Chief Compliance Officer shall assume the role of the committee's secretary.

Meetings

The committee meets at the invitation of its chairman at least twice a year, or whenever the need arises, or based on a decision by the bank's Board of Directors, or at the request of one of its members.

Responsibilities

- Recommend to the Board of Directors the approval of the bank's corporate governance policies and review them annually, and ensure that this policy is in compliance with the Central Bank's instructions, the Companies Law, and the Banks Law.
- Ensure that this policy is made available to all shareholders (especially small shareholders).
- Annually review the disclosure policy and the Code of Professional Conduct and recommend any amendments to the Board of Directors.
- Ensure the commitment of all concerned parties, from the Board of Directors to the executive management, to the approved corporate governance policy and the Code of Professional Conduct.
- Ensure that the bank applies corporate governance policies in all its operations and activities.
- Verify the effectiveness of internal control systems related to monitoring corporate governance in the bank.
- Supervise the preparation of the Corporate Governance Manual and its approval by the Board.
- Verify the correction of observations contained in the report of the Internal Audit Department—or any other relevant party—regarding the bank's commitment to the Corporate Governance Manual.
- Notify the Central Bank immediately upon verifying any violations of the provisions and requirements of these instructions.

Nominations and Remuneration Committee

Formation

This committee shall consist of at least three members, with the majority of the committee members, including the chairman, being independent members. The secretary of the committee shall be appointed by a decision of the bank's Board of Directors.

Chairmanship

The committee shall elect a chairman from among its members.

Quorum

A committee meeting shall be legally constituted with the presence of at least three of its members. Attendance shall be in person. In the event that a member is unable to attend in person due to a valid reason or excuse, they may express their view via any visual telecommunication means and shall have the right to vote and sign the minutes of the meeting, provided that the chairman and the secretary of the committee endorse the minutes of the meeting and its quorum.

Voting

The committee's decisions are made by majority vote.

Authority

- Request any data or information from the bank's employees, who are required to fully and accurately cooperate in providing this information.
- Request legal, financial, administrative, or technical advice from any external consultant after obtaining the Central Bank's non-objection to the appointment of the consultant.
- Request the presence of any bank employee, in coordination with the Chief Executive Officer, to obtain any necessary clarifications.

Committee Secretary

The Human Resources Department Manager shall assume the role of the committee's secretary.

Meetings

- The committee meets at the invitation of its chairman, or whenever the need arises, or based on a decision by the bank's Board of Directors, or at the request of one of its members, provided that the number of its meetings is no less than two per year, and the minutes of these meetings are properly recorded.
- The Nominations and Remuneration Committee shall make its decisions and recommendations by an absolute majority of the members. If the votes are tied, the side with which the chairman of the committee voted shall prevail.
- The Nominations and Remuneration Committee shall submit its decisions and recommendations to the Board of Directors and a report on its work to the bank's annual ordinary General Assembly meeting.

Functions

1. Ensure the composition of the Board of Directors complies with applicable instructions and laws as follows: (The paragraph has been rephrased)
   - The Board shall consist of at least eleven members.
   - The chairman or a member of the Board may not hold any executive position, any position involving participation in the bank's daily management, or any advisory position at the bank.
   - The diversity and complementarity of skills and experiences among Board members must be considered to provide a wide range of views and perspectives, in line with the size of the bank or banking group, its nature of business, and its strategy.
   - The number of independent members on the Board shall be at least four, and the following are the minimum requirements and conditions to ensure a member's independence:
     - Be a natural person.
     - Have high qualifications or financial or banking experience.
     - The member or any of their relatives must not have a direct or indirect interest in contracts, projects, or arrangements with the company or any allied or subsidiary company that are equal to or exceed JOD 50,000 in value.
     - The member must not have served as a member of the board of directors of the bank or one of its subsidiaries or as a member of their board of managers for more than eight years cumulatively for the aforementioned memberships. If a member loses their independence in accordance with this clause, the bank may, after the member's absence for at least a four-year Cooling-off Period, apply to the Central Bank for a non-objection to consider them an independent member if there are sufficient justifications.
     - Neither the member nor any of their first-degree relatives, nor any company of which they are a board member, owner, or major shareholder, or in which they hold a management position, shall have received credit from the bank at a rate exceeding 5% of the bank's regulatory capital, and they shall not be a guarantor for credit from the bank with a value exceeding the same percentage.
     - Not be a major shareholder in the bank or an ally of a major shareholder in the bank, or whose shareholding, together with an ally's shareholding, constitutes that of a major shareholder, or a major shareholder in one of the bank's subsidiaries, or a major shareholder in the bank's owning group.
     - Not be related up to the second degree to any other Board members, any member of the boards of directors or boards of managers of the bank's subsidiaries, or a major shareholder in the bank.
     - Must not have worked as an employee or in any of the subsidiary companies or as a consultant for the bank or any of its subsidiaries during the three years preceding their nomination.
     - Not be related up to the second degree to any of the senior executive management members (other than the CEO) at the bank or to any of the senior executive management members at the bank's subsidiaries.
     - Must not have worked as an employee at the bank or in any of its subsidiaries or as a consultant for the bank or any of its subsidiaries during the three years preceding their nomination.
     - Must not be an employee of the bank's external auditor and must not have been a partner or employee during the three years preceding their nomination.
2. Determine whether the independent member continuously fulfills the quality of an independent member and review this annually, and inform the Central Bank and the Securities Commission if any member of the Board of Directors loses their independent status.
3. Study the suitability of Board members, provided that the following conditions are met for anyone who holds the chairmanship or membership of the bank's Board of Directors:
   - Be at least twenty-five years old.
   - Not be a member of the board of directors of any other bank within the Kingdom, its general manager, a regional manager, or an employee, unless the other bank is a subsidiary of the bank.

- Not be a lawyer, legal advisor, or auditor for the bank or a consultant for any other bank within the Kingdom.
- Hold a minimum of a bachelor's degree in economics, finance, accounting, business administration, or any similar specialization. The Nominations and Remuneration Committee may consider adding other specializations (including law and technology) if combined with relevant experience in banking business or related activities.
- Not be an employee of the government or any public official institution unless representing it.
- A member of the Board of Directors or their representative may not be a member or a representative of a member on the board of directors of another similar or competing bank in its business or a bank with a similar purpose. They may not be a member of the boards of directors of more than five public shareholding companies within the Kingdom, in their personal capacity in some and as a representative of a legal person in others.
- Have at least five years of experience in the field of banking, finance, or similar fields.
- The member shall not be related, including by kinship up to the third degree, to the bank's CEO, or up to the first degree with any member of the senior executive management.
- Anyone holding the chairmanship or membership of the Board must sign the special declaration approved according to the Corporate Governance Instructions for Banks No. (2/2023), which is kept at the bank and a copy is sent to the Central Bank attached with the member's resume.
- The chairman of the Board must ensure that the Central Bank is informed of any material information that could negatively affect the suitability of any of its members, as well as the suitability of the representative of the legal person.

4. Identify qualified individuals to join the Board's membership, taking into consideration the capabilities and qualifications of the nominated persons. In the case of re-nomination of a member, the number of their attendance and their effective participation in the Board meetings shall be taken into consideration, and a non-objection from the Central Bank must be obtained for the nominated persons.
5. Inform any person (including the representative of the legal person) who applies for membership on the Board in writing of the Board's decision stating that the provisions of these instructions do not apply to them.
6. Work to create a clear methodology to ensure that all members of the Board of Directors dedicate sufficient time to carry out their duties as Board members, including (for example) the extent to which the member is involved in other board memberships/bodies/forums, etc.
7. Ensure that Board members attend workshops or seminars on banking topics, especially risk management, corporate governance, and the latest developments in banking business.
8. Provide information and summaries on the background of some important topics about the bank to Board members upon request, and ensure their continuous awareness of the latest topics related to banking business.
9. Evaluate the work of the Board as a whole, its committees, and each of its members individually on an annual basis, provided that the committee follows specific and approved foundations in the evaluation process, so that the performance evaluation criterion is objective. The committee shall inform the Central Bank of the result of this evaluation. The Board members (except for the members of the Nominations and Remuneration Committee) shall also evaluate the performance of the Nominations and Remuneration Committee and each of its members individually on an annual basis.
10. Identify the bank's needs for competencies at the senior executive management and employee levels and the foundations for their selection, and nominate qualified individuals to the Board to join the senior executive management, and obtain a non-objection from the Central Bank.
11. Ensure there is a succession plan for the senior executive management and develop specific human resources policies at the bank, including a succession and replacement policy and a training policy, monitor their implementation, and review them annually.
12. Follow specific and approved foundations in evaluating the performance of the Board and the CEO, so that the performance evaluation criterion is objective.
13. Prepare a performance evaluation system for the CEO, including the development of key performance indicators, and ensure that the CEO's performance evaluation criteria include both the financial and administrative performance of the bank and the extent of their achievement of the bank's medium- and long-term plans and strategies. The committee shall inform the Central Bank of the result of this evaluation.
14. Develop a policy for performance evaluation and the granting of financial bonuses to the bank's managers and review it periodically, and ensure the implementation of this policy, so that it includes a mechanism for determining the salaries and privileges of the CEO and the rest of the senior executive management. The committee may not delegate this task to the executive management, and this policy must be approved by the Board and a copy provided to the Central Bank within a maximum of seven business days from the date of its approval by the Board, and reviewed annually.

15. Study the suitability of senior executive management members, provided that the following conditions are met for anyone appointed to the bank's senior executive management:
    - Not be a member of the board of directors of any other bank within the Kingdom, unless the other bank is a subsidiary of the bank.
    - Be dedicated to managing the bank's business.
    - Hold a minimum of a bachelor's degree in economics, finance, accounting, business administration, or any similar specialization related to the bank's work.
    - Have at least five years of experience in the field of banking (most of it in the nominated position), with the exception of the position of CEO or regional manager, whose experience in the field of banking must be at least ten years.
    - Have good conduct and reputation.
    - Not be a major shareholder and not be related, including by kinship up to the third degree, to the chairman of the Board or any of the Board members or any major shareholder in the bank in the case of the CEO, or up to the first degree in the case of any other member of the senior executive management.

Compliance Committee

- The compliance committee charter must be approved by the Board of Directors and is considered an integral part of the bank's corporate governance manual.
- This charter shall be reviewed annually by the committee, with the participation of the Compliance Department, and any proposed amendments shall be submitted to the Board of Directors for approval.
- The names of the committee members and the committee's activities shall be disclosed in the bank's annual report.

Membership

- The committee shall consist of at least three members, including one independent member, in addition to the Compliance Department Manager of the bank as a rapporteur for the committee.
- They must have general banking experience and a thorough knowledge and understanding of the Central Bank of Jordan's instructions and the instructions issued by various supervisory bodies that regulate the work of the bank and its subsidiaries.
- The committee members must have sufficient knowledge and understanding of the fundamentals of compliance management in banks.
- All members must hold academic qualifications and have appropriate practical experience in the field of financial management, banking, or any similar specializations or fields related to the bank's business.
- The chairman of the Compliance Committee must attend the annual General Assembly meeting.

Chairmanship

The Chairperson and members of the committee are appointed by the Board of Directors.

Quorum

An in-person quorum for a committee meeting is at least three members. No substitute member may be appointed to attend a committee meeting in the absence of the original member. If a member is unable to attend in person for an acceptable reason or excuse, they may still participate and vote via video or telephone. They will also be able to sign the meeting's minutes, provided the following requirements are met:

- The member's absence and the reason for it must be properly documented.
- The member must attend the entire meeting.
- The member must sign the committee meeting minutes and the resulting resolutions upon their return.
- The number of members attending the meeting in person must not be less than two-thirds of the committee's total members.

Voting

Committee decisions are made by a majority vote. The Chief Compliance Officer is not entitled to vote.

Meetings

The Compliance Committee shall meet at the call of its chairperson at least once every three months, or whenever the need arises, or upon a resolution by the bank's Board of Directors, or at the request of one of its members.

Committee Secretary

The Chief Compliance Officer shall serve as the committee secretary.

Responsibilities of the Committee Secretary

- The committee secretary shall prepare a formal draft of the minutes and ensure it is signed by the chairperson and members of the committee.
- Provide each committee member with the Compliance Committee Charter approved by the Board of Directors.
- Facilitate the flow of information among the committee members, other board committees, and executive management, and assist members in obtaining all necessary information.
- Attend all Board meetings, accurately document committee meetings in official minutes, including the work performed and recommendations made. The secretary is also responsible for following up on any topics deferred from previous meetings, ensuring a precise record of any voting, reservations, or suggestions, and attaching or referencing any documents used during the meetings.
- Prepare the agenda for each meeting and all related documents and information as requested by the committee's chairperson. This includes sending the agenda and its contents to the chairperson, members, and invited executive management attendees in a timely manner before the scheduled meeting.
- Maintain proper records and documents of all committee meetings.
- Ensure committee members sign the minutes and resolutions of the meetings.
- Follow up on the implementation of the decisions made by the committee and on any topics deferred from a previous meeting.

Functions and responsibilities

1. Ensuring that the bank has a specific compliance policy and associated procedures to ensure the establishment of a compliance function capable of performing its duties effectively. The committee must also conduct an annual assessment of the bank's management of non-compliance risks.
2. Approving the annual plan and periodic reports prepared by the Compliance Department, which should include an assessment of non-compliance risks, violations, shortcomings, and the corrective actions taken.
3. Supervising the implementation of the bank's compliance policy and ensuring that the bank's executive management addresses all compliance-related issues in a timely and effective manner.
4. Overseeing the work of the Compliance Department and ensuring that proper mechanisms are in place to monitor the adherence of all management levels within the bank to all regulatory requirements, effective legislation, and international standards, including the recommendations of the Financial Action Task Force (FATF).
5. Verifying the availability of adequate resources and a sufficient number of qualified personnel for the Compliance Department, and ensuring they receive specialized training programs.
6. Evaluating the performance of the head of the Compliance Department and determining their compensation in line with the performance evaluation policy approved by the Board, after consulting with the Chief Executive Officer.
7. Recommending the appointment of the chief compliance officer to the Board, as well as accepting their resignation and termination of service.
8. Approving a detailed description of the Compliance Department's duties.
9. Ensuring comprehensive operating procedures for all bank activities are in line with effective legislation and the strategies/policies approved by the Board, and verifying the application of these procedures.
10. Recommending the approval of the Compliance Department's organizational structure, ensuring the structure clearly and comprehensively shows the reporting hierarchy and reflects the lines of responsibility and authority.

It should be noted that the responsibilities of the Compliance Committee do not supersede the responsibilities of the Board or the bank's executive management regarding the bank's compliance with the instructions and directives of various regulatory bodies, nor do they affect the Board of Directors' ability to communicate directly with executive management.

IT Governance Committee

Formation

- The committee shall be formed by a resolution of the Board of Directors.
- The committee shall consist of at least three members from the Board of Directors. It is preferable that its membership includes individuals with strategic experience or knowledge in information technology.
- The committee shall elect one of its members as chairperson.
- The Board shall define the committee's objectives and delegate powers to it in accordance with a charter that outlines these details.

Authority

- The committee may, when necessary and at the bank's expense, use external experts in information technology governance and strategic knowledge, in coordination with the chairperson, to enhance objective opinion.
- The committee may invite any of the bank's managers to attend its meetings to seek their opinion, including those concerned with internal audit and senior executive management (such as the risk and compliance manager) or those concerned with external audit.

Meetings

- The committee operates under the supervision of the Board of Directors and submits periodic reports and recommendations on the results of its performance.
- The committee shall meet at the call of its chairperson at least quarterly, or whenever the need arises, or upon a resolution by the bank's Board of Directors, or at the request of its other members.
- The meeting of the committee shall be legal with the presence of a majority of the members. Board members may attend the meetings of the board and its committees via video or telephone. The chairperson and secretary of the board must ratify the minutes and quorum of the board meeting, and the chairperson and secretary of the committee must ratify the minutes and quorum of the committee meeting.
- The committee's recommendations/decisions are made by a majority of those present. In the event of a tie, the side with the chairperson's vote shall prevail. The committee shall maintain documented minutes of its meetings.

Committee Secretary

The Director of Information Technology shall serve as the committee's secretary.

Functions and responsibilities

The Board's delegation of powers to the committee or any other committee does not exempt it as a whole from bearing its responsibilities in this regard. The committee shall assume the following tasks:

1. Approving the strategic objectives for information technology and the appropriate organizational structures, including the steering committees at the senior executive management level, and in particular, the Information Technology Steering Committee. This is to ensure the achievement of the bank's strategic objectives and to achieve the best added value from projects and investments in information technology resources, and the use of the necessary tools and standards to monitor and ensure the extent to which this is achieved, such as using the IT Balanced Scorecards system, calculating the Return on Investment (ROI), and measuring the impact of contribution to increasing financial and operational efficiency.
2. Approving the general framework for managing, controlling, and monitoring information technology resources and projects that emulates the acceptable international best practices in this regard, specifically COBIT. This is to ensure compliance with and fulfillment of the objectives and requirements of the instructions on the governance and management of information and associated technology issued by the Central Bank of Jordan through the sustainable achievement of institutional objectives, and the achievement of the matrix of information and technology objectives, and covering the information technology governance operations.
3. Approving the matrix of institutional objectives and their associated information and technology objectives, and the description of the necessary sub-objectives to achieve them.
4. Approving a RACI (Responsible, Accountable, Consulted, Informed) matrix for the main information technology governance processes and their sub-processes in terms of: the party, parties, persons, or sides that are primarily responsible (Responsible), those who are ultimately accountable (Accountable), those who are consulted (Consulted), and those who are informed (Informed) for all processes.

5. Ensuring the existence of a general framework for managing information technology risks that aligns and integrates with the bank's overall risk management framework, and takes into consideration and fulfills all information technology governance operations.
6. Approving the budget for information technology resources and projects in line with the bank's strategic objectives.
7. General supervision and review of the progress of information technology operations, resources, and projects to ensure their sufficiency and effective contribution to achieving the bank's requirements and operations.
8. Reviewing the information technology audit reports and taking the necessary actions to address deviations.
9. Recommending to the Board to take the necessary actions to correct any deviations.

Credit Facilities Committee

- The Facilities Committee Charter shall be approved by the Board of Directors, and this charter shall be an integral part of the bank's Corporate Governance Manual.
- This charter shall be reviewed whenever the need arises by the committee, in cooperation with the bank's executive management. Any proposed amendments to it shall be submitted to the Board of Directors for approval.
- The names of the committee members and the committee's activities shall be disclosed in the bank's annual report.

Membership

- The committee shall be formed by a resolution of the bank's Board of Directors.
- The committee shall consist of at least five members from the Board, and one of its members may be an independent member, provided they are not a member of the Audit Committee.
- Members must have sufficient banking knowledge and experience to enable them to make sound decisions.
- The Board may delegate some or all of the committee's powers to amend the terms or structure of the facilities to the relevant Credit Committees (the highest committee in the executive management, according to the instructions), with the necessity of informing the Facilities Committee of the decisions made under these powers. Furthermore, the authority structure must be adjusted to align with what was previously mentioned in this regard.

Chairmanship

The bank's Chairman of the Board of Directors shall be the chairperson of the committee.

Quorum

A quorum for the committee meeting is at least four members. A substitute member may not be appointed in the absence of the original member. Committee members may attend meetings via any video communication means, provided that the chairperson and the rapporteur of the committee ratify the meeting's minutes and quorum.

Voting

The committee's decisions are made by a majority vote of the members, regardless of the number present. In the event of a tie, the chairperson's vote shall be the casting vote.

Committee Secretary

The Chief of Credit and Credit Management acts as the committee's secretary.

Meetings

- The committee operates under the supervision of the Board of Directors, to which it submits its reports and recommendations regarding the outcomes of its duties.
- The committee meets when necessary, at the call of its chairperson.
- Members of senior executive management may attend committee meetings to present their recommendations.

Functions and responsibilities

1. Study the recommendations of the relevant credit committees to make the appropriate decision regarding the granting, renewal, amendment, and/or cancellation of credit facilities and to approve them within the committee's authority. Alternatively, the committee may raise its recommendations to the Board of Directors. Clear upper limits for the committee's authority related to granting, amending, renewing, or restructuring credit facilities must be specified, ensuring the Board of Directors has clear authority in this regard.
2. Approve special credit programs and any exceptions raised to these programs.
3. Approve the granting of any facilities to employees that fall outside the Chief Executive Officer's authority.
4. Consider any other credit-related matters that the Chief Executive Officer deems appropriate to present to the committee.
5. The committee shall regularly submit details of the approved facilities to the Board.
6. Review the credit policy and any amendments thereto, which must include, at a minimum, the following:
   - Different credit ceilings
   - Risk-weighted pricing policy
   - Different granting authorities
   - Risk acceptance policy

This is done to ensure compliance at all levels.

Decisions regarding Board of Directors members and related parties: Necessary approvals for decisions related to Board members and their related parties are obtained via email. The details are sent to all Board members, excluding those with a conflict of interest, with a response required within one business day.

Decisions falling under the authority of the Board of Directors as per the approved authority matrix: Necessary approvals are obtained via email. The credit study and decision details are sent to Board members for their approval via email or through a video conference call if needed, with a response required within one business day.

Annex: Most Important Essential Conditions Summary

Item	Detailed Description	Board Audit Committee	Senior Management represented by the CEO	Chief of Audit
Internal Audit Charter	Board of Directors approves the Internal Audit Charter, based on the recommendation of the Audit Committee. The Charter includes: the purpose of internal audit, the authority, role, and responsibilities of internal audit, adherence to standards, the scope and types of internal audit services, the expectations of the Board of Directors, and the observations of senior management, if the Board/Audit Committee deems it appropriate.	Approval (Board)	Recommendation	Preparation
Audit Plan, Budget & Resources	Audit Committee approves the internal audit plans and budget, represented by human, financial, and technological resources, as well as any significant changes, to ensure they are sufficient to meet the role, responsibilities, and plans of the internal audit function. Audit Committee and senior management discuss the audit plans and must take into consideration the impact of resource shortages on audit work and plans, and address any shortcomings.	Approval	Support	Preparation
Organizational Independence	Audit Committee establishes a direct functional reporting line with the Head of Internal Audit and an administrative reporting line for support to the CEO. The committee shall meet with the Head of Internal Audit periodically without the presence of senior management to discuss any significant matters, including any limitations on the internal audit function. Senior management shares with the Audit Committee and the Chief of Internal Audit an understanding of any potential obstacles to the independence of the internal audit function. Chief of Internal Audit shall confirm the organizational independence of the internal audit function to the Audit Committee at least annually.	Execution	Support	Confirmation

Item	Detailed Description	Board Audit Committee	Senior Management represented by the CEO	Chief of Audit
Appointment and Dismissal of the Head of Internal Audit/ Qualifications of the Head of Internal Audit	Board of Directors: Approves the appointment and dismissal of the Head of Internal Audit based on the recommendation of the Audit Committee, approves their role and responsibilities, and determines the necessary qualifications, experience, and skills. Senior Management collaborates with the Board of Directors/ Audit Committee to determine the qualifications, experience, and competencies of the Chief of Internal Audit. Chief of Audit assists the Board of Directors in understanding the qualifications and competencies required to manage the internal audit function.	Approval (Board)	Recommendation	Support
External Quality Assessment	Audit Committee: Approval of the scope and frequency of evaluations, the competence and independence of the external assessor, receives the results, and approves the corrective action plans submitted by the Chief of Audit. Senior Management collaborates with the Audit Committee and the Chief of Audit to determine the scope and frequency of the external quality assessment, reviews the results of the external assessment, and reviews the corrective action plans submitted by the Chief of Audit. Chief of Audit develops a plan for the external quality assessment and discusses it with the Board of Directors.	Approval	Support	Management
Internal Quality Assessment	Audit Committee: Review the results of the internal quality assessment and approves the annual performance objectives for the internal audit activity, at a minimum. Senior Management provides feedback on the internal audit activity's KPIs to support the Audit Committee in the annual evaluation of the internal audit activity and the Chief of Audit. Chief of Audit implements and reviews the performance objectives and quality assurance, and reports the results at least annually.	Approval	Recommendation	Management
Expectations of the Audit Committee and Senior Management	Audit Committee provides the Chief of Audit with its expectations regarding the frequency of receiving audit results, criteria for observations that must be escalated to the committee, and a mechanism for escalating such observations. Audit Committee and Senior Management provide the Chief of Audit with their perspective on the significant risks that should be focused on from their point of view to assist in prioritizing audits. Chief of Audit provides the Audit Committee with important information for carrying out their oversight duties, based on the request of the Audit Committee or the professional judgment of the Chief of Audit.	Reflecting their expectations on the Audit Department Charter and work procedures	Recommendation	Management

Statement of compliance with the corporate governance manual

The Bank adheres to the instructions of the Corporate Governance Manual issued by its Board.

Control Objectives for Information and Related Technologies (COBIT)

Section One: Introduction

Information and related technology governance is defined as the process of assigning roles and responsibilities and describing the relationships between different parties and stakeholders (such as the Board of Directors and Executive Management). The goal is to maximize the added value for the bank by adopting the optimal approach that ensures a balance between anticipated risks and returns, through the adoption of the necessary rules, foundations, and mechanisms for decision-making and the determination of strategic directions and objectives within the bank, as well as the mechanisms for monitoring and examining the extent of their achievement, thereby ensuring the bank's sustainability and development.

Given that information technology resources are a significant cornerstone in terms of their relative size and impact on the bank's ability to operate and consequently achieve its objectives, and considering their critical role in influencing the competitiveness of the bank's products and services on one hand, and decision-making and risk management mechanisms on the other, this justifies the substantial investments made by banking institutions in the information technology sector.

Therefore, it was essential for the bank, in particular, to follow sound cornerstones and standards in managing information technology resources according to accepted international practices in this regard, to mitigate their risks and avoid entering into unproductive investments and unjustified expenses that translate into massive losses over the years, which may sometimes harm the bank's reputation.

The topic of information technology governance has witnessed positive development globally, resulting in general frameworks for a set of mature cornerstones and principles, headed by the COBIT (Control Objective for Information and Related Technology) framework. The general framework for information and related technology governance and management consists of a set of fundamental cornerstones and principles. The first is Strategic Alignment, which must be achieved through the strategic objectives of information technology and should lead to the realization of the bank's strategic objectives. The bank must also optimize its information technology resources (Resource Optimization) within the available options to maximize the added value (Benefit Realization), which is measured primarily by the contribution of information technology to achieving the bank's strategic objectives. It is also essential to manage information technology risks (Risk Optimization) in an integrated manner that is consistent with the bank's overall risk management processes and according to sound procedures and practices that lead to sound risk-based decision-making mechanisms and ensure the achievement of added value at the lowest costs while mitigating anticipated losses and risks, which reflects the bank's vision in this regard and stays within acceptable risk limits whenever possible. In addition, senior management (the Board of Directors and Executive Management) must take on the institutional planning and organization processes by developing strategies, policies, and action plans, and by building and adapting hierarchical and circular organizational structures (which take the form of committees) to achieve strategic objectives. They should also build the mechanisms, tools, and standards necessary to measure the added value of information technology, enabling the Board and Senior Executive Management to monitor the bank's operations to ensure the soundness of the planning, organization, and resource optimization mechanisms for information technology, with the goal of obtaining feedback for continuous improvement and development. All this is done within the dimension of relying on the principle of the segregation of duties and roles, and their sound distribution between the Board on one hand and Executive Management on the other.

Out of Bank al Etihad's belief in the importance of information and related technology governance and management and its positive impact on the bank's integrity, the Board of Directors decided to adopt this guide (Information and Related Technology Governance and Management Guide). This guide was developed based on the Central Bank of Jordan's guide concerning information and related technology governance and management, which aligns with and complements the Corporate Control Guide adopted by the bank and the Central Bank's guide on corporate governance for banks. In line with international best practices for information and related technology governance and management, this guide has been adopted by the Board of Directors and will be reviewed and updated as needed by the Information Technology Governance Committee, which reports to the Board of Directors.

Section Two: Definitions

The words and phrases mentioned in this manual shall have the meanings assigned to them unless the context or text indicates otherwise. Any other definitions not included in this manual should be referenced in the Banking Law:

1. Governance of Information and Related Technology: The distribution of roles and responsibilities and the description of relationships between the various parties, entities, and stakeholders (such as the Board of Directors and Executive Management) with the aim of maximizing added value for the bank. This is achieved by following an optimal approach that ensures a balance between risks and expected returns, through the adoption of necessary rules, foundations, and mechanisms for decision-making and for determining the bank's strategic directions and objectives, as well as mechanisms for monitoring and examining compliance with their achievement to ensure the bank's sustainability and development.
2. Management of Information and Related Technology: A set of continuous activities that fall under the responsibility of Executive Management. These include planning to achieve strategic objectives, which involves alignment and organization; building and development activities, which involve acquisition and implementation; operational activities, which involve service delivery and support; and monitoring activities, which involve measurement and evaluation. This ensures the ongoing achievement of the bank's objectives and strategic directions.
3. Governance and Management Objectives: A set of practices and activities derived from the bank's policies that are necessary to achieve the objectives of information and related technology.
4. Objectives of Information and Related Technology: A set of main and sub-objectives related to the governance and management activities for information and related technology, which are necessary to achieve corporate objectives.
5. Corporate Objectives: A set of objectives related to corporate governance and management that are necessary to meet the needs of stakeholders and the objectives of this guide.
6. Board: The bank's Board of Directors.
7. Executive Management: Includes the General Manager, Deputy General Manager, Assistant General Manager, Financial Manager, Operations Manager, Risk Management Manager, Treasury Manager, and Compliance Manager.
8. Stakeholders: Any party with an interest in the bank, such as shareholders, employees, creditors, customers, external providers, or relevant regulatory bodies.
9. Auditor: The person (natural or legal) or competent entity responsible for examining the bank's information technology-based operations in accordance with the requirements of the instructions in this regard, and agreed upon by the bank's management to fulfill those requirements for a period of no less than three consecutive years and no more than six consecutive years.

Section three: Corporate governance structure

The Corporate Governance structure is explained in detail in the Corporate Governance Manual.

Section four: IT governance and management objectives

1. Fulfilling stakeholders' needs and achieving the bank's directions and objectives

This can be done by achieving the IT objectives in a manner that guarantees:

1. Provision of high-quality information as a basis for supporting the Bank's decision-making mechanism.
2. Prudent management of IT resources and projects, maximising the utilisation of those resources and minimising unnecessary or inefficient use of them.
3. Provision of a distinct and supportive technological infrastructure that enables the Bank to achieve its objectives.
4. Improving the Bank's various operations by employing an efficient and reliable technological system.
5. Prudent management of IT risks to ensure the necessary protection of the Bank's assets.
6. Assistance in achieving compliance with the requirements of laws, legislations, and instructions, in addition to compliance with internal business strategies, policies, and procedures.

7. Improving the internal control system.
8. Maximising the level of satisfaction with IT by its users by fulfilling business needs efficiently and effectively.
9. Management of the services of outsourced parties assigned with executing various processes, tasks, services and products.

2. Achieving comprehensive IT governance and management

This can be realised by availing not only the technology itself but also the following Seven Enablers to accompany and complement the IT services:

1. Principles, Policies and Frameworks.
2. Governance and Management Objectives.
3. Organisational Structures.
4. Information and Reports.
5. Services, Programs and Infrastructure for Information Technology.
6. Contacts, Skills and Experiences.
7. Values, Ethics and Behavior System with the needed provision with specific specifications and dimensions to meet and fulfill the IT requirements and objectives not only in the IT processes but also in all the Bank's IT-based operations.

3. Adopting practices work rules and regulations

These should be in line with the best international standards and used as a foundation for launching the governance and management of IT processes, projects and resources.

4. Separation of processes and functions

This is to be realised by separating the Board's governance processes, functions and responsibilities from those falling within the jurisdiction of the Executive Management responsibility in respect of information and related technologies.

5. Enhancing the mechanisms of self-monitoring, independent oversight, and compliance checks

Enhancing self-monitoring mechanisms, independent oversight, and compliance checks in the areas of IT governance and management, in a way that contributes to the continuous improvement and development of performance.

Section five: Objectives and goals of governance and management

1. The objectives, governance and management goals, and their targets are considered a minimum that the bank's senior management must continuously comply with and achieve. The Information Technology Steering Committee is the primary party responsible for ensuring compliance with its requirements, while the Information Technology Governance Committee and the Board as a whole are ultimately responsible in this regard. All bank departments, especially the Information Technology Department, Information Security Management, and Project Management, must define and restructure their operations to emulate and cover the requirements of all governance and management objectives.
2. The Board assumes direct responsibility for the processes of evaluation, direction, and oversight.
3. The Board and the Risk Management Department assume direct responsibility for the "ensuring prudent management of information technology risks" and "risk management" processes.

Section six: Publication of the IT governance manual

The bank shall post its IT Governance Manual on its website and/or through any other appropriate means for the public's review. The Bank shall also declare in its Annual Report the existence of the IT Governance Manual as well as information of interest to stakeholders and the extent of its compliance in implementing the contents thereof.

The application of the IT governance and management requirements is a first step and a starting point towards the continuous improvement and development of IT governance and management. Accordingly, the bank's management must keep pace with future updates in the general framework.

Section seven: Duties and responsibilities

The scope of implementing IT Governance instructions includes all the Bank's IT based operations in its various branches and departments. All stakeholders are deemed to be concerned with the implementation of the Manual, each according to their role and position. The following are the concerned parties and their main responsibilities:

1. Chairman, Board members and the external experts

Assume the roles and responsibilities for general direction, approve of tasks and responsibilities, support, and provide the necessary funding.

2. CEO and his/her deputies, assistants, and operations managers and branch managers

Assume the responsibilities of naming the appropriate persons with experience in the Bank's operations to represent them and describe their functions and responsibilities.

3. IT Steering Committee

Assume the roles and responsibilities of managing, directing, and supervising the implementation of the Manual,

recommend the provision of the resources required for the conclusion thereof and ensure that all parties understand the requirements and objectives of the Manual correctly.

4. Internal Audit

Assume the roles and responsibilities entrusted to them as mentioned in Clause VII and participate in what represents the role of internal auditing in executive matters as an independent consultant and controller.

5. Risk, Information Security, Compliance and Legal Departments

Assume the roles and responsibilities of participating in the project/program that represents the function of such departments ensuring that the project/program is properly represented by all concerned parties.

6. Experts and Holders of Technical and Professional Certificates related to the COBIT 5 Foundation standard (e.g. COBIT 5 Assessor, COBIT 5 Foundation, COBIT 5 Implementation, and CGEIT) who are recruited from within and outside the Bank.

Assume the role of a supervisor to disseminate knowledge and facilitate the implementation process.

Section Eight: Committees

IT governance committee

Formation

- The committee is formed by a decision of the Board of Directors.
- The committee is composed of at least three Board members. It is preferrable that members have experience or strategic knowledge in IT.
- The committee elects one of its members as its President.
- The Board shall determine the Committee's objectives and delegate powers to it, in accordance with a charter.

Authorities

- The committee may seek assistance, when necessary, and at the bank's expense, from external experts, in the field of IT governance and strategic knowledge, in coordination with the Chairman of the Board, to enhance objective opinions.
- The committee may invite any of the bank's Executive Management to attend its meetings to seek their opinion, including those concerned with the internal audit and members of the Executive Management (such as the risk and compliance manager) or those concerned with the external audit.

Meetings

- The committee shall operate under the supervision of the Board and submits its periodic reports and recommendations on the results of its performance.
- The committee shall meet at the invitation of its chairperson on a quarterly basis at least, whenever needed, or upon a decision of the Board or at the request of any of its members.
- The committee's meeting is considered legal when attended by the majority of members, provided that its chairperson is present in-person. In the event of inability to attend personally, the committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the chairperson's approval and shall have the right to vote and sign the minutes of meeting, provided that the chairperson and secretary shall ratify the minutes of meeting and its quorum.
- The committee shall take its decisions / recommendations by the majority of votes of those present. In the event of a tie, the side with which the chairperson shall have the casting vote. The committee shall maintain documented minutes of meeting.

Committee's secretary

The Chief Technology Officer (CTO) shall perform the duties of the Committee's Secretary.

Functions and responsibilities

The delegation of powers by the Board to the Committee or any other committee does not relieve the Board of its responsibilities in this regard. The committee shall undertake the following functions:

1. Adoption of strategic objectives for Information Technology and appropriate organizational structures, including steering committees at the highest Executive Management level, particularly the Information Technology Steering Committee. This encompasses achieving and fulfilling the bank's strategic objectives, attaining optimal value-added from projects and investments in information technology resources, utilizing necessary tools and standards to monitor and ensure the realization of these goals, such as employing the Balanced IT Scorecards system and calculating ROI, and measuring the impact of contribution to increased financial and operational efficiency.
2. Approve the general framework for managing, controlling, and monitoring IT resources and projects, which simulates the best international standards in this regard, specifically (COBIT). This should be done in a manner to ensure the achievement of the goals and requirements of the IT governance instructions and issued by the Central Bank through the realisation of corporate objectives, IT matrix objectives, and IT governance processes.
3. Approve the corporate objectives matrix and IT objectives, while describing the secondary objectives required for the fulfilment thereof.
4. Approve the Responsibility Assignment Matrix (RACI Chart) for the main and sub-processes of IT governance, as well as the sub-processes stemming from it. This includes designating the primary responsible entity, entities, person, or parties (Responsible), those who are accountable (Accountable), those who are consulted (Consulted), and those who are informed (Informed) about all operations.

5. Ensure the existence of a general framework for IT Risk Management that conforms and integrates with the bank's overall general framework for risk management, and takes into account and fulfills all governance and management objectives.
6. Approve IT resources and projects budget in line with the bank's strategic objectives.
7. General supervision and review of the progress of IT operations, resources, and projects to ensure their adequacy and effective contribution to achieving the Bank's requirements and business activities.
8. View IT audit reports and take the necessary measures to address any deviations thereof.
9. Recommend to the Board of Directors the necessary measures required to rectify any deviations.
10. The IT Governance Committee, in addition to its tasks stipulated in the instructions, shall approve the importance and priority of governance and management goals and their relevance to the (Enterprise Goals and Alignment Goals), in addition to the other six enablers and components. It shall do so by relying on a qualitative and/or quantitative study prepared for this purpose at least annually. The said study shall take into account the Design Factors mentioned in Design Guide - COBIT 2019

IT steering committee

The IT Committee has been formed to ensure IT strategic alignment, resource optimisation, benefit realisation, and risk minimisation to sustainably fulfil the bank's strategic objectives.

Formation

- The committee is formed by a decision of the Senior Executive Management.
- The committee will be chaired by the General Manager and include in its membership members of the Executive Management officers, including the CTO, the Chief Risk Officer and Information Security Director.
- The Board elects one of its members to act as a controller in addition to the Internal Audit Manager.

Authorities

The Committee may invite others to attend its meetings to seek their opinion.

Meetings

- The committee meets periodically, with meetings taking place at least once every three months or whenever the need arises.
- The committee's recommendations/decisions are made by a majority of those present. In the event of a tie, the side of the committee chairperson shall have the casting vote. The committee must formally document its meetings with proper minutes.

Quorum

The committee meeting shall be in quorum in the presence of at least 3 members of class (A) and 2 of class (B). The committee shall consist of 15 members, where the General Manager, the Deputy General Manager, the CTO, and Chief Risk Officer shall be class (A), and the other members shall be class (B), and the Director of Internal Audit and a Board Member shall act as observer members.

Committee's secretary

The Chief Technical Officer (CTO) shall act as the Committee's Secretary.

Functions and responsibilities

The Committee shall undertake the following functions:

1. Developing annual plans to achieve the strategic objectives approved by the Board, and supervising their implementation to ensure their realization. The committee also continuously monitors internal and external factors that may affect these objectives.
2. Linking and continuously reviewing the matrix of institutional objectives with the matrix of information and related technology objectives to ensure the bank's strategic goals are achieved. This includes defining and reviewing a set of KPIs and tasking the relevant members of Executive Management with continuously monitoring them and keeping the committee informed.
3. Recommending the allocation of necessary financial and non-financial resources to achieve the governance and management objectives. This also involves securing competent human resources and placing them in the right positions within organizational structures that cover all operations needed to support the objectives, while considering the segregation of duties and avoiding conflicts of interest. The committee also adapts the technological infrastructure and related services to serve these objectives and supervises the implementation progress of governance and management projects and goals.
4. Prioritizing information technology projects and programs.
5. Monitoring the level of technical and technological services and working to continuously improve and enhance their efficiency.
6. Submitting necessary recommendations to the IT Governance Committee regarding the following matters:
   - The allocation of necessary resources and mechanisms to achieve the tasks of the IT Governance Committee.
   - Any deviations that may negatively impact the achievement of strategic objectives.
   - Any unacceptable risks related to information technology, security, and protection.
   - Performance and compliance reports related to the general framework for managing, controlling, and monitoring information technology resources and projects.
7. Providing the IT Governance Committee with its meeting minutes on a timely basis and ensuring acknowledgment of receipt.

Section Nine: Internal and external audits

A. The Board shall allocate adequate budgets and the necessary tools and resources, including the qualified personnel, through departments specialised in auditing IT, and ensure that both the bank's Internal Audit Department and the external auditor are capable of reviewing and auditing the recruitment and management of IT resources and projects. This shall be done through qualified and internationally accredited professionals in this field who hold valid professional accreditation certificates, such as (CISA), from internationally qualified associations according to the standards set by international certification organisations and/or other equivalent standards.

B. The Board's Audit Committee along with the external auditors shall provide the Central Bank of Jordan with an annual report for the internal audit and another report for the external audit, each of which includes the response of the Executive Management and the review and recommendations of the Board thereon, as specified in item (D/2) of this article and the audit report template. This shall be made during the first quarter of the year.

C. The Audit Committee should include the responsibilities, powers, and scope of work for IT auditing within the audit charter, and within the procedures agreed upon with the external auditor.

D. The Board shall ensure, through the Audit Committee, that the internal and external auditors, when carrying out specialised IT auditing, comply with the following:
   1. IT Audit Standards according to the latest update of the International Standard (ITAF) issued by the Information Systems Audit and Control Association (ISACA), including:
      - Carrying out audit functions within an approved plan in this regard that considers the relative importance of operations, the level of risks, and the degree of impact on the bank's objectives and interests.
      - Provision and compliance with ongoing training and education by specialised staff.
      - Commitment to the standards of professional and administrative independence and ensuring that there are no current or future conflicts of interest.

- Compliance with the standards of objectivity, using due professional diligence, maintaining competitive and professional level of the required contacts and skills with profound knowledge of the bank's IT-based mechanisms, audit reports and other audits (financial, operational, and legal), together with the ability to present evidence corresponding to the case and common sense in detecting unacceptable practices that violate the provisions of the laws, regulations, and instructions.

2. Examination, assessment and review of operations pertaining to the utilisation and management of IT resources and the bank's operations based thereon and give a reasonable overall audit assurance in respect of the overall risk level related to IT Information within an audit scheme that comprises at least the areas indicated under the manual issued by the Central Bank; provided that the audit shall be repeated in respect of all areas or part thereof at least once every year should the risks be rated as either 4 or 5 on the risk rating scale, at least once every two years should the risks be rated 3, and at least once every three years should the risks be rated 1 or 2; subject to the ongoing change in the risk level and taking into account the fundamental changes occurring in the IT environment during the mentioned audit periods. The Central Bank of Jordan shall be furnished with the first audit reports regardless of the risk rating, provided that the assessment process of the said areas shall comprise the Bank's mechanisms in terms of strategic planning, drawing-up policies and principles, the written and approved operation procedures, methods of employing various resources including the IT resources and the human factor, monitoring, control, improvement and development mechanisms and tools. The outcomes of audits shall be duly documented and evaluated, based on the significance of weaknesses and shortcomings (observations) and activated controls, in addition to assessing the level of remaining risks pertaining to each of them using a systematic standard for measuring and analysing risks. This shall include the agreed corrective measures intended for implementation by the bank's management, on specific dates set for correction, indicating within a special schedule the title of the person responsible at the bank to whom the respective observation belongs.
3. Regular procedures for following up on audit results to ensure that any issues identified in the auditor's reports are addressed within the specified timeframe. If the responsible parties fail to address these issues within the specified timeframe, the level of risk and importance should be raised, and the Board shall be kept informed as necessary.
4. Include an annual evaluation process, which should be carried out by the Board through the Audit Committee and in accordance with the organisational administrative hierarchy of the audit department's departments. The evaluation process should include objective measurement criteria that consider all of the information stated in point (d) above.

E. The Bank may outsource the internal IT audit services of IT Information to a specialised external entity that is completely independent of the approved external auditor, provided that all the requirements of the Central Bank's instructions in that regard and any other relevant instructions are fulfilled. The Board of Directors and its Audit Committee shall maintain their roles relating to the examination of compliance and ensure meeting such requirements, as a minimum.

The reports of the internal and external auditors are allowed to be approved by the Information Technology Governance Committee or the committee acting in its place, provided that the reports are shared with the Board.

Section Ten: Principles, policies and frameworks

- The Board, or the committees delegated by it, shall adopt the system of principles, policies, and frameworks required to achieve the general framework for managing, controlling, and monitoring IT resources and projects in a way that meets the requirements of governance and administration goals and objectives.
- The Board or its delegated committees shall approve the principles, policies, and frameworks, especially those related to IT risk management, information security management, and human resources management, which meet the requirements of governance and management objectives.
- The Board, or the committees delegated by it, shall approve the policies system required to manage the governance and management resources and objectives, provided that each policy owner shall determine the scope of implementation, review and updating frequency, access and distribution authorities, objectives, responsibilities, work procedures related thereto, penalties in case of non-compliance, and the examination mechanisms of compliance.
- All internal and external partners shall participate upon creating the policies adopting best international practices and update same as references for drafting such policies

Section Eleven: Organisational structures

- The Board shall approve the hierarchical organisational structures and committees, particularly those related to the management of IT resources, operations, and projects, or IT risk management, information security management, and human resources management, to meet the requirements of governance and management objectives, executive management, and the Bank's objectives efficiently and effectively.
- When approving and amending the Bank's organisational structures, it is important to ensure the separation of roles and meet bilateral control requirements, at minimum, as well as update and ensure the adequacy of job descriptions upon approving and modifying the Bank's organisational structures.

Section Twelve: Information and reports

- The Board and Senior Executive Management must develop the necessary infrastructure and information systems to provide information and reports for the users thereof, as a foundation upon which the bank's decision-making processes are based. Accordingly, information quality requirements must be met, including credibility and confidentiality requirements and compliance with such information, in addition to other requirements stipulated by (COBIT 5 – Enabling Information).
- The Board, or its delegated committees, must adopt an information and reporting system that takes into account the identification of information and report owners. The system should delegate access and usage powers according to the needs of the work and concerned partners. The system should be continuously reviewed and developed to keep pace with the bank's goals and operations and meet accepted international standards.

Section Thirteen: IT services, tools, programs and infrastructure

- The Board, or its delegated committees and Senior Executive Management, must adopt the IT system of services, tools, programs, and infrastructure that support and assist in achieving the objectives of governance, management, and administration, as well as the IT objectives, and ultimately the corporate objectives.
- The Board, or its delegated committees and Senior Executive Management, must approve the IT system of services, tools, programs, and infrastructure, and ensure that it is provided and developed on a continuous basis to keep pace with the development of the bank's objectives and operations in line with the best acceptable international practices in this regard.

Section Fourteen: Knowledge, skills, and experience

- The Board, or its delegated committees, must adopt the HR Competencies Matrix and HR management policies necessary to meet the requirements of governance and management objectives, and the requirements of the Central Bank of Jordan instructions in general and ensure that the right person is placed in the right position.
- The bank's management must employ qualified and trained professionals with experience in IT resource management, risk management, information security management, and IT audit management, based on academic and professional knowledge and practical experience recognised by qualified international associations in accordance with international accreditation standards for donor institutions for professional certificates and/or any other parallel standards, each according to their specialisation.
- The bank's Executive Management must continue with enrolling its personnel in ongoing training and education schemes for maintaining a high level of knowledge and skills in a manner that fulfills and realises governance and management objectives.
- The annual performance evaluation mechanisms of Bank's Executive Management shall comprise objective measuring standards that take into consideration participation through the job position in realising the bank's objectives.

Section Fifteen: Values, ethics, and behaviours

- The Board, or the delegated committees, must adopt a corporate and professional ethics system that reflects the accepted international professional code of conduct for dealing with information and related technologies, which shall clearly define desirable and undesirable behaviors and their repercussions.
- The internal and external auditor must comply with the code of ethics and professional practices conduct approved by the Board so that it includes, at a minimum, the system of professional ethics contained in the International Standard (ITAF) issued by the Information Systems Audit and Control Association (ISACA) and its updates.
- The Board and the Senior Executive Management must employ a variety of tools to promote the use of desirable behaviours and discourage the use of undesirable behaviours by methods of a rewards and penalties system.

Section Sixteen: Outsourcing

The bank shall, upon concluding outsourcing agreements with external parties for the purpose of providing IT human resources, services, programs and infrastructure to manage the bank's operations, the bank shall make sure that such external parties comply with the implementation of the COBIT 5 instructions, whether totally or partially commensurate with the importance and nature of the Bank's operations, services, programs and infrastructure provided before and during the contract duration. The Board of Directors and Senior Executive Management shall not be relieved from the ultimate responsibility for fulfilling the requirements of all instructions, including the audit requirements.

Statement of compliance with COBIT manual

Bank al Etihad is fully committed to complying with the instructions of the Central Bank of Jordan regarding the governance of Information Technology.

Consolidated financial statements for the Year ended December 31, 2024

Independent Auditor's Report

To the Shareholders of Bank Al Etihad

Amman – Jordan

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Bank Al Etihad "the Bank" and its subsidiaries "the Group" which comprise the consolidated statement of financial position as at 31 December 2024, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2024, and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards, are further described in the Auditor's Responsibilities for the Audit of the consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in Jordan, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other matter

The consolidated financial statements of the Group for the year ended 31 December 2023 were audited by another auditor who expressed an unqualified opinion on 28 February 2024.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the year ended 31 December 2024. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Adequacy of expected credit losses provision for credit facilities
Refer to the note (9) to the consolidated financial statements

Key Audit matter

This is considered as a key audit matter as the Group exercises significant judgement to determine when and how much to record as expected credit losses.

The provision for credit facilities is recognized based on the Bank's provisioning and impairment policy which complies with the requirements of IFRS 9.

Credit facilities form a major portion of the Bank's assets, there is a risk that inappropriate expected credit losses provisions are booked, whether from the use of inaccurate underlying data, or the use of unreasonable assumptions. Due to the significance of the judgments used in classifying credit facilities into various stages stipulated in IFRS 9 and determining related provision requirements, this audit area is considered a key audit risk.

As at 31 December 2024, the Bank's gross credit facilities amounted to JD 4,848,493,596 and the related expected credit losses provisions amounted to JD 261,706,245. The expected credit losses provision policy is presented in the accounting policies in note (2) to the consolidated financial statements.

How the key audit matter was addressed in the audit

Our audit procedures included the following:

- We gained an understanding of the Company's key credit processes comprising granting and booking and tested the operating effectiveness of key controls over these processes.
- We read the Bank's impairment provisioning policy and compared it with the requirements of the International Financial Reporting Standards as well as relevant regulatory guidelines and pronouncements.
- We assessed the Bank's expected credit loss model, in particular focusing on its alignment of the expected credit loss model and its underlying methodology with the requirements of IFRS 9.
- We tested a sample of exposures, assessed on an individual basis and performed procedures to evaluate the following:
  - Appropriateness of the bank's staging.
  - Appropriateness of determining Exposure at Default, including the consideration of repayments in the cash flows and the resultant arithmetical calculations
  - Appropriateness of the PD, EAD and LGD for different exposures at different stages.
  - Appropriateness of the internal rating and the objectivity, competence and independence of the experts involved in this exercise.
  - Soundness and mathematical integrity of the ECL Model.
  - For exposures moved between stages we have checked the appropriateness of the Bank's determination of significant increase in credit risk and the resultant basis for classification of exposures into various stages. We also checked the timely identification of exposures with a significant deterioration in credit quality.
  - For exposures determined to be individually impaired we re-preformed the ECL calculation we also obtained an understanding of the latest developments in the counterparty's situation of the latest developments in estimate of future cash flows, current financial position any rescheduling or restructuring agreements.

- For forward looking assumptions used by the Group in its Expected Credit Loss ("ECL") calculations, we held discussions with management and corroborated the assumptions using publicly available information.

We assessed the financial statements disclosures to ensure compliance with IFRS 9. Refer to the accounting policies, critical accounting estimates and judgments, disclosures of credit facilities and on credit risk in notes (2), (4), and (9) to the consolidated financial statements.

Other information included in the Group's 2024 annual report

Other information consists of the information included in the group's 2024 Annual Report other than the consolidated financial statements and our auditor's report thereon. Management is responsible for the other information. The group's 2024 Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IASB), and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exist, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period, and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonable be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

The Bank maintains proper books of accounts which are in agreement with the consolidated financial statements.

The partner in charge of the audit resulting in this auditor's report was Osama Shakhatreh; license number 1079.

إرنست ويونغ
محاسبون قانونيون
عمان - الأردن

Amman - Jordan

19 February 2025

	Notes	31 December	
		2024	2023
		JD	JD
Assets			
Cash and balances at Central Banks	5	912,773,898	736,205,982
Balances at banks and financial institutions - net	6	487,712,257	371,943,707
Deposits at banks and financial institutions - net	7	17,709,822	14,082,419
Financial assets at fair value through statement of income	8	18,663,543	26,229,319
Direct credit facilities and financing - net	9	4,562,816,078	4,244,911,424
Financial assets at fair value through other comprehensive income - net	10	119,651,740	66,658,121
Financial assets at amortized cost - net	11	1,855,913,452	1,633,814,826
Investment in associates	12	332,759	349,622
Property and equipment - net	13	87,259,347	76,211,079
Deferred tax assets	21/b	45,261,019	37,416,374
Right of use assets - net	44	29,835,954	30,438,070
Intangible assets - net	14	29,629,198	28,532,909
Other assets - net	15	183,447,671	153,225,585
TOTAL ASSETS		**8,351,006,738**	**7,420,019,437**
LIABILITIES AND OWNERS' EQUITY			
LIABILITIES:			
Banks and financial institutions deposits	16	357,199,782	311,250,220
Customers' deposits	17	6,406,677,540	5,651,353,018
Cash margins	18	374,955,909	329,660,434
Borrowed funds	19/a	220,773,527	190,406,392
Subordinated loans	19/b	60,295,000	60,295,000
Sundry provisions	20	1,421,646	525,787
Lease liabilities	44	30,828,861	31,098,416
Income tax provision	21/a	36,048,153	30,872,484
Deferred tax liabilities	21/b	945,800	20,282
Other liabilities	22	169,050,879	150,936,220
TOTAL LIABILITIES		**7,658,197,097**	**6,756,418,253**
OWNERS' EQUITY			
BANK'S SHAREHOLDERS EQUITY:			
Authorized and paid-in capital	23	200,000,000	200,000,000
Share premium	23	68,213,173	68,213,173
Statutory reserve	25	94,105,047	85,321,596
Voluntary reserve	25	62,376,599	57,172,423
Fair value reserve - net	27	1,315,151	2,693,754
Retained earnings	28	69,774,670	65,411,367
TOTAL BANK'S SHAREHOLDERS EQUITY		**495,784,640**	**478,812,313**
Non-controlling interests		126,125,001	113,888,871
Perpetual bonds	24	70,900,000	70,900,000
TOTAL OWNERS' EQUITY		**692,809,641**	**663,601,184**
TOTAL LIABILITIES AND OWNERS' EQUITY		**8,351,006,738**	**7,420,019,437**

The accompanying notes from (1) to (54) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

	Notes	For the Year Ended 31 December	
		2024	2023
		JD	JD
Interest income and returns	31	490,941,001	430,386,583
Interest expenses	32	254,023,745	217,487,350
Net Interest Income and Returns		**236,917,256**	**212,899,233**
Net commission income	33	41,177,032	32,347,286
Net interest and commission income		**278,094,288**	**245,246,519**
Gain from foreign currencies	34	17,647,759	13,776,586
Gain from financial assets at fair value through statement of income	35	2,525,348	1,915,615
Gain (Loss) from financial assets at amortized costs	11	48,728	(2,125)
Dividends from financial assets at fair value through other comprehensive income	10 & 36	726,825	1,162,153
Gain from sale of financial assets at fair value through other comprehensive income	10	78,970	-
Other income	37	3,746,422	1,401,394
Gross Income		**302,868,340**	**263,500,142**
Employees' expenses	38	66,892,385	62,943,873
Depreciation and amortization	13 & 14	15,218,129	15,059,445
Other expenses	39	59,244,796	46,966,839
Amortization of right of use assets	44	4,774,421	4,575,570
Rent expense		1,044,864	810,851
Lease finance cost	44	1,220,926	1,240,261
Provision for expected credit losses - net	29	68,652,960	41,920,695
(Surplus) Provision for impairment of seized assets	15	(866,590)	(581,164)
Sundry provisions	20	895,859	170,171
Total Expenses		**217,077,750**	**173,106,541**
Profit from operations		**85,790,590**	**90,393,601**
Bank's share from the (loss) profit of an associate Company	12	(16,863)	3,668
Profit for the year before tax		**85,773,727**	**90,397,269**
Income tax	21/a	(31,299,627)	(32,659,994)
Profit for the Year		**54,474,100**	**57,737,275**
Attributable to:			
Bank's Shareholders		42,309,640	47,137,256
Non-Controlling Interests		12,164,460	10,600,019
		54,474,100	**57,737,275**
		JD/FILS	**JD/FILS**
Basic and diluted earnings per share for the year attributable to the Bank's Shareholders	40	**0.212**	**0.236**

The accompanying notes from (1) to (54) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

	For the Year Ended 31 December	
	2024	2023
	JD	JD
Profit for the Year	54,474,100	57,737,275
Comprehensive income items		
Items that are unable to be reclassified to the consolidated income statement in subsequent periods		
Net change in fair value reserve after tax	(1,400,775)	(3,391,569)
Total Comprehensive Income for the Year	**53,073,325**	**54,345,706**
Comprehensive income attributable to:		
Bank's Shareholders	40,837,195	43,748,909
Non-Controlling Interests	12,236,130	10,596,797
	53,073,325	**54,345,706**

The accompanying notes from (1) to (54) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

For the Year Ended 31 December 2024	Notes	Authorized and paid-in Capital	Share Premium	Reserves			Retained Earnings*	Total Shareholder's Equity	Perpetual Bonds	Non-Controlling Interests	Total Owners' Equity
				Statutory	Voluntary	Fair Value					
		JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year		200,000,000	68,213,173	85,321,596	57,172,423	2,693,754	65,411,367	478,812,313	70,900,000	113,888,871	663,601,184
Total comprehensive income for the year		-	-	-	-	(1,472,445)	42,309,640	40,837,195	-	12,236,130	53,073,325
Transferred to reserve		-	-	8,786,397	5,204,176	-	(13,990,573)	-	-	-	-
Distributed dividends	23	-	-	-	-	-	(20,000,000)	(20,000,000)	-	-	(20,000,000)
Effect of disposal of a subsidary		-	-	(2,946)	-	-	102,946	100,000	-	-	100,000
Realized (loss) from sale of financial assets at fair value through other comprehensive income	10	-	-	-	-	93,842	(93,842)	-	-	-	-
Capital increase fees		-	-	-	-	-	(150,113)	(150,113)	-	-	(150,113)
Perpetual bonds and their related expenses after excluding the tax effect		-	-	-	-	-	(16,051)	(16,051)	-	-	(16,051)
Interest in perpetual bonds after excluding the tax effect		-	-	-	-	-	(3,798,704)	(3,798,704)	-	-	(3,798,704)
Balance at the end of the Year		**200,000,000**	**68,213,173**	**94,105,047**	**62,376,599**	**1,315,151**	**69,774,670**	**495,784,640**	**70,900,000**	**126,125,001**	**692,809,641**
For the Year Ended 31 December 2023											
Balance at the beginning of the year		160,000,000	80,213,173	76,227,974	51,192,173	6,482,816	78,930,524	453,046,660	-	106,989,990	560,036,650
Total comprehensive income for the year		-	-	-	-	(3,388,347)	47,137,256	43,748,909	-	10,596,797	54,345,706
Transferred to reserve		-	-	9,093,622	5,980,250	-	(15,073,872)	-	-	-	-
Distributed dividends	23	-	-	-	-	-	(16,000,000)	(16,000,000)	-	-	(16,000,000)
Capital increase		40,000,000	(12,000,000)	-	-	-	(28,000,000)	-	-	-	-
Net change in non-controlling interests as a result of the increase in shares of a subsidiary		-	-	-	-	-	(435,765)	(435,765)	-	(3,697,916)	(4,133,681)
Realized gain from sale of financial assets at fair value through other comprehensive income	10	-	-	-	-	(400,715)	400,715	-	-	-	-
Capital increase fees		-	-	-	-	-	(250,150)	(250,150)	-	-	(250,150)
Perpetual bonds and their related expenses after excluding the tax effect		-	-	-	-	-	(363,234)	(363,234)	70,900,000	-	70,536,766
Interest in perpetual bonds after excluding the tax effect		-	-	-	-	-	(934,107)	(934,107)	-	-	(934,107)
Balance at the end of the Year		**200,000,000**	**68,213,173**	**85,321,596**	**57,172,423**	**2,693,754**	**65,411,367**	**478,812,313**	**70,900,000**	**113,888,871**	**663,601,184**

* Retained earnings include a restricted amount of JD 44,985,503 as of 31 December 2024 (JD 37,180,506 as of 31 December 2023), which represents deferred tax assets after deducting deferred tax liabilities and in accordance with the instructions of the Central Bank of Jordan. These amounts cannot be used unless a prior approval is obtained.

* Retained earnings include an amount of JD 2,918,105 which represents unrealized gain from revaluation of financial assets at fair value through income statement (JD 2,174,784 as of 31 December 2023).

- General banking risk reserve include a restricted balance which is transferred to retained earnings with an amount of JD 108,397 as of 31 December 2024 and 2023 that belongs to Safwa Islamic Bank, these amounts cannot be used unless a prior approval is obtained Central Bank of Jordan

The accompanying notes from (1) to (54) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

	Notes	For the Year Ended 31 December	
		2024	2023
		JD	JD
Operating Activities			
Profit for the year before tax		85,773,727	90,397,269
Adjustments			
Depreciation and amortization	14 & 13	15,218,129	15,059,445
Provision for expected credit loss - net	29	68,652,960	41,920,695
Amortization of right of use assets	44	4,774,421	4,575,570
Lease finance cost	44	1,220,926	1,240,261
Gain from the derecognition of right-of-use assets	44	-	(4,566)
(Gains) from sale of financial assets at fair value through other comprehensive income	10	(78,970)	-
(Gains) losses from sale of financial assets at amortized cost	11	(48,728)	2,125
(Surplus) provision for impairment of seized assets	15	(866,590)	(581,164)
Unrealized (gains) losses from financial assets through statement of income	35	(456,497)	(1,031,495)
(Gains) losses from sale of property and equipment	37 & 39	(2,326,104)	32,116
(Gains) losses on revaluation of convertible loans		(9,104)	23,276
Sundry provisions - net	20	895,859	170,171
Bank's shares of losses (gains) from investment in an associate company	12	16,863	(3,668)
(Gains) losses from the sale of seized assets	37 & 39	(5,288)	11,489
Effect of exchange rate fluctuations on cash and cash equivalents	34	(5,789,534)	(4,238,001)
Profit before changes in assets and liabilities		**166,972,070**	**147,573,523**
Changes in Assets and Liabilities			
Restricted cash balances		(4,093,565)	(5,735,244)
Financial assets at fair value through statement of income		8,022,273	(6,773,928)
(Increase) in banks and financial institutions' deposits with maturity exceeding 3 months		(3,635,422)	(69,003)
Deposits at banks and financial institutions with maturity exceeding 3 months		20,411,319	7,495,474
(Increase) in direct credit facilities and financing		(387,229,979)	(296,082,279)
(Increase) decrease in other assets		(29,281,801)	400,574
Increase in customers' deposits		755,324,522	465,008,574
Increase in cash margins		45,295,475	72,292,407
Increase in other liabilities		17,931,961	49,668,401
Net cash flows from operating activities before income tax		**589,716,853**	**433,778,499**
Income tax paid	21/a	(33,888,257)	(35,092,191)
Sundry provisions paid	20	-	(276,281)
Net cash flows from operating activities		**555,828,596**	**398,410,027**
Investing Activities			
(Purchase) of financial assets at fair value through other comprehensive income		(53,494,001)	(9,795,521)
Matured financial assets at amortized cost	11	353,833,657	398,947,836
(Purchase) of financial assets at amortized cost	11	(575,588,705)	(706,960,536)
(Purchase) of property and equipment and payments for purchase of property and equipment	13	(20,312,422)	(15,987,004)
Proceeds from sale of property and equipment	13	3,240,149	98,232
(Increase) in intangible assets	14	(7,964,309)	(8,536,707)
Net cash flows used in investing activities		**(300,285,631)**	**(342,233,700)**
Financing Activities			
Dividends distributed to shareholders		(19,979,315)	(15,993,410)
Increase in borrowed funds	19/a	30,367,135	48,698,446
Increase in subordinated loans	19/b	-	14,180,000
Capital increase fees		(150,113)	(250,150)
Perpetual bonds and their related expenses after excluding the tax effect		(12,506)	(363,234)
Perpetual bonds interest after excluding the tax effect		(2,874,975)	(934,107)
Issuance of Perpetual bonds	24	-	70,900,000
Payments of principal lease liability	44	(5,327,536)	(5,032,119)
Repayment of part of interest of the lease obligation	44	(335,250)	(337,725)
Net change in non-controlling interests as a result of the increase in the ownership of a subsidiary		-	(4,133,681)
Net Cash Flows from Financing Activities		**1,687,440**	**106,734,020**
Net increase in cash and cash equivalent		**257,230,405**	**162,910,347**
Effect of the exchange rates fluctuations on cash and cash equivalents	34	5,789,534	4,238,001
Cash and cash equivalents at the beginning of the year		830,940,957	663,792,609
Cash and cash equivalents at the end of the year	41	**1,093,960,896**	**830,940,957**
Non cash items:			
(Increase) in right of use assets		(4,359,532)	(6,097,366)
Increase in leasing liabilities		4,359,532	6,097,366

The accompanying notes from (1) to (54) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

1. General Information

Bank Al Etihad is a public shareholding company incorporated in Jordan during 1978, in accordance with the Companies Law No (12) of (1964). Its main branch is located in Amman, and the Company was transformed into a bank during the year 1991.

The Bank provides all of its financial and banking services through its main branch located in Amman and through its Fifty-seven branches and its subsidiaries in Jordan and Iraq brach, and the number of Safwa Bank branches inside the Kingdom reached forty-four branches and its subsidiary.

The Bank's shares are listed and traded on Amman Stock Exchange - Jordan.

The consolidated financial statements were approved by the Board of Directors on 9 February 2025 and are subject to approval by the General Assembly of Shareholders and the Central Bank of Jordan.

2. Material Accounting Policies

Basis of Preparation of the Consolidated Financial Statements

The accompanying consolidated financial statements for the Bank and its subsidiaries have been prepared in accordance with the International Financial Reporting Standards as issued by the International Accounting Standards Board. The Bank transitioned to fully applying the International Financial Reporting Standards (IFRS) starting from 1 January 2024, instead of IFRS as adopted by the Central Bank of Jordan, the differences between these two frameworks are not material on the consolidated financial statements.

The Bank adheres to the local regulations and instructions of the Central Bank of Jordan.

The consolidated financial statements are prepared on the historical cost basis except for financial assets at fair value through statement of income, financial assets at fair value through other comprehensive income and financial derivatives which have been measured at fair value at the date of the consolidated financial statements. Moreover fair value hedged assets and liabilities are stated at fair value.

The consolidated financial statements are presented in Jordanian Dinar (JD) which is the functional currency of the Bank.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Bank and its subsidiaries were the Bank holds control over the subsidiaries. The control exists when the Bank controls the subsidiaries significant and relevant activities and is exposed. or has rights. to variable returns from its involvement with the subsidiaries and has the ability to affect those returns through its power over the subsidiaries. All transactions balances. income and expenses between the Bank and subsidiaries are eliminated. The following subsidiaries were consolidated in the Group's financial statements:

Company's Name	Ownership of the Bank	31 December 2024		Nature of Operation	Established year	Location
		Paid-up Capital	Investment amount			
	%	JD	JD			
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan
Al-Etihad for Financial Leasing Company L.L.C	100	12,000,000	12,000,000	Finance leasing	2015	Jordan
Al-Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan
Al-Etihad for Financial Technology Company	100	-	-	Manufacturing, programming, development and supplying of programs	2019	Jordan
		130,039,028	82,562,636			

The Bank owns the following subsidiaries as of 31 December 2023:

Company's Name	Ownership of the Bank	31 December 2023		Nature of Operation	Established year	Location
		Paid-up Capital	Investment amount			
	%	JD	JD			
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan
Al-Etihad for Financial Leasing Company L.L.C	100	12,000,000	12,000,000	Finance leasing	2015	Jordan
Al-Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan
Al-Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programing, development and supplying of programs	2019	Jordan
		130,139,028	**82,662,636**			

* The subsidiary (Al-Etihad Islamic Investment Company) which is owned by Bank Al Etihad with a total percentage of 58% has a controlling interest equivalent to 62.4% over Safwa Islamic Bank. Since the bank has control over the subsidiary and Safwa Islamic Bank, their financial information has been consolidated within the consolidated financial information of Bank al Etihad.

- Bank al Etihad owns shares in Safwa Islamic Bank directly, amounting to around 3.67% of the total shares of Safwa Islamic Bank.
- The General Assembly approved in its extraordinary meeting held on 11 September 2024 the voluntary liquidation of Al-Etihad for Financial Technology Company.

B. Investment in Foreign branches

Company's Name	Ownership of the Bank	31 December 2024		Nature of Operation	Established year	Location
		Paid-up Capital	Investment amount			
	%	JD	JD			
Bank al Etihad – Iraq Branch	100	35,450,000	35,450,000	Commercial Bank	2023	Iraq
		35,450,000	35,450,000			

The Bank owns the following subsidiary as of 31 December 2023

Company's Name	Ownership of the Bank	31 December 2023		Nature of Operation	Established year	Location
		Paid-up Capital	Investment amount			
	%	JD	JD			
Bank al Etihad – Iraq Branch	100	35,450,000	35,450,000	Commercial Bank	2023	Iraq
		35,450,000	**35,450,000**			

The financial statements of the subsidiaries are prepared for the same financial year of the Bank and by using the same accounting policies adopted by the Bank. If the accounting policies adopted by the subsidiaries are different from those used by the Bank the necessary adjustments to the financial statements of the subsidiaries are made to comply with the accounting policies used by the Bank.

The Results of operations of subsidiaries are included in the consolidated statement of income effective from the acquisition date. which is the date of transfer of control over the subsidiary to the Group. The results of operations of subsidiaries disposed are included in the consolidated statement of income up to the effective date of disposal. which is the date of loss of control over the subsidiary.

Non-controlling interest represents the portion that is not owned by the Bank in the owner's equity in the subsidiary companies.

Significant Accounting Policies

Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, any previously held equity interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IFRS 9 Financial Instruments, is measured at fair value with changes in fair value recognised in the consolidated statement of comprehensive income.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group reassesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

Recognition of Interest Income

The effective interest rate method In accordance with IFRS 9, interest income is recognized using the effective interest rate method for all financial instruments at amortized cost and financial instruments at fair value through the income statement or through other comprehensive income. The effective interest rate is the rate that discounts estimated future cash receipts over the expected life of the financial instrument, or, shorter period, to the net carrying amount of the financial asset.

The EIR (and therefore, the amortized cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Group recognizes interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognizes the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset are revised for reasons other than credit risk. The adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the consolidated statement of financial position with an increase or reduction in interest income. The adjustment is subsequently amortized through interest and similar income in the consolidated statement of income.

Interest and similar income and expense

For all financial instruments measured at amortized cost, financial instruments designated at fair value through other comprehensive income and fair value through profit or loss, interest income or expense is recorded using the EIR. The calculation takes into account all of the contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

When the recorded value of a financial asset or a group of similar financial assets has been reduced by an impairment loss, interest income continues to be recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Fee and commission income

Fee income can be divided into the following two categories:

A. Fee income earned from services that are provided over a certain period of time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include commission income and private wealth and asset management fees, custody and other management fees.

B. Fee income forming an integral part of the corresponding financial instrument

Fees that the Bank considers to be an integral part of the corresponding financial instruments include: loan origination fees, loan commitment fees for loans that are likely to be drawn down and other credit related fees.

Financial guarantees, letters of credit and undrawn loan commitments

The Group issues financial guarantees, letters of credit and loan commitments.

Financial guarantees are initially recognized in the consolidated financial statements (within other liabilities) at fair value, being the premium received. Subsequent to initial recognition, the Group's liability under each guarantee is measured at the higher of the amount initially. Recognized less cumulative amortization recognized in the consolidated statement of income and an expected credit losses provision.

The premium received is recognized in the consolidated statement of income net of fees and commission income on a straight line basis over the life of the guarantee.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Group is required to provide a loan with pre-specified terms to the customer. Similar to financial guarantee contracts, these contracts are in the scope of the ECL requirements.

The nominal contractual value of financial guarantees, letters of credit and undrawn loan commitments, where the loan agreed to be provided is on market terms, are not recorded on in the consolidated statement of financial position.

The Group occasionally issues loan commitments at below market interest rates drawdown. Such commitments are subsequently measured at the higher of the amount of the ECL and the amount initially recognized less, when appropriate, the cumulative amount of income recognized.

Segmental Information

Business sector represents a group of assets and operations that jointly provide products or services subject to risks and returns different from those of other business segments. which were measured according to the reports used by the General Manager and the Bank's decision maker.

Geographical sector relates to providing products or services in an economic environment subject to specific risks and returns different from those operating in other sectors of other economic environments.

Direct Credit Facilities

Direct credit facilities are financial assets with fixed or determinable payments which are provided basically by the Bank or have been acquired and has no market price in the active markets. which are measured at amortized cost.

A provision for the impairment in direct credit facilities is recognized through the calculation of the expected credit loss in accordance with International Financial Reporting Standard 9.

Interest and commission earned on non-performing granted credit facilities are suspended in accordance with the instructions of the Central Bank of Jordan and in accordance with the instructions of the regulatory authorities whichever is more conservative in countries where the bank has its branches or subsidiaries.

When direct credit facilities are uncollectible they are written off against the provision account. Any surplus in the provision is reversed through the consolidated statement of income. and subsequent recoveries of amounts previously written off are credited to revenue.

Fair Value

Fair value represents the closing market price (Assets Purchasing/ Liabilities Selling) of financial assets and derivatives on the date of the consolidated financial statements in active markets. In case declared market prices do not exist active trading of some financial assets and derivatives is not available or the market is inactive fair value is estimated by one of several methods including the following:

- Comparison with the fair value of another financial asset with similar terms and conditions.
- Analysis of the present value of expected future cash flows for similar instruments.
- Adoption of the option pricing models.
- Evaluation of long-term assets and liabilities that bear no interest through discounting cash flows and amortizing premium/ discount using the effective interest rate method within interest revenue / expense in the consolidated statement of income.

The valuation methods aim to provide a fair value reflecting the market's expectations taking into consideration the market expected risks and expected benefits when the value of the financial assets. When the financial assets fair value can't be reliably measured. they are stated at cost less any impairment.

Investment in Associate

An associate company is the company whereby the bank exercises effective influence over their decisions related to financial and operational policies without control. with the bank owning from (20%) to (50%) of the voting rights. and is stated in accordance to the equity method.

Under the equity method, the investment in an associates initially recognised at cost, the carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the associates since the acquisition date. Goodwill relating to the associates is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

The consolidated income statement reflects the Group's share of the results of operations of the associates. Any change in other comprehensive income of those investees is presented as part of the Group's other comprehensive income (OCI). In addition, when there has been a change recognised directly in the equity of the associates, the Group recognises its share of any changes, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the associates are eliminated to the extent of the interest in the associates.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated income statement within operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate.

Revenues and expenses resulting from transactions between the Bank and the associate company are eliminated according to the bank's ownership percentage in these company.

Financial Assets at Amortized Cost

Are the assets that the bank's management intends to hold for the purpose of collecting the contractual cash flows which represents the cash flows that are solely payments of principal and interest on the outstanding principal.

Financial assets are recorded at cost upon purchase plus acquisition expenses. Moreover the issue premium\ discount is amortized using the effective interest associated with the decline in value of these investments leading to the in ability to recover the investment or parts thereof are deducted. any impairment is registered in the consolidated statement of income and should be presented subsequently at amortized cost less any impairment losses.

The amount of impairment loss recognised at amortized cost is the expected credit loss of the financial assets at amortized cost.

It is not allowed to reclassify any financial assets from/to this category except for certain cases that are specified by the International Financial Reporting Standards (And if in any cases these assets are sold before the maturity date the result of sale will be recorded in the consolidated statement of income in a separated disclosure and caption in according to the International Financial Reporting Standards in specific).

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Financial Assets at Fair Value through Profit or Loss

It is the financial assets purchased by the bank for the purpose of trading in the near future and achieving gains from the fluctuations in the short-term market prices or trading margins.

Financial assets at fair value through profit or loss are initially stated at fair value at acquisition date (purchase costs are recorded in the consolidated statement of income upon acquisition) and subsequently measured in fair value. Moreover changes in fair value are recorded in the consolidated statement of income including the change in fair value resulting from translation of non-monetary assets stated at foreign currency. Gains or losses resulting from the sale of these financial assets or part of them are taken to the consolidated statement of income.

Dividends and interests from these financial assets are recorded in the consolidated statement of income.

It is not allowed to reclassify any financial assets to / from this category except for the cases specified in International FinancialReportingStandard.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Financial Assets at Fair Value through Other Comprehensive Income

These financial assets represents the investments in equity instruments held for the long term.

These financial assets are recognized at fair value plus transaction costs at purchase date and are subsequently measured at fair value in the consolidated statement of comprehensive income and within owner's equity including the changes in fair value resulting from translation of non-monetary assets stated in foreign currency. Gain or loss from the sale of these investments or part of them should be recognized in the consolidated statement of comprehensive income and within owner's equity and the balance of the revaluation reserve for these assets should be transferred directly to the retained earnings not to the consolidated statement of income.

No impairment testing is required for these assets. Unless classified debt instrument as financial assets at fair value through other comprehensive income. in that case. the impairment is calculated through the expected credit loss model.

Dividends are recorded in the consolidated statement of income.

Upon initial recognition, the Bank occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of definition of equity under IAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument by instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Bank benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Impairment in Financial Assets

Overview of the expected credit losses principles

The adoption of IFRS 9 has fundamentally changed the Group's loan loss impairment method by replacing IAS 39's incurred loss approach with a forward-looking ECL approach as of 1 January 2019.

The Group records the allowance for expected credit losses for all loans and other debt financial assets not held at FVTPL. together with loan commitments and financial guarantee contracts. in this section all referred to as 'financial instruments'. Equity instruments are not subject to impairment under IFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL). unless there has been no significant increase in credit risk since origination. in which case. the allowance is based on the 12 months' expected credit loss.

The 12 months is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

ECL is calculated for the full period of credit exposure and for the probability of default during the 12 months period on an individual basis or collective based on the financial instrument portfolio and the nature of these financial instruments.

The Group has established a policy to perform an assessment. at the end of each reporting period. of whether a financial instrument's credit risk has increased significantly since initial recognition. by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process. the Group groups its loans into Stage 1. Stage 2 and Stage 3. as described below:

Stage 1: When loans are first recognized. the Group recognizes an ECL allowance based on the probability of default during 12 months period. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

Stage 2: When a loan has shown a significant increase in credit risk since origination. the Group records an allowance for the LTECLs. Stage 2 loans also include facilities. where the credit risk has improved and the loan has been reclassified from Stage 3.

Stage 3: Loans that are considered credit-impaired. The Group records an allowance for the LTECLs.

The calculation of expected credit losses

The Group calculates the expected credit losses in accordance with the International Financial Reporting Standard Number 9 which is disclosed in Note 4.

Collateral repossessed

The Bank's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset. Assets for which selling is determined to be a better option are transferred to assets held for sale at their fair value (if financial assets) and fair value less cost to sell for non-financial assets at the repossession date in, line with the Bank's policy.

In its normal course of business, the Bank engages external agents to recover funds from the repossessed assets, generally at auction, to settle outstanding debt. Any surplus funds are returned to the customers/obligors. As a result of this practice, the residential properties under legal repossession processes are not recorded on the consolidated statement of financial position.

Property and Equipment

Property and equipment are stated at cost net of accumulated depreciation and any impairment loss in its value. Moreover Property and Equipment (except for land) are depreciated according to the straight-line method over the estimated useful lives when ready for use of these assets using the following annual rates:

	%
Buildings	2-4
Equipment, furniture, and fixtures	7-15
Vehicles	15
Computer	20

When the carrying amount of property and equipment exceeds their recoverable value. assets are written down and impairment loss is recorded in the consolidated statement of income.

The useful lives of property and equipment are reviewed at the end of each year. in case the expected useful life is different from what was determined before the change in estimate is recorded in the following years being a change in estimates.

Property and equipment are derecognized when disposed or when there is no expected future benefit from their use or disposal.

Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities.

The cost of right-of-use assets includes the amount of lease obligations recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right-of-use assets are subject to impairment.

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating a lease, if the lease term reflects the Group exercising the option to terminate.

The variable lease payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists. or when annual impairment testing for an asset is required. the Bank makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset. unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount. the asset is considered impaired and is written down to its recoverable amount. In assessing value in use. the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell. an appropriate valuation model is used. These calculations are corroborated by valuation multiples. quoted share prices for publicly traded subsidiaries or other available fair value indicators.

Intangible Assets

A. Goodwill

Goodwill is recognized at cost and represents the excess of the acquisition costs or investment costs in an affiliate or a subsidiary over the net assets fair value of the affiliate or subsidiary as of the acquisition date. Goodwill arises from the investment in the subsidiary recognized as a separate item in intangible assets. Later on. goodwill will be reviewed and reduced by any impairment amount.

Goodwill is allocated to cash generating unit(s) to test impairments in its value.

Impairment testing is done on the date of the consolidated financial statements. Goodwill is reduced if the test indicates that there is impairment in its value. and that the estimated recoverable value of the cash generating unit(s) relating to goodwill is less than the book value of the cash generating unit(s). Impairment is recognized in the consolidated statement of income.

B. Other Intangible assets

Intangible assets purchased in an acquisition are stated at fair value at the date of acquisition. Other intangible assets purchased other than through acquisition are recorded at cost.

Intangible assets are to be classified on the basis of either definite or indefinite useful life. Intangible assets with definite useful economic lives are amortized over their useful lives and recorded as an expense in the consolidated statement of income. Intangible assets with indefinite lives are reviewed for impairment as of the consolidated financial statements date. and impairment loss is recorded in the consolidated statement of income.

No capitalization of intangible assets resulting from the banks' operations is made. They are rather recorded as an expense in the consolidated statement of income in the same year.

Any indications of impairment in the value of intangible assets as of the consolidated financial statements date are reviewed. Furthermore. the estimated useful lives of the impaired intangible assets are reassessed. and any adjustment is made in the subsequent periods.

The Group made upfront payments to acquire patents and licences. The patents have been granted for a period of 10 years by the relevant government agency with the option of renewal at the end of this period. Licences for the use of intellectual property are granted for periods ranging between five and ten years depending on the specific licences. The licences may be renewed at little or no cost to the Group. As a result, those licences are assessed as having an indefinite useful life.

The intangible assets with a specified useful life appears of cost after deducting the annual amortization. These assets were amortized by using the straight-line method on the useful life using the following percentages:

	%
Software	25

Provisions

Provisions are recognized when the bank has an obligation on the date of the consolidated financial statement arising from a past event and the costs to settle the obligation is probable and can be reliably measured.

Provision for employees' end-of-service indemnity

Provision for end of service indemnity is established by the Bank to fare any legal or contractual obligations at the end of employees' services and is calculated based on the service terms as of the financial statements date.

Income Tax

Income tax expenses represent accrued tax and deferred tax.

Income tax expenses are accounted for on the basis of taxable income. Moreover taxable income differs from income declared in the consolidated financial statements because the latter includes non-taxable revenues or taxable expenses disallowed in the current year but deductible in subsequent years accumulated losses acceptable by the tax law and items not accepted for tax purposes or subject to tax.

Tax are calculated on the basis of the tax rates according to the prevailing laws regulations and instructions of the countries where the bank operates.

Deferred tax are tax expected to be paid or recovered as a result of temporary timing differences between the value of the assets and liabilities in the consolidated financial statements and the value of the taxable amount. Deferred tax is calculated on the basis of the liability method in the consolidated statement of financial position according to the rates expected to be applied when the tax liability is settled or tax assets are recognized.

Deferred tax assets and liabilities are reviewed as of the date of the consolidated financial statements and reduced in case it is expected that no benefit will arise from payment or the elimination of the need for deferred tax liabilities partially or totally.

Capital Cost of Issuing or Buying the Bank's Shares

Cost arising from the issuance or purchase of the bank's shares are charged to retained earnings (net of the tax effect of these costs if any). If the shares issuance or purchase process is incomplete these costs are recorded as expenses in the consolidated statement of income.

Accounts Managed on Behalf of Customers

These represent the accounts managed by the bank on behalf of its customers but do not represent part of the bank's assets. The fees and commissions on such accounts are shown in the consolidated statement of Income. A provision against the impairment in the capital-guaranteed portfolios managed on behalf of customers is taken.

Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position when there is a legally enforceable right to offset the recognized amounts and the Bank intends to either settle them on a net basis or to realize the asset and settle the liability simultaneously.

Realization of Income and Recognition of Expenses

Interest income is realized by using the effective interest method except for interest and commissions from non-performing credit facilities which are not recognized as income and are recorded in the interest and commissions in suspense account.

Expenses are recognised according to the accrual basis.

Commission is recorded as revenue when the related services are provided. moreover dividends are recorded when realized (decided upon by the General Assembly of Shareholders).

Date of Recognizing Financial Assets

Purchases and sales of financial assets are recognized on the trading date (which is the date on which the bank commits itself to purchase or sell the asset).

Hedge Accounting and Financial Derivatives

Financial Derivatives for Hedging:

For the purpose of hedge accounting the financial derivatives appear at fair value.

Fair Value Hedges:

A fair value hedge is a hedge against the exposure to changes in the fair value of the bank's recognised assets or liabilities.

When the conditions of an effective fair value hedge are met the resulting gains and losses from the valuation of the fair value hedge and the change in the fair value of the hedged assets or liabilities is recognised in the consolidated statement of income.

When the conditions of an effective portfolio hedge are met the gain or loss resulting from the revaluation of the hedging instrument at fair value as well as the change in the fair value of the assets or liabilities portfolio are recorded in the consolidated income statement for the same year.

Cash flow Hedges:

Hedge for the change in the current and expected cash flows exposures of the Bank's assets and liabilities.

When the conditions of an effective cash flow hedge are met the gain or loss of the hedging instruments is recognized in the statement of comprehensive income and owner's equity. such gain or loss is transferred to the consolidated statement of income in the period in which the hedge transaction impacts the consolidated statement of income.

When the condition of the effective hedge do not apply the gain or loss resulting from the change in the fair value of the hedging instrument is recorded in the consolidated statement of income the same year.

Financial derivatives for trading

The fair value of derivative financial instruments held for trading purposes (such as forward foreign exchange contracts, future interest contracts, swap contracts, and foreign exchange option rights) is recorded in the consolidated statement of financial position. The fair value is determined based on prevailing market prices. If these are not available, the valuation method is stated, and the amount of changes in fair value is recorded in the consolidated statement of income.

Assets Seized by the Bank against Due Debts

Assets that have been the subject of foreclosure by the bank are shown under "other assets" at the acquisition value or fair value whichever is lower. As of the consolidated statement of financial position date these assets are revalued individually at fair value. any decline in their market value is taken to the consolidated statement of income as a loss whereas any such increase is not recognized. Subsequent increase is taken to the income statement to the extent it does not exceed the previously recorded impairment.

Repurchase and Resale Agreements

Assets sold with a simultaneous commitment to repurchase at a specified future date (repos) will continue to be recognised in the bank's consolidated financial statements due to the bank's continuing exposure to the risks and rewards of these assets using the same accounting policies. (The buyer has the right to control such assets (by sale or pledge as collateral) which are reclassified as financial assets pledged as collateral). The proceeds of the sale are recorded under loans and borrowings. The difference between the sale and repurchase price is recognised as an interest expense over the agreement term using the effective interest method.

Assets purchased with a corresponding commitment to resell at a specified future date (reverse repos) are not recognised in the bank's consolidated financial statements since the bank is not able to control these assets and since any risks and benefits do not accrue to the bank when they occur. The related payments are recognised as part of deposits at banks and financial institutions or direct credit facilities as applicable. Moreover the difference between the purchase and resale price is recognised in the consolidated statement of income over the agreement term using the effective interest method.

Foreign Currencies

Transactions in foreign currencies during the year are recorded at the exchange rates prevailing at the date of the transactions. Moreover. financial assets and financial liabilities are translated to Jordanian Dinar based on the average exchange rates declared by the Central Bank of Jordan on the date of the consolidated financial statements.

Non-monetary assets and liabilities denominated in foreign currencies and recorded at fair value are translated on the date when their fair value is determined.

Gains or losses resulting from foreign currency translation are recorded in the consolidated statement of income.

Translation differences for non-monetary assets and liabilities denominated in foreign currencies (such as equity securities) are recorded as part of the change in fair value.

When consolidating the financial statements assets and liabilities of the branches and subsidiaries abroad are translated from the primary currency to the currency used in the financial statements using the average exchange rates prevailing on the consolidated statement of financial position date and declared by the Central Bank of Jordan. Revenue and expense items are translated using the average exchange rates during the year and exchange differences are shown in a separate item within the consolidated statement of other comprehensive income equity. In case of selling one of the subsidiaries or branches the related amount of exchange difference is booked in revenues/expenses in the consolidated statement of income.

Profit or loss resulting from the foreign exchange of interest-bearing debt instruments and within financial assets at fair value through other comprehensive income is included in the consolidated statement of income. Differences in the foreign currency translation of equity instruments are included in the cumulative change in fair value reserve within owner's equity in the consolidated statement of financial position.

Cash and Cash Equivalents

Cash and cash equivalents comprise cash balances with central banks and balances with banks and financial institutions maturing within three months less balances due to banks and financial institutions maturing within three months and restricted funds.

3. Changes in Accounting Policies

The accounting policies used in the preparation of the consolidated financial statements are consistent with those used in the preparation of the annual consolidated financial statements for the year ended 31 December 2023 except for the adoption of new amendments on the standards effective as of 1 January 2024 shown below:

Amendments to IFRS 16 - Lease Liability in a Sale and Leaseback

The amendments in IFRS 16 specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.

The amendments had no impact on the Bank's financial statements.

Amendments to IAS 1 - Classification of Liabilities as Current or Non-current

The amendments to IAS 1 specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

In addition, an entity is required to disclose when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months.

The amendments had no impact on the Bank's financial statements.

Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7

The amendments announced on May 2023 to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments had no impact on the Bank's financial statements.

4. Significant Judgments and Estimates Used

Use of Estimate:

The preparation of the consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of financial assets and liabilities and disclosure of contingent liabilities, These estimates and assumptions also affect the revenues and expenses and the resultant provisions as well as fair value changes reported in equity, In particular, considerable judgment by management is required in the estimation of the amount and timing of future cash flows, Such estimates are necessarily based on assumptions about several factors involving varying degrees of judgment and uncertainty and actual results may differ resulting in future changes in such provisions.

The management believes that their estimates are reasonable' and are as follows:

A. Expected credit loss for direct credit facilities

In determining provision for expected credit loss for direct credit facilities, important judgement is required from the bank's management in the estimation of the amount and timing of future cash flows as well as an assessment of whether the credit risk on the financial asset has increased significantly since initial recognition and incorporation of forward-looking information in the measurement of ECL.

Inputs, assumptions and techniques used for ECL calculation – IFRS 9 Methodology

Key concepts in IFRS 9 that have the most significant impact and require a high level of judgment, as considered by the Bank while determining the impact assessment, including the following:

The Bank relies on Moody's RA application to classify corporate credit risk ratings, which reviews and analyzes financial and objective information about the borrower, The program generates a comprehensive assessment of the creditworthiness of the borrower, that results in the probability of default (PD), The system classifies the corporate customers within 7 levels of active accounts and 3 levels of non- performing accounts, The probability of default (PD) increase with the level of risk, wherein, 3 segments are adopted at each level (grade) except for grade 1 as shown in the table below:

Risk Grade of the Customer	Credit Rating	Credit Quality
1	Aaa	Facilities of the highest quality and carry the lowest degree of credit risk.
2+	Aa1	Facilities are of high quality and carry a very low degree of credit risk.
2	Aa2	
2-	Aa3	
3+	A1	Facilities are at the upper level of the average rating and carry a low degree of credit risk.
3	A2	
3-	A3	
4+	Baa1	Facilities are at an average rating level and carry a moderate degree of credit risk and therefore contain some risk characteristics.
4	Baa2	
4-	Baa3	
5+	Ba1	Facilities that have risk characteristics and carry a significant degree of credit risk
5	Ba2	
5-	Ba3	
6+	B1	Very high credit risk facilities,
6	B2	
6-	B3	
7+	Caa1	Weak Business credit: judged to be of poor standing and subject to very high credit risk.
7	Caa2	
7-	Caa3	
8	Default Ca	Substandard facilities.
9	Default Ca	Doubtful facilities.
10	Default Ca	Loss facilities.

- Risk of individuals is measured based on portfolio valuation through customer behaviour records and their commitment for timely payments.
- Global ratings are used to measure the risk of other financial assets (fixed-rate financial instruments and credit claims on banks and financial institutions).

The mechanism for calculating expected credit losses (ECL) on financial instruments and for each item separately.

The Bank has adopted a special mechanism for calculating expected credit losses based on the type of financial instrument:

Financial instruments for the portfolio of companies and instruments with fixed income and credit claims on banks and financial institutions:

In calculating the expected credit losses for this portfolio, the Bank relies on a specialized and developed system from Moody's, Each customer/ instrument is calculated individually at the level of each account/ instrument.

Portfolio financial instruments:

In collaboration with Moody's, the Bank has developed a retail portfolio model to calculate expected credit loss based on the requirements of the Standard, The provision for the Retail Portfolio is calculated on an aggregate basis.

Governs the application of the requirements of IFRS 9 and includes the responsibilities of the board of directors and executive management to ensure compliance with the requirements of the IFRS.

The Board of Directors has several specialized committees, each with its own objectives and to implement the Standard,

Risk Management Committee

- Review the implementation strategy of the standard and its impact on the risk management of the bank before its adoption by the Board.
- Keeping pace with developments affecting the Bank's risk management and reporting periodically to the Board.
- Verify that there is no difference between the actual risks taken by the Bank and the level of acceptable risks approved by the Board.
- The committee submits a report to the bank's Board of Directors as soon as any significant changes affecting the bank's financial position are identified, in order to take the necessary corrective actions. This follows the receipt of credit exposure classification reports and the quarterly calculation of impairment provisions by the Risk Department, in line with Exposure Instructions (8/2024). A copy of the report must also be provided to the Central Bank of Jordan within a period not exceeding 10 working days from the report submission date.

Audit Committee

- Review the financial statements after application of the Standard to verify the orders of the Central Bank of Jordan regarding the adequacy of the provisions and to give an opinion on the non-performing bank debts before submitting them to the Board of Directors.
- Review the observations contained in the reports of the Central Bank and the reports of the external auditor and follow up the actions taken thereon.
- Review the accounting issues that have a significant impact on the financial statements of the Bank and ensure the accuracy of the accounting and control procedures and their compliance.

Finance Department

- Make necessary accounting adjustments and restrictions after the results are approved and verify that all products have been calculated.
- Prepare the necessary disclosures in cooperation with the concerned departments in the bank in accordance with the requirements of the standard and the instructions of the Central Bank.

Risk Management Department

- Calculating and reviewing expected credit losses and classifying customers according to the three stages on a quarterly basis, in compliance with accounting standards and Central Bank regulations, while informing the executive management of the calculation results.
- Reviewing and approving risk indicators in accordance with the bank's approved policy and methodology.

*** Definition and mechanism for calculating and monitoring the probability of default (PD) and exposure at default (EAD) and loss given default (LGD).**

Corporate and fixed-income financial instruments and credit claims on banks and financial institutions:

Probability of default (PD):

The probability of default is measured for the purpose of calculating the expected credit loss for each stage of the International Financial Reporting Standard (9) using statistical models based on historical default data and the credit classification of exposures, in addition to stress tests related to macroeconomic indicators for the portfolio of facilities for large, medium, and small companies. As for the individual facilities portfolio, statistical models based on product characteristics and the client's credit behavior are used.

According to the standard (9), all credit exposures and debt instruments included in the first stage are considered. The probability of default for the exposure/instrument is taken into account for a period of 12 months from the financial statement date. For credit exposures included in the second stage, the probability of default is considered over the remaining lifetime of the credit exposure.

Loss given Default (LGD)

When calculating the loss given default (LGD), the guarantees provided against the credit exposure are evaluated. Only guarantees classified as risk mitigants (legally secured within credit contracts and with no legal obstacle preventing the bank from accessing the collateral) are considered for the purpose of calculating the recoverable value from the credit exposure after applying the deduction percentages.

The loss given default (LGD) is applied to the uncovered portion of the credit exposure based on historical recovery ratios and the conversion to cash resulting from the enforcement of the collateral due to default, taking into account the time factor.

Exposure at Default (EAD):

When calculating the credit exposure at default for the purpose of calculating the expected credit loss for each stage of the International Financial Reporting Standard (9), the amounts that will be utilized by the debtor and the type of debt instrument are taken into account. The utilization factor is calculated after conducting a study on the historical withdrawal and utilization ratios for different currencies and types of debt.

Indirect credit exposures (unfunded) are also considered as realized credit exposures, and an expected credit loss is calculated for them. Default probabilities (PDs) specific to these exposures are also calculated based on historical studies of default rates and withdrawal probabilities.

Determines the significant change in credit risk that the Bank has relied on in calculating the expected credit losses.

Stage	Nature of the accounts within the stage
First Stage Stage 1 (First recognition)	• Regular financial instruments • Financial instruments with less than 30 days' receivables. • Customers with a risk rating of +7 and below.
Second Stage Stage 2 (Credit quality decline)	Regular financial instruments that have shown a significant increase in credit risk since the date of initial recognition. • Financial instruments that have dues More than 30. • Current and under-exposed accounts if the period of non-payment is more than 30 days and less than 90 days. • Customers with a risk score of -7, 7, and unrated. • A decline in the credit rating since the initial recognition of bonds and financial investments by two degrees or more. • All accounts classified under observation. • Accounts that were restructured or rescheduled due to financial difficulties during the period.
Third Stage Stage 3 (Decrease in credit value)	Accounts included under the non-performing facilities portfolio.

The Bank's policy in identifying the common elements on which the credit risk and expected credit loss were measured on a collective basis.

The Retail Portfolio is calculated on a lump sum basis, The portfolio was divided into three categories:

1) Personal loans
2) Housing loans.
3) Credit cards.
4) Car loans.

Macroeconomic Factors, Forward Looking Information (FLI) and Multiple Scenarios

The measurement of expected credit losses for each stage and the assessment of significant increases in credit risk must consider information about past events and current conditions as well as reasonable and supportable forecasts of future events and economic conditions, The estimation and application of forward-looking information will require significant judgment from the bank's management.

PD, Loss Given Default (LGD) and Exposure At Default (EAD) inputs used to estimate Stage 1 and Stage 2 credit loss allowances are modelled based on the macroeconomic variables (or changes in macroeconomic variables) that are most closely correlated with credit losses in the relevant portfolio, Each macroeconomic scenario used in our expected credit loss calculation will have forecasts of the relevant macroeconomic variables.

Each macroeconomic scenario used in calculating the expected credit losses is linked to changing macroeconomic factors.

Our estimates are used to calculate expected credit losses for stage 1 and stage 2 using discounted weighted scenarios that include future macroeconomic information for the next three years.

The following macroeconomic variables are used when analyzing future forecasts for each country where the bank:

Category	Corporate	Retail
Indicator	Bank interest rate	Bank interest rate
	Consumer Price Index (CPI)	Central bank balance sheet
	Government debt	Transport Consumer Price Index
	Inflation rate	Exports
	Interbank interest rate	Food price inflation
	Loans to the private sector	Import prices
	Money supply M1	Foreign exchange reserves
	Money supply M2	Government debt
	Producer price changes	Interbank interest rate
		Money supply M1
		Money supply M2
		Tourist arrivals

Three scenarios are used to derive a probability-weighted value for measuring Expected Credit Losses (ECL). The ECL is calculated using a multi-year weighted average methodology (2024–2031) to ensure the inclusion of various long-term economic scenarios.

In 2024, the weight assigned to the optimistic scenario is set at 0%, gradually increasing to 20% by 2027, with corresponding adjustments to the remaining scenarios as shown in the table below.

This approach aims to reflect potential economic improvements progressively, avoiding overestimation of short-term conditions.

Year	Optimistic (%)	Baseline (%)	Pessimistic (%)
2024	0%	75%	25%
2025	10%	70%	20%
2026	15%	65%	20%
2027	20%	60%	20%
2028 - 2031	20%	60%	20%

This gradual approach to scenario weighting ensures a realistic integration of economic recovery within the Expected Credit Loss model, minimizing the risk of excessive optimism in assessing default probabilities. Consequently, the initial credit loss estimates remain conservative, while the positive impact of the optimistic scenario is gradually incorporated over the years, enhancing the model's accuracy and efficiency in forecasting long-term credit risks.

Definition of default

The definition of default used in measuring expected credit losses and in assessing stage transitions is consistent with the definition of default applied by the bank's internal credit risk management. Default is not explicitly defined by the standard, and there is a rebuttable presumption that non-payment for 90 days or more constitutes default.

The probability-weighted estimates are measured based on the best estimate of historical probabilities and current conditions. The weighted scenarios are assessed annually. All scenarios are applied to all portfolios exposed to expected credit losses during the years 2023 and 2024.

B. Income tax

Income tax expenses represent accrued tax and deferred tax.

Income tax expenses are accounted for on the basis of taxable income, Moreover taxable income differs from income declared in the consolidated financial statements because the latter includes non-taxable revenues or taxable expenses disallowed in the current year but deductible in subsequent years accumulated losses acceptable by the tax law and items not accepted for tax purposes or subject to tax.

Taxes are calculated on the basis of the tax rates according to the prevailing laws regulations and instructions of the countries where the bank operates.

Deferred tax are tax expected to be paid or recovered as a result of temporary timing differences between the value of the assets and liabilities in the consolidated financial statements and the value of the taxable amount, Deferred tax is calculated on the basis of the liability method in the consolidated statement of financial position according to the rates expected to be applied when the tax liability is settled or tax assets are recognized.

Deferred tax assets and liabilities are reviewed as of the date of the consolidated financial statements and reduced in case it is expected that no benefit will arise from payment or the elimination of the need for deferred tax liabilities partially or totally.

C. Fair Value

Fair value represents the closing market price (Assets Purchasing / Liabilities Selling) of financial assets and derivatives on the date of the consolidated financial statements in active markets, In case declared market prices do not exist active trading of some financial assets and derivatives is not available or the market is inactive fair value is estimated by one of several methods including the following:

Comparison with the fair value of another financial asset with similar terms and conditions.

Analysis of the present value of expected future cash flows for similar instruments.

Adoption of the option pricing models.

Evaluation of long-term assets and liabilities that bear no interest through discounting cash flows and amortizing premium/ discount using the effective interest rate method within interest revenue/ expense in the consolidated statement of income.

The valuation methods aim to provide a fair value reflecting the market's expectations taking into consideration the market expected risks and expected benefits when the value of the financial assets, When the financial assets fair value can't be reliably measured, they are stated at cost less any impairment.

D. The useful life of properties, machines, equipment, and intangible assets

The Bank estimates the productive life of properties, machines, equipment, and intangible assets for the purposes of calculating depreciation and amortization, taking into account the expected use of the assets. Management reviews the residual values and productive lifespans annually, and future depreciation and amortization expense is adjusted if management believes that the productive lifespans differ from previous estimates.

E. Determining the duration of lease contracts

The Bank defines the duration of a lease contract as an uncancelable period, taking into consideration the periods covered by an option to extend the lease if it's certain that such an option will be exercised, or any periods associated with an option to terminate the lease, if it's certain that the bank will not exercise this option.

5. Cash and Balances at the Central Banks

	31 December	
	2024	2023
	JD	JD
Cash in treasury	136,793,103	134,884,779
Balances at central banks:		
Current accounts and demand deposits	141,711,899	171,981,428
Term and notice deposits	341,100,000	172,500,000
Statutory cash reserve	293,168,896	256,839,775
Total balances at the central banks	**775,980,795**	**601,321,203**
Total	**912,773,898**	**736,205,982**

- Except for the statutory cash reserve, there are no restricted balances as of 31 December 2024 and 31 December 2023.
- There are no amounts maturing during a period exceeding three months as of 31 December 2024 and 31 December 2023.
- All balances at the Central Banks are classified within stage 1 based on the requirements of IFRS (9) as adopted by the Central Bank of Jordan. There are also no transfers between Stages (1.2.3) or written-off balances during the year ended 31 December 2024 and 31 December 2023.

The movement on the gross of cash and balances at central banks:

	31 December	
	2024	2023
	JD	JD
Balance at the beginning of the year	601,321,203	631,678,117
Additions during the year	377,607,373	272,843,086
Settled during the year	(202,947,781)	(303,200,000)
Balance at the end of the Year	**775,980,795**	**601,321,203**

6. Balances at Banks and Financial Institutions - net

The details of this item are as follows:

Description	Local Banks and Financial Institutions		Foreign Banks and Financial Institutions		Total	
	31 December		31 December		31 December	
	2024	2023	2024	2023	2024	2023
	JD	JD	JD	JD	JD	JD
Current accounts and demand deposits	479,174	289,028	148,031,878	176,748,357	148,511,052	177,037,385
Deposits maturing within 3 months or less	6,000,000	30,000,000	333,584,664	164,974,500	339,584,664	194,974,500
Total	**6,479,174**	**30,289,028**	**481,616,542**	**341,722,857**	**488,095,716**	**372,011,885**
Provision for expected credit losses	-	-	(383,459)	(68,178)	(383,459)	(68,178)
Balances at Bank and financial institutions - net	**6,479,174**	**30,289,028**	**481,233,083**	**341,654,679**	**487,712,257**	**371,943,707**

- Non-interest bearing balances at banks and financial institutions amounted to JD 50,422,473 as of 31 December 2024 (JD 57,400,238 as of 31 December 2023).
- Restricted balances at banks and financial institutions amounted to JD 19,620,255 as of 31 December 2024 (JD 15,526,690 as of 31 December 2023).

The movement on balances at banks and financial institutions is as follows:

	31 December 2024			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	372,011,885	-	-	372,011,885
Additions during the year	429,888,822	-	-	429,888,822
Settled during the year	(303,408,449)	-	-	(303,408,449)
Changes resulted from adjustments	(10,396,542)	-	-	(10,396,542)
Balance at the end of the Year	**488,095,716**	**-**	**-**	**488,095,716**

	31 December 2023			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	207,623,258	-	-	207,623,258
Additions during the year	357,007,710	-	-	357,007,710
Settled during the year	(192,619,083)	-	-	(192,619,083)
Changes resulted from adjustments	-	-	-	-
Balance at the end of the Year	**372,011,885**	**-**	**-**	**372,011,885**

The movement on the provision for expected credit loss:

	31 December 2024			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	68,178	-	-	68,178
Expected credit loss on new balances during the year	383,459	-	-	383,459
Recovered from expected credit loss on settled balances	(68,178)	-	-	(68,178)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages during the year	-	-	-	-
Changes resulted from adjustments	-	-	-	-
Balance at the end of the Year	**383,459**	**-**	**-**	**383,459**

	31 December 2023			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	280,650	-	-	280,650
Expected credit loss on new balances during the year	68,178	-	-	68,178
Recovered from expected credit loss on settled balances	(280,650)	-	-	(280,650)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages during the year	-	-	-	-
Changes resulted from adjustments	-	-	-	-
Balance at the end of the Year	**68,178**	**-**	**-**	**68,178**

7. Deposits at Banks and Financial Institutions - net

The details of this item are as follows:

	Local Banks and Financial Institutions		Foreign Banks and Financial Institutions		Total	
	31 December		31 December		31 December	
	2024	2023	2024	2023	2024	2023
	JD	JD	JD	JD	JD	JD
Deposits maturing during the period from 3 months to 6 months	-	-	17,725,000	8,089,578	17,725,000	8,089,578
More than 6 months to 9 months	-	-	-	-	-	-
More than 9 months to 12 months	-	-	-	-	-	-
More than a year	-	6,000,000	-		-	6,000,000
Total Balances	**-**	**6,000,000**	**17,725,000**	**8,089,578**	**17,725,000**	**14,089,578**
Provision for expected credit losses	-	-	(15,178)	(7,159)	(15,178)	(7,159)
Net Deposits at bank and financial institutions	**-**	**6,000,000**	**17,709,822**	**8,082,419**	**17,709,822**	**14,082,419**

- There are no restricted deposits at banks and financial institutions as of 31 December 2024 and 31 December 2023.

The movement on deposits at banks and financial institutions:

	31 December 2024			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	14,089,578	-	-	14,089,578
New deposits during the year	17,725,000	-	-	17,725,000
Settled balances during the year	(14,089,578)	-	-	(14,089,578)
Balance at the end of the Year	**17,725,000**	**-**	**-**	**17,725,000**

	31 December 2023			
	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	14,020,575	-	-	14,020,575
New deposits during the year	14,089,578	-	-	14,089,578
Settled balances during the year	(14,020,575)	-	-	(14,020,575)
Balance at the end of the Year	**14,089,578**	**-**	**-**	**14,089,578**

The movement on the provision for expected credit loss is as follows:

	31 December 2024			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	7,159	-	-	7,159
Expected credit loss on new balances during the year	15,178	-	-	15,178
Recovered from expected credit loss on the settled balances	(7,159)	-	-	(7,159)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages	-	-	-	
	-	-	-	-
Changes resulted from adjustments	-	-	-	-
Balance at the end of the Year	**15,178**	**-**	**-**	**15,178**

	31 December 2023			
	Stage (1)	Stage (2)	Stage (3)	Total
	JD	JD	JD	JD
Balance at the beginning of the year	6,751	-	-	6,751
Expected credit loss on new balances during the year	7,159	-	-	7,159
Recovered from expected credit loss on the settled balances	(6,751)	-	-	(6,751)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision at the end of the year due to the change in the classification between the three stages	-	-	-	-
Changes resulted from adjustments	-	-	-	-
Balance at the end of the Year	**7,159**	**-**	**-**	**7,159**

8. Financial Assets at Fair Value through Statement of Income

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Government bonds listed in financial markets	2,595,510	2,795,239
Corporate bonds listed in financial markets	1,220,338	1,022,642
Corporate shares listed in financial markets	2,286,096	9,965,008
Investment funds	12,561,599	12,446,430
Total	**18,663,543**	**26,229,319**

9. Direct Credit Facilities and Financing - Net

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Individuals (retail):		
Overdraft accounts	3,174,876	1,971,029
Loans and bills *	1,144,741,322	1,078,707,595
Credit cards	56,949,311	46,515,963
Real estate loans	1,194,207,760	1,116,094,786
Large Corporates		
Overdraft accounts	63,759,521	71,128,650
Loans and bills *	1,370,948,589	1,256,219,953
Small and Medium sized entities		
Overdraft accounts	30,397,703	29,898,877
Loans and bills *	285,109,269	256,477,274
Government and public sector	699,205,245	599,833,607
Total	**4,848,493,596**	**4,456,847,734**
Less: Interest and returns in suspense	23,971,273	17,846,427
Less: Provision of expected credit losses	261,706,245	194,089,883
Net Direct Credit Facilities and Financing	**4,562,816,078**	**4,244,911,424**

* Net after deducting interests and commissions received in advance of JD 12,904,376 as of 31 December 2024 (JD 12,077,413 as of 31 December 2023).

- Direct credit facilities and financing included in stage (3) amounted to JD 278,651,103 which is represent 5.75% of total direct credit facilities and financing as of 31 December 2024 (JD 199,435,150 which is represent to 4.47% of total direct credit facilities and financing as of 31 December 2023).
- Direct credit facilities and financing included in stage (3) amounted to JD 254,679,830 which is represent 5.28% of total direct credit facilities and financing balance after deducting interest and revenue in suspense as of 31 December 2024 (JD181,588,723 which is represent 4.09% of total credit facilities and financing balance after deducting interest and revenue in suspense as of 31 December 2023).
- Direct credit facilities and financing granted to and guaranteed by the Jordanian Government amounted to JD 688,143,933 which is represent to 14.19% of total direct credit facilities and financing as of 31 December 2024 (JD 581,623,355 which is represent to 13.05% as of 31 December 2023).
- Financing in accordance with Islamic Share'a which belongs to Safwa Islamic Bank amounted to JD 2,385,551,289 which is represent 49.20% of total direct credit facilities and financing as of 31 December 2024 (JD 2,069,832,005 which is equivalent to 46.44% as of 31 December 2023).

Disclosure of the movement on facilities and financing:

For the Year ended 31 December 2024	Individual	Real Estate Loans	Corporations		Government and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,127,194,587	1,116,094,786	1,327,348,603	286,376,151	599,833,607	4,456,847,734
New exposures during the year	307,437,642	287,298,685	352,742,416	96,711,108	217,819,275	1,262,009,126
Exposures settled	(106,544,193)	(128,282,502)	(271,557,674)	(47,180,666)	(59,284,668)	(612,849,703)
The total impact on the volume of exposures as a result of changing the classification between stages	(7,995,595)	(7,748,193)	(15,260,672)	(3,643,430)	-	(34,647,890)
Changes resulted from adjustments	(114,479,907)	(72,726,264)	41,923,031	(15,614,694)	(59,162,969)	(220,060,803)
Written off credit facilities or transferred as off financial position items*	(747,025)	(428,752)	(487,594)	(1,141,497)	-	(2,804,868)
Balance at the end of the Year	**1,204,865,509**	**1,194,207,760**	**1,434,708,110**	**315,506,972**	**699,205,245**	**4,848,493,596**

For the Year ended 31 December 2023	Individual	Real Estate Loans	Corporations		Government and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	978,779,798	1,020,109,367	1,329,014,820	252,290,795	599,215,519	4,179,410,299
New exposures during the year	366,658,186	259,948,665	294,252,775	86,208,940	54,270,916	1,061,339,482
Exposures settled during the year	(108,908,132)	(104,226,561)	(168,101,165)	(38,798,711)	(14,367,980)	(434,402,549)
The total impact on the volume of exposures as a result of changing the classification between stages	(7,771,717)	(4,262,328)	(1,916,188)	(3,024,596)	-	(16,974,829)
Changes resulted from adjustments	(100,016,406)	(55,474,357)	(107,544,368)	(7,665,547)	(39,284,848)	(309,985,526)
Written off credit facilities or transferred as off financial position items*	(1,547,142)	-	(18,357,271)	(2,634,730)	-	(22,539,143)
Balance at the end of the Year	**1,127,194,587**	**1,116,094,786**	**1,327,348,603**	**286,376,151**	**599,833,607**	**4,456,847,734**

- During the year ended on 31 December 2024. direct credit facilities and financing amounting to JD 2,173,109 were transferred to off-balance items (JD 22,019,975 as on 31 December 2023) and direct credit facilities and financing in the amount of JD 631,759 were written off. in accordance with the decisions of the Board of Directors in this regard (JD 519,168 as of 31 December 2023).

The movement on the provision for expected credit losses for the year is as follows:

For the Year ended 31 December 2024	Individual	Real Estate Loans	Large Corporate	Small and Medium Enterprises	Government and Public Sector	Total
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	50,355,818	17,889,300	105,993,907	19,850,858	-	194,089,883
Expected credit loss on new credit facilities during the year	7,641,790	4,106,142	10,796,347	2,987,983	-	25,532,262
Recovered from expected credit loss on settled credit facilities	(2,750,831)	(2,952,717)	(10,017,821)	(2,175,798)	-	(17,897,167)
Transferred to stage (1)	835,595	365,435	2,223,203	59,846	-	3,484,079
Transferred to stage (2)	684,153	(881,094)	(8,949,971)	(458,214)	-	(9,605,126)
Transferred to stage (3)	(1,519,748)	515,659	6,726,768	398,368	-	6,121,047
Effect on the provision as a result of changing the classifications between the three stages during the period	17,597,294	3,740,856	8,873,523	902,682	-	31,114,355
Changes resulted from adjustments	8,511,619	2,548,636	16,541,801	2,973,819	-	30,575,875
Written off or transferred exposures*	(361,927)	(219,694)	(450,434)	(676,908)	-	(1,708,963)
Balance at the end of the Year	**80,993,763**	**25,112,523**	**131,737,323**	**23,862,636**	**-**	**261,706,245**
Reallocation:						
Provisions on individual basis	63,054,106	25,098,685	131,737,323	23,143,468	-	243,033,582
Provisions on collective basis	17,939,657	13,838	-	719,168	-	18,672,663
	80,993,763	**25,112,523**	**131,737,323**	**23,862,636**	**-**	**261,706,245**

For the Year ended 31 December 2023	Individual	Real Estate Loans	Large Corporate	Small and Medium Enterprises	Government and Public Sector	Total
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	33,601,233	11,614,714	110,154,001	16,574,834	-	171,944,782
Expected credit loss on new credit facilities during the year	5,715,781	1,358,122	8,645,596	2,232,783	-	17,952,282
Recovered from expected credit loss on settled credit facilities	(1,814,166)	(1,066,271)	(10,009,539)	(204,559)	-	(13,094,535)
Transferred to stage (1)	78,897	(8,660)	161,972	(148,079)	-	84,130
Transferred to stage (2)	2,982,531	(41,669)	(19,644,919)	136,005	-	(16,568,052)
Transferred to stage (3)	(3,061,428)	50,329	19,482,947	12,074	-	16,483,922
Effect on the provision as a result of changing the classifications between the three stages during the period	10,250,482	3,927,164	(275,455)	1,101,285	-	15,003,476
Changes resulted from adjustments	3,643,395	2,055,571	14,505,215	2,224,232	-	22,428,413
Written off or transferred exposures*	(1,040,907)	-	(17,025,911)	(2,077,717)	-	(20,144,535)
Balance at the end of the Year	**50,355,818**	**17,889,300**	**105,993,907**	**19,850,858**	**-**	**194,089,883**
Reallocation:						
Provisions on individual basis	41,316,968	17,883,447	105,993,907	19,330,259	-	184,524,581
Provisions on collective basis	9,038,850	5,853	-	520,599	-	9,565,302
	50,355,818	**17,889,300**	**105,993,907**	**19,850,858**	**-**	**194,089,883**

- The value of the provisions that were no longer needed as a result of debt settlements and transferred to other debts amounted to JD 17,897,167 as of 31 December 2024 (JD 13,094,535 as of 31 December 2023).

Interest and revenues in suspense

The movement on suspended interest and revenues is as follows:

For the Year ended 31 December 2024	Individual	Real estate loans	Large Corporate	Small and Medium Enterprises	Banks and financial institutions	Total
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	7,467,015	2,809,958	4,710,422	2,859,032	-	17,846,427
Add: Interest and revenues in suspense during the year	4,303,836	1,037,066	1,978,800	1,086,075	-	8,405,777
Less: Interest and revenues transferred to revenue	(776,987)	(189,951)	(33,364)	(184,724)	-	(1,185,026)
Interests in suspense written-off	(385,096)	(209,061)	(37,159)	(464,589)	-	(1,095,905)
Balance at the end of the Year	**10,608,768**	**3,448,012**	**6,618,699**	**3,295,794**	**-**	**23,971,273**

For the Year ended 31 December 2023	Individual	Real estate loans	Large Corporate	Small and Medium Enterprises	Banks and financial institutions	Total
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	5,570,164	2,709,063	5,436,609	2,630,900	-	16,346,736
Add: Interest and revenues in suspense during the year	3,029,724	239,542	1,254,684	1,015,538	-	5,539,488
Less: Interest and revenues transferred to revenue	(626,638)	(138,647)	(649,511)	(230,393)	-	(1,645,189)
Interests in suspense written-off	(506,235)	-	(1,331,360)	(557,013)	-	(2,394,608)
Balance at the end of the Year	**7,467,015**	**2,809,958**	**4,710,422**	**2,859,032**	**-**	**17,846,427**

The following are the credit exposures according to IFRS (9) as adopted by central Bank of Jordan:

As of 31 December 2024

	According to IFRS (9) as adopted by Central Bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Individual	1,026,357,856	17,059,484	-	103,510,830	6,572,679	-	74,996,823	57,361,600	10,608,768	1,204,865,509	80,993,763	10,608,768
Real estate loans	976,452,666	673,251	-	177,382,603	8,860,047	-	40,372,491	15,579,225	3,448,012	1,194,207,760	25,112,523	3,448,012
Corporate	1,076,586,283	9,071,769	-	226,497,248	44,045,333	-	131,624,579	78,620,221	6,618,699	1,434,708,110	131,737,323	6,618,699
SME's	213,867,798	2,243,081	-	69,981,964	3,350,705	-	31,657,210	18,268,850	3,295,794	315,506,972	23,862,636	3,295,794
Government and Public Sector	699,205,245	-	-	-	-	-	-	-	-	699,205,245	-	-
	3,992,469,848	**29,047,585**	**-**	**577,372,645**	**62,828,764**	**-**	**278,651,103**	**169,829,896**	**23,971,273**	**4,848,493,596**	**261,706,245**	**23,971,273**

As of 31 December 2023

	According to IFRS (9) as adopted by Central Bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense	Total	Expected Credit Loss	Interest in Suspense
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Individual	1,003,099,217	7,755,128	-	73,330,777	5,735,630	-	50,764,593	36,865,060	7,467,015	1,127,194,587	50,355,818	7,467,015
Real estate loans	869,042,211	445,152	-	219,122,371	5,912,750	-	27,930,204	11,531,398	2,809,958	1,116,094,786	17,889,300	2,809,958
Corporate	954,397,586	9,647,306	-	280,380,006	39,846,885	-	92,571,011	56,499,716	4,710,422	1,327,348,603	105,993,907	4,710,422
SME's	204,406,685	1,975,222	-	53,800,124	2,394,762	-	28,169,342	15,480,874	2,859,032	286,376,151	19,850,858	2,859,032
Government and Public Sector	599,833,607	-	-	-	-	-	-	-	-	599,833,607	-	-
	3,630,779,306	**19,822,808**	**-**	**626,633,278**	**53,890,027**	**-**	**199,435,150**	**120,377,048**	**17,846,427**	**4,456,847,734**	**194,089,883**	**17,846,427**

The movement on the gross credit facilities and finanicng as of the year-end:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at beginning of the year	2,789,176,214	841,603,092	507,423,305	119,209,973	199,435,150	4,456,847,734
New exposures during the year	855,514,320	312,230,291	70,296,819	6,748,660	17,219,036	1,262,009,126
Exposures settled during the year	(392,564,180)	(76,807,409)	(109,365,293)	(22,160,333)	(11,952,488)	(612,849,703)
Transferred to stage (1)	82,088,105	29,283,718	(81,460,735)	(29,281,183)	(629,905)	-
Transferred to stage (2)	(154,635,339)	(49,880,674)	163,009,951	51,934,092	(10,428,030)	-
Transferred to stage (3)	(21,213,520)	(2,825,179)	(59,680,107)	(8,615,585)	92,334,391	-
Effect on exposure as a result of change between stages	(13,533,461)	(3,467,825)	(11,841,450)	(4,085,965)	(1,719,189)	(34,647,890)
Changes resulted from adjustments	(110,094,213)	(92,404,092)	(9,377,389)	(5,382,115)	(2,802,994)	(220,060,803)
Written off or transferred exposures*	-	-	-	-	(2,804,868)	(2,804,868)
Balance at the end of the Year	**3,034,737,926**	**957,731,922**	**469,005,101**	**108,367,544**	**278,651,103**	**4,848,493,596**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at beginning of the year	2,683,829,394	809,882,358	479,606,976	52,923,448	153,168,123	4,179,410,299
New exposures during the year	694,711,508	250,376,329	82,191,644	21,303,214	12,756,787	1,061,339,482
Exposures paid during the year	(286,524,220)	(70,752,761)	(54,126,805)	(8,783,667)	(14,215,096)	(434,402,549)
Transferred to stage (1)	33,502,183	9,310,649	(33,089,643)	(9,279,804)	(443,385)	-
Transferred to stage (2)	(109,566,761)	(70,921,185)	116,384,370	73,780,611	(9,677,035)	-
Transferred to stage (3)	(13,865,517)	(4,561,201)	(59,818,367)	(2,144,661)	80,389,746	-
Effect on exposure as a result of change between stages	(2,082,440)	928,191	(11,044,904)	(5,555,451)	779,775	(16,974,829)
Changes resulted from adjustments	(210,827,933)	(82,659,288)	(12,679,966)	(3,033,717)	(784,622)	(309,985,526)
Written off or transferred exposures*	-	-	-	-	(22,539,143)	(22,539,143)
Balance at the end of the Year	**2,789,176,214**	**841,603,092**	**507,423,305**	**119,209,973**	**199,435,150**	**4,456,847,734**

The movement of the provision for expected credit losses as for the year-end:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	13,719,773	6,103,035	50,427,760	3,462,267	120,377,048	194,089,883
Expected credit loss on new exposures during the year	5,072,360	1,322,192	5,575,052	254,258	13,308,400	25,532,262
Recovered from expected credit loss on settled exposures during the year	(4,625,447)	(171,239)	(7,409,864)	(295,311)	(5,395,306)	(17,897,167)
Transferred to stage (1)	4,179,219	648,979	(3,871,669)	(647,711)	(308,818)	-
Transferred to stage (2)	(1,072,912)	(118,718)	4,871,925	1,177,737	(4,858,032)	-
Transferred to stage (3)	(133,506)	(18,983)	(10,391,833)	(743,575)	11,287,897	-
Effect on provision as a result of change between stages	(2,762,650)	(604,802)	4,105,096	970,865	29,405,846	31,114,355
Changes resulted from adjustments	(152,173)	7,662,457	15,672,555	(328,788)	7,721,824	30,575,875
Written off or transferred exposures*	-	-	-	-	(1,708,963)	(1,708,963)
Total ECL Balance at the end of the Year	**14,224,664**	**14,822,921**	**58,979,022**	**3,849,742**	**169,829,896**	**261,706,245**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	16,130,900	2,529,660	52,226,005	507,776	100,550,441	171,944,782
Expected credit loss on new exposures during the year	3,761,076	624,194	4,332,435	324,835	8,909,742	17,952,282
Recovered from expected credit loss on settled exposures during the year	(4,185,885)	(118,627)	(2,698,247)	(19,409)	(6,072,367)	(13,094,535)
Transferred to stage (1)	1,213,818	72,853	(922,740)	(68,209)	(295,722)	-
Transferred to stage (2)	(752,935)	(135,066)	4,465,857	1,818,103	(5,395,959)	-
Transferred to stage (3)	(294,817)	(19,723)	(21,823,401)	(37,662)	22,175,603	-
Effect on exposure as a result of change between stages	(715,586)	(41,354)	(2,085,337)	782,474	17,063,279	15,003,476
Changes resulted from adjustments	(1,436,798)	3,191,098	16,933,188	154,359	3,586,566	22,428,413
Written off or transferred exposures*	-	-	-	-	(20,144,535)	(20,144,535)
Total ECL Balance at the end of the Year	**13,719,773**	**6,103,035**	**50,427,760**	**3,462,267**	**120,377,048**	**194,089,883**

The distribution of total credit and financing facilities by the internal credit rating for Individuals is as follows:

	31 December 2024						2023
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	141,962	-	-	-	-	141,962	105,400
2	1,133,976	-	9,172	-	-	1,143,148	2,950,302
3	3,863,264	-	56,367	-	-	3,919,631	4,117,373
4	6,762,560	-	413,665	-	-	7,176,225	8,449,012
5	4,985,853	-	426,964	-	-	5,412,817	3,654,866
6	527,681	-	1,658,339	-	-	2,186,020	2,468,159
7	264,307	-	99,553	-	-	363,860	462,835
8-10	-	-	-	-	3,789,946	3,789,946	2,843,208
Not rated	614,200,624	394,477,629	63,163,622	37,683,148	71,206,877	1,180,731,900	1,102,143,432
Total	**631,880,227**	**394,477,629**	**65,827,682**	**37,683,148**	**74,996,823**	**1,204,865,509**	**1,127,194,587**

The movement on credit facilities and financing for Individuals is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	
	Individual	Collective	Individual	Collective	Individual	Total
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	648,207,695	354,891,522	41,338,446	31,992,331	50,764,593	1,127,194,587
New exposures during the year	144,110,988	147,765,652	7,672,653	2,019,968	5,868,381	307,437,642
Settled exposures during the year	(63,995,364)	(33,121,632)	(4,179,287)	(2,597,855)	(2,650,055)	(106,544,193)
Transferred to stage (1)	8,703,261	4,994,078	(8,389,208)	(4,991,543)	(316,588)	-
Transferred to stage (2)	(40,997,247)	(22,058,615)	44,393,194	23,413,599	(4,750,931)	-
Transferred to stage (3)	(9,543,421)	(1,960,016)	(9,428,956)	(5,376,655)	26,309,048	-
Effect on exposure as a result of change between stages	(530,455)	(1,093,075)	(3,425,412)	(3,299,084)	352,431	(7,995,595)
Changes resulted from adjustments	(54,075,230)	(54,940,285)	(2,153,748)	(3,477,613)	166,969	(114,479,907)
Written off or transferred exposures*	-	-	-	-	(747,025)	(747,025)
Balance at the end of the Year	**631,880,227**	**394,477,629**	**65,827,682**	**37,683,148**	**74,996,823**	**1,204,865,509**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	577,702,192	344,366,930	13,206,878	6,212,909	37,290,889	978,779,798
New exposures during the year	224,550,116	124,100,204	10,618,167	2,282,844	5,106,855	366,658,186
Settled exposures during the year	(76,908,510)	(28,147,175)	(1,930,882)	(422,971)	(1,498,594)	(108,908,132)
Transferred to stage (1)	2,961,072	88,382	(2,623,206)	(88,382)	(337,866)	-
Transferred to stage (2)	(27,474,384)	(27,797,795)	29,656,709	29,611,235	(3,995,765)	-
Transferred to stage (3)	(8,950,118)	(3,539,378)	(1,932,098)	(1,333,719)	15,755,313	-
Effect on exposure as a result of change between stages	(267,600)	(9,900)	(3,613,206)	(3,770,369)	(110,642)	(7,771,717)
Changes resulted from adjustments	(43,405,073)	(54,169,746)	(2,043,916)	(499,216)	101,545	(100,016,406)
Written off or transferred exposures*	-	-	-	-	(1,547,142)	(1,547,142)
Balance at the end of the Year	**648,207,695**	**354,891,522**	**41,338,446**	**31,992,331**	**50,764,593**	**1,127,194,587**

The movement on the provision for impairment loss for Individuals credit facilities is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,762,319	5,992,809	2,689,589	3,046,041	36,865,060	50,355,818
Expected credit loss on new exposures during the year	627,700	1,293,243	516,150	232,739	4,971,958	7,641,790
Recovered from expected credit loss on settled exposures during the year	(156,231)	(163,600)	(168,459)	(125,472)	(2,137,069)	(2,750,831)
Transferred to stage (1)	751,647	469,048	(544,978)	(467,780)	(207,937)	-
Transferred to stage (2)	(224,102)	(109,198)	2,068,134	1,062,592	(2,797,426)	-
Transferred to stage (3)	(35,115)	(16,685)	(695,077)	(738,738)	1,485,615	-
Effect on provision as a result of change between stages	(677,668)	(447,870)	(152,863)	964,320	17,911,375	17,597,294
Changes resulted from adjustments	364,744	7,628,443	(433,284)	(680,235)	1,631,951	8,511,619
Written off or transferred exposures*	-	-	-	-	(361,927)	(361,927)
Balance at the end of the Year	**2,413,294**	**14,646,190**	**3,279,212**	**3,293,467**	**57,361,600**	**80,993,763**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,682,528	2,481,109	1,129,850	115,823	28,191,923	33,601,233
Impairment loss on new exposures during the year	808,888	597,855	754,919	305,492	3,248,627	5,715,781
Recovered from expected credit loss on settled exposures during the year	(263,165)	(109,294)	(94,641)	(6,063)	(1,341,003)	(1,814,166)
Transferred to stage (1)	434,507	2,675	(164,390)	(2,675)	(270,117)	-
Transferred to stage (2)	(176,102)	(113,335)	1,682,370	1,670,525	(3,063,458)	-
Transferred to stage (3)	(51,460)	(17,388)	(174,680)	(28,619)	272,147	-
Total impact on volume of exposures as a result of changing the classification between stages	(423,490)	(1,889)	(376,403)	857,449	10,194,815	10,250,482
Effect on the provision resulted from adjustment	(249,387)	3,153,076	(67,436)	134,109	673,033	3,643,395
Written off or transferred exposures*	-	-	-	-	(1,040,907)	(1,040,907)
Balance at the end of the Year	**1,762,319**	**5,992,809**	**2,689,589**	**3,046,041**	**36,865,060**	**50,355,818**

The distribution of total credit and financing facilities by internal credit rating for Real Estate Loans is as follows:

	31 December 2024						2023
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	993,558	-	-	-	-	993,558	214,746
2	4,394,315	-	-	-	-	4,394,315	6,008,283
3	13,809,876	-	539,373	-	-	14,349,249	22,253,669
4	45,528,909	-	1,278,998	-	-	46,807,907	37,643,316
5	69,925,306	-	22,398,306	-	-	92,323,612	97,813,851
6	34,077,098	-	59,617,789	-	-	93,694,887	72,077,482
7	2,186,540	-	15,744,249	-	-	17,930,789	30,628,776
8-10	-	-	-	-	18,258,321	18,258,321	14,033,821
Not rated	301,390,410	504,146,654	17,971,829	59,832,059	22,114,170	905,455,122	835,420,842
Total	**472,306,012**	**504,146,654**	**117,550,544**	**59,832,059**	**40,372,491**	**1,194,207,760**	**1,116,094,786**

The movement on credit facilities and financing for Real Estate is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposure at the beginning of the year	421,889,214	447,152,997	147,887,682	71,234,689	27,930,204	1,116,094,786
New exposures during the year	131,229,844	146,337,481	4,884,369	3,827,059	1,019,932	287,298,685
Settled exposures during the year	(36,616,125)	(39,186,441)	(30,945,488)	(17,463,575)	(4,070,873)	(128,282,502)
Transferred to stage (1)	25,027,552	16,396,149	(24,931,531)	(16,396,149)	(96,021)	-
Transferred to stage (2)	(32,575,565)	(23,624,647)	32,741,794	24,010,599	(552,181)	-
Transferred to stage (3)	(3,578,626)	(621,911)	(11,279,479)	(2,958,789)	18,438,805	-
Effect on exposures as a result of change between stages	(5,042,456)	(2,161,999)	1,265,469	(1,279,990)	(529,217)	(7,748,193)
Changes resulted from adjustments	(28,027,826)	(40,144,975)	(2,072,272)	(1,141,785)	(1,339,406)	(72,726,264)
Written off or transferred exposures*	-	-	-	-	(428,752)	(428,752)
Total exposure at the end of the Year	**472,306,012**	**504,146,654**	**117,550,544**	**59,832,059**	**40,372,491**	**1,194,207,760**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Total exposure at the beginning of the year	398,537,703	436,238,718	134,343,010	28,148,955	22,840,981	1,020,109,367
New exposures during the year	114,602,086	113,632,194	14,698,527	15,490,354	1,525,504	259,948,665
Settled exposures during the year	(41,840,660)	(36,488,306)	(16,987,077)	(4,248,377)	(4,662,141)	(104,226,561)
Transferred to stage (1)	4,667,742	1,379,239	(4,667,742)	(1,379,239)	-	-
Transferred to stage (2)	(32,136,296)	(36,160,623)	33,314,567	37,098,989	(2,116,637)	-
Transferred to stage (3)	(947,078)	(321,277)	(8,437,576)	(626,504)	10,332,435	-
Effect on exposures as a result of change between stages	(590,440)	(516,198)	(1,660,711)	(1,604,501)	109,522	(4,262,328)
Changes resulted from adjustments	(20,403,843)	(30,610,750)	(2,715,316)	(1,644,988)	(99,460)	(55,474,357)
Written off or transferred exposures*	-	-	-	-	-	-
Total exposure at the end of the Year	**421,889,214**	**447,152,997**	**147,887,682**	**71,234,689**	**27,930,204**	**1,116,094,786**

The movement on the provision for impairment for Real Estate credit facilities is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	441,863	3,289	5,910,186	2,564	11,531,398	17,889,300
Expected credit loss on new credit facilities during the year	78,770	1,381	2,019,802	19	2,006,170	4,106,142
Recovered from expected credit loss on settled exposures	(78,717)	(1,124)	(1,615,858)	-	(1,257,018)	(2,952,717)
Transferred to stage (1)	393,738	-	(362,613)	-	(31,125)	-
Transferred to stage (2)	(25,664)	(35)	80,461	35	(54,797)	-
Transferred to stage (3)	(2,604)	-	(597,867)	(1,110)	601,581	-
Effect on provision as a result of change between stages	(33,701)	132	443,701	4,858	3,325,866	3,740,856
Changes resulted from adjustments	(103,550)	(527)	2,971,513	4,356	(323,156)	2,548,636
Written-off or transferred exposures	-	-	-	-	(219,694)	(219,694)
Balance at the end of the Year	**670,135**	**3,116**	**8,849,325**	**10,722**	**15,579,225**	**25,112,523**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	434,347	4,736	3,791,138	-	7,384,493	11,614,714
Expected credit loss on new credit facilities during the year	142,812	567	11,585	-	1,203,158	1,358,122
Recovered from expected credit loss on settled exposures	(27,012)	(3)	(9,659)	-	(1,029,597)	(1,066,271)
Transferred to stage (1)	40,643	-	(40,643)	-	-	-
Transferred to stage (2)	(46,318)	(258)	266,650	89,514	(309,588)	-
Transferred to stage (3)	(2,727)	-	(357,190)	-	359,917	-
Effect on provision as a result of change between stages	(33,906)	39	151,884	(86,950)	3,896,097	3,927,164
Changes resulted from adjustments	(65,976)	(1,792)	2,096,421	-	26,918	2,055,571
Written-off or transferred exposures	-	-	-	-	-	-
Balance at the end of the Year	**441,863**	**3,289**	**5,910,186**	**2,564**	**11,531,398**	**17,889,300**

The distribution of total credit and financing facilities by internal credit rating for corporates is as follows:

	31 December 2024						2023
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	2,573,579	-	-	-	-	2,573,579	-
2	74,412,705	-	281	-	-	74,412,986	77,604,180
3	203,279,073	-	605,180	-	-	203,884,253	168,681,617
4	269,609,402	-	12,522,354	-	-	282,131,756	239,679,708
5	340,152,755	-	30,417,318	-	-	370,570,073	383,922,106
6	99,895,889	-	47,851,651	-	-	147,747,540	150,674,371
7	55,997,488	-	134,522,641	-	-	190,520,129	204,458,667
8-10	-	-	-	-	123,823,543	123,823,543	84,996,169
Not rated	30,665,392	-	577,823	-	7,801,036	39,044,251	17,331,785
Total	**1,076,586,283**	**-**	**226,497,248**	**-**	**131,624,579**	**1,434,708,110**	**1,327,348,603**

The movement on credit and financing facilities for corporates is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	954,397,586	-	280,380,006	-	92,571,011	1,327,348,603
New exposures during the year	305,586,961	-	39,495,348	-	7,660,107	352,742,416
Settled exposures during the year	(201,272,108)	-	(68,004,940)	-	(2,280,626)	(271,557,674)
Transferred to stage (1)	42,984,229	-	(42,984,229)	-	-	-
Transferred to stage (2)	(57,251,331)	-	61,028,644	-	(3,777,313)	-
Transferred to stage (3)	(6,905,396)	-	(33,588,647)	-	40,494,043	-
Effect on exposures as a result of change between stages	(6,737,431)	-	(7,204,795)	-	(1,318,446)	(15,260,672)
Changes resulted from adjustments	45,783,773	-	(2,624,139)	-	(1,236,603)	41,923,031
Written off or transferred exposures*	-	-	-	-	(487,594)	(487,594)
Balance at the end of the Year	**1,076,586,283**	**-**	**226,497,248**	**-**	**131,624,579**	**1,434,708,110**

31December2023	Stage (1)		Stage (2)		Stage(3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	955,650,437	-	304,983,705	-	68,380,678	1,329,014,820
New exposures during the year	243,424,110	-	46,434,624	-	4,394,041	294,252,775
Settled exposures during the year	(131,763,043)	-	(29,285,630)	-	(7,052,492)	(168,101,165)
Transferred to stage (1)	20,994,617	-	(20,994,617)	-	-	-
Transferred to stage (2)	(33,470,107)	-	36,129,236	-	(2,659,129)	-
Transferred to stage (3)	(1,029,347)	-	(46,578,129)	-	47,607,476	-
Effect on exposures as a result of change between stages	(124,043)	-	(2,863,205)	-	1,071,060	(1,916,188)
Changes resulted from adjustments	(99,285,038)	-	(7,445,978)	-	(813,352)	(107,544,368)
Written off or transferred exposures*	-	-	-	-	(18,357,271)	(18,357,271)
Balance at the end of the Year	**954,397,586**	**-**	**280,380,006**	**-**	**92,571,011**	**1,327,348,603**

The movement on the provision for impairment for corporates is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	9,647,306	-	39,846,885	-	56,499,716	105,993,907
Expected credit loss on new credit facilities during the year	3,654,758	-	2,411,179	-	4,730,410	10,796,347
Recovered from expected credit loss on settled exposures during the year	(3,844,135)	-	(5,524,759)	-	(648,927)	(10,017,821)
Transferred to stage (1)	2,886,070	-	(2,886,070)	-	-	-
Transferred to stage (2)	(583,195)	-	2,242,107	-	(1,658,912)	-
Transferred to stage (3)	(79,672)	-	(8,306,008)	-	8,385,680	-
Effect on provision as a result of change between stages	(1,959,349)	-	3,556,841	-	7,276,031	8,873,523
Changes resulted from adjustments	(650,014)	-	12,705,158	-	4,486,657	16,541,801
Impairment loss on written off or transferred exposures*	-	-	-	-	(450,434)	(450,434)
Balance at the end of the Year	**9,071,769**	**-**	**44,045,333**	**-**	**78,620,221**	**131,737,323**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	12,699,994	-	46,028,615	-	51,425,392	110,154,001
Expected credit loss on new credit facilities during the year	2,092,476	-	3,348,379	-	3,204,741	8,645,596
Recovered from expected credit loss on settled exposures during the year	(3,709,229)	-	(2,459,645)	-	(3,840,665)	(10,009,539)
Transferred to stage (1)	576,449	-	(576,449)	-	-	-
Transferred to stage (2)	(405,365)	-	2,179,492	-	(1,774,127)	-
Transferred to stage (3)	(9,112)	-	(21,247,962)	-	21,257,074	-
Effect on provision as a result of change between stages	(161,666)	-	(1,701,447)	-	1,587,658	(275,455)
Changes resulted from adjustments	(1,436,241)	-	14,275,902	-	1,665,554	14,505,215
Impairment loss on written off or transferred exposures*	-	-	-	-	(17,025,911)	(17,025,911)
Balance at the end of the Year	**9,647,306**	**-**	**39,846,885**	**-**	**56,499,716**	**105,993,907**

The distribution of total credit and financing facilities by internal credit rating for (SME's) is as follows:

	31 December 2024						2023
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	-	-	-	-	-	-	-
2	-	-	-	-	-	-	-
3	24,388,884	-	341,709	-	-	24,730,593	27,366,463
4	42,447,930	-	2,613,905	-	-	45,061,835	43,823,199
5	46,144,275	-	10,856,484	-	-	57,000,759	43,116,705
6	31,585,974	-	10,912,667	-	-	42,498,641	59,806,455
7	10,060,721	-	34,152,476	-	-	44,213,197	27,630,756
8-10	-	-	-	-	25,571,529	25,571,529	22,236,449
Not rated	132,375	59,107,639	252,386	10,852,337	6,085,681	76,430,418	62,396,124
Total	**154,760,159**	**59,107,639**	**59,129,627**	**10,852,337**	**31,657,210**	**315,506,972**	**286,376,151**

The movement on credit facilities and financing for SME's is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	164,848,112	39,558,573	37,817,171	15,982,953	28,169,342	286,376,151
New exposures during the year	56,767,252	18,127,158	18,244,449	901,633	2,670,616	96,711,108
Settled exposures during the year	(31,395,915)	(4,499,336)	(6,235,578)	(2,098,903)	(2,950,934)	(47,180,666)
Transferred to stage (1)	5,373,063	7,893,491	(5,155,767)	(7,893,491)	(217,296)	-
Transferred to stage (2)	(23,811,196)	(4,197,412)	24,846,319	4,509,894	(1,347,605)	-
Transferred to stage (3)	(1,186,077)	(243,252)	(5,383,025)	(280,141)	7,092,495	-
Effect on exposures as a result of change between stages	(1,223,119)	(212,751)	(2,476,712)	493,109	(223,957)	(3,643,430)
Changes resulted from adjustments	(14,611,961)	2,681,168	(2,527,230)	(762,717)	(393,954)	(15,614,694)
Written off or transferred exposures*	-	-	-	-	(1,141,497)	(1,141,497)
Balance at the end of the Year	**154,760,159**	**59,107,639**	**59,129,627**	**10,852,337**	**31,657,210**	**315,506,972**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	152,723,543	29,276,710	27,073,383	18,561,584	24,655,575	252,290,795
New exposures during the year	57,864,280	12,643,931	10,440,326	3,530,016	1,730,387	86,208,940
Settled exposures during the year	(21,644,027)	(6,117,280)	(5,923,216)	(4,112,319)	(1,001,869)	(38,798,711)
Transferred to stage (1)	4,878,752	7,843,028	(4,804,078)	(7,812,183)	(105,519)	-
Transferred to stage (2)	(16,485,974)	(6,962,767)	17,283,858	7,070,387	(905,504)	-
Transferred to stage (3)	(2,938,974)	(700,546)	(2,870,564)	(184,438)	6,694,522	-
Effect on exposures as a result of change between stages	(1,100,357)	1,454,289	(2,907,782)	(180,581)	(290,165)	(3,024,596)
Changes resulted from adjustments	(8,449,131)	2,121,208	(474,756)	(889,513)	26,645	(7,665,547)
Written off or transferred exposures*	-	-	-	-	(2,634,730)	(2,634,730)
Balance at the end of the Year	**164,848,112**	**39,558,573**	**37,817,171**	**15,982,953**	**28,169,342**	**286,376,151**

The movement on the provision for impairment for (SME's) credit facilities is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,868,285	106,937	1,981,100	413,662	15,480,874	19,850,858
Expected credit loss on new credit facilities during the year	711,132	27,568	627,921	21,500	1,599,862	2,987,983
Recovered from expected credit loss on settled exposures during the year	(546,364)	(6,515)	(100,788)	(169,839)	(1,352,292)	(2,175,798)
Transferred to stage (1)	147,764	179,931	(78,008)	(179,931)	(69,756)	-
Transferred to stage (2)	(239,951)	(9,485)	481,223	115,110	(346,897)	-
Transferred to stage (3)	(16,115)	(2,298)	(792,881)	(3,727)	815,021	-
Effect on provision as a result of change between stages	(91,932)	(157,064)	257,417	1,687	892,574	902,682
Changes resulted from adjustments	236,647	34,541	429,168	347,091	1,926,372	2,973,819
Written off or transferred exposures*	-	-	-	-	(676,908)	(676,908)
Balance at the end of the Year	**2,069,466**	**173,615**	**2,805,152**	**545,553**	**18,268,850**	**23,862,636**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,314,031	43,815	1,276,402	391,953	13,548,633	16,574,834
Expected credit loss on new credit facilities during the year	716,900	25,772	217,552	19,343	1,253,216	2,232,783
Recovered from expected credit loss on settled exposures during the year	(186,479)	(9,330)	(134,302)	(13,346)	138,898	(204,559)
Transferred to stage (1)	162,219	70,178	(141,258)	(65,534)	(25,605)	-
Transferred to stage (2)	(125,150)	(21,473)	337,345	58,064	(248,786)	-
Transferred to stage (3)	(231,518)	(2,335)	(43,569)	(9,043)	286,465	-
Effect on provision as a result of change between stages	(96,524)	(39,504)	(159,371)	11,975	1,384,709	1,101,285
Changes resulted from adjustments	314,806	39,814	628,301	20,250	1,221,061	2,224,232
Written off or transferred exposures*	-	-	-	-	(2,077,717)	(2,077,717)
Balance at the end of the Year	**1,868,285**	**106,937**	**1,981,100**	**413,662**	**15,480,874**	**19,850,858**

The distribution of total credit and financing facilities by internal credit rating for Government and Public Sector is as follows:

	31 December 2024						2023
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	595,334,836	-	-	-	-	595,334,836	471,509,426
2	-	-	-	-	-	-	7,950
3	42,699,541	-	-	-	-	42,699,541	17,676,583
4	-	-	-	-	-	-	-
5	35,332,943	-	-	-	-	35,332,943	84,194,219
6	837,894	-	-	-	-	837,894	-
7	-	-	-	-	-	-	1,445,429
8-10	-	-	-	-	-	-	-
Not rated	25,000,031	-	-	-	-	25,000,031	25,000,000
Total	**699,205,245**	**-**	**-**	**-**	**-**	**699,205,245**	**599,833,607**

The movement on credit facilities and financing for the Government and Public Sector is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	599,833,607	-	-	-	-	599,833,607
New exposures during the year	217,819,275	-	-	-	-	217,819,275
Settled exposures during the year	(59,284,668)	-	-	-	-	(59,284,668)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposures as a result of change between stages	-	-	-	-	-	-
Changes resulted from adjustments	(59,162,969)	-	-	-	-	(59,162,969)
Balance at the end of the Year	**699,205,245**	**-**	**-**	**-**	**-**	**699,205,245**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	599,215,519	-	-	-	-	599,215,519
New exposures during the year	54,270,916	-	-	-	-	54,270,916
Settled exposures during the year	(14,367,980)	-	-	-	-	(14,367,980)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposures as a result of change between stages	-	-	-	-	-	-
Changes resulted from adjustments	(39,284,848)	-	-	-	-	(39,284,848)
Written off or transferred to off statemnts of financial position debts	599,833,607	-	-	-	-	599,833,607
Balance at the end of the Year	**599,833,607**	**-**	**-**	**-**	**-**	**599,833,607**

The movement on the provision for impairment for the Government and Public Sector credit facilities is as follows:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	-	-	-	-	-	-
Expected credit loss on new credit facilities during the year	-	-	-	-	-	-
Recovered from expected credit loss on settled exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on provision as a result of change between stages	-	-	-	-	-	-
Changes resulted from adjustments	-	-	-	-	-	-
Written off or transferred exposures*	-	-	-	-	-	-
Balance at the end of the Year	**-**	**-**	**-**	**-**	**-**	**-**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	-	-	-	-	-	-
Expected credit loss on new credit facilities during the year	-	-	-	-	-	-
Recovered from expected credit loss on settled exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on provision as a result of change between stages	-	-	-	-	-	-
Changes resulted from adjustments	-	-	-	-	-	-
Written off or transferred exposures*	-	-	-	-	-	-
Balance at the end of the Year	**-**	**-**	**-**	**-**	**-**	**-**

10. Financial Assets at Fair Value through Other Comprehensive Income

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Quoted shares in active markets	28,472,247	31,866,382
Quoted bonds in active markets	45,515,882	-
Unquoted shares	19,367,863	15,159,479
Investment funds	26,360,195	19,632,260
Total	119,716,187	66,658,121
Provision for expected credit losses	(64,447)	-
	119,651,740	**66,658,121**

- Transferred losses as a result of selling financial assets at fair value through the statement of other comprehensive income amounted to JD 93,842 as of 31 December 2024 (JD 421,659 transferred gains of which JD 20,944 belongs to non-controlling interest as of 31 December 2023).
- The value of profits realized from the sale of debt instruments through other comprehensive income was JD 78,970 as of 31 December 2024 (there were no sales transactions as of 31 December 2023).
- Cash dividends on the above-mentioned financial assets amounted to JD 726,825 for the year ended 31 December 2024 (JD 1,162,153 for the year ended 31 December 2023).

Disclosure of the movement in the balance of debt instruments at fair value through other comprehensive income.

	31 December 2024				31 December 2023
	Stage 1 - Individual	Stage 2	Stage 3	Total	
	JD	JD	JD	JD	JD
Balance at the beginning of the year	-	-	-	-	-
New investments during the year	45,515,882	-	-	45,515,882	-
Accrued investments	-	-	-	-	-
changes in fair value	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-
Effect on the exposure results change classification between stages	-	-	-	-	-
Changes resulted from adjustments	-	-	-	-	-
Written off investments	-	-	-	-	-
Adjustments due to exchange rate changes.	-	-	-	-	-
Balance at the end of the Year	**45,515,882**	**-**	**-**	**45,515,882**	**-**

Disclosure of the movement in the allowance for expected credit losses on debt instruments through other comprehensive income

	31 December 2024				31 December 2023
	Stage 1 - Individual	Stage 2	Stage 3	Total	
	JD	JD	JD	JD	JD
Balance at the beginning of the year	-	-	-	-	-
Credit loss and expected loss on new investments during the year	64,447	-	-	64,447	-
Recovery from expected credit loss on due investments	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-
Effect on the exposure results change classification between stages	-	-	-	-	-
Changes resulted from adjustments	-	-	-	-	-
Written off investments	-	-	-	-	-
Deduction during the period from revenues	-	-	-	-	-
Balance at the end of the Year	**64,447**	**-**	**-**	**64,447**	**-**

11. Financial Assets at Amortized Cost - net

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Quoted Financial Assets:		
Foreign treasury bonds	69,618,697	91,696,901
Corporate bonds and debentures	221,514,401	189,613,293
Unquoted Financial Assets:		
Governmental treasury bills	106,960,168	108,877,524
Governmental guaranteed bonds	1,451,005,828	1,221,607,600
Corporate bonds and debentures	7,152,000	22,652,000
	1,856,251,094	**1,634,447,318**
Less: Provision for impairment related to financial assets within stage (1)	337,642	632,492
	1,855,913,452	**1,633,814,826**
Bonds and Bills Analysis		
With Fixed rate	1,856,251,094	1,634,055,985
With Floating rate	-	391,333
Total	**1,856,251,094**	**1,634,447,318**
Bonds Analysis as per International Financial Reporting Standard (9):		
stage (1)	1,856,251,094	1,634,447,318
Total	**1,856,251,094**	**1,634,447,318**

The following is the movement on financial assets at amortized cost before provision:

	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JD	JD	JD	JD
31 December 2024				
Balance at the beginning of the year	1,634,447,318	-	-	1,634,447,318
New investments during the year	575,588,705	-	-	575,588,705
Accrued investment	(325,546,433)	-	-	(325,546,433)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-
Change resulting from adjustments	(28,238,496)	-	-	(28,238,496)
Impairment loss on written off investments	-	-	-	-
Balance at the end of the Year	**1,856,251,094**	**-**	**-**	**1,856,251,094**

	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JD	JD	JD	JD
31 December 2023				
Balance at the beginning of the year	1,326,436,743	-	-	1,326,436,743
New investments during the year	706,960,536	-	-	706,960,536
Accrued investment	(385,726,260)	-	-	(385,726,260)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	-
Effect on volume of exposures due to the changes between stages	-	-	-	-
Change resulting from adjustments	(13,223,701)	-	-	(13,223,701)
Balance at the end of the Year	**1,634,447,318**	**-**	**-**	**1,634,447,318**

The following is the movement on the provision for expected credit losses for financial assets at amortized cost:

	31 December 2024				2023
	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total	Total
	JD	JD	JD	JD	JD
Balance at the beginning of the year	632,492	-	-	632,492	670,099
Expected credit loss on new investments during the year	105,105	-	-	105,105	159,280
Recovered from expected credit loss on accrued investments	(337,749)	-	-	(337,749)	(136,581)
Transferred to Stage (1)	-	-	-	-	-
Transferred to Stage (2)	-	-	-	-	-
Transferred to Stage (3)	-	-	-	-	-
Effect on provision as a result of change between stages during the year	-	-	-	-	-
Change resulted from adjustments	(62,206)	-	-	(62,206)	(60,306)
Balance at the end of the Year	**337,642**	**-**	**-**	**337,642**	**632,492**

- During the year 2024. financial assets at amortized cost were sold with a nominal value amounting to JD 13,165,421 (JD 11,414,900 during the year 2023). The operation resulted in a gain of JD 48,728 during the year 2024 (loss of JD 2,125 during 2023).

12. Investments in Associates

The details of this item are as follows:

Company Name	Country of Residence	Ownership %	Nature of Activity	31 December	
				2024	2023
				JD	JD
Jordan Blending & Packing of Fertilizers Co.	Jordan	25%	Industrial	332,759	349,622

	31 December	
	2024	2023
	JD	JD
Balance at the beginning of the year	349,622	345,954
Group's share from profit of the year - net	(16,863)	3,668
Balance at the end of the Year	**332,759**	**349,622**

13. Property and Equipment - Net

The details of this item are as follows:

For the year ended 31 December 2024	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JD	JD	JD	JD	JD	JD
Cost:						
Balance at the beginning of the year	31,016,007	24,690,329	66,435,361	1,568,675	20,959,938	144,670,310
Additions	3,516,922	862,526	6,056,097	624,314	3,908,105	14,967,964
Disposals	(324,564)	(789,161)	(4,660,183)	(380,900)	(2,691,985)	(8,846,793)
Balance at the end of the Year	**34,208,365**	**24,763,694**	**67,831,275**	**1,812,089**	**22,176,058**	**150,791,481**
Accumulated Depreciation:						
Balance at the beginning of the year	-	8,999,780	47,653,550	984,938	14,904,941	72,543,209
Annual depreciation	-	500,432	5,426,552	208,304	2,214,821	8,350,109
Disposals	-	(697,567)	(4,261,043)	(354,164)	(2,619,974)	(7,932,748)
Balance at the end of the Year	**-**	**8,802,645**	**48,819,059**	**839,078**	**14,499,788**	**72,960,570**
Net book value of property and equipment	34,208,365	15,961,049	19,012,216	973,011	7,676,270	77,830,911
Payments to purchase property and equipment	-	2,652,788	6,614,835	-	160,813	9,428,436
Net Book Value at the end of the Year	**34,208,365**	**18,613,837**	**25,627,051**	**973,011**	**7,837,083**	**87,259,347**

For the year ended 31 December 2023	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JD	JD	JD	JD	JD	JD
Cost:						
Balance at the beginning of the year	25,451,167	24,479,357	62,677,201	1,390,840	20,088,750	134,087,315
Additions	5,564,840	223,110	5,506,392	365,801	3,300,401	14,960,544
Disposals	-	(12,138)	(1,748,232)	(187,966)	(2,429,213)	(4,377,549)
Balance at the end of the Year	**31,016,007**	**24,690,329**	**66,435,361**	**1,568,675**	**20,959,938**	**144,670,310**
Accumulated Depreciation:						
Balance at the beginning of the year	-	8,485,842	43,826,473	923,982	15,392,159	68,628,456
Annual depreciation	-	524,117	5,506,842	197,648	1,933,347	8,161,954
Disposals	-	(10,179)	(1,679,765)	(136,692)	(2,420,565)	(4,247,201)
Balance at the end of the Year	**-**	**8,999,780**	**47,653,550**	**984,938**	**14,904,941**	**72,543,209**
Net book value of property and equipment	31,016,007	15,690,549	18,781,811	583,737	6,054,997	72,127,101
Payments to purchase property and equipment	-	2,255,011	1,495,569	-	333,398	4,083,978
Net Book Value at the end of the Year	**31,016,007**	**17,945,560**	**20,277,380**	**583,737**	**6,388,395**	**76,211,079**

- Property and equipment include fully depreciated assets of JD 39,315,184 as of 31 December 2024 (JD 40,096,031 as of 31 December 2023). which are still in-use by the Bank.

14. Intangible Assets - net

The details of this item are as follows:

For the year ended 31 December 2024	Computer Software	Bank's License	Goodwill*	Total
	JD	JD	JD	JD
Balance at the beginning of the year	17,224,397	9,928,000	1,380,512	28,532,909
Additions	7,964,309	-	-	7,964,309
Amortization for the year	(6,868,020)	-	-	(6,868,020)
Balance at the end of the Year	**18,320,686**	**9,928,000**	**1,380,512**	**29,629,198**

For the year ended 31 December 2023	Computer Software	Bank's License	Goodwill*	Total
	JD	JD	JD	JD
Balance at the beginning of the year	15,585,181	9,928,000	1,380,512	26,893,693
Additions	8,536,707	-	-	8,536,707
Amortization for the year	(6,897,491)	-	-	(6,897,491)
Balance at the end of the Year	**17,224,397**	**9,928,000**	**1,380,512**	**28,532,909**

* This item represents the intangible assets resulting from the acquisition of Safwa Islamic Bank during the year 2017 and it is subject to fair value impairment tests at the end of each year.

15. Other Assets - Net

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Interests and revenues under collection	34,734,988	27,100,676
Prepaid expenses	7,679,184	7,562,688
Assets seized by Bank against due debts *	94,284,400	78,038,809
Clearing cheques	694,012	307,331
Transfers and cheques under collection	753,075	233,915
Paid margins on letter of guarantees	5,511,896	6,389,990
Discounted commercial papers	19,555,499	17,341,650
Convertible loans	1,013,877	1,004,774
Other	19,220,740	15,245,752
Total	**183,447,671**	**153,225,585**

* The regulations of the Central Bank of Jordan requires the disposal of the assets seized by Bank in repayment of debts during a maximum period of two years from the acquisition date. However. in some exceptional cases. the Central Bank of Jordan has the right to extend the period for a maximum of two subsequent years.

The following is a summary of the movement on the assets seized by bank in repayment of debts:

	31 December	
	2024	2023
	JD	JD
Balance at the beginning of the year	83,528,320	59,048,934
Additions	31,056,924	28,807,610
Disposals	(15,677,923)	(4,328,224)
	98,907,321	83,528,320
Surplus impairment (provision) during the year	(4,622,921)	(5,489,511)
Balance at the end of the Year	**94,284,400**	**78,038,809**
Below is a summary of the movement on the provision for the assets seized by bank:		
Balance beginning of year	5,489,511	6,070,677
(Surplus) additions during the year	(866,590)	(581,166)
Balance at the end of the Year	**4,622,921**	**5,489,511**

- The impairment provision against the assets seized by the Bank amounted to JD 2,173,431 as of 31 December 2024 (JD 1,349,193 as of 31 December 2023). Furthermore. the provision for the assets seized by the Bank for a period of more than (4) years amounted to JD 2,449,490 as of 31 December 2024 (JD 4,140,318 as of 31 December 2023).

16. Banks' and Financial Institutions Deposits

The details of this item are as follows:

	31 December 2024			31 December 2023		
	Inside Jordan	Outside Jordan	Total	Inside Jordan	Outside Jordan	Total
	JD	JD	JD	JD	JD	JD
Current accounts and demand deposits	42,206,497	104,129,547	146,336,044	44,773,242	133,809,282	178,582,524
Time deposits						
Deposits maturing during the period 3 months:	6,000,000	134,952,419	140,952,419	-	83,167,696	83,167,696
More than 3 months to 6 months	-	51,911,319	51,911,319	-	-	-
More than 6 months to 9 months	-	2,000,000	2,000,000	-	5,500,000	5,500,000
More than 9 months to 12 months	-	7,000,000	7,000,000	-	13,000,000	13,000,000
More than a year	-	9,000,000	9,000,000	6,000,000	25,000,000	31,000,000
Total	**48,206,497**	**308,993,285**	**357,199,782**	**50,773,242**	**260,476,978**	**311,250,220**

17. Customers' Deposits

The details of this item are as follows:

For the year ended 31 December 2024	Individual	Corporate	SMEs	Government and Public Sector	Total
	JD	JD	JD	JD	JD
Current accounts and demand accounts	501,857,482	266,881,853	439,162,949	5,384,923	1,213,287,207
Saving deposits	995,614,478	58,056,358	173,112,585	10,376,328	1,237,159,749
Time and notice deposits	1,881,854,325	714,118,527	175,814,566	405,692,437	3,177,479,855
Certificates of deposit	639,264,619	41,752,540	38,394,570	59,339,000	778,750,729
Total	**4,018,590,904**	**1,080,809,278**	**826,484,670**	**480,792,688**	**6,406,677,540**

For the year ended 31 December 2023	Individual	Corporate	SMEs	Government and Public Sector	Total
	JD	JD	JD	JD	JD
Current accounts and demand accounts	506,333,549	193,872,804	408,774,305	9,943,945	1,118,924,603
Saving deposits	862,848,432	28,513,684	88,598,277	8,157,365	988,117,758
Time and notice deposits	1,728,339,919	581,973,635	185,300,102	411,903,611	2,907,517,267
Certificates of deposit	531,540,903	25,843,940	35,731,547	43,677,000	636,793,390
Total	**3,629,062,803**	**830,204,063**	**718,404,231**	**473,681,921**	**5,651,353,018**

- The Jordanian government and public sector's deposits inside the kingdom reached JD 480,792,688 representing 7.50% of total deposits as of 31 December 2024 (JD 473,681,921 representing 8.38% of total deposits as of 31 December 2023).
- Non-interest bearing deposits reached JD 1,164,618,145 representing 18.18% of total deposits as of 31 December 2024 (JD 1,109,911,255 representing 19.64% of total deposits as of 31 December 2023).
- Restricted deposits amounted to JD 15,646,813 representing 0.24% of total deposits as of 31 December 2024 (JD 9,838,084 representing 0.17% of total deposits as of 31 December 2023).
- Dormant deposits reached JD 56,712,591 representing 0.89% of total deposits as of 31 December 2024 (JD 39,908,496 representing 0.71% of total deposits as of 31 December 2023).
- Customers' deposits include an amount of JD 2,596,270,510 which represents the shared customers' investments related to Safwa Islamic Bank as of 31 December 2024 (2,114,530,041 as of 31 December 2023).

18. Cash Margins

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Margins against direct credit facilities	222,896,882	235,112,411
Margins against indirect credit facilities	131,135,046	78,788,880
Balances against margin receivables	2,911,910	3,594,790
Other margins	18,012,071	12,164,353
Total	**374,955,909**	**329,660,434**

19. Borrowed Funds and Subordinated Loans

19.a. Borrowed Funds

The details of this item are as follows:

31 December 2024	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
Central Bank of Jordan borrowing *	90,629,065	15,979	10,146	Monthly	Bank Promissories	1.00 - 0.50
Central Bank of Jordan borrowing *	392,968	37	18	Quarterly	Bank Promissory	1.00 - 0.50
Central Bank of Jordan borrowing *	2,753,545	36	20	Semi-annual	Bank Promissory	1.00 - 0.50
Central Bank of Jordan borrowing *	3,042,815	21	21	Annual	Bank Promissory	1.00 - 0.50
Central Bank of Jordan borrowing *	28,163,994	17,851	7,347	Monthly	Bank Promissory	0.00
International Bank for Reconstruction and Development **	1,800,000	20	6	Semi-annual starting from 15 September 2018	Bank Promissory	6.25
Arab Fund for Economic and Social Development ***	1,772,498	15	15	Semi-annual	Bank Promissory	2.50
Arab Fund for Economic and Social Development ***	7,160,214	35	30	Semi-annual	Bank Promissory	3.00
European Bank for Reconstruction and Development	5,768,400	7	6	Semi-annual starting from 1 September 2024	-	8.65
European Bank for Reconstruction and Development	303,857	7	6	Semi-annual starting from 1 September 2024	-	5.67
European Investment Bank	29,545,714	7	6	Semi-annual starting from 21 December 2024	-	4.45
Jordan Mortgage Refinance Company (Relating to a subsidiary)	5,000,000	1	1	One instalment	-	8.00
Local Banks (Relating to a subsidiary)	5,800,781	252	205	Quarterly	-	6.75
Local Banks (Relating to a subsidiary)	1,000,000	8	8	Quarterly	-	7.75
Local Banks (Relating to a subsidiary)	14,664,787	937	881	Quarterly	-	7.25
Local Banks (Relating to a subsidiary)	9,995,000	396	396	Quarterly	-	7.25
Local Banks (Relating to a subsidiary)	3,000,000	127	126	Monthly	-	7.50
Local Banks (Relating to a subsidiary)	4,304,556	192	178	Monthly	-	6.00
Local Banks (Relating to a subsidiary)	676,000	120	120	Monthly	-	6.25
Local Banks (Relating to a subsidiary)	4,999,333	60	59	Monthly	-	6.50
Total	**220,773,527**					

31 December 2023	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
Central Bank of Jordan borrowing *	52,172,227	13,400	8,287	Monthly	Bank Promissories	0.5 - 1.75
Central Bank of Jordan borrowing *	345,900	37	16	Quarterly	Bank Promissory	1.00
Central Bank of Jordan borrowing *	3,152,402	37	24	Semi-annual	Bank Promissory	0.5 -1.00
Central Bank of Jordan borrowing *	2,200,645	17	17	Annual	Bank Promissory	0.5 -1.00
Central Bank of Jordan borrowing *	48,237,651	24,212	14,012	Monthly	Bank Promissory	0.00
International Bank for Reconstruction and Development **	2,400,000	20	8	Semi-annual starting from 15 September 2018	Bank Promissory	7.61
Arab Fund for Economic and Social Development ***	270,000	15	2	Semi-annual	Bank Promissory	2.50
Arab Fund for Economic and Social Development ***	7,118,894	34	32	Semi-annual	Bank Promissory	3.00

31 December 2023	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
Jordan Mortgage Refinance Company	2,020,650	7	7	Semi-annual starting from 1 September 2024	-	8.65
The European Bank for Reconstruction and Development	106,350	7	7	Semi-annual starting from 1 September 2024	-	5.88
The European Bank for Reconstruction and Development	34,470,000	7	7	Semi-annual starting from 21 December 2024	-	4.45
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	7.75
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	One instalment	-	4.70
Jordan Mortgage Refinance Company (related to subsidiary)	2,500,000	1	1	One instalment	-	4.60
Local Banks (related to a subsidiary)	5,000,000	1	1	One instalment	-	7.60
Local Banks (related to a subsidiary)	5,781,250	100	94	Quarterly	-	6.75
Local Banks (related to a subsidiary)	700,000	36	36	Monthly	-	7.25
Local Banks (related to a subsidiary)	14,930,423	828	827	Monthly	-	6.00
Local Banks (related to a subsidiary)	5,000,000	30	30	Monthly	-	6.00
Total	**190,406,392**					

* Funds have been reborrowed from the Central Bank of Jordan to corporates and SMEs sectors at an interest rate ranging from 2% - 4.5%.

** Funds have been reborrowed from the International Bank for Reconstruction and Development to corporates and SMEs sectors at an interest rate ranging from 8% - 10%.

*** Funds have been reborrowed from the Arab Fund for Economic and Social Development to corporates and SMEs sectors at an interest rate ranging from 4.50% - 10.25%.

**** Funds have been reborrowed from The European Bank for Reconstruction and Development at an interest rate ranging from 7% - 9.5%.

19.b. Subordinated Loans

The details of this item are as follows:

31 December 2024	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	24,815,000	1	1	one installment dated 6 December 2032		12.10
The European Bank for Reconstruction and Development	21,300,000	1	1	one instalment dated 8 April 2027		11.75
Sanad Fund for financing micro. SME's	14,180,000	1	1	one installment dated 30 March 2030		10.10
	60,295,000					

31 December 2023	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	24,815,000	1	1	one installment dated 6 December 2032		12.85
The European Bank for Reconstruction and Development	21,300,000	1	1	one instalment dated 8 April 2027		11.75
Sanad Fund for financing micro. SME's	14,180,000	1	1	one installment dated 30 March 2030		10.91
	60,295,000					

20. Sundry Provisions

The details of this item are as follows:

For the Year Ended 31 December 2024	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JD	JD	JD	JD	JD
Provision for end-of-service indemnity	123,605	31,828	-	-	155,433
Provision for lawsuits and contingent liabilities	302,182	715,650	-	16,619	1,001,213
Other provisions	100,000	165,000	-	-	265,000
Total	**525,787**	**912,478**	**-**	**16,619**	**1,421,646**

For the Year Ended 31 December 2023	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JD	JD	JD	JD	JD
Provision for end-of-service indemnity	79,722	52,161	-	8,278	123,605
Provision for lawsuits and contingent liabilities	452,175	131,788	276,281	5,500	302,182
Other provisions	100,000	-	-	-	100,000
Total	**631,897**	**183,949**	**276,281**	**13,778**	**525,787**

21. Income Tax

a. Income tax provision

The movement on the income tax provision during the year is as follows:

	31 December	
	2024	2023
	JD	JD
Balance at the beginning of the year	30,872,484	28,930,915
Income tax paid	(33,888,257)	(35,092,191)
Accrued income tax	38,559,156	37,020,220
Income tax from profits from financial assets	-	13,540
Provision for prior years income tax	504,770	-
Balance at the end of the Year	**36,048,153**	**30,872,484**

Income tax appearing in the consolidated statement of income represents the following:

	For the year ended 31 December	
	2024	2023
	JD	JD
Income tax accrued for the current year profit	38,559,156	37,020,220
Income tax for prior years	545,467	-
Deferred tax assets	(8,060,230)	(4,380,508)
Deferred tax liability for the year	255,234	20,282
	31,299,627	**32,659,994**

b. Deferred Tax Assets/Liabilities

The details of this item are as follows:

Deferred Tax Assets	31 December 2024					2023
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JD	JD	JD	JD	JD	JD
Financial assets at fair value through other comprehensive income*	2,497,918	2,497,918	-	-	-	215,586
Provision seized assets	5,387,822	866,590	-	4,521,232	1,718,068	2,047,372
Provision for bonuses	6,016,260	6,016,260	5,032,657	5,032,657	1,912,410	2,286,179
Provision for lawsuits against the Bank	295,801	-	705,412	1,001,213	380,461	112,404
Unaccepted provision for credit financing and facilities stage 3	9,330,740	-	673,787	10,004,527	3,801,720	3,545,681
General provision	250,261	-	80,922	331,183	92,731	70,073
Provision for contingent liabilities	100,000	-	165,000	265,000	100,700	38,000
Differences due to the application IFRS 16	889,002	-	598,658	1,487,660	565,311	337,821
Provision for expected credit losses stage 1 or 2	75,487,105	-	20,813,298	96,300,403	36,594,153	28,685,100
Provision for end-of-service indemnity	123,605	-	31,828	155,433	59,065	46,970
Provision for finance lease awards	105,005	-	24,995	130,000	36,400	29,401
Legal expenses	6,381	6,381	-	-	-	1,787
Total	**100,489,900**	**9,387,149**	**28,126,557**	**119,229,308**	**45,261,019**	**37,416,374**

Deferred tax liabilities	31 December 2024					2023
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JD	JD	JD	JD	JD	JD
Financial assets at fair value through statement of income	2,174,784	970,123	1,713,444	2,918,105	275,516	20,282
Financial assets at fair value through comprehensive income *	-	-	3,028,743	3,028,743	670,284	-
Total	**2,174,784**	**970,123**	**4,742,187**	**5,946,848**	**945,800**	**20,282**

* Deferred tax liabilities include an amount of JD 670,284 resulting from the profits of evaluating financial assets at fair value through the statement of other comprehensive income that appears within the fair value reserve in owners' equity as of 31 December 2024 (JD 215,586 deferred tax assets as of 31 December 2023).

The movement on the deferred income tax assets is as follows:

	Assets		Liabilities	
	31 December		31 December	
	2024	2023	2024	2023
	JD	JD	JD	JD
Balance at the beginning of the year	37,416,374	32,820,280	20,282	844,854
Additions	10,677,501	7,289,685	1,118,521	778,567
Disposals	(2,832,856)	(2,693,591)	(193,003)	(1,603,139)
Balance at the end of the Year	**45,261,019**	**37,416,374**	**945,800**	**20,282**

c. Reconciliation of the accounting profit with taxable profit

	31 December	
	2024	2023
	JD	JD
Accounting profit	85,773,727	90,397,269
Non-taxable income	(26,104,890)	(18,924,243)
Non-deductible expenses for tax purposes	39,663,114	27,537,745
Taxable Profit	**99,331,951**	**99,010,771**
Effective income tax rate	36.49%	36.13%

- The legal income tax rate for the Bank was 35% in addition to the national contribution of 3%. the legal income tax rate for Al Etihad Leasing Company and al Etihad Financial Brokerage company has reached 24% in addition to the national contribution of 4% and the income tax rate for Al Etihad Financial Technology has reached to 20% in addition to the national contribution of 1%.
- The Bank submitted the tax return until the year 2023 and a final settlement was reached with Income Tax and sales Department on the results of the bank until end of the year 2020. and The Income and Sales Tax Department has not reviewed the bank's accounting records for the years 2021 and 2022 and 2023.
- A final settlement with the income tax department for Safwa Islamic Bank has been reached up to the year 2020. The tax return for the year 2021 and 2022 and 2023 was submitted within the legal period. and the income and sales tax department did not review the accounting records until the date of preparing the consolidated financial statements.
- A final settlement with the Income Tax Department for Misk Financial Brokerage Company (a subsidiary of Safwa Islamic Bank) has been reached up to the year 2023.
- A final settlement for Al Etihad for Financial Brokerage Company has been reached. with the income tax department up to the year 2023 except for the year 2021 as the self detection has been submitted and the income tax and sales department did not review the accounting records until the date of the consolidated financial information.
- A final settlement with the Income Tax Department for Al Etihad for Financial Leasing Company has been reached up to the year 2021. And the self detection has been submitted for the year 2022 & 2023 and the income tax and sales department did not review the accounting records until the date of the consolidated financial information.
- A final settlement with the Income Tax Department for Al Etihad for Financial Technology Company has been reached up to the year 2023.
- A final settlement with the Income Tax Department for Etihad Islamic Investment company has been reached up to the year 2023.
- The percentage of deferred tax was 38% for the income from inside Jordan and 13% for the income from outside Jordan and in the Bank's management opinion these deferred taxes will be realized in the future.

22. Other Liabilities

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Accrued interest expenses	71,646,273	61,266,169
Revenue received in advance	2,857,245	2,758,168
Accounts payable	486,013	698,706
Accrued and unpaid expenses	15,472,768	16,357,721
Incoming transfers	9,370,948	453,698
Deffered cheques	22,226,115	18,008,141
Temporary deposits	12,561,651	10,390,652
Provision for expected credit losses for the off-balance sheet items	4,137,355	4,902,617
Dividends payable	488,378	467,693
Electronic payments system reconciliations	2,713,988	3,196,747
Card settlement accounts	13,381,457	11,398,830
Liabilities payment broker	890,182	6,839,593
Other liabilities	12,818,506	14,197,485
Total	**169,050,879**	**150,936,220**

Below is the movement of the indirect facilities on a collective basis during the year:

For the year ended 31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,395,440,964	-	53,928,063	-	2,876,548	1,452,245,575
New exposure during the year	957,383,014	-	88,968,497	-	33,545	1,046,385,056
Accrued exposure	(704,501,906)	-	(17,498,551)	-	(320,662)	(722,321,119)
Transferred to stage (1)	16,130,355	-	(15,447,355)	-	(683,000)	-
Transferred to stage (2)	(18,798,048)	-	18,878,542	-	(80,494)	-
Transferred to stage (3)	(647,317)	-	(2,120,300)	-	2,767,617	-
Effect on the exposure results change classification between stages	59,216	-	(109,346)	-	(85,489)	(135,619)
Changes resulted from adjustments	(94,400,159)	-	(3,754,792)	-	(2,700)	(98,157,651)
Balance at the end of the Year	**1,550,666,119**	**-**	**122,844,758**	**-**	**4,505,365**	**1,678,016,242**

For the year ended 31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	1,303,196,285	-	106,484,731	-	2,248,572	1,411,929,588
New exposure during the year	904,296,552	-	15,893,999	-	20,012	920,210,563
Accrued exposure	(789,546,331)	-	(52,990,946)	-	(744,646)	(843,281,923)
Transferred to stage (1)	11,438,049	-	(11,371,049)	-	(67,000)	-
Transferred to stage (2)	(2,668,261)	-	2,668,261	-	-	-
Transferred to stage (3)	(1,394,977)	-	(32,500)	-	1,427,477	-
Total impact on volume of exposures as a result of changing the classification between stages	(737,375)	-	(327,494)	-	(7,867)	(1,072,736)
Changes resulting from adjustments	(29,142,978)	-	(6,396,939)	-	-	(35,539,917)
Balance at the end of the Year	**1,395,440,964**	**-**	**53,928,063**	**-**	**2,876,548**	**1,452,245,575**

Below is the movement on the impairment loss for indirect facilities on a collective bases during the year:

For the year ended 31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	4,492,510	-	301,536	-	108,571	4,902,617
Expected credit loss on new exposures during the year	1,674,085	-	234,940	-	-	1,909,025
Recovered from the expected credit loss of the accrued exposures	(2,152,612)	-	(108,841)	-	-	(2,261,453)
Transferred to stage (1)	41,957	-	(32,957)	-	(9,000)	-
Transferred to stage (2)	(74,385)	-	97,330	-	(22,945)	-
Transferred to stage (3)	(2,498)	-	(5,902)	-	8,400	-
Total impact on volume of exposures as a result of changing the classification between stages	(28,003)	-	104,635	-	458,060	534,692
Changes resulting from adjustments	(841,309)	-	(106,217)	-	-	(947,526)
Balance at the end of the Year	**3,109,745**	**-**	**484,524**	**-**	**543,086**	**4,137,355**

For the year ended 31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	4,143,411	-	667,307	-	211,169	5,021,887
Expected credit loss on new exposures during the year	2,329,572	-	99,315	-	-	2,428,887
Recovered from the expected credit loss of the accrued exposures	(1,851,261)	-	(422,806)	-	(147,542)	(2,421,609)
Transferred to stage (1)	94,047	-	(94,047)	-	-	-
Transferred to stage (2)	(11,361)	-	11,361	-	-	-
Transferred to stage (3)	(566)	-	(811)	-	1,377	-
Total impact on volume of exposures as a result of changing the classification between stages	(44,566)	-	18,861	-	47,567	21,862
Changes resulting from adjustments	(166,766)	-	22,356	-	(4,000)	(148,410)
Balance at the end of the Year	**4,492,510**	**-**	**301,536**	**-**	**108,571**	**4,902,617**

The distribution of the total indirect facilities (guarantees) according to the Bank's internal credit ratings:

	31 December 2024						2023
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the Bank's internal system:							
1	59,250	-	-	-	-	59,250	8,000
2	15,875,163	-	-	-	-	15,875,163	27,573,841
3	50,384,300	-	-	-	-	50,384,300	50,936,634
4	40,758,562	-	4,707,006	-	-	45,465,568	25,608,870
5	37,715,927	-	2,500,318	-	-	40,216,245	43,213,555
6	21,051,683	-	4,751,026	-	-	25,802,709	21,308,359
7	12,524,369	-	8,218,148	-	-	20,742,517	18,117,217
8-10	-	-	-	-	3,913,306	3,913,306	2,595,817
Not rated	33,032,300	-	13,116,772	-	592,059	46,741,131	40,734,917
Total	**211,401,554**	**-**	**33,293,270**	**-**	**4,505,365**	**249,200,189**	**230,097,210**

Below is the movement on the indirect facilities- guarantees:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	208,619,066	-	18,601,596	-	2,876,548	230,097,210
New exposure during the year	73,532,948	-	8,622,602	-	33,545	82,189,095
Accrued exposure	(47,455,715)	-	(3,173,602)	-	(320,662)	(50,949,979)
Transferred to stage (1)	1,421,838	-	(738,838)	-	(683,000)	-
Transferred to stage (2)	(10,509,104)	-	10,589,598	-	(80,494)	-
Transferred to stage (3)	(561,828)	-	(2,120,300)	-	2,682,128	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(23,244)	-	1,904,470	-	-	1,881,226
Changes resulting from adjustments	(13,622,407)	-	(392,256)	-	(2,700)	(14,017,363)
Balance at the end of the Year	**211,401,554**	**-**	**33,293,270**	**-**	**4,505,365**	**249,200,189**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	197,996,383	-	21,876,438	-	2,248,572	222,121,393
New exposure during the year	68,500,167	-	4,872,192	-	20,012	73,392,371
Accrued exposure	(57,615,265)	-	(5,557,249)	-	(744,646)	(63,917,160)
Transferred to stage (1)	4,255,784	-	(4,188,784)	-	(67,000)	-
Transferred to stage (2)	(1,400,965)	-	1,400,965	-	-	-
Transferred to stage (3)	(1,394,590)	-	(32,500)	-	1,427,090	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(578,737)	-	(133,740)	-	(7,480)	(719,957)
Changes resulting from adjustments	(1,143,711)	-	364,274	-	-	(779,437)
Balance at the end of the Year	**208,619,066**	**-**	**18,601,596**	**-**	**2,876,548**	**230,097,210**

Below is the movement on the provision for the indirect facilities - guarantees:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	316,432	-	56,296	-	108,571	481,299
Expected credit loss on new exposures during the year	60,871	-	20,497	-	-	81,368
Recovered from the expected credit loss of the accrued exposures	(46,479)	-	(9,090)	-	-	(55,569)
Transferred to stage (1)	9,981	-	(981)	-	(9,000)	-
Transferred to stage (2)	(40,134)	-	63,079	-	(22,945)	-
Transferred to stage (3)	(499)	-	(5,902)	-	6,401	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(9,485)	-	73,857	-	460,059	524,431
Changes resulting from adjustments	(81,316)	-	(9,801)	-	-	(91,117)
Balance at the end of the Year	**209,371**	**-**	**187,955**	**-**	**543,086**	**940,412**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	360,763	-	169,336	-	211,169	741,268
Expected credit loss on new exposures during the year	61,665	-	22,271	-	-	83,936
Recovered from the expected credit loss of the accrued exposures	(54,025)	-	(40,196)	-	(147,542)	(241,763)
Transferred to stage (1)	37,875	-	(37,875)	-	-	-
Transferred to stage (2)	(1,297)	-	1,297	-	-	-
Transferred to stage (3)	(566)	-	(811)	-	1,377	-
Total impact - as of end of the year - on volume of exposures as a result of changing the classification between the three stages during the year	(30,589)	-	(52)	-	47,567	16,926
Changes resulting from adjustments	(57,394)	-	(57,674)	-	(4,000)	(119,068)
Balance at the end of the Year	**316,432**	**-**	**56,296**	**-**	**108,571**	**481,299**

The distribution of the total indirect facilities (unutilized limits) according to the Bank's internal credit ratings:

	31 December 2024						2023
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the bank's internal system:							
1	12,621,980	-	-	-	-	12,621,980	9,609,859
2	37,802,244	-	-	-	-	37,802,244	60,284,829
3	163,865,865	-	-	-	-	163,865,865	138,447,638
4	172,753,961	-	1,052,504	-	-	173,806,465	176,543,405
5	144,207,972	-	2,794,238	-	-	147,002,210	141,685,824
6	29,019,957	-	3,161,307	-	-	32,181,264	71,895,546
7	24,647,130	-	10,542,750	-	-	35,189,880	31,695,246
8-10	-	-	-	-	-	-	-
Not rated	114,199,626	-	13,505,805	-	-	127,705,431	79,333,478
Total	**699,118,735**	**-**	**31,056,604**	**-**	**-**	**730,175,339**	**709,495,825**

Below is the movement on the indirect facilities - unutilized limits

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	681,190,182	-	28,305,643	-	-	709,495,825
New exposure during the year	411,871,197	-	24,918,585	-	-	436,789,782
Accrued exposure	(342,800,985)	-	(7,695,457)	-	-	(350,496,442)
Transferred to stage (1)	14,708,517	-	(14,708,517)	-	-	-
Transferred to stage (2)	(3,749,586)	-	3,749,586	-	-	-
Transferred to stage (3)	(85,489)	-	-	-	85,489	-
Effect on the exposure results change classification between the three stages	82,460	-	(394,498)	-	(85,489)	(397,527)
Changes resulting from adjustments	(62,097,561)	-	(3,118,738)	-	-	(65,216,299)
Balance at the end of the Year	**699,118,735**	**-**	**31,056,604**	**-**	**-**	**730,175,339**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	609,241,051	-	45,447,332	-	-	654,688,383
New exposure during the year	378,575,417	-	6,013,329	-	-	384,588,746
Accrued exposure	(330,613,883)	-	(14,529,605)	-	-	(345,143,488)
Transferred to stage (1)	5,196,419	-	(5,196,419)	-	-	-
Transferred to stage (2)	(1,267,296)	-	1,267,296	-		-
Transferred to stage (3)	(387)	-	-	-	387	-
Effect on the exposure results change classification between the three stages	291,362	-	(193,754)	-	(387)	97,221
Changes resulting from adjustments	19,767,499	-	(4,502,536)	-		15,264,963
Balance at the end of the Year	**681,190,182**	**-**	**28,305,643**	**-**	**-**	**709,495,825**

Below is the movement on the provition for the indirect facilities - unutilized ceilings:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	3,979,251	-	243,538	-	-	4,222,789
Expected credit loss on new exposures during the year	1,450,101	-	93,511	-	-	1,543,612
Recovered from the expected credit loss of the accrued exposures	(1,977,944)	-	(98,049)	-	-	(2,075,993)
Transferred to stage (1)	31,976	-	(31,976)	-	-	-
Transferred to stage (2)	(31,806)	-	31,806	-	-	-
Transferred to stage (3)	(1,999)	-	-	-	1,999	-
Effect on the provision as a result of changing the classifications between the three stages during the period	(18,518)	-	31,700	-	(1,999)	11,183
Changes resulting from adjustments	(754,660)	-	(96,416)	-	-	(851,076)
Balance at the end of the Year	**2,676,401**	**-**	**174,114**	**-**	**-**	**2,850,515**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	3,518,047	-	435,951	-	-	3,953,998
Expected credit loss on new exposures during the year	2,083,451	-	75,342	-	-	2,158,793
Recovered from the expected credit loss of the accrued exposures	(1,555,596)	-	(323,065)	-	-	(1,878,661)
Transferred to stage (1)	53,731	-	(53,731)	-	-	-
Transferred to stage (2)	(10,064)	-	10,064	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as a result of changing the classifications between the three stages during the period	(12,014)	-	18,913	-	-	6,899
Changes resulting from adjustments	(98,304)	-	80,064	-	-	(18,240)
Balance at the end of the Year	**3,979,251**	**-**	**243,538**	**-**	**-**	**4,222,789**

The distribution of the total indirect facilities (letter of credits) according to the Bank's internal credit ratings:

	31 December 2024						2023
	Stage (1)		Stage (2)			Total	Total
	Individual	Collective	Individual	Collective	Stage (3)		
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the bank's internal system:							
1	8,824,869	-	-	-	-	8,824,869	500,314
2	103,491,285	-	-	-	-	103,491,285	44,131,211
3	71,703,745	-	-	-	-	71,703,745	57,293,112
4	160,803,420	-	2,979,633	-	-	163,783,053	163,681,546
5	13,627,966	-	2,201,154	-	-	15,829,120	25,188,372
6	10,488,897	-	332,375	-	-	10,821,272	9,746,432
7	1,514,551	-	9,695,328	-	-	11,209,879	2,117,576
8-10	-	-	-	-	-	-	-
Not rated	106,327,899	-	35,394,124	-	-	141,722,023	75,107,912
Total	**476,782,632**	**-**	**50,602,614**	**-**	**-**	**527,385,246**	**377,766,475**

Below is the movement on the indirect facilities - letters of credit:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	370,745,651	-	7,020,824	-	-	377,766,475
New exposure during the year	322,309,375	-	47,535,040	-	-	369,844,415
Accrued exposure	(195,443,800)	-	(6,629,492)	-	-	(202,073,292)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(4,539,358)	-	4,539,358	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the exposure results change classification between the three stages	-	-	(1,619,318)	-	-	(1,619,318)
Changes resulting from adjustments	(16,289,236)	-	(243,798)	-	-	(16,533,034)
Balance at the end of the Year	**476,782,632**	**-**	**50,602,614**	**-**	**-**	**527,385,246**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	310,326,179	-	16,566,773	-	-	326,892,952
New exposure during the year	338,256,361	-	5,008,478	-	-	343,264,839
Accrued exposure	(277,752,795)	-	(10,309,904)	-	-	(288,062,699)
Transferred to stage (1)	1,985,846	-	(1,985,846)	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the exposure results change classification between the three stages	(450,000)	-	-	-	-	(450,000)
Changes resulting from adjustments	(1,619,940)	-	(2,258,677)	-	-	(3,878,617)
Balance at the end of the Year	**370,745,651**	**-**	**7,020,824**	**-**	**-**	**377,766,475**

Below is the movement on the indirect facilities provision - letter of credit:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	129,852	-	1,702	-	-	131,554
Expected credit loss on new exposures during the year	83,304	-	100,149	-	-	183,453
Recovered from the expected credit loss of the accrued exposures	(61,233)	-	(1,702)	-	-	(62,935)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(2,445)	-	2,445	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as a result of changing the classifications between the three stages during the period	-	-	(922)	-	-	(922)
Changes resulting from adjustments	(5,326)	-	-	-	-	(5,326)
Balance at the end of the Year	**144,152**	**-**	**101,672**	**-**	**-**	**245,824**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	171,573	-	13,691	-	-	185,264
Expected credit loss on new exposures during the year	118,139	-	1,702	-	-	119,841
Recovered from the expected credit loss of the accrued exposures	(154,748)	-	(11,216)	-	-	(165,964)
Transferred to stage (1)	2,441	-	(2,441)	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as a result of changing the classifications between the three stages during the period	(1,963)	-	-	-	-	(1,963)
Changes resulting from adjustments	(5,590)	-	(34)	-	-	(5,624)
Balance at the end of the Year	**129,852**	**-**	**1,702**	**-**	**-**	**131,554**

The distribution of the total indirect facilities (acceptances) according to the Bank's internal credit ratings:

	31 December 2024						2023
	Stage (1)		Stage (2)				
	Individual	Collective	Individual	Collective	Stage (3)	Total	Total
	JD	JD	JD	JD	JD	JD	JD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	90,066,322	-	-	-	-	90,066,322	8,494,300
3	17,664,507	-	-	-	-	17,664,507	39,030,439
4	30,841,423	-	58,847	-	-	30,900,270	50,212,562
5	10,797,922	-	-	-	-	10,797,922	11,088,082
6	752,643	-	-	-	-	752,643	9,008,047
7	-	-	-	-	-	-	-
8-10	-	-	-	-	-	-	-
Not rated	13,240,381	-	7,833,423	-	-	21,073,804	17,052,635
Total	**163,363,198**	**-**	**7,892,270**	**-**	**-**	**171,255,468**	**134,886,065**

Below is the movement on the indirect facilities acceptances:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	134,886,065	-	-	-	-	134,886,065
New exposure during the year	149,669,494	-	7,892,270	-	-	157,561,764
Accrued exposure	(118,801,406)	-	-	-	-	(118,801,406)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the exposure results change classification between the three stages	-	-	-	-	-	-
Changes resulting from adjustments	(2,390,955)	-	-	-	-	(2,390,955)
Balance at the end of the Year	**163,363,198**	**-**	**7,892,270**	**-**	**-**	**171,255,468**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	185,632,672	-	22,594,188	-	-	208,226,860
New exposure during the year	118,964,607	-	-	-	-	118,964,607
Accrued exposure	(123,564,388)	-	(22,594,188)	-	-	(146,158,576)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the exposure results change classification between the three stages	-	-	-	-	-	-
Changes resulting from adjustments	(46,146,826)	-	-	-	-	(46,146,826)
Balance at the end of the Year	**134,886,065**	**-**	**-**	**-**	**-**	**134,886,065**

Below is the movement on the indirect facilities provision - Acceptance:

31 December 2024	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	66,975	-	-	-	-	66,975
Expected credit loss on new exposures during the year	79,809	-	20,783	-	-	100,592
Recovered from the expected credit loss of the accrued exposures	(66,956)	-	-	-	-	(66,956)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as a result of changing the classifications between the three stages during the period	-	-	-	-	-	-
Changes resulting from adjustments	(7)	-	-	-	-	(7)
Balance at the end of the Year	**79,821**	**-**	**20,783**	**-**	**-**	**100,604**

31 December 2023	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	93,028	-	48,329	-	-	141,357
Expected credit loss on new exposures during the year	66,317	-	-	-	-	66,317
Recovered from the expected credit loss of the accrued exposures	(86,892)	-	(48,329)	-	-	(135,221)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as a result of changing the classifications between the three stages during the period	-	-	-	-	-	-
Changes resulting from adjustments	(5,478)	-	-	-	-	(5,478)
Balance at the end of the Year	**66,975**	**-**	**-**	**-**	**-**	**66,975**

23. Paid-up Capital and Share Premium

Authorized and paid-in capital

The authorized and paid-in capital amounted to JD 200 million, divided into 200 million shares at a par value of JD 1 per share as of 31 December 2024, and JD 200 Million divided over 200 Million shares, where the par value per share was JD 1 as of 31 December 2023.

Share Premium

The share premium amounted to JD 68,213,173 as of 31 December 2024 (JD 68,213,173 as of 31 December 2023).

Dividends Paid

The dividends distributed to shareholders amounted to JD 20 million for the year 2023 (JD 16 million for the year 2022).

24. Perpetual Bonds

On October 3, 2023, the bank issued perpetual non-convertible bonds to shares worth USD 100 million. They were listed on the Amman Stock Exchange, where the nominal value of each bond was USD 10,000, with a total number of 10,000 bonds at a fixed interest rate of 8.5% for the first five years, and then a variable interest rate every three months. It is calculated based on the return on Treasury bonds issued by the United States government for a period of five years, plus a margin of 4.25%. These bonds were classified as an additional Tier 1 of regulatory capital in accordance with Basel III requirements.

The value of interest due on these bonds amounted to JD 3,798,704 as of 31 December 2024 (JD 934,107 as of 31 December 2023), reduced directly from retained earnings net of taxes.

25. Reserves

The details of the reserves as of 31 December 2024 and 2023 are as follows:

a. Statutory Reserve

This reserve represents amounts transferred from income before tax at a rate of 10% during the year and the prior years, and according to the Banking law, the statutory reserve is not available for distribution to shareholders.

b. Voluntary reserve

This reserve represents amounts transferred from the pre-tax profits at a rate not exceeding 20% during the year and the prior years. The voluntary reserve shall be utilized for the purposes determined by the Board of Directors and the General Assembly shall have the right to distribute it in whole or in part as dividends to the shareholders.

The restricted reserves are as follows:

Reserve Name	31 December		Regulation
	2024	2023	
	JD	JD	
Statutory reserve	94,105,047	85,321,596	According to the Bank regulatory authorities' regulations and companies' regulations.
Fair value reserve – net	1,315,151	2,693,754	According to the regulations of the Central Bank of Jordan and the Jordan Securities Commission.

26. Proposed Dividends and shares

The Board of Directors proposed in its meeting that was held on 9 February 2025, a recommendation to the General assembly of shareholders to approve the distribution of cash dividends amounted to JD 20 million at 10% of authorized and paid-in capital and is subject to the approval of the Central Bank of Jordan and the General Assembly of Shareholders.

27. Fair Value Reserve - Net

The details are as follows:

	31 December	
	2024	2023
	JD	JD
Balance at the beginning of the year	2,693,754	6,482,816
(losses) Unrealized gains	(586,575)	(4,448,787)
Deferred tax assets	(215,586)	215,586
Deferred tax liabilities	(670,284)	844,854
Losses (Gains) from sale of financial assets at fair value through other comprehensive income	93,842	(400,715)
Balance at the end of the Year	**1,315,151**	**2,693,754**

- The fair value reserve appears after netting the balance of deferred tax liabilities of JD 670,284 as of 31 December 2024 (after deducting of deferred tax assets of JD 215,586 as of 31 December 2023).

28. Retained Earnings

The movement on retained earnings is as follows:

	31 December	
	2024	2023
	JD	JD
Balance – beginning of the year	65,411,367	78,930,524
Profit for the year	42,309,640	47,137,256
Realized (loss) gain from sale of financial assets at fair value through other comprehensive income	(93,842)	400,715
Transferred to reserves	(13,990,573)	(15,073,872)
Capital increase	-	(28,000,000)
Dividends distributed	(20,000,000)	(16,000,000)
Capital increase fees	(150,113)	(250,150)
The effect of excluding a subsidiary company	102,946	-
Shares in subsidiaries	-	(435,765)
Perpetual bonds expenses after excluding the tax effect	(16,051)	(363,234)
Perpetual bond interest after excluding the tax effect	(3,798,704)	(934,107)
Balance – End of the Year	**69,774,670**	**65,411,367**

- Retained earnings includes an amount of JD 2,918,105 which represents gains from the differences on the revaluation of the financial assets at fair value through the statement of income as of 31 December 2024 (JD 2,174,784 as of 31 December 2023).
- Retained earnings includes a restricted amount of JD 44,985,503 as of 31 December 2024 (JD 37,180,506 as of 31 December 2023). which represents deferred tax assets after deducting part of deferred tax liabilities. According to the Central Bank of Jordan's instructions. this amount should not be used unless prior approval is obtained from the Central Bank of Jordan.

29. Provision for Expected Credit Losses - Net

The details are follows:

	31 December	
	2024	2023
	JD	JD
Balances at banks and financial institutions	315,281	(212,472)
Deposits at banks and financial institutions	8,019	408
Financial assets at fair value through other comprehensive income	64,447	-
Financial assets at amortized costs	(294,850)	(37,607)
Direct credit facilities and financing	69,325,325	42,289,636
Contingent liabilities and commitments	(765,262)	(119,270)
	68,652,960	**41,920,695**

30. Subsidiaries with material non-controlling interests

First: Percentage owned by non-controlling interests

31 December 2024

Company's Name	Country of residence	Non-controlling ownership Percentage	Activity Nature	Distributions
				JD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	60.16%	Provides all financial, banking and investment services according to Islamic Sharia.	-
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks. bonds and shares.	-

31 December 2023

Company's Name	Country of residence	Non-controlling ownership Percentage	Activity Nature	Distributions
				JD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	60.16%	Provides all financial, banking and investment services according to Islamic Sharia.	-
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks. bonds and shares.	-

Second: The following is selected financial information for subsidiaries with material non-controlling interests

a. Condensed statement of financial position before the elimination of inter-company transactions and after reclassification for some items:

	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)
	31 December 2024	31 December 2023
	JD	JD
Financial assets	3,420,717,509	2,838,930,921
Other assets	106,552,150	80,410,457
Total assets	**3,527,269,659**	**2,919,341,378**
Financial Liabilities	3,213,857,637	2,634,666,551
Other Liabilities	103,908,347	95,365,087
Total Liabilities	**3,317,765,984**	**2,730,031,638**
Equity	209,503,675	189,309,740
Total Liabilities and Equity	3,527,269,659	2,919,341,378
Equity attributed to non-controlling interests	125,501,149	113,265,019
Non-Controlling Interest Share at Al Etihad Islamic for Investment Company	623,852	623,852
Total non-controlling interests	**126,125,001**	**113,888,871**

b. Condensed statement of income before the elimination of inter-company transactions:

	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)	Safwa Islamic Bank (Al Etihad Islamic for Investment Company)
	31 December 2024	31 December 2023
	JD	JD
Gross Income	103,352,028	77,984,186
Profit for the year	20,224,911	17,510,246
Total Comprehensive Income	20,344,048	17,505,399
Attributable to non-controlling interests	12,318,974	10,600,081
Non-controlling interests share in profits (losses) of Al Etihad Islamic for Investment Company	(2,311)	(3,284)
Non-Controlling Interests	12,316,663	10,596,797

31. Interest Income

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Direct Credit Facilities and Financing		
Individual (retail)		
Overdraft accounts	172,240	153,082
Loans and discounted bills	102,236,461	94,151,682
Credit cards	5,092,906	3,502,304
Real estate Loans	104,684,368	91,318,244
Large corporates		
Overdraft accounts	5,697,151	6,325,218
Loans and discounted bills	87,172,850	89,055,381
SME's		
Overdraft accounts	2,672,781	2,578,506
Loans and discounted bills	18,697,110	16,334,180
Government and Public Sector	30,920,995	28,080,113
Balances at the Central Bank	15,248,655	15,607,450
Balances and deposits at banks and financial institutions	16,943,055	9,358,207
Financial assets at fair value through statement of income	261,879	217,354
Financial assets at fair value through other comprehensive income	736,723	-
Financial assets at amortized cost	98,864,897	71,562,128
Others	1,538,930	2,142,734
	490,941,001	**430,386,583**

32. Interest Expense

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Banks and financial institutions deposits	10,585,611	9,300,363
Customers' deposits:		
Current accounts and demand deposits	8,419,068	7,668,446
Saving deposits	7,436,974	6,688,041
Term and notice deposits	160,765,670	144,217,464
Certificates of deposit	40,466,337	27,862,637
Cash margins	5,483,686	4,866,706
Borrowed funds	6,133,382	3,586,276
Subordinated loans	7,335,599	6,673,091
Deposits Insurance Corporation's fees	7,397,418	6,624,326
	254,023,745	**217,487,350**

33. Net Commission Income

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Direct credit facilities and financing commissions	6,046,420	3,653,370
Indirect credit facilities and financing commissions	17,988,829	14,878,771
Other	19,276,949	16,787,345
Less: Commission expense	(2,135,166)	(2,972,200)
Net Commission Income	**41,177,032**	**32,347,286**

34. Gains from Foreign Currencies

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Resulting from dealings / tradings	11,858,225	9,538,585
Resulting from valuations	5,789,534	4,238,001
	17,647,759	**13,776,586**

35. Gains from Financial Assets at Fair Value through Statement of Income

The details of this item are as follows:

31 December 2024	Gains Realized	Gains Unrealized	Dividends income	Total
	JD	JD	JD	JD
Treasury bills and bonds	61,344	(27,016)	-	34,328
Corporate shares	1,833,642	(93,957)	258,583	1,998,268
Financial derivatives	(81,928)	-	-	(81,928)
Investment funds	(10,069)	577,470	7,279	574,680
	1,802,989	**456,497**	**265,862**	**2,525,348**

31 December 2023	Gains Realized	Gains Unrealized	Dividends income	Total
	JD	JD	JD	JD
Treasury bills and bonds	299,224	79,409	-	378,633
Corporate shares	539,063	335,184	146,028	1,020,275
Financial derivatives	(83,600)	(19,700)	-	(103,300)
Investment funds	(18,463)	636,602	1,868	620,007
	736,224	**1,031,495**	**147,896**	**1,915,615**

36. Dividends from Financial Assets at Fair Value through other Comprehensive Income

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Dividends from stock investments	657,305	1,157,134
Dividends from investment fund distributions	69,520	5,019
	726,825	**1,162,153**

37. Other Income

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Gain on sale of property and equipment	2,326,104	-
Safety deposits boxes rental	273,820	238,510
Bonded revenue	150,557	254,165
Net income from recovered bad debts	143,215	544,020
Dormant accounts	119,009	115,721
Income from sale of seized assets	5,288	-
Other income	728,429	248,978
	3,746,422	**1,401,394**

38. Employees' Expenses

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Salaries. benefits and allowances	49,402,456	46,365,376
Bank's contribution to social security	5,149,228	4,837,288
Bank's contribution to saving fund	2,070,118	1,955,346
Medical expenses	2,774,133	2,360,530
Per diems	644,792	533,753
Training expenses	961,934	936,810
Uniforms	7,063	29,454
Advertising and marketing incentives	5,696,017	5,725,388
Employees' life insurance expense	186,644	199,678
Others	-	250
	66,892,385	**62,943,873**

39. Other Expenses

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Postage. telephone telex and reutters	5,260,463	4,303,832
Stationery and printing	1,654,795	1,569,273
Water. electricity and fuel expense	1,513,604	1,434,214
Maintenance of machines and equipment	19,917,801	15,726,460
Insurance expenses on the Bank's assets and activities	2,608,928	2,709,758
Lawyer. auditing. maintenance. programs and consulting fees	4,681,023	3,089,129
Govermental Fees and professional licenses	2,069,281	1,846,499
Loss from disposal of property and equipment	-	32,116
Board of Directors' transportations and allowances	1,656,152	1,601,405
Advertising	8,580,694	7,634,068
Donations and subscriptions	2,961,233	4,649,790
Board of Directors' remuneration	4,940,508	109,996
Loss from disposal of owned assets	-	11,489
Others	3,400,314	2,248,810
	59,244,796	**46,966,839**

40. Basic and diluted earings per share for the period attributable to the Bank's shareholders

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Profit for the year	42,309,640	47,137,256
Weighted average number of shares	200,000,000	200,000,000
Earnings per share attributable to the Bank's shareholders:		
Basic and diluted	**0.212**	**0.236**

- The weighted average number of shares per share of profit attributable to the bank's shareholders was calculated based on the number of shares as of 31 December 2024 and 2023. the figures for the year ended 31 December 2023 were calculated for the average profit. For the number of shares after taking into account the share dividends being free.

41. Cash and Cash Equivalents

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Balances at central banks due within 3 months	912,773,898	736,205,982
Add: Balances at banks and financial institutions due within 3 months	488,095,716	372,011,885
Less: Banks and financial institutions deposit due within 3 months	(287,288,463)	(261,750,220)
Less: Restricted balances	(19,620,255)	(15,526,690)
	1,093,960,896	**830,940,957**

42. Derivatives

The following table shows the positive and negative fair value for the financial derivatives along with the distribution of their nominal value based on their maturities.

31 December 2024	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JD	JD	JD	JD	JD	JD	JD
Customers' commitments against purchased forward agreements	2,117	336,411	12,382,407	6,776,911	5,605,496	-	-
Banks' commitments against purchased forward agreements	772,318	928,704	115,337,594	109,644,918	5,692,676	-	-
	774,435	**1,265,115**	**127,720,001**	**116,421,829**	**11,298,172**	**-**	**-**

31 December 2023	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JD	JD	JD	JD	JD	JD	JD
Customers' commitments against purchased forward agreements	33,935	31,688	9,145,986	7,984,995	1,160,991	-	-
Banks' commitments against purchased forward agreements	116,584	181,052	53,357,562	51,852,717	1,504,845	-	-
	150,519	**212,740**	**62,503,548**	**59,837,712**	**2,665,836**	**-**	**-**

- Nominal value represents the value of transactions outstanding at year-end and does not refer to market risks or credit risks.

43. Related Party Transactions and Balances

The accompanying consolidated financial statements include the financial statements of the Bank and the following subsidiaries:

Company's Name	Ownership	The Company's Capital	
		2024	2023
	%	JD	JD
Al Etihad Islamic for Investment Company LLC.	58	113,039,028	113,039,028
Safwa Islamic Bank	39.84	120,000,000	100,000,000
Al- Etihad for Financial Brokerage Co. Ltd	100	5,000,000	5,000,000
Al- Etihad for Financial Leasing Co.	100	12,000,000	12,000,000
Al- Etihad for Financial Technology (under liquidation)	100	-	100,000
Bank al Etihad - Iraq Branch	100	35,450,000	35,450,000

The balances and transactions between the Bank and its subsidiaries and the foreign branch have been eliminated.

The Group entered into transactions with major shareholders. directors. senior management in the ordinary course of business at commercial interest and commission rates.

All the credit facilities granted to related parties are performing. and no provisions have been taken for:

The details of this item are as follows:

	Related Party				Total	
	Board of Directors	Executive management members and Major Shareholders	Subsidiaries	Others (Executive Management of the Bank and Related Parties)	2024	2023
	JD	JD	JD	JD	JD	JD
On- Consolidated Statement of Financial Position Items:						
Direct credit facilities and financing	2,759,563	3,779,682	1,454,292	71,039,647	79,033,184	65,354,966
Deposits	179,471,247	5,201,334	17,273,616	20,100,537	222,046,734	209,604,862
Deposits at banks and financial institutions	-	-	987,046	-	987,046	1,636,036
Intangible assets	-	-	-	-	-	2,211,755
Off- Consolidated Statement of Financial Position Items:						
Letter of credits	-	-	-	4,571,338	4,571,338	627,513
Acceptance	-	-	431,540	102,459	533,999	4,043,519
Letter of guarantee	10,000	-	1,396,670	11,000,940	12,407,610	9,234,720
					For the Year Ended 31 December	
					2024	2023
					JD	JD
Consolidated Statement of income Items						
Interests. returns. and commissions income	150,891	96,786	220,686	5,815,865	6,284,228	5,397,742
Interests. returns. and commissions expense	9,254,904	176,022	823,946	1,094,270	11,349,142	9,486,397
Software maintenance expenses	-	-	-	-	-	163,081

- The interest income rates on credit facilities range from 2% to 17%. and interest expense rates on customers' deposits range from 0.25% to 6.85%.

Below is a summary of the remunerations for the Bank's executive management:

	2024	2023
	JD	JD
Salaries and bonuses of the Executive Management	6,325,911	6,545,192
Board of Directors' transportation and allowances	6,554,248	1,633,766
Total	**12,880,159**	**8,178,958**

44. Right-of-Use Assets/ Lease Liabilities

A. Right-of-use assets - net

The Bank leases many assets including land and buildings. and the average lease term is 11 years.

Below is the movement on the right-of-use assets during the year:

	For the Year Ended 31 December	
	2024	2023
	JD	JD
Beginning balance	30,438,070	29,461,656
Add: Additions during the year	4,359,532	6,097,366
less: Disposal during the year	(187,227)	(545,382)
Less: Amortization for the year	(4,774,421)	(4,575,570)
Balance at the end of the Year	**29,835,954**	**30,438,070**

Amounts recorded in the Statement of Income

	For the Year Ended 31 December	
	2024	2023
	JD	JD
Amortization of right of use assets	(4,774,421)	(4,575,570)
Lease liabilities finance cost	(1,220,926)	(1,240,261)
Lease expense during the year	-	(810,851)
Gain from the derecognition of right-of-use assets	-	4,566

B. Lease Liabilities

	For the Year Ended 31 December	
	2024	2023
	JD	JD
Beginning balance	31,098,416	29,680,581
Add: Additions during the year	4,359,532	6,097,366
Interest during the year	1,220,926	1,240,261
Less: Disposal during the year	(187,227)	(549,948)
Paid during the year	(5,662,786)	(5,369,844)
Balance at the end of the Year	**30,828,861**	**31,098,416**

* Including interest of JD 337,725 (JD 361,996 As of 31 December 2023).

Analysis of the accrual of lease liabilities:

	For the Year Ended 31 December	
	2024	2023
	JD	JD
Less than one year	2,754,056	2,353,829
From 1 year to 5 years	11,043,635	9,687,436
More than 5 years	17,031,170	19,057,151
	30,828,861	**31,098,416**

The undiscounted lease liabilities amounted to JD 36,128,203 as of 31 December 2024 (JD 37,779,860 as of 31 December 2023). The following is the analysis of the maturity:

	For the Year Ended 31 December	
	2024	2023
	JD	JD
Less than one year	3,540,418	3,141,180
From 1 year to 5 years	13,259,468	12,082,566
More than 5 years	19,328,317	22,556,114
	36,128,203	**37,779,860**

45. Risk Management

The Bank continuously develops the risk management structure to ensure effective management of all of its operations, the efficiency of the risk management process, and proper application of the regulatory controls across all of the Bank's operations.

The risk management responsibility is allocated across various levels as summarized below:

1. Business Units:

The Business units comprise of employees who, through thier nature of work, manage the various risks associated with the Bank's operations in line with the acceptable risk appetite as determined by the Bank and specified in its policies.

To ensure efficient risk management, the Bank fully separates the functions of the business units from those of risk management. For example, credit underwriting and credit administration function is completely independent from Customer Relations Management (CRM) within the business units. This ensures the integrity of credit decisions, and higher efficiency. In addition, the Middle Office operates under the umbrella of market risk, independent from the treasury.

2. Risk Management

This department operates independently from all business units. It reports to the Board of Directors through the Risk Management Committee to ensure its independence and ability to detect, measure, govern, and monitor risks within acceptable risk appetite as determined by the Bank; as well as submit periodic reports to the Board of Directors in this regard.

3. Internal Audit:

The Internal Audit Department is fully independent and directly reports to the Board Audit Committee. The Department functions as the last line of defense through implementing an audit plan that includes periodic audits of all the Bank's activities to ensure the detection of any violations of systems and noncompliance with the Banks' policies and procedures or the supervisors' regulations.

4. Risk Management Committee:

The Board of Directors endorsed the Risk Management Committee as stipulated in it's charter, which has been drafted in accordance with best risk management practices and CBJ requirements. The Committee comprises of Board members and the Chief Risk Officer. All reports prepared by the Risk Management Department are submitted to the Committee periodically to ensure that the Committee's members are well informed of all risks in a timely manner. This enables the committee members to make decisions, and take measures to mitigate risks that are not in line with the established risk appetite, and submit reports to the Board in this regard.

5. Board of Directors:

The Board of Directors has the following responsibilities with regard to risk management:

- Determining the acceptable risk levels for the Bank's various activities.
- Reviewing and approving the various risk policies.
- Monitoring risks and ensuring that necessary controls are in place through the Risk Management Committee.
- Delegating authority related to the approval, amendment, and renewal of credit to the credit committees while reviewing their performance and the validity of their decisions, a matter which would reflect on the quality of the credit portfolio.
- Set the investments policies and decisions and approving investment transactions and dealing limits.
- Receiving reports as necessary and appropriate on climate change risks, overseeing progress in sustainability, and ensuring the integration of environmental and social risk management strategies with the bank's overall business strategies. Additionally, supervising annual reports related to sustainability, environmental and social risks, and their financing opportunities, while ensuring the bank's compliance with the Central Bank's green finance strategy and the Amman Stock Exchange's regulations on annual sustainability reporting, including disclosures on climate change risks and assumptions.

6. Assets and Liabilities Management Committee:

The Assets and Liabilities Management Committee comprises of the CEO as President and the Head of Business units, Head of Finance and Head of Risk as members. The Committee reviews the statement of financial position and recommends any amendments thereto, in addition to approving the liquidity and market risk management principles. Moreover, the Committee reviews the policies related to these risks, recommends their approval by the Board, and studies the various risk reports in order to take any necessary decisions related to amending the acceptable risks levels by the Bank.

The Committee also recommends to the Board the allocation of capital for the various activities of the Bank in a manner that ensures that the use of capital is optimized.

A. Credit risks:

Credit risks are controlled within acceptable risk levels by the Bank through the following:

1. Credit Policy: This policy accurately determines the general guidelines for credit underwriting, levels of acceptable credit risks, and basis used for establishing credit risk pricing and acceptable collateral. In addition, the policy outlines the monitoring activities over creditand ensure early detection of credit quality deterioration of the portfolio.
2. Training and Development: The continuous training and development of all credit staff and managers ensures better understanding of the client's business activity and needs, the fostering of expertise in credit analysis, and a better understanding of risks when taking credit decisions ; as well as ensuring the effective management of portfolios.
3. Authority to Grant Credit: Credit applications are approved by specialized credit committees which are appointed and granted authorities by the Board of Directors.
4. Credit Risk Measurement: The Bank put in place, a credit rating system for corporate and medium-size companies. In addition, the Bank implements a scorecards framework for retail products as a basis for underwriting and cross-selling of retail customers and small institutions.
5. Internal Valuation for Capital Adequacy: The Bank developed a model to measure capital adequacy based on a 5-year data forecast to calculate the potential capital requirements and the effect of stress testing on the Bank's capital adequacy, profitability, and liquidity.
6. Credit Risk Monitoring: A specialized unit within the Risk Managment Department monitors the credit portfolio and prepares the relevant reports.

   Through the early credit risk warning system, the Risk Management Department examines any indicators that may signal the deterioration of the risk profile of a customer. Such indicators include customer's transactions, financial performance, and the risk of their economic sectors, in addition to indicators related to the performance of the client's account at the Bank. This system allows the bank to detect, early on, any deterioration in the performance of the account and enables to the bank to take necessary measures to reduce any possible losses that may result from that and to ensure the adequacy of the allocations allocated to these accounts.

7. Credit Portfolio Management: All departments concerned with credit continuously review the credit portfolio to maintain a good level of credit exposure quality.

   In managing the portfolio, efforts are made to ensure that the portfolio is diversified to avoid any concentration that could lead to an increase in the risk level of the portfolio. In this regard, the sectoral and the geographical distribution of the portfolio are monitored, in addition single borrower and related parties exposures are monitered and reported in addition to avoiding large credit exposures for a single customer except in exceptional cases and for discerning clients.
8. Credit Risk Mitigation: As a basic step to hedge credit risk, cash flows of financed projects are taken into account when determining the structure of facilities and payment schedules for any facilities granted to clients and the necessary controls to control these cash flows for use for repayment, as well as obtaining collaterals as stipulated in the credit policy, taking into account the quality and liquidity collaterals, in addition to the efficient application of procedures that ensure proper control of these guarantees and control their value and the ease of monetization where necessary.

B. Operational risks

Operational risk is defined as the risk of loss resulting from failure or inadequacy of internal processes, people or systems, or resulting from an external source (event). This definition includes legal risks and risks related to regulatory authorities.

The Operational Risk Policy covers the role of Operational Risk Management in how we identify, evaluate (periodically), monitor and control operational risks, and comply with all relevant regulatory requirements, to limit some or all of the negative impacts resulting from these risks. It relied on more than one methodology to manage these risks, the first of which is implementing a system for self-evaluation of control procedures (CRSA), by identifying the risks specific to each department and/or unit and evaluating the control procedures to identify weak points and measuring the level of effectiveness of the current control procedures, as these procedures are examined. Self-reporting on a regular basis and submitting reports on the results to the sector management and senior management at the bank. The evaluation of control procedures aims to verify the effectiveness and efficiency of these procedures so that weak control procedures are improved or new control procedures are established aimed at preventing risks or mitigating their severity. Operational Risk Management also builds key risk indicators that will enhance the risk monitoring mechanism as it is an early warning tool that enables decision makers to identify undesirable events and potential losses before they occur.

In addition to building a database on monetary losses resulting from operational risks in order to evaluate the extent of exposure facing the bank to operational risks in addition to the effectiveness of the applied control procedures. Note that the bank's operational risk management process does not aim to design systems that eliminate all potential operational risks, but rather to understand the financial effects - and any other possible effects - of these risks and develop systems and control procedures that would (if they continue to operate) keep the losses (The potential effects of these risks are within acceptable levels).

C. Information security risks

Information security risk management is based on the use of means, tools and procedures and following international standards to ensure the protection of information from internal and external risks, to prevent the information from reaching unauthorized persons, to maintain the confidentiality and integrity of the information, and to ensure its availability and the continuity of the systems supporting it.

For this reason, Bank Al Etihad has provided qualified personnel and the necessary resources to protect information security and cybersecurity from security breaches, based on best international practices and standards for protecting bank and customer information, with a plan for business continuity during disasters and crises to ensure the continuation of the bank's business and the provision of all services provided to all its customers at all times.

Stress testing

The objectives of stress testing are to determine the negative stress events that could face the bank and its business, and measure their impact on the bank's solvency, liquidity and reputation. Also, stress testing will idetify the areas of weaknesses that the bank could face as a result of these negative stress events and allow the board of directors and executive management, to develop a strategic plan to reduce its impact and confronting them when they occur or avoid them. The stress test process aims to improve and enhance the sound management of the bank's risks, in addition to complying with the instructions of the regulatory authorities issued in this regard, and international best practices.

Choosing the stress testing scenarios

Stress scenarios that cover all possible risks encountered by the Bank are selected. The impact of stressful scenarios are assessed on different bank portfolios, and on Profit and Loss, Capital Adequacy Ratio and other regulatory limits, as follows:

1. Measuring the effect of stress scenarios on the Bank's credit portfolio concerning the increase in the percentage of non-performing loans due to many factors, including concentration in granting credits, deterioration of the economic sectors due to financial crises, quality of the credit portfolio, decrease in the value of collaterals, and other factors. The impact of these stress scenarios on income statement, Balance sheet, and capital adequacy ratios.
2. Measuring the effect of stress situations on the Bank's investments in terms of liquidity and change in the market prices such as Interest Rates, Foreign Exhchange rate etc. The impact of these risk scenarios is assessed on the income statement, statement of financial position, and capital adequacy ratios.
3. Measuring the effect of stress scenarios on the Bank's assets and liabilities in the event of depreciation or apperciation of local currency against foreign currencies.
4. Measuring the effect of stress scenarios on the Bank's liquidity due to several factors, including the loss of the bank's investments in deposits with correspondent banks, the concentration of customer's deposits and deposits from banks held with us, extensive deposits withdrawals, fluctuations in the exchange rate of the dinar against foreign currencies, and other factors. The effect of these risk scenarios is calculated on the legal liquidity ratio and on liquidity according to the maturity ladder.
5. Measuring the effect of stress on the Bank's operational risks. The impact of this risk scenario is assessed on the capital adequacy ratio.

Based on the results of these tests, contingency and recovery plans are established to face financial and economic crises should they arise. Furthermore, risk mitigation tools are implemented, such as hedging and risk transfer strategies and minimum accepted collaterals limits, and what corresponds to the results of stress tests.

Governance of the Application of Stress-testing Situations:

Responsibility of the Board of Directors:

1. Reviewing the results of the stress tests of the bank on a semi-annual basis (every six months), in order to direct the bank to take measures and/or enforce controls accordingly.
2. Ensuring that the executive management complies by the plans and policies prepared to face any stress scenarios as it arises.
3. Verifying that the Risk Management Department is performing stress tests periodically and that the Board has a major role in approving the underlying assumptions and scenarios, test results analysis, and endorsing the actions to be taken based on these results.

Executive Management's Responsibility

1. Making the right recommendations, based on the stress-testing results, and reporting them to the Board of Directors.
2. Implementing the decisions of the Board of Directors related to the Bank's stress testing results, in addition to informing the Board about these results.
3. Implementing and controlling stress testing, in compliance with the methodology approved by the Board of Directors.
4. Taking the stress testing results into consideration when planning capital with the aim of reaching the capital that matches the Bank's strategy and risk structure, in addition to taking the results into consideration while performing (ICAAP).
5. Ensuring full cooperation among the Bank's different departments through coordianting with the Risk Management Department to come up with the closest real world stress testing results that the Bank might be prone to as a result of the local and international financial and economic circumstances.

The Bank's Definition for Applying Default and the Mechanism for Processing Default:

The group is committed to the instructions of the regulatory authorities and best practices in the banking sector with regard to the application of default and the mechanism for dealing with bad debts.

Non-performing facilities are defined as those facilities that carry high levels of risk or needs supervision, and the following is a brief description of these statuses:

Watch List:

Borrower with no assured profits and extremely unstable operational revenues. The obligors' assets are witnessing a decrease in their value, coupled with an increase in doubtful debts without sufficient collaterals. Meanwhile, his exposure is constantly increasing and is greater than the accepted standards in his sector. In addition, the management and controls are weak. Debts classified as watch list will remain as such for a period of time under this rating to be monitored, so that their credit rating is improved in case the data that led to their classification under watch list will change or their credit rating downgraded.

Substandard:

Borrower is considered non-performing. Where Recovering the granted credit facilities based on the client's operational revenues is questionable, and their assets are not protected at an acceptable degree by net equity. In addition, the borrower's ability to commit to financial obligations or provide additional collaterals is weak. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

Doubtful:

The Bank's chances of recovering the debts granted to the borrower is doubtful, and part of the principal is likely to be lost under the given circumstances that demonstrate the borrower's inability to fulfill their obligations towards the Bank. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

Loss:

It is probable that part of the granted amount will be recovered in the future, and the Bank is still not fully convinced that recovery is unlikely. This matter does not encourage the Bank to irrevocably write off the debt, or cease the recovery process. The facilities classified under this level require special provision according to the instructions of the Central Bank of Jordan.

General Guildlines for dealing with default:

- Proposed rescheduling arangements are based on the client's ability to commit to it's financial obligations, as the Bank's aim is not only to improve the credit portfolio classification, but to also recover the loan amount granted to the client.
- While rescheduling debt repayment, a study of the borrower's cash flows must be conducted, especially if the borrower has liabilities towards creditors other than the Bank. This entails studying the borrower's cash flows, current guarantees, and any other extra assets that can be liquidated as an extra source for the repayment, or as an additional guarantee to mitigate the client's credit risk. Other aspects of the client are also studied, including the client's ability to manage the facilities, and validity of the legal documents and contracts in the Bank's possession, to ensure that they maintain the Bank's rights in case legal actions are taken against the borrower.
- In case the client commits to their repayment schedule for a period of not less than 3 months, the account classification is upgraded to a performing status.

Internal Credit Classification System:

The Bank adopts an internal risk rating system to calculate the Risk Rating of Corporate and SMEs clients. The aim of this system is to asses credit risks at client and facility level. For each borrower a risk grade from 1-10 is calculated, where risk grade (1) is the least risky, The calculation of Obligor and facility risk rating is the responsibility if the credit department.

When implementing this system, the following matters can be ensured:

- The ability to maintain a high asset quality, monitor the portfolio's quality, and identify effective plans and future strategies for managing credit risks.
- Linking credit quality, performance efficiency and pricing.
- Determining the authority level for granting and/or renewing the credit limits.

The following table shows the building blocks of the Risk Grade:

Indicator	Indicator's nature
Financial items	Quantitative
Management	Qualitative
Corporate	Qualitative
Economic sector	Qualitative

In order to calculate the Risk Rating, financial statements for 3 years and information about the economic sectors performance should be submitted, accordingly obligors are classified as follows:

Risk level	Risk rank
Excellent	1
Strong	2+ to 2-
Good	3+ to 3-
Satisfactory	4+ to 4-
Adequate	5+ to 5-
Marginal	7+ to 6-
Watch List	7 and 7-
Non-performing	8 to 10

Mechanism Used to Calculate the Expected Credit Losses on the Financial Instruments for Each Item Separately

Expected credit losses are calculated on an individual basis on the system that is implemented by the Bank based on parameterized models and methodologies adopted by the Board of Directors and approved by the external auditor in the preparation of interim and year-end financial statements.

a. Probability of Default (PD)

The probability of default is measured for the purpose of calculating the expected credit losses in accordance with IFRS9 through using statistical models based on historical default data, credit exposure classification, and stressed and forecasted macroeconomic trends for corporates and SME's portfolio. As for the retail facilities portfolio, statistical models have been adopted based on the product characteristics and the client's credit behavior.

Under IFRS (9) all credit exposures and debt instruments that are listed under stage (1), are assigned a 12 month Probability of default. As for the credit exposures under Stage 2, the probability of default on a credit exposures is taken into consideration over the lifetime of the exposure.

b. Loss Given Default (LGD) (Guarantees/Risk mitigators)

When calculating the loss given default (LGD), the collaterals pledged against granting the credit exposure are evaluated. Moreover, only collaterals classified as risk mitigants are taken into account (legally documented within credit contracts, while nothing precludes the Bank from reaching the collateral) for the purpose of calculating the repayable amount of the credit exposure after applying haircuts as stipulated in CBJ Debt Classification Instructions No. (47/2009). In addition, LGDs are applied on the uncovered portion of the credit exposure. The LGD estimates are based on historical data related to recoveries upon liquidation as a result of execution on the guarantee due to default, taking into account the time dimension.

c. Exposure at Default (EAD)

When calculating Exposure at Default (EAD), the outstanding amount and type of debt instrument that will be utilized by the debotr will be taken into consideration when calculating the expected credit loss to each stage from International financial reporting standard (9) stages. The exploitation factor is calculated after conducting a study on the withdrawal ratios and the historical exploitations of currencies and different types of debt.

Furthermore, indirect credit exposures (non-financed) are considered on-balance credit exposures on which expected credit loss is calculated. Their probability of default is calculated as well based on historical default and probabilities of withdrawal.

d. Time Value of Money

The expected credit loss is calculated by using the time value and Effective interest rate (EIR) as a discounting factor.

Governance of applying the requirements of the International Financial Reporting Standard, including the responsibilities of management and executive management, to ensure compliance with the regulatory requirements and applying the international standard.

The Board of Directors:

The Board of Directors will overreview the process and results of calculating provisions according to the international standard in order to make decisions that are consistent with these results and ensure that the executive management adheres to the processes and policies set for the adequacy of provisions. An approved policy that identifies exceptional and justified cases in which the results and outputs of the system are modified and that An independent body shall be determined to be the authority to make the exception or amendment decision and these cases shall be presented to the board for approval.

Risk Committee

The Risk Committee oversees the process of calculating provisions according to international standards and ensures the following:

- Ensuring that provisions cover expected credit losses.
- The capital adequacy ratio is maintained at the required level and does not fall below the permissible limit.
- The pricing mechanism covers the costs of provisions.

Audit Committee

The provision calculation results according to the international standard are submitted to the Audit Committee, which verifies the adequacy of the Bank's coverage of the expected credit loss in all of the Bank's financial statements.

Executive Management

The senior management demonstrates and presents the risks when pricing credit exposure. Appropriate policies and procedures are implemented and updated to communicate regarding the credit risk assessment process and the measurement process to all relevant individuals.

Executive Management is responsible for implementing the reliable credit risk strategies approved by the Board of Directors and for developing the policies and procedures stated above.

Risk Management Department

The Risk Management Department ensures that the provisions adequately cover credit exposures. Ensure that the process and outputs of the system are fairly presented. The results are presented to the Board of Directors, the Risk Committee and Executive Management.

Rescheduled Loans:

These represent loans previously classified under within Stage (3) in accordance with rescheduling principles. These loans amounted to JD 49,230,731 as of 31 December 2024 (JD 43,269,782 as of 31 December 2023).

Restructured Loans:

Restructuring is the rearranging credit obligations in terms of adjusting installments, extending the tenor of the facility, postponing installments, or extending the grace period. These loans amounted to JD 346,668,983 during the year 2024 (JD 279,310,336 during the year 2023).

Debt Securities and Treasury Bills:

The Schedule below shows the distribution of bonds according to the rating agencies classification:

Rating grade	Rating Institution	Within financial assets at fair value through statement of income 2024	Within financial assets amortized cost 2024	Within financial assets at fair value through other comprehensive income 2024	Total 2024	Total 2023
		JD	JD	JD	JD	JD
AA+	S&P	-	58,587,014	-	58,587,014	83,081,434
AA-	S&P	-	52,286,326	13,716,361	66,002,687	16,225,186
A+	S&P	-	21,355,413	-	21,355,413	35,478,241
A	S&P	-	62,570,346	6,446,591	69,016,937	42,555,329
A-	S&P	-	26,191,541	710,427	26,901,968	29,213,225
AAA	S&P	-	14,411,923	-	14,411,923	-
BBB+	S&P	-	16,065,429	-	16,065,429	18,238,621
BBB	S&P	-	16,379,941	-	16,379,941	24,740,754
BBB-	S&P	-	10,790,963	15,704,827	26,495,790	7,211,535
BB+	S&P	1,220,338	3,531,495	8,873,229	13,625,062	8,149,771
BB-	S&P	-	-	-	-	1,266,326
BB	S&P	-	2,202,875	-	2,202,875	7,784,886
B+	S&P	2,595,510	5,159,771	-	7,755,281	9,705,226
B-	S&P	-	-	-	-	1,060,482
NR	S&P	-	8,414,419	-	8,414,419	22,436,567
Governmental	S&P	-	1,557,965,996	-	1,557,965,996	1,330,485,124
Total		**3,815,848**	**1,855,913,452**	**45,451,435**	**1,905,180,735**	**1,637,632,707**

All the above bonds are classified under stage 1.

1. Credit Exposures Distributions

For the year ended 31 December 2024

Internal Rating for the Bank	Category Classification According to (47/2009)	Total Exposure Value	Expected Credit Loss	Probability of Default	Classification according to external classification institutions	Exposure when Default	Average Loss on Default
Performing exposures		JD	JD	%		JD	%
1	Performing Loans	620,550,034	1,608	(0.00% - 1.28%)	Unclassified	579	46.0
2	Performing Loans	322,782,061	163,131	(0.00% - 2.08%)	Unclassified	192	51.3
3	Performing Loans	583,779,637	1,680,528	(0.00% - 8.85%)	Unclassified	440	51.2
4	Performing Loans	782,969,212	3,107,058	(0.00% - 16.80%)	Unclassified	567	51.2
5	Performing Loans	773,194,587	4,165,502	(0.00% - 22.68%)	Unclassified	568	51.2
6	Performing Loans	355,677,773	15,720,785	(0.00% - 31.36%)	Unclassified	293	51.1
7	Performing Loans	319,621,773	46,396,360	(0.11% - 37.05%)	Unclassified	244	51.5
Unclassified	Performing Loans	4,149,008,787	24,848,633	(0.00% - 100%)	Unclassified	1,613	51.0
Unclassified	Performing	282,826,380	26,612	(0.00% - 0.10%)	AA- to AAA	283	75.0
Unclassified	Performing	86,082,424	-	(0.00% - 0.00%)	A- to A+	87	75.0
Unclassified	Performing	30,630,455	38,651	(0.10% - 0.30%)	BBB- to BBB+	31	75.0
Unclassified	Performing	1,138,815,565	122,475	(0.00% - 1.90%)	Below BBB+ or unrated FFIs	1,157	75.0
Total		**9,445,938,688**	**96,271,343**			**6,054**	
Non-performing exposures							
8 - 10	Non - performing	175,356,646	98,107,151	100%	Unclassified	149	68.0
Unclassified	Non - performing	107,799,822	72,265,832	100%	Unclassified	87	68.8
Total		**283,156,468**	**170,372,983**			**236**	
Grand Total		**9,729,095,156**	**266,644,326**			**6,290**	

2. Credit risk according to economic sectors:

a. Total exposure distribution according to financial instruments:

	Financial	Manufacturing	Trading	Real Estate	Agriculture	Shares	Individuals	Government and Public sector	Other	Total
	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Balances at central banks	775,980,795	-	-	-	-	-	-	-	-	775,980,795
Balances at banks and financial institutions	487,712,257	-	-	-	-	-	-	-	-	487,712,257
Deposits at banks and financial institutions	17,709,822	-	-	-	-	-	-	-	-	17,709,822
Direct credit facilities and financing	35,317,595	429,292,435	609,566,214	1,165,647,225	93,364,860	297,714,881	852,306,742	699,205,245	380,400,881	4,562,816,078
Treasury. bills and Bonds are as follows:										
Within: Financial assets at fair value through Statement of Income	1,220,338	-	-	-	-	-	-	2,595,510	-	3,815,848
Within: Financial assets at fair value through other comprehensive income	45,451,435	-	-	-	-	-	-	-	-	45,451,435
Within: Financial assets at amortized cost	196,337,152	25,350,395	5,773,939	-	-	-	-	1,625,077,696	3,374,270	1,855,913,452
Other Assets	10,529,497	760,583	11,999,911	989,939	7,734,875	3,211	1,133,073	19,557,909	31,389,816	84,098,814
Total	**1,570,258,891**	**455,403,413**	**627,340,064**	**1,166,637,164**	**101,099,735**	**297,718,092**	**853,439,815**	**2,346,436,360**	**415,164,967**	**7,833,498,501**
Letter of guarantees	26,348,829	34,908,574	49,216,722	3,945,294	5,191,414	252,962	62,513,032	277,595	65,605,355	248,259,777
Letter of credit	18,040,048	43,791,896	238,472,926	213,813	2,402,545	1,350,944	116,577,625	-	37,391,794	458,241,591
Acceptances	1,292,683	91,681,631	28,441,080	-	8,362,267	-	6,610,167	-	34,767,036	171,154,864
Other Liabilities	4,521,204	159,069,010	282,583,031	4,211,805	18,278,408	232,948	109,943,685	3,566,957	144,917,776	727,324,824
Total 2024	**1,620,461,655**	**784,854,524**	**1,226,053,823**	**1,175,008,076**	**135,334,369**	**299,554,946**	**1,149,084,324**	**2,350,280,912**	**697,846,928**	**9,438,479,557**
Total 2023	**1,261,383,559**	**702,392,607**	**969,400,167**	**1,104,949,889**	**134,762,334**	**277,183,457**	**1,126,188,435**	**2,040,713,155**	**724,059,679**	**8,341,033,282**

b. Distribution of exposures according to classification stages according to IFRS No. (9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Financial	1,602,796,661	-	16,905,284	-	759,710	1,620,461,655
Manufacturing	705,042,412	10,631,989	54,003,511	1,536,140	13,640,472	784,854,524
Trading	1,030,049,643	22,665,903	148,640,486	3,919,268	20,778,523	1,226,053,823
Real Estates	478,442,955	507,494,469	110,591,879	60,798,703	17,680,070	1,175,008,076
Agriculture	105,555,888	4,326,980	24,862,917	326,392	262,192	135,334,369
Shares	19,267,065	239,560,370	16,414,010	15,983,581	8,329,920	299,554,946
Individual	915,940,583	140,790,941	69,093,490	17,014,631	6,244,679	1,149,084,324
Government and public sector	2,350,280,912	-	-	-	-	2,350,280,912
Other	562,478,108	17,438,349	91,874,737	4,939,087	21,116,647	697,846,928
Total 2024	**7,769,854,227**	**942,909,001**	**532,386,314**	**104,517,802**	**88,812,213**	**9,438,479,557**
Total 2023	**6,815,183,795**	**835,500,057**	**510,622,072**	**115,747,706**	**63,979,652**	**8,341,033,282**

3. Exposure according to geographical distribution

a. Total exposure distribution according to the geographical regions - net:

	Inside Jordan	Other Middle East Countries	Europe	Asia *	Africa	America	Other Countries	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Balances at central banks	739,422,635	36,558,160	-	-	-	-	-	775,980,795
Balances at banks and financial institutions	6,479,173	290,285,383	69,518,066	39,835,534	-	78,681,114	2,912,987	487,712,257
Deposits at banks and financial institutions	-	17,709,822	-	-	-	-	-	17,709,822
Direct credit facilities and financing	4,534,003,619	28,812,459	-	-	-	-	-	4,562,816,078
Treasury Bills and Bonds are as follows:								
Within: Financial assets at fair value through Statement of Income	-	-	-	-	-	3,815,848	-	3,815,848
Within: Financial assets at fair value through other comprehensive income	-	45,451,435	-	-	-	-	-	45,451,435
Within: Financial assets at amortized cost	1,565,119,350	116,713,335	66,519,603	33,668,957	-	73,892,207	-	1,855,913,452
Other Assets	84,098,814	-	-	-	-	-	-	84,098,814
Total	**6,929,123,591**	**535,530,594**	**136,037,669**	**73,504,491**	**-**	**156,389,169**	**2,912,987**	**7,833,498,501**
Letter of guarantees	248,206,777	48,000	-	-	-	-	5,000	248,259,777
Letter of credit	343,248,629	114,992,962	-	-	-	-	-	458,241,591
Acceptances	169,928,376	1,226,488	-	-	-	-	-	171,154,864
Other Liabilities	727,324,824	-	-	-	-	-	-	727,324,824
Total 2024	**8,417,832,197**	**651,798,044**	**136,037,669**	**73,504,491**	**-**	**156,389,169**	**2,917,987**	**9,438,479,557**
Total 2023	**7,636,784,369**	**291,998,867**	**195,947,521**	**61,377,412**	**-**	**153,140,082**	**1,785,031**	**8,341,033,282**

b. Distribution of exposures according to classification stages according to IFRS No. (9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JD	JD	JD	JD	JD	JD
Inside Jordan	6,749,206,867	942,909,001	532,386,314	104,517,802	88,812,213	8,417,832,197
Other Middle East countries	651,798,044	-	-	-	-	651,798,044
Europe	136,037,669	-	-	-	-	136,037,669
Asia	73,504,491	-	-	-	-	73,504,491
Africa	-	-	-	-	-	-
America	156,389,169	-	-	-	-	156,389,169
Other Countries	2,917,987	-	-	-	-	2,917,987
Total 2024	**7,769,854,227**	**942,909,001**	**532,386,314**	**104,517,802**	**88,812,213**	**9,438,479,557**
Total 2023	**6,815,183,795**	**835,500,057**	**510,622,072**	**115,747,706**	**63,979,652**	**8,341,033,282**

* Except middle east countries

4. Credit exposures that have been reclassified

a. Total credit exposures that have been classified

31 December 2024	Stage (2)		Stage (3)		Total Exposure that have been Reclassified	Percentage of Exposure that have been Reclassified
	Total Exposure Amount	Exposure that have been Reclassified	Total Exposure Amount	Exposure that have been Reclassified		
	JD	JD	JD	JD	JD	%
Balances at central banks	-	-	-	-	-	0.00
Balances at banks and financial institutions	-	-	-	-	-	0.00
Deposits at banks and financial institutions	-	-	-	-	-	0.00
Direct credit facilities and financing	577,372,645	214,944,043	278,651,103	92,334,391	307,278,434	6.34
Treasury Bills and Bonds are as follows:	-	-	-	-	-	0.00
Within: Financial assets at fair value through Statement of Income	-	-	-	-	-	0.00
Within: Financial assets at fair value through other comprehensive income	-	-	-	-	-	0.00
Within: Financial assets at amortized cost	-	-	-	-	-	0.00
Other Assets	-	-	-	-	-	0.00
Total	**577,372,645**	**214,944,043**	**278,651,103**	**92,334,391**	**307,278,434**	**6.34**
Letter of guarantees	33,293,270	12,464,415	4,505,365	2,682,128	15,146,543	6.10
Letter of credit	22,621,631	4,539,358	-	-	4,539,358	0.72
Acceptances	7,892,270	-	-	-	-	0.00
Other Liabilities	59,037,587	1,874,769	-	85,489	1,960,258	0.27
Grand Total	**700,217,403**	**233,822,585**	**283,156,468**	**95,102,008**	**328,924,593**	**5.10**

b. Expected credit loss for exposures that have been reclassified

31 December 2024	Exposures that have been reclassified			Expected credit loss due to reclassified exposures				
	Exposure Reclassified from Stage (2)	Exposure Reclassified from Stage (3)	Total Exposures Reclassified	Stage (2) Individual	Stage (2) Collective	Stage (3) Individual	Stage (3) Collective	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Balances at central banks	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-
Direct credit facilities and financing	214,944,043	92,334,391	307,278,434	(1,869,035)	(213,549)	8,722,823	(93,495)	6,546,744
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through Statement of Income	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through other comprehensive income	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	-	-	-	-	-
Pledged financial assets (debt instruments)	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-
Total	**214,944,043**	**92,334,391**	**307,278,434**	**(1,869,035)**	**(213,549)**	**8,722,823**	**(93,495)**	**6,546,744**
Letter of guarantees	12,464,415	2,682,128	15,146,543	62,467	482	5,919	-	68,868
Letter of credit	4,539,358	-	4,539,358	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-
Other Liabilities	1,874,769	85,489	1,960,258	23,644	-	-	-	23,644
Grand Total	**233,822,585**	**95,102,008**	**328,924,593**	**(1,782,924)**	**(213,067)**	**8,728,742**	**(93,495)**	**6,639,256**

5. Credit Risk Exposures (after provision for impairment. outstanding interest and returns and before collateral and other risk mitigators):

	31 December	
	2024	2023
	JD	JD
Items inside Consolidated Financial Position		
Balances at central bank	775,980,795	601,321,203
Balances at banks and financial institutions	487,712,257	371,943,707
Deposits at banks and financial institutions	17,709,822	14,082,419
Direct Credit Facilities and Financing - Net:		
Individual	1,113,262,978	1,069,371,754
Real estate	1,165,647,225	1,095,395,528
Corporates:		
Large corporates	1,296,352,088	1,216,644,274
SME's	288,348,542	263,666,261
Government and Public Sector	699,205,245	599,833,607
Total	**4,562,816,078**	**4,244,911,424**
Treasury Bills and Bonds:		
Within financial assets at fair value through Statement of Income	3,815,848	3,817,881
Within financial assets at amortized cost	1,855,913,452	1,633,814,826
Within Financial assets at fair value through other comprehensive income	45,451,435	-
Other assets	84,098,814	71,728,338
Total Financial Position Items	**7,833,498,501**	**6,941,619,798**
Off- Consolidated Financial Position Items		
Letters of guarantees	248,259,777	229,615,911
Letters of credits	458,241,591	329,705,447
Acceptances	171,154,864	134,819,090
Un-utilized limits of credit facilities and financing	727,324,824	705,273,036
Total Off-Consolidated Financial Position Items	**1,604,981,056**	**1,399,413,484**
Total On- and Off - Consolidated Financial Position Items	**9,438,479,557**	**8,341,033,282**

The above table represents the Bank's maximum credit exposure as of 31 December 2024 and 2023 without taking into account collaterals or other credit risk mitigators.

6. Expected Credit Losses as of 31 December 2024:

Description	Stage (1) Individual	Stage (1) Collective	Stage (2) Individual	Stage (2) Collective	Stage (3)	Total
	JD	JD	JD	JD	JD	JD
Balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	383,459	-	-	-	-	383,459
Deposits at bank and financial institutions	15,178	-	-	-	-	15,178
Direct credit facilities and financing	14,224,666	14,822,921	58,979,021	3,849,742	169,829,895	261,706,245
Debt instruments within portfolio of the financial assets at amortized costs	337,642	-	-	-	-	337,642
Debt instruments within financial assets at fair value through other comprehensive income.	64,447	-	-	-	-	64,447
Letters of guarantees	209,371	-	187,955	-	543,086	940,412
Un-utilized limits	2,676,401	-	174,114	-		2,850,515
Letters of credit	144,152	-	101,672	-	-	245,824
Acceptances	79,821	-	20,783	-	-	100,604

Expected Credit Losses as of 31 December 2023

Description	Stage (1) Individual	Stage (1) Collective	Stage (2) Individual	Stage (2) Collective	Stage (3)	Total
	JD	JD	JD	JD	JD	JD
Balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	68,178	-	-	-	-	68,178
Deposits at bank and financial institutions	7,159	-	-	-	-	7,159
Direct credit facilities and financing	13,719,773	6,103,035	50,427,760	3,462,267	120,377,048	194,089,883
Debt instruments within portfolio of the financial assets at amortized costs	632,492	-	-	-	-	632,492
Debt instruments within financial assets at fair value through other comprehensive income.	-	-	-	-	-	-
Letters of guarantees	316,432	-	56,296	-	108,571	481,299
Un-utilized limits	3,979,251	-	243,538	-	-	4,222,789
Letters of credit	129,852	-	1,702	-	-	131,554
Acceptances	66,975	-	-	-	-	66,975

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
31 December 2024	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Cash and balances at central banks	775,980,795	-	-	-	-	-	-	-	775,980,795	-
Balances at banks and financial institutions	488,095,716	-	-	-	-	-	-	-	488,095,716	383,459
Deposits at banks and financial institutions	17,725,000	6,000,000	-	-	-	-	-	6,000,000	11,725,000	15,178
Credit and Financing Facilities:										
Individual	1,204,865,509	42,685,977	953,791	-	515,616,032	284,881,351	-	844,137,151	360,728,358	80,993,763
Real estate mortgages	1,194,207,760	7,954,737	-	-	427,537,068	1,426,283	1,050,396	437,968,484	756,239,276	25,112,523
Large corporates	1,434,708,110	39,259,676	465,135	239,714	246,643,619	46,975,325	75,715,109	409,298,578	1,025,409,532	131,737,323
SME's	315,506,972	18,658,930	111,925	-	113,993,335	5,360,398	45,639,121	183,763,709	131,743,263	23,862,636
Government and Public Sector	699,205,245	-	-	-	-	-	30,000,000	30,000,000	669,205,245	-
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through Statement of Income	3,815,848	-	-	-	-	-	-	-	3,815,848	-
Within financial assets at fair value through statement of other comprehensive income	45,515,882	-	-	-	-	-	-	-	45,515,882	-
Within financial assets at amortized cost	1,856,251,094	-	-	-	-	-	-	-	1,856,251,094	337,642
Other assets	84,098,814	-	-	-	-	-	-	-	84,098,814	-
Total	**8,119,976,745**	**114,559,320**	**1,530,851**	**239,714**	**1,303,790,054**	**338,643,357**	**152,404,626**	**1,911,167,922**	**6,208,808,823**	**262,442,524**
Financial guarantees	249,200,189	32,738,990	8,416	-	14,554,420	188,400	5,300,603	52,790,829	196,409,360	940,412
Letter of credit	458,487,415	94,328,118	-	18,672	5,975,214	-	1,530,503	101,852,507	356,634,908	245,824
Acceptances	171,255,468	5,285,980	-	-	-	-	-	5,285,980	165,969,488	100,604
Other liabilities	730,175,339	-	-	-	-	-	-	-	730,175,339	2,850,515
Grand Total	**9,729,095,156**	**246,912,408**	**1,539,267**	**258,386**	**1,324,319,688**	**338,831,757**	**159,235,732**	**2,071,097,238**	**7,657,997,918**	**266,579,879**

- The bank maintains collateral or other credit enhancements to mitigate credit risk associated with financial assets. The Group maintains financial instruments amounting to JD 2,001,750,594 as of 31 December 2024 (compared to JD 1,851,483,447 as of 31 December 2023) with a loss allowance for it due to guarantees at the end of the reporting period.
- The estimated value of collateral. which is not recognized. held at the end of the reporting period is JD 2,164,693,718 as of 31 December 2024 (compared to JD 2,064,932,557 as of 31 December 2023. The value of collateral is not considered except to the extent that mitigates credit risk. There was no change in the bank's collateral policy during the current year. The following are the main types of collateral and associated asset types.

Financial Assets	Related collaterals
Real estate loans	Real estate guarantees. cash margins and personal guarantees
Personal loans	The portfolio consists of personal loans and credit cards and is linked to guarantees such as salary transfer. personal guarantees. cash margins
Corporate Loans	Real estate. equity shares. cash margins. personal guarantees. bank guarantees. transfer of dues from government and private agencies
SME's	Real estate. equity shares. cash guarantees. personal guarantees. bank guarantees. transfer of dues from government and private agencies. insurance policies. cars and machinery
Government and public sector	-
Deposits with banks and banking institutions	Cash margins
Guarantees	Real estate. cash margins. personal guarantees. bank guarantees. transfer of dues from government and private agencies. insurance policies
Documentary credits and acceptances	Real estate. cash margins. personal guarantees. bank guarantees. transfer of dues from government and private agencies. insurance policies
Other Liabilities	Real estate. cash margins. personal guarantees. bank guarantees. transfer of dues from government and private agencies. insurance policies

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
31 December 2023	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Cash and balances at central banks	601,321,203	-	-	-	-	-	-	-	601,321,203	-
Balances at banks and financial institutions	372,011,885	-	-	-	-	-	-	-	372,011,885	68,178
Deposits at banks and financial institutions	14,089,578	6,000,000	-	-	-	-	-	6,000,000	8,089,578	7,159
Credit and Financing Facilities:										
Individual	1,127,194,587	39,359,118	881,403	-	505,971,768	259,960,016	161,000	806,333,305	320,861,282	50,355,818
Real estate mortgages	1,116,094,786	3,169,908	335,688	-	379,704,548	279,416	2,150,000	385,639,560	730,455,226	17,889,300
Large corporates	1,327,348,603	24,989,803	6,001,406	253,517	262,062,497	45,996,388	104,134,319	443,437,930	883,910,672	105,993,907
SME's	286,376,151	14,682,027	99,500	-	99,572,101	4,168,150	96,498,948	215,020,726	71,355,425	19,850,858
Government and Public Sector	599,833,607	-	-	-	-	-	-	-	599,833,607	-
Treasury Bills and Bonds are as follows:										
Within: Financial assets at fair value through Statement of Income	3,817,881	-	-	-	-	-	-	-	3,817,881	-
Within: Financial assets at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	1,634,447,318	-	-	-	-	-	-	-	1,634,447,318	632,492
Other assets	71,728,338	-	-	-	-	-	-	-	71,728,338	-
Total	**7,154,263,937**	**88,200,856**	**7,317,997**	**253,517**	**1,247,310,914**	**310,403,970**	**202,944,267**	**1,856,431,521**	**5,297,832,415**	**194,797,712**
Financial guarantees	230,097,210	28,193,986	5,286	-	13,486,341	62,153	583,592	42,331,358	187,765,852	481,299
Letter of credit	329,837,001	57,162,970	-	713,461	13,009,117	-	1,860,273	72,745,821	257,091,180	131,554
Acceptances	134,886,065	8,338,565	-	-	-	-	-	8,338,565	126,547,500	66,975
Other liabilities	709,495,825	-	-	-	-	-	-	-	709,495,825	4,222,789
Grand Total	**8,558,580,038**	**181,896,377**	**7,323,283**	**966,978**	**1,273,806,372**	**310,466,123**	**205,388,132**	**1,979,847,266**	**6,578,732,772**	**199,700,329**

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Machinery	Other	Total Collaterals		
31 December 2024	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Cash and balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing:										
Individual	74,996,823	12,161	-	-	8,114,218	14,378,546	41,477	22,546,402	52,450,421	57,361,599
Real estate	40,372,491	-	-	-	16,587,779	-	83,350	16,671,129	23,701,362	15,579,225
Large corporates	131,624,579	253,973	-	-	35,527,958	4,093,687	214,052	40,089,670	91,534,909	78,620,221
SME's	31,657,210	676,920	-	-	8,764,158	895,885	3,368,513	13,705,476	17,951,734	18,268,850
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:										
Within: Financial assets at fair value through Statement of Income	-	-	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	-	-	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-	-	-
Total	**278,651,103**	**943,054**	**-**	**-**	**68,994,113**	**19,368,118**	**3,707,392**	**93,012,677**	**185,638,426**	**169,829,895**
Letter of guarantees	4,505,365	346,076	-	-	237,727	-	-	583,803	3,921,562	543,086
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	**283,156,468**	**1,289,130**	**-**	**-**	**69,231,840**	**19,368,118**	**3,707,392**	**93,596,480**	**189,559,988**	**170,372,981**

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted Bank Guarantees	Real Estates	Vehicles and Machinery	Other	Total Collaterals		
31 December 2023	JD	JD	JD	JD	JD	JD	JD	JD	JD	JD
Cash and balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing:										
Individual	50,764,593	3,065	-	-	6,865,787	9,978,205	46,944	16,894,001	33,870,592	36,865,060
Real estate mortgages	27,930,204	-	-	-	10,972,405	-	169,230	11,141,635	16,788,569	11,531,398
Large corporates	92,571,011	10,972	-	-	34,163,709	4,093,687	1,495,000	39,763,368	52,807,643	56,499,716
SME's	28,169,342	684,377	-	-	8,819,760	908,321	6,349,804	16,762,262	11,407,080	15,480,874
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:										
Within: Financial assets at fair value through Statement of Income	-	-	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	-	-	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-	-	-
Total	**199,435,150**	**698,414**	**-**	**-**	**60,821,661**	**14,980,213**	**8,060,978**	**84,561,266**	**114,873,884**	**120,377,048**
Letter of guarantees	2,876,548	524,025	-	-	-	-	-	524,025	2,352,523	108,571
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	**202,311,698**	**1,222,439**	**-**	**-**	**60,821,661**	**14,980,213**	**8,060,978**	**85,085,291**	**117,226,407**	**120,485,619**

d. Market Risks:

Market risk is defined as the risk arising from changes in interest rates. exchange rates. and the prices of securities. as well as any other instruments held by the bank. such as commodities. Fluctuations in their prices can lead the Bank to incur losses due to any financial positions held on or off the balance sheet.

The Bank uses a conservative policy to manage market risk. Moreover. these risks are controlled through the adoption of clear policies in this regard and establishing risk limits for each risk type. Our policy aims to reduce minimize these risks.

1. Interest Rate Risks:

The losses arising from fluctuations in interest rates in the markets or resulting from changes in the prices of products due to changes in interest rates have a negative impact on the Bank's revenues and equity.

These risks may also arise from mismatches in the repricing dates between assets and liabilities. which could lead to a decrease in the bank's revenues due to the timing difference in repricing.

The risks of interest rates lie in debt instruments and derivatives that include debt instruments. in addition to other derivatives whose values are linked to market prices.

Interest rate risks are managed by the Asset and Liability Management Committee. which is provided with periodic reports on interest rate repricing gaps. in addition to sensitivity reports to changes in interest rates. which indicate that the impact of these risks is kept to a minimum.

31 December 2024		Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
Currency	Increase in Interest Rate	JD	JD
Jordanian Dinar	1%	9,637	9,637
US Dollar	1%	1,825	1,825
Euro	1%	169	169
GBP	1%	34	34
Japanese Yen	1%	330	330
Other Currencies	1%	(32)	(32)

December 31, 2023		Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
Currency	Increase in Interest Rate	JD	JD
Jordanian Dinar	1%	9,188	9,188
US Dollar	1%	2,052	2,052
Euro	1%	70	70
GBP	1%	10	10
Japanese Yen	1%	(93)	(93)
Other Currencies	1%	41	41

In case of a negative change in the interest rate. then the effect will be the same as the change in the above-mentioned table with an opposite sign.

The following is the sensitivity analysis of the impact on the provision for expected credit losses as a result of the change in the economic indicators used in calculating the provision for credit losses for the year 2024:

	Corporate credit facilities	Credit facilities for the government and the public sector	Credit Facilities Real Estate Loans	Credit facilities for small and medium entites (SMEs)	Indirect credit facilities (contingent liabilities)	Other credit facilities
	JD	JD	JD	JD	JD	JD
Companies:						
M2 Cash						
5%	47,064	-	1,072	-	-	9,215
-5%	(47,376)	-	(1,079)	-	-	(9,269)
Central bank financial statements						
5%	144,868	-	3,302	-	-	28,394
-5%	(147,876)	-	(3,368)	-	-	(28,902)
Trade Terms						
5%	69,847	-	1,592	-	-	13,679
-5%	(70,538)	-	(1,607)	-	-	(13,797)
Loans Granted to the Private Sector						
5%	149,813	-	3,415	-	-	29,365
-5%	(153,032)	-	(3,485)	-	-	(29,909)
Small and Medium Enterprises (SME):						
Number of tourists						
5%	-	-	159	7,680	-	1,527
-5%	-	-	(161)	(7,815)	-	(1,551)
Consumer Price Index						
5%	-	-	2,000	97,122	-	19,585
-5%	-	-	(2,560)	(123,959)	-	(24,282)
Bank lending rate						
5%	-	-	184	8,914	-	1,773
-5%	-	-	(188)	(9,097)	-	(1,805)
Retail:						
M1 Cash						
5%	-	-	380	-	(60,784)	266
-5%	-	-	(379)	-	109,847	(236)
Producer Price Index						
5%	-	-	9,919	22	47,601	7,223
-5%	-	-	(9,349)	(22)	(44,300)	(7,986)
Product price index						
5%	-	-	12,785	29	65,496	9,105
-5%	-	-	(11,853)	(28)	(66,643)	(10,354)

2. Currency Risks:

The Group's policy is to fully hedge the currency risk by limiting open positions in foreign currencies only within the limits set and according to a clear policy which reduces the sensitivity of the Group's profitability to currency price changes. limits are placed for open positions for each currency and total currencies. and daily evaluations of these positions are made to reduce the risks of currency exchange rates to the minimum.

Currency	Change in Currency Exchange Rate	Effect on Profits and Losses	Effect on Equity
For the Year ended 31 December 2024		JD	JD
US Dollar	1%	(174,876)	36,336
Euro	1%	4,889	-
GBP	1%	22,290	-
Japanese Yen	1%	447,055	-
Other Currencies	1%	(153,652)	-

Currency	Change in Currency Exchange Rate	Effect on Profits and Losses	Effect on Equity
For the Year ended 31 December 2023		JD	JD
US Dollar	1%	299,664	36,336
Euro	1%	(38,645)	-
GBP	1%	(6,704)	-
Japanese Yen	1%	9,023	-
Other Currencies	1%	313,432	-

In case of a 1% decrease in the currency exchange rate. the effect will be the same as the financial effect mentioned in the tables above with an opposite sign.

3. Change in Stock Price Risks:

Trading portfolio risk management depends on a policy that is based on diversification of investments. where investments are distributed on a sectoral basis. within the most stable sectors. and across several financial markets to reduce risks to acceptable levels. Regular monitoring of risks is also conducted through:

- Determining the different investments limits
- Determining limits to stop losses per investment coupled with daily monitoring
- Regularly assessing the investment portfolio by an independent body (intermediary office)
- Performing sensitivity analysis to measure the extent to which these investments may be impacted in case the markets invested in drop. so as to maintain risks within levels acceptable to the Bank.

These risks are managed by the Risks Management Department in cooperation with the Treasury Department.

Moreover. their recommendations are submitted to the Assets and Liabilities Management Committee.

Market	Change in Market Index	Effect on profits and losses	Effect on Equity
		JD	JD
For the Year ended 31 December 2024:			
Amman Stock Exchange	5%	114,305	637,451
Al-Quds Stock Exchange (Palestine)	5%	-	734,527
NEW YORK STOCK EXCHANGE	5%	-	51,634
For the Year ended 31 December 2023:			
Amman Stock Exchange	5%	263,835	625,210
Al-Quds Stock Exchange (Palestine)	5%	-	927,964
Abu Dhabi Stock Exchange	5%	1,886	-
Australian Stock Exchange Ltd	5%	3,472	-
EN Paris	5%	16,684	-
EURO NEXT AMSTERDAM	5%	7,224	-
GERMAN STOCK EXCAHNGE	5%	3,703	-
London Stock Exchange	5%	14,460	-
Milan Stock Exchange	5%	10,788	-
NEW YORK STOCK EXCHANGE	5%	165,903	40,145
Qatar Stock Exchange	5%	1,877	-
Saudi Arabian Stock Exchange	5%	1,975	-
The Stock Exchange of Hong Kong Ltd	5%	2,658	-
Toronto	5%	3,783	-

In case of a negative change in the index. the impact will be equal to the change mentioned above but with the opposite sign.

e. Liquidity Risks

The Bank continuously expands its depositors' base and diversifies the sources of its funds with the aim of maintaining its stability. In this respect, the Bank maintains its liquidity level within risk appetite limits.

Bank's liquidity risk management policy ensures that the bank maintains liquidity limits at the corresponding banks to ensure easy access to high quality liquid assets and can be liquidated at reasonable cost and time in case of an unexpected demand.

To measure the Bank's liquidity levels, a schedule is prepared periodically to verify that liquidity is within the acceptable levels. In addition, the Legal liquidity ratio is calculated on daily basis to ensure compliance with the regulatory requirements and internal policies. Various stress scenarios' identified and measured to ensure the Bank's ability to withstand any changes that might take place in the financial markets.

The Treasury Department manages funds in line with the Bank's liquidity policy endorsed by the Assets and Liabilities Management Committee and submits regular reports to the Committee. Moreover, the Risk Management Department monitors the liquidity levels and ensures adherence to the Bank's internal policies.

(45/c) Liquidity Risks:

First: The table below summarizes the distribution of (undiscounted) liabilities based on the remaining contractual maturity period on the date of the financial statements:

As of 31 December 2024:	Less than a Month	1-3 Months	3-6 Months	6 months-1 year	1-3 Years	More than 3 Years	Without Maturity	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Liabilities:								
Banks and financial institution deposits	177,809,293	38,770,184	52,168,016	9,000,000	9,000,000	-	72,048,754	358,796,247
Customers' deposits	1,908,675,476	1,121,692,897	1,126,215,843	1,718,928,042	566,125,576	-	-	6,441,637,834
Margin accounts	140,604,307	29,940,734	33,120,362	20,562,855	34,604,076	126,792,160	-	385,624,494
Borrowed Funds	3,753	211,869	449,419	24,417,669	89,583,908	112,906,501	-	227,573,119
Subordinated loans	-	-	-	-	-	80,689,791	-	80,689,791
Sundry provisions	-	-	-	-	-	-	1,421,646	1,421,646
Income tax provision	-	-	-	-	-	-	36,048,153	36,048,153
Lease liabilities	397,806	493,418	1,025,412	1,623,782	6,866,086	25,721,699	-	36,128,203
Deferred tax liability	-	-	-	-	-	-	945,800	945,800
Other liabilities	-	-	-	-	-	-	169,050,879	169,050,879
Total	**2,227,490,635**	**1,191,109,102**	**1,212,979,052**	**1,774,532,348**	**706,179,646**	**346,110,151**	**279,515,232**	**7,737,916,166**
Total assets (according to expected maturities)	**1,565,794,097**	**481,467,446**	**480,162,102**	**617,049,399**	**1,802,255,663**	**2,979,963,198**	**424,314,833**	**8,351,006,738**

As of 31 December 2023:								
Liabilities:								
Banks and financial institution deposits	194,020,613	7,822,719	5,500,000	11,000,000	33,410,167	-	61,641,722	313,395,221
Customers' deposits	1,685,222,747	983,934,935	1,061,044,727	1,444,014,636	510,328,163	197,540	-	5,684,742,748
Margin accounts	57,576,976	33,725,468	32,374,507	45,896,641	35,413,788	133,769,491	-	338,756,871
Borrowed Funds	30,402	2,044,996	639,302	24,008,225	50,795,800	123,260,859	-	200,779,584
Subordinated loans	-	-	-	-	-	80,172,527	-	80,172,527
Sundry provisions	-	-	-	-	-	-	525,787	525,787
Income tax provision	-	-	-	-	-	-	30,872,484	30,872,484
Lease liabilities	339,990	421,176	943,392	1,436,622	7,973,839	26,664,841	-	37,779,860
Deferred tax liability	-	-	-	-	-	-	20,282	20,282
Other liabilities	-	-	-	-	-	-	150,936,220	150,936,220
Total	**1,937,190,728**	**1,027,949,294**	**1,100,501,928**	**1,526,356,124**	**637,921,757**	**364,065,258**	**243,996,495**	**6,837,981,584**
Total assets (according to expected maturities)	**1,338,391,828**	**349,652,884**	**435,987,195**	**603,311,028**	**1,721,811,966**	**2,582,519,046**	**388,345,490**	**7,420,019,437**

Interest Rate Re-Pricing Gap:

Classification is based on interest re-pricing or maturing. whichever is closer.Interests rates sensitivity is as follows:

As of 31 December 2024	Less than 1 Month	From 1 Month to 3 Months	More than 3 Months to 6 Months	More than 6 Months to 1 Year	From 1-3 Years	More than 3 Years	Non-interest Bearing	Total
	JD	JD	JD	JD	JD	JD	JD	JD
Assets:								
Cash and Balances at central banks	341,100,000	-	-	-	-	-	571,673,898	912,773,898
Balances at banks and financial institutions	437,673,243	-	-	-	-	-	50,039,014	487,712,257
Deposits at banks and financial institutions	-	-	17,725,000	-	-	-	(15,178)	17,709,822
Financial assets at fair value through Statement of Income	-	-	-	10,785	3,344,347	460,715	14,847,696	18,663,543
Direct credit facilities and financing - net	47,934,510	184,317,353	2,350,757,186	278,308,566	765,379,736	943,145,143	(7,026,416)	4,562,816,078
Financial assets at fair value through statement other comprehensive income	-	-	-	-	-	-	119,651,740	119,651,740
Financial assets at amortized cost	367,768,469	114,248,418	84,506,402	152,838,150	386,405,480	750,484,175	(337,642)	1,855,913,452
Investments in associates	-	-	-	-	-	-	332,759	332,759
Right of use assets	-	-	-	-	-	-	29,835,954	29,835,954
Property and equipment	-	-	-	-	-	-	87,259,347	87,259,347
Intangible assets	-	-	-	-	-	-	29,629,198	29,629,198
Deferred tax assets	-	-	-	-	-	-	45,261,019	45,261,019
Other assets	7,656,306	801,450	10,846,308	5,763,331	-	-	158,380,276	183,447,671
Total Assets	**1,202,132,528**	**299,367,221**	**2,463,834,896**	**436,920,832**	**1,155,129,563**	**1,694,090,033**	**1,099,531,665**	**8,351,006,738**
Liabilities								
Banks and financial institution deposits	102,297,069	38,655,350	51,911,319	9,000,000	9,000,000	-	146,336,044	357,199,782
Customers' deposits	1,772,820,325	849,620,737	897,943,894	1,526,063,779	195,610,660	-	1,164,618,145	6,406,677,540
Margin accounts	251,994,124	10,825,354	14,777,500	8,080,000	-	-	89,278,931	374,955,909
Borrowed Funds	27,687	435,902	1,331,951	19,009,874	61,133,805	110,670,315	28,163,993	220,773,527
Subordinated Loans	-	-	-	-	-	60,295,000	-	60,295,000
Sundry provisions	-	-	-	-	-	-	1,421,646	1,421,646
Income tax provision	-	-	-	-	-	-	36,048,153	36,048,153
Lease liabilities	-	-	-	-	-	-	30,828,861	30,828,861
Deferred tax liability	-	-	-	-	-	-	945,800	945,800
Other liabilities	-	-	-	-	-	-	169,050,879	169,050,879
Total Liabilities	**2,127,139,205**	**899,537,343**	**965,964,664**	**1,562,153,653**	**265,744,465**	**170,965,315**	**1,666,692,452**	**7,658,197,097**
Interest Rate Re- Pricing Gap	**(925,006,677)**	**(600,170,122)**	**1,497,870,232**	**(1,125,232,821)**	**889,385,098**	**1,523,124,718**	**(567,160,787)**	**692,809,641**

As of 31 December 2023								
Total Assets	**542,804,011**	**177,701,281**	**2,426,447,879**	**436,590,253**	**1,416,066,423**	**1,421,000,792**	**999,408,798**	**7,420,019,437**
Total Liabilities	**1,746,452,798**	**742,751,712**	**852,523,275**	**1,324,628,542**	**265,270,414**	**147,325,670**	**1,677,465,842**	**6,756,418,253**
Interest Rate Re- Pricing Gap	**(1,203,648,787)**	**(565,050,431)**	**1,573,924,604**	**(888,038,289)**	**1,150,796,009**	**1,273,675,122**	**(678,057,044)**	**663,601,184**

Concentration in currency risk:

As of 31 December 2024	USD	EUR	GBP	JPY	Other	Total
	JD	JD	JD	JD	JD	JD
Assets						
Cash and balances at central Banks	166,622,431	6,352,838	1,395,775	-	9,099,285	183,470,329
Balances at banks and financial institutions	342,261,365	65,556,999	8,101,735	2,685,063	62,779,282	481,384,444
Deposits at banks and financial institutions	17,725,000	-	-	-	-	17,725,000
Financial assets at fair value through Statement of Income	11,617,556	4,759,891	-	-	-	16,377,447
Direct credit and financing facilities- net	422,512,810	11,744,068	140,509	61,604,023	406,200	496,407,610
Financial assets at fair value through other comprehensive income	77,409,974	7,607,200	-	-	-	85,017,174
Financial assets at amortized cost	458,425,593	45,361,413	8,123,974	-	775,947	512,686,927
Convertible Loans	-	-	-	-	-	-
Property and equipment - net	68,897	-	-	-	1,852,792	1,921,689
Right of use assets	-	-	-	-	974,864	974,864
Intangible assets	-	-	-	-	1,455,345	1,455,345
Other assets	34,438,790	(1,083,923)	106,965	546,284	(17,718,235)	16,289,881
Total Assets	**1,531,082,416**	**140,298,486**	**17,868,958**	**64,835,370**	**59,625,480**	**1,813,710,710**
Liabilities						
Banks and financial institution deposits	125,728,321	22,371,464	76,837	17,247,952	1,242,427	166,667,001
Customers' deposits	1,157,259,146	91,789,708	15,134,717	2,287,266	61,133,621	1,327,604,458
Cash margin	163,032,123	22,621,923	163,604	504,676	4,962,935	191,285,261
Borrowed amounts	303,857	-	-	-	-	303,857
Subordinated loans	14,180,000	-	-	-	-	14,180,000
Lease liabilities	-	-	-	-	791,158	791,158
Other liabilities	17,166,549	3,026,444	264,771	89,972	6,860,501	27,408,237
Total Liabilities	**1,477,669,996**	**139,809,539**	**15,639,929**	**20,129,866**	**74,990,642**	**1,728,239,972**
Bank's Shareholders						
Perpetual Bonds	70,900,000	-	-	-	-	70,900,000
Net concentration in the Consolidated Statement of Financial Position	**(17,487,580)**	**488,947**	**2,229,029**	**44,705,504**	**(15,365,162)**	**14,570,738**
Contingent Liabilities Off - Consolidated Statement of Financial Position	**918,698,088**	**176,555,955**	**1,746,038**	**45,975,976**	**49,290,312**	**1,192,266,369**

As of 31 December 2023						
Total Assets	**1,351,148,166**	**107,262,863**	**16,444,275**	**37,097,575**	**91,370,035**	**1,603,322,914**
Total Liabilities	**1,250,281,729**	**111,127,373**	**17,114,691**	**36,195,296**	**60,026,791**	**1,474,745,880**
Net concentration in the Consolidated Statement of Financial Position	**29,966,437**	**(3,864,510)**	**(670,416)**	**902,279**	**31,343,244**	**57,677,034**
Contingent Liabilities Off - Consolidated Statement of Financial Position	**662,360,433**	**163,389,729**	**2,523,864**	**26,859,352**	**26,885,826**	**882,019,204**

Secondly: Off- Consolidated of Financial Position Items:

As of 31 December 2024	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JD	JD	JD	JD
Letters of credit	478,077,725	49,307,521	-	527,385,246
Acceptances	170,881,467	374,001	-	171,255,468
Unutilized limits	730,175,339	-	-	730,175,339
Letters of guarantees	225,064,598	23,684,292	451,299	249,200,189
Total	**1,604,199,129**	**73,365,814**	**451,299**	**1,678,016,242**

As of 31 December 2023	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JD	JD	JD	JD
Letters of credit	354,708,896	23,057,579	-	377,766,475
Acceptances	134,886,065	-	-	134,886,065
Unutilized limits	709,495,825	-	-	709,495,825
Letters of guarantees	195,461,451	34,477,978	157,781	230,097,210
Total	**1,394,552,237**	**57,535,557**	**157,781**	**1,452,245,575**

(45/d) Climate Change Risks

The Bank integrates climate change into its strategies through four main pillars: governance, strategy, risk management, and metrics and objectives, aiming to achieve sustainable transformation and reduce environmental impacts.

The Bank identifies two main types of risks: physical risks arising from acute and chronic climate events, and transition risks associated with moving to a low-carbon economy due to changes in policies, technology, and consumer behavior.

These risks are managed proactively using scenarios from specialized bodies, under the supervision of the Risk Committee derived from the Board of Directors. The Bank has also established an institutional transition plan to measure and implement the impacts of climate change between 2024 and 2025.

The Bank relies on four pillars for managing climate transition: governance, strategy, risk management systems, and metrics and objectives, to ensure addressing climate challenges and achieving greater sustainability in its operations.

Alongside the requirements of the Amman Stock Exchange and the Central Bank of Jordan, the bank assesses climate impacts through forward-looking analysis to comply with climate-related disclosure standards.

46. Sectoral Analysis

A. Bank Activities Information:

For management purposes. the Bank is organized into the following major business segments based on the reports used by the general manager and decision of the Bank through the following main business sectors:

- Individual accounts: This item includes following up on individual customer's deposits and granting them credit facilities. credit cards and other services.
- Small and Medium Enterprises Accounts: This item includes following up on the client's deposits and credit facilities. Moreover. these clients are classified based on the volume of the granted deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Large Companies' Accounts: This item includes following up on the client's deposits and credit facilities. Moreover. these clients are classified based on the volume of the deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Treasury: This item includes providing treasury and trading services and managing the Bank's funds and long-term investments at amortized costs. which are maintained to collect the contractual cash flows.
- Investments and Foreign Currencies Management: This item includes the Bank's local and foreign investments which are recorded at fair value. in addition to the foreign currencies trading / services.

- Others: This sector includes all the accounts not listed within the sectors mentioned above. such as shareholder's rights. investments in associates. property and equipment. general management. support management. and the treasury.
- The bank manages concentrations in the business sectors based on the instructions of the Central Bank in this regard. which stipulated that the customer concentration does not exceed 25% of the bank's regulatory capital.

The following table represents information on the Bank's business sectors:

Description	Individual	Corporates	SMEs	Treasury	Other	For the Year Ended 31 December 2024
	JD	JD	JD	JD	JD	JD
Total Income	179,037,096	181,401,672	33,110,545	163,077,818	2,400,120	559,027,251
(Provision) Impairment of direct credit facilities and financing	(37,284,611)	(26,011,272)	(6,726,131)	1,369,054	-	(68,652,960)
Segments' results*	23,922,969	58,237,881	10,028,553	140,063,302	1,962,675	234,215,380
Expenses not allocated to sectors						(148,424,790)
Operating profit						**85,790,590**
The bank's share of the profits of an associate company						(16,863)
Operating income before tax						**85,773,727**
Income tax						(31,299,627)
Income for the Year						**54,474,100**
Capital Expenditures						28,276,731
Depreciation and Amortization						15,218,129
						31 December 2024
						JD
Other Information						
Segment Assets	1,886,314,788	2,140,897,524	385,302,196	3,563,182,472	-	7,975,696,980
Undistributed assets on segments	-	-	-	-	375,309,758	375,309,758
Total Assets	**1,886,314,788**	**2,140,897,524**	**385,302,196**	**3,563,182,472**	**375,309,758**	**8,351,006,738**
Segment Liabilities	4,105,568,689	1,732,814,326	864,502,749	703,496,164	-	7,406,381,928
Undistributed liabilities	-	-	-	-	251,815,169	251,815,169
Total Liabilities	**4,105,568,689**	**1,732,814,326**	**864,502,749**	**703,496,164**	**251,815,169**	**7,658,197,097**

Description	Individual	Corporates	SMEs	Treasury	Other	For the Year Ended 31 December 2023
	JD	JD	JD	JD	JD	JD
Total Income	188,219,842	145,694,968	27,719,732	121,482,667	842,483	483,959,692
(Provision) Impairment of direct credit facilities and financing	(20,193,406)	(18,417,877)	(5,611,788)	2,302,376	-	(41,920,695)
Segments' results*	43,928,929	61,532,747	9,741,657	105,638,575	737,539	221,579,447
Expenses not allocated to sectors						(131,185,846)
Operating profit						**90,393,601**
The bank's share of the profits of an associate company						3,668
Operating income before tax						**90,397,269**
Income tax						(32,659,994)
Income for the Year						**57,737,275**
Capital Expenditures						24,523,711
Depreciation and Amortization						15,059,445
						31 December 2023
						JD
Other Information						
Segment Assets	1,773,810,436	1,987,934,937	332,071,235	2,999,808,996	-	7,093,625,604
Undistributed assets on segments	-	-	-	-	326,393,833	326,393,833
Total Assets	**1,773,810,436**	**1,987,934,937**	**332,071,235**	**2,999,808,996**	**326,393,833**	**7,420,019,437**
Segment Liabilities	3,722,139,453	1,493,897,342	688,301,806	628,528,816	-	6,532,867,417
Undistributed liabilities	-	-	-	-	223,550,836	223,550,836
Total Liabilities	**3,722,139,453**	**1,493,897,342**	**688,301,806**	**628,528,816**	**223,550,836**	**6,756,418,253**

* The segment results item includes the results obtained for each business sector. which represents the total income after deducting the expected credit losses expense.

B. Geographical distribution information

This note represents the geographical distribution of the Bank's business. The Bank mainly operates in the Kingdom. which represents local business.

The following is the distribution of the Bank's revenues. assets and capital expenditures by geographical sector:

	Inside Jordan		Outside Jordan		Total	
	2024	2023	2024	2023	2024	2023
	JD	JD	JD	JD	JD	JD
Total Income	522,476,094	461,423,600	36,551,157	22,536,092	559,027,251	483,959,692
Capital Expenditure	22,554,237	15,484,990	5,722,494	9,038,721	28,276,731	24,523,711

	Inside Jordan		Outside Jordan		Total	
	31 December		31 December		31 December	
	2024	2023	2024	2023	2024	2023
	JD	JD	JD	JD	JD	JD
Total Assets	7,446,631,828	6,740,981,035	904,374,910	679,038,402	8,351,006,738	7,420,019,437

47. Capital Management

a. The capital adequacy ratio as of 31 December 2024, and 2023 has been calculated based on the Basel III Committee regulations, where the bank's regulatory capital consists of Common Equity Tier 1 (CET1), Additional Tier 1 capital, and Tier 2 capital.

b. Regulatory Requirements Regarding Common Equity Capital

The Central Bank of Jordan's regulations require that the minimum regulatory capital be equivalent to 12% of risk-weighted assets and off-balance-sheet items, as well as market and operational risks. Additionally, a 2% capital buffer is required in accordance with external branch regulations, along with an extra 0.5% buffer for banks classified as domestically systemically important banks. This percentage represents the minimum capital adequacy requirement, and the bank is committed to maintaining a capital adequacy ratio that exceeds the minimum threshold with an appropriate margin, in line with the requirements of Basel III.

c. How to Achieve Capital Management Objectives

Capital management involves the optimal utilization of financial resources to achieve the highest possible return on capital while maintaining an acceptable level of risk, as approved by the Board of Directors, and complying with the minimum requirements set by laws and regulations. The bank follows a strategy aimed at minimizing the Cost of Funds by securing low-cost funding sources, expanding its customer base, and efficiently deploying these resources in low-risk investments to maximize returns on capital.

d. Capital Adequacy

In addition to subscribed capital. capital includes the statutory reserve. voluntary reserve. share premium. retained earnings, cumulative change in fair value. general banking risk reserve and treasury stocks.

The Bank is committed to applying the requirements set forth by regulators concerning capital. as follows:

1. Central Bank of Jordan instructions that capital adequacy ratio should not be less than 12% in addition to a 2% additional reserve according to the external branching instructions and an additional reserve of 0.5% for banks classified as locally systemically important banks.
2. Compliance with the minimum limit set for the paid capital of Jordanian Banks. which should not be less than JD 100 million.
3. The Bank's investments in stocks and shares should not exceed 50% of subscribed capital.
4. The ratio of credit limits «credit concentration» to regulatory capital.
5. Banks and Companies' laws related to the deduction of the legal reserve at a rate of 10% of the Bank's profit before tax.

	31 December	
	2024	2023
	JD	JD
Common Equity Shareholders Rights		
Authorized and paid-up capital	200,000,000	200,000,000
Retained earnings after deducting expected dividends	49,774,670	45,411,367
The cumulative change in fair value	1,315,151	2,693,754
Share premium	68,213,173	68,213,173
Statuary reserve	94,105,047	85,321,596
Voluntary reserve	62,376,599	57,172,423
Recognizable non-controlling interests	65,703,289	57,478,118
Total Equity capital for common stock	**541,487,929**	**516,290,431**
Regulatory Adjustments (deductions from Capital)		
Goodwill and intangible assets	(29,629,198)	(28,532,909)
(10%) Deferred tax assets resulting from investments within Tier 1	(45,261,019)	(37,416,374)
Net Equity of common stockholders	**466,597,712**	**450,341,148**
Additional capital		
Recognizable non-controlling interests	11,594,698	10,143,197
Perpetual bonds	70,900,000	70,900,000
Total Capital (Tier 1 capital)	**549,092,410**	**531,384,345**
Tier 2 Capital		
Capital provision for debts instruments tools listed in Tier 1	22,703,341	15,280,504
Recognizable non-controlling shareholders	15,459,597	13,524,263
Financial tools issued by the Bank that bear supporting capital	47,515,000	51,775,000
Total Supporting Capital	**85,677,938**	**80,579,767**
Total Regulatory Capital	**634,770,348**	**611,964,112**
Total Risk Weighted Assets	**4,342,932,637**	**4,083,424,049**
Capital Adequacy Ratio	**14.62%**	**14.99%**
Primary Capital Adequacy Ratio	**12.64%**	**13.01%**
Supporting Capital Adequacy Ratio	**1.97%**	**1.97%**

	2024	2023
	JD	JD
Financial leverage rate		
Tier 1 Capital	549,092,410	531,384,345
Total assets in and out of the statement of financial positions after removing deductible items from Tier 1	9,303,239,180	8,129,292,079
Financial leverage rate	**5.90%**	**6.54%**

Capital adequacy was calculated as of 31 December 2024 and 31 December 2023 based on the instruction of Basel Committee III.

Liquidity Coverage Ratio (LCR):	31 December	
	2024	2023
	JD	JD
Total high quality liquid assets	2,393,506,812	2,020,674,210
Total high-quality liquid assets after deducting and substracting cap adjustments for both Level 2 (A) and (B) assets	2,369,977,194	1,986,819,408
Net cash outflow	862,247,704	858,979,314
Liquidity Coverage Ratio (LCR)	274.86%	231.30%
The liquidity coverage ratio is according to the average end of each month	**265.04%**	**207.38%**

Net Stable Funding Ratio (NSFR):	31 December	
	2024	2023
Total available stable funding (after the available stable funding factor)	6,341,133	5,717,329
Total required stable funding	4,318,459	3,949,253
Net Stable Funding Ratio (NSFR)	**146.84%**	**144.77%**

48. Analysis of the Maturities of Assets and Liabilities

The following table illustrates the assets and liabilities according to the expected maturity periods:

31 December 2024	Up to 1 Year	Over 1 Year	Total
	JD	JD	JD
Assets:			
Cash and balances at central banks	912,773,898	-	912,773,898
Balances at banks and financial institutions	487,712,257	-	487,712,257
Deposits at banks and financial institutions	17,709,822	-	17,709,822
Direct credit facilities and financing - net	1,364,833,793	3,197,982,285	4,562,816,078
Financial assets at fair value through Statement of Income	18,663,543	-	18,663,543
Financial assets at fair value through statement of other comprehensive income	-	119,651,740	119,651,740
Financial assets at amortized cost - net	719,361,439	1,136,552,013	1,855,913,452
Right of use assets- net	4,560,567	25,275,387	29,835,954
Investments in associates	332,759	-	332,759
Property and equipment- net	-	87,259,347	87,259,347
Intangible assets- net	-	29,629,198	29,629,198
Deferred tax assets	45,261,019	-	45,261,019
Other assets- net	183,447,671	-	183,447,671
Total Assets	**3,754,656,768**	**4,596,349,970**	**8,351,006,738**
Liabilities:			
Banks and financial institutions deposits	357,199,782	-	357,199,782
Customers' deposits	6,406,677,540	-	6,406,677,540
Margin accounts	215,590,147	159,365,762	374,955,909
Borrowed funds	3,532,163	217,241,364	220,773,527
Subordinated loan	-	60,295,000	60,295,000
Sundry provisions	1,421,646	-	1,421,646
Income tax provision	36,048,153	-	36,048,153
Lease liabilities	2,754,056	28,074,805	30,828,861
Deferred tax liability	945,800	-	945,800
Other liabilities	166,507,327	2,543,552	169,050,879
Total Liabilities	**7,190,676,614**	**467,520,483**	**7,658,197,097**
Net	**(3,436,019,846)**	**4,128,829,487**	**692,809,641**

31 December 2023	Up to 1 Year	Over 1 Year	Total
	JD	JD	JD
Assets:			
Cash and balances at central banks	736,205,982	-	736,205,982
Balances at banks and financial institutions	371,943,707	-	371,943,707
Deposits at banks and financial institutions	8,082,419	6,000,000	14,082,419
Direct credit facilities and financing - net	1,251,404,593	2,993,506,831	4,244,911,424
Financial assets at fair value through Statement of Income	26,229,319	-	26,229,319
Financial assets at fair value through statement of other comprehensive income	-	66,658,121	66,658,121
Financial assets at amortized cost - net	321,935,737	1,311,879,089	1,633,814,826
Right of use assets- net	2,747,053	27,691,017	30,438,070
Investments in associates	349,622	-	349,622
Property and equipment- net	-	76,211,079	76,211,079
Intangible assets- net	-	28,532,909	28,532,909
Deferred tax assets	37,416,374	-	37,416,374
Other assets- net	153,151,382	74,203	153,225,585
Total Assets	**2,909,466,188**	**4,510,553,249**	**7,420,019,437**
Liabilities:			
Banks and financial institutions deposits	305,250,220	6,000,000	311,250,220
Customers' deposits	5,574,307,562	77,045,456	5,651,353,018
Margin accounts	162,893,804	166,766,630	329,660,434
Borrowed funds	5,999,413	184,406,979	190,406,392
Subordinated loan	-	60,295,000	60,295,000
Sundry provisions	525,787	-	525,787
Income tax provision	30,872,484	-	30,872,484
Lease liabilities	2,353,829	28,744,587	31,098,416
Deferred tax liability	20,282	-	20,282
Other liabilities	148,392,668	2,543,552	150,936,220
Total Liabilities	**6,230,616,049**	**525,802,204**	**6,756,418,253**
Net	**(3,321,149,861)**	**3,984,751,045**	**663,601,184**

49. Contingent Liabilites and Commitments

a. Credit liabilities and commitments:

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Letters of credit	527,385,246	377,766,475
Acceptances	171,255,468	134,886,065
Letters of guarantees:		
Payments	64,669,529	66,849,149
Performance	105,145,960	94,941,945
Other	79,384,700	68,306,116
Futures currency contracts	127,720,001	62,503,548
Un-utilized Limits of Credit Facilities and Financing	730,175,339	709,495,825
Total	**1,805,736,243**	**1,514,749,123**

b. Contractual Obligations:

The details of this item are as follows:

	31 December	
	2024	2023
	JD	JD
Property and equipment purchase contracts	9,883,954	6,379,137
Intangible assets purchase contracts	4,085,620	5,129,836

50. Lawsuits against the Bank

The total cases filed against the Group amounted to JD 4,606,218 as of 31 December 2024 (JD 2,354,730 as of 31 December 2023), and the provisions prepared for them amounted to JD 1,001,213 as of 31 December 2024 (JD 302,182 as of 31 December 2023) and according to the estimation of the bank management and the consultant It is legal that the allocations deducted for these cases are sufficient.

51. Fair Value Hierarchy

a. The fair value of financial assets and financial liabilities of the Bank specified at fair value on an ongoing basis:

Some financial assets and liabilities of the Bank are evaluated at fair value at the end of each financial period. The following table shows the information about how to determine the fair value of these financial assets and liabilities (evaluation methods and inputs used):

Financial Assets	Fair Value		The Level of Fair Value	Evaluation Method and Inputs used	Important Intangible Inputs	Relation between the Fair Value and the Important Intangible Inputs
	31 December					
	2024	2023				
	JD	JD				
Financial Assets at Fair Value						
Financial Assets at Fair Value through Statement of Income:						
Government bonds listed on financial markets	2,595,510	2,795,239	Level 1	Quoted prices in financial markets	N/A	N/A
Corporate bonds listed on financial markets	1,220,338	1,022,642	Level 1	Quoted prices in financial markets	N/A	N/A
Corporate shares listed on financial market	2,286,096	9,965,008	Level 1	Quoted prices in financial markets	N/A	N/A
Investment funds	12,561,599	12,446,430	Level 2	The treasury manager evaluation of fair value	N/A	N/A
Total	**18,663,543**	**26,229,319**				
Financial Assets at Fair Value through Other Comprehensive Income:						
Quoted Shares in active markets	28,472,247	31,866,382	Level 1	Quoted prices in financial markets	N/A	N/A
Corporate bonds listed on financial markets	45,515,882	-	Level 1	Quoted prices in financial markets	N/A	N/A
Investment funds	26,360,195	19,632,260	level 2	The treasury manager evaluation of fair value	N/A	N/A
Unquoted Shares in active markets	19,367,863	15,159,479	Level 3	Through using equity method and based on the latest available financial information	N/A	N/A
Total	**119,716,187**	**66,658,121**				
Total Financial Assets at Fair Value	**138,379,730**	**92,887,440**				

There were no transfers between level 1 and level 2 during the year ended 31 December 2024 and 2023.

The movement financial assets classification fair value through (level 3):

	For the year ended 31 December	
	2024	2023
	JD	JD
Beginning balance	15,159,479	15,601,160
Additional	2,364,944	2,111,468
Disposal	(223,590)	-
Change in fair value	2,067,030	(2,553,149)
Total	**19,367,863**	**15,159,479**

b. The fair value of the financial assets and financial liabilities of the Bank non-specific fair value on an ongoing basis:

Except for what is set out in the table below. we believe that the carrying amount of financial assets and liabilities shown in the consolidated financial statements of the Bank approximates their fair value:

	31 December 2024		31 December 2023		The level of Fair Value
	Book value	Fair value	Book value	Fair value	
	JD	JD	JD	JD	
Financial Assets of Non-specified Fair Value					
Term deposits. call accounts and certificate of deposits at the Central Bank	341,100,000	341,123,901	172,500,000	172,646,479	Level2
Current accounts. and balances at Banks and Financial Institutions	505,422,079	506,003,564	386,026,126	386,391,285	Level2
Direct credit facilities at amortized costs	4,562,816,078	4,568,788,193	4,244,911,424	4,250,588,835	Level2
Other financial assets at amortized costs	1,855,913,452	1,884,048,905	1,633,814,826	1,654,472,456	Level2
Total Financial Assets of Non-specified Fair Value	**7,265,251,609**	**7,299,964,563**	**6,437,252,376**	**6,464,099,055**	
Financial Liabilities of Non-specified Fair Value					
Banks' and Financial Institutions' deposits	357,199,782	359,012,968	311,250,220	312,020,823	Level2
Customers' deposits	6,406,677,540	6,468,007,257	5,651,353,018	5,708,140,738	Level2
Margin accounts	374,955,909	375,928,974	329,660,434	330,258,548	Level2
Borrowed funds	220,773,527	221,164,373	190,406,392	190,875,472	Level2
Subordinated loans	60,295,000	61,449,661	60,295,000	61,429,028	
Total Financial Liabilities of Non-specified Fair Value	**7,419,901,758**	**7,485,563,233**	**6,542,965,064**	**6,602,724,609**	

The fair value of the financial assets and liabilities for level 2 was determined in accordance with agreed pricing models. which reflect the credit risk of the parties dealt with.

52. Other Information

Regarding the merger discussions with the Jordan Kuwait Bank. the Board of Directors of the Bank decided in its meeting held on 25 September 2024. to amicably terminate these discussions without reaching a final agreement.

Consequently. both Bank al Etihad and Jordan Kuwait Bank will continue to focus on implementing their independent growth strategies and executing their future plans separately.

53. Standards Issued But Not Yet Effective

The standards and interpretations that are issued but not yet effective, up to the date of issuance of the Bank's consolidated financial statements are disclosed below. The Bank intends to adopt these standards, if applicable, when they become effective.

Amendments to the Classification and Measurement of Financial Instruments—Amendments to IFRS 9 and IFRS 7

In May 2024, the IASB issued Amendments to IFRS 9 and IFRS 7, Amendments to the Classification and Measurement of Financial Instruments (the Amendments). The Amendments include:

- A clarification that a financial liability is derecognised on the 'settlement date' and introduce an accounting policy choice (if specific conditions are met) to derecognise financial liabilities settled using an electronic payment system before the settlement date
- Additional guidance on how the contractual cash flows for financial assets with environmental, social and corporate governance (ESG) and similar features should be assessed
- Clarifications on what constitute 'non-recourse features' and what are the characteristics of contractually linked instruments
- The introduction of disclosures for financial instruments with contingent features and additional disclosure requirements for equity instruments classified at fair value through other comprehensive income (OCI)

The Amendments are effective for annual periods starting on or after 1 January 2026. Early adoption is permitted, with an option to early adopt the amendments for classification of financial assets and related disclosures only.

The Bank is working on identifying all the effects of the amendments on the consolidated financial statements and the accompanying notes.

Contracts Referencing Nature-dependent Electricity — Amendments to IFRS 9 and IFRS 7

In December 2024, the IASB issued amendments to IFRS 9 and IFRS 7 to address the accounting and disclosure requirements for contracts referencing nature-dependent electricity, such as wind, solar, and hydro power. These amendments aim to provide clearer guidance on the classification, measurement, and recognition of these contracts, which are inherently variable due to their dependence on natural conditions. The changes seek to improve the consistency and comparability of financial statements by clarifying whether such contracts should be treated as financial instruments or executory contracts and how they should be measured. Additionally, the amendments enhance disclosure requirements to provide greater transparency about the risks and financial impacts associated with these contracts, thereby offering users more relevant and reliable information. This initiative supports the global transition to renewable energy by addressing the unique accounting challenges posed by nature-dependent electricity contracts.

The Amendments are effective for annual periods starting on or after 1 January 2026. Early adoption is permitted, but will need to be disclosed.

The amendments are not expected to have a material impact on the Bank's consolidated financial statements.

Lack of exchangeability – Amendments to IAS 21

In August 2023, the IASB issued amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates to specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2025. Early adoption is permitted, but will need to be disclosed. When applying the amendments, an entity cannot restate comparative information.

The amendments are not expected to have a material impact on the Bank's consolidated financial statements.

IFRS 18 Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

It also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements (PFS) and the notes.

In addition, narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

IFRS 18, and the amendments to the other standards, is effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed. IFRS 18 will apply retrospectively.

This standard will result in new presentation of the income statement with some new required totals, in addition to the disclosure of management-defined performance measures.

IFRS 19 Subsidiaries without Public Accountability: Disclosures

In May 2024, the IASB issued IFRS 19, which allows eligible entities to elect to apply its reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other IFRS accounting standards. To be eligible, at the end of the reporting period, an entity must be a subsidiary as defined in IFRS 10, cannot have public accountability and must have a parent (ultimate or intermediate) that prepares consolidated financial statements, available for public use, which comply with IFRS accounting standards.

IFRS 19 will become effective for reporting periods beginning on or after 1 January 2027, with early application permitted.

As the Bank's equity instruments are publicly traded, it is not eligible to elect to apply IFRS 19.

54. Comparative Figures

The reclassification of certain figures in the consolidated financial statements for 2023 has been made to align with the presentation of figures in the consolidated financial statements for 2024. The reclassification did not result in any impact on the loss or equity for 2023.

Network of branches, subsidiaries, and exchange offices operating in the Hashemite Kingdom of Jordan and the Republic of Iraq

Branches in Amman:

Head Offices
Shmeisani – Abdelraheem Waked Street

Shmeisani
Abdelraheem Waked Street

Jabal Amman
Abu Firas Al Hamadani Street

Dabouq
Jumaa Al Shibli Street building no. (6)

Gardens
Wasfi Al Tal Street – Al Baraka Commercial Complex

Sweifieh
Ali Nassouh Al Taher Street – Adel Hajarat Complex

Mecca Street
Mecca Street – Nasim Al Dada Complex

Jubaiha
Yajooz Street – Manhal Traffic Lights

City Mall
City Mall – King Abdullah II Street

Daheit Al Yasmeen
Badiya Street – Asma Complex

Marj Al Hamam
National Team Street – Al Nahar Commercial Complex – Dalleh roundabout

Downtown
Imam Rida Street

Wehdat
Abbad bin Bisher Street/ Abu Abdo Commercial Complex

Marka
King Abdullah I Street – Airplane roundabout

Taj Mall
Abdoun – Taj Mall – Saad Abdo Shammout Street

Abdoun
Salman Al Qudah Street – near Crumz

North Abdoun
Ali Seido Kurdi – Al Fayes Commercial Complex

Um Uthaina
Shat Al Arab Street – Golden Gate Mall

Jo Park
Sweifieh – Princess Taghreed Street

Jabal Al Hussein
Be'er Al Sabe' Street

Rainbow
Jabal Amman – Rainbow Street

Bayader
Jamal Qaitouqa Street – Al Amani Complex

Khalda
Wasfi Tal Street – Sons of the Late Nicola Jreisat Complex

Sahab
King Abdallah II Industrial City – Sahab – Banks District

Tabarbour
Thumana bin Al Yamani – near Carrefour

North Hashmi
Al Batthaa Street - near Apple Bakeries

Daheit Al Rasheed
Akef Al Fayez Street – Hay Assadiq – near Umaymah Housing

Boulevard
New Abdali Project - Boulevard

Al Muqablain
Radio and TV Street across from the Wholesale Markets

Abu Alanda
Ringroad Street/ Aswaq Annahar Mall

King Hussein Business Park
Medical City Street - King Hussein Business Park

Sports City
Martyr Street – near Total Gas Station

Shafa Badran
Amman – near Al Lajjam Hotel – near Applied Sciences University

Sweifieh Village
Sweifieh - Sweifieh Village

New Dabouq – Hilda Complex
Dabouq – Ikram street and Saleh Nuaimat Street intersection

Weibdeh
Weibdeh – Paris roundabout

Mecca Mall
Mecca Street – Mecca Mall

Daheit Al. Nakheel
Marj Al Hamam – Dahiet Al Nakheel – National Team Street

Central Vegetable Market
Ras Al Rabta – Central Vegetable Market Area

Shmeisani Branch Mobile Office
Shmeisani – Abdelraheem Waked Street

Branches in other governorates:

Madaba
Queen Rania Street – HayAl Shifa

Zarqa
Saadeh Street

New Zarqa
Mecca Al Mukarameh Street – Kurdi Plaza

Free Zone – Zarqa
Main Zarqa Free Zone Entrance

Ramtha
Khat Al Sham Street

Irbid
Rateb Al Bataineh Street – near Electric Co.

Al Husun
King Abdullah II Street

Jerash
Amman Gate – near the second traffic light

Aqaba
Saadeh Street

Fountain Mall
Aqaba – Aqaba Economic Zone – Fountain Mall

Amman Complex/ Irbid
New Amman Complex – Al Saydawi Building

Mafraq Branch
Jerash Street – near North Khairat Co.

Salt
Salt City entrance – Dababneh Complex

Karak
Karak – Karak governorate entrance – Al thaneih area – Madanat Complex

Irbid – Yarmouk University Street
Irbid – Yarmouk. University across from the Economics College Gate – Namir Badr Complex

Bab Al Madina Mall Zarqa
Zarqa – Army Street

North Jabal - Ruseifeh
Ruseifeh – Yajooz Street

Ajloun
Ajloun – King Hussein Street

Mahes
Fuheis – Right side of Shaker roundabout

ATMs

Central Exchange

1. Amman – Shmeisani – Abelraheem Waked

2. Boulevard Abdali

Bonded:

Bonded Warehouses

Amman Industrial Zone - Sahab

Subsidiaries:

Etihad Financial Brokerage Company

Shmeisani – Housing Bank Complex

Etihad Islamic Investment Company

Shmeisani – Abdelraheem Waked Street

Etihad Financial Leasing Company

Mecca Street – Al Ghaith Complex

Etihad Financial Tech Company - under liquidation

Medical City Street – King Hussein Business Park

Bank Branches outside the Hashemite Kingdom of Jordan

Iraq branch

Republic of Iraq – place 929 – Arsat Street – Street 30 – Zukak 19

P. O. Box 3217 Zip Code 10068 Al Karadeh/ Badaleh Alalawieh

(964) 7851110010

Head Office

Tel.: +962 6 560 7011
Fax: +962 6 562 2573
P.O. Box: 35104 Amman – 11180 Jordan

www.bankaletihad.com
info@bankaletihad.com